

H.E.G. Ltd. (HEG)

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Call: Aug 2022

HEG/SEC TT/2022 22nd August, 2022

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Exchange Plaza, 5th Floor
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Scrip Code : HEG

Sub: Transcript of Earnings Conference Call on Q1 FY23 of HEG Limited

Dear Sir/Madam,

Please refer to our Earnings Conference Call scheduled on 17th August, 2022 intimated vide our letter dated 15th August, 2022 . Please find enclosed the transcript of the said Earnings Conference Call.

The said transcript is also available under the Investors Section of the website of the Company i.e www.hegltd.com .

This is for your kind information and records.

Yours faithfully,
For HEG Limited

Vivek Chaudhary
Company Secretary
A-13263
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Encl: as above

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EG Limited Q1 FY23 Earnings Conference Call"
August 17, 2022
MANAGEMENT : M R. MANISH GULATI – EXECUTIVE DIRECTOR , HEG
LIMITED
MR. GULSHAN KUMAR SAKHUJA – CFO, HEG
LIMITED
MODERATOR : M R. NAVIN AGARWAL – HEAD INSTITUTIONAL
EQUITIES , SKP SECURITIES LIMITED

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Moderator : Ladies and gentlemen , good day and welcome to the HEG Limited Q1 FY23 earnings conference call hosted by SKP Securities Limited . As a reminder , all participant s' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr . Navin Agarwal – Head Institutional Equities at SKP Securities Limited . Thank you and over to you, sir.

Navin Agarwal : Good afternoon, ladies and gentlemen. It's my pleasure to welcome you on behalf of HEG Limited and SKP Securities to this financial results conference call. We have with us Mr. Manish Gulati – Executive Director along with Mr. Gulshan Kumar Sakhuja – CFO. We'll have the opening remarks from Mr. Gulati followed by a Q &A session. Thank you and over to you Manish ji.

Manish Gulati: Good afternoon, friends, and welcome to our Q 1 FY22- 23 con call. Let me start with a disclaimer first. Before we proceed with this call, I would like to take this opportunity to remind everyone about the disclaimer related to this call. Today's discussion may be forward looking in nature based on management's current beliefs and expectations. It must be viewed in conjunction with the risk that our business faces that could cause future results, performance or achievements to differ significantly from what may be expressed in such forward-looking statements.

So, friends, in comparison with the last few quarter results, performance this quarter was the strongest in terms of all parameters, volume, revenue, EBITDA and operating margins. Coming to steel as per the recent data released by World Steel Association, global crude steel production for January to June 22 was 949.9 million metric tons, down by 5.5% compared to 2021. Steel production ex-China was down by 4.2%, while Indian steel production increased by 8.8% compared to 2021. Chinese steel exports seem to be proceeding at the same level as past year 2021. In China, EF steel still constitutes around 11% to 12% of their steel production, up almost double of in 2016 and is expected to be 20% by 2025. This has to be seen in the backdrop where rest of the world produces around 47% of its steel through EF. Due to Russia Ukraine crisis causing steep prices, energy and electricity prices in EU and some other countries, supply chain disruptions and subdued steel demand global steel output has recently begun to fall. With steel production declining year on year in all major steel producing regions and inflated input costs impacting margins, the outlook for the rest of the year remains unclear. We have been participating in steel conferences in US for last several years, and we have seen increasing focus and serious efforts towards decarbonization in US. Steel industry contributes almost 8% of industrial pollution and last one is BOF route, emits four times more greenhouse gases compared to EF. Almost 20 million metric tons of EAF capacities are already announced and under construction in US, some of which will start coming off steam from end 2022 onwards. Besides US, in Europe there have been announcements of conversion of steel capacities to the tune of 15 to 16 million metric tons from glass furnace route to EAF route.

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In the backdrop of decarbonization efforts in the steel industry at global level to reduce carbon emissions, we believe that the EF steel production in the world will continue to grow as the world keeps adding more and more electric arc furnaces in the immediate and foreseeable future. Thus, the demand for high quality electrodes is likely to keep increasing. Most of these would

be

large size furnaces using ultra high-power grade electrodes which we are fully equipped to cater to. The electrode prices improved for both UHP and non-UHP grades in Q1 FY22-23. However, the electrode prices have now stabilized and so have the needle coke prices. The sales volumes might face some pressure in July to September and October to December quarter, due to order push backs from some customers due to decline in steel production. But we are upbeat that as soon as the steel production starts to grow, the demand for electrodes will come back, particularly when we see that electric arc furnace production will grow much faster. Our expansion to increase capacity from 80,000 tons to 100,000 tons is going on with full steam and we are confident of completing it by end 2022 and be ready with commercial production from early 2023. This will increase our capacity to 100,000 tons under one roof, making us one of the most cost competitive graphite electrode plants in the World.

I would now hand over the floor to Mr. Gulshan Sakhuja, our CFO, to take you through all the financial numbers and then together we'll be very happy to answer any queries that you have, over to Mr. Sakhuja.

Gulshan Kumar Sakhuja: Thank you Manish ji. Good afternoon, friends. I will now briefly take you through the Company's operating and financial performance for the quarter ended 30th June 2022. For the quarter ended June 2022 HEG recorded revenue from operations of Rs. 722 crores as against Rs. 673 crores in the previous quarter and Rs. 414 crores in the corresponding quarter of the previous financial year. Revenue for the quarter saw an increase of 7% as compared to the previous quarter, while it witnessed an increase of 75% on a QoQ basis. Since turnover is a sector of both volume and prices, we are happy to inform you that the company has been able to achieve healthy growth in both aspects.

During the quarter ended 30

th June 2022, the company has delivered

EBITDA including other income of Rs. 205 crores as against Rs. 174 crores in the previous quarter and Rs. 94 crores in the corresponding quarter of the previous financial year. The EBITDA for the quarter ended 30th June has increased vis-à-vis previous quarter and corresponding quarter of the previous year due to increase in both the sales quantity and price realization of graphite electrodes. The increase in employee benefit expenses over the previous quarter and corresponding quarter of the previous year is on account of annual increment in salary, incentive to employees and provisioning for the profit related commission payable to CMD and ED of the company under contractual terms of their appointment.

The increase in expenses pertaining to power and fuel is on account of higher production and the increase in the price of LNG furnace oil, et cetera. The reason for the increase in finance cost is on account of two factors. First, the RBI has revised the interest subvention from 3% to 2%.

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2nd, there is an increase in the working capital requirement on account of increased sales and

production which has led to the higher utilization of our working capital limits. Further, the fall in other expenses as compared to previous quarter is because the company has incurred expenditure on account of CSR amounting to Rs. 19 crores during the quarter ended 31st March 2022, the corresponding amount for the current quarter is 0.61 crores. The company recorded a net profit after tax of Rs. 134 crores in the first quarter of FY23 as against Rs. 113 crores in the previous quarter and Rs. 55.8 crores in the corresponding quarter of the previous financial year. I would also like to inform you that India Rating and Research have affirmed our long-term rating at AA - with a stable outlook and a short term at A1+. Expansion plan from 80K to 100K is going on a full swing

and we expect the expansion project will be completed by December 2022 and ready with a commercial production by early 2023. The company is a long-term debt free and has a treasury size of approximately Rs. 1,150 crores at cost as on 30th June 2022 yielding an average return of approximately 6% per annum. Now we would now like to address any questions, queries you have in your mind. Thank you. friends, over to Navin.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Dhaval Doshi from Pinpoint Asset Management. Please go ahead.

Dhaval Doshi: I just wanted your views on the near-term demand and supply scenario for the industry. If you look at the cost structures in the global markets which is US and Europe, the costs have gone up significantly higher. Can we see some supply disruption arising out of it the way we've started seeing other commodities like aluminum and zinc? Can we see some plant closures just because the costs are not sustainable?

Manish Gulati: To answer your question is that, yes in Europe the impact of higher electricity cost is felt the most. Today all these electric arc furnace-based steel companies are running at off peak hours because of which the production is slow. We can feel it because we have been receiving several requests to push back our orders. There is no problem in US as such. This is something which is unique only to the European block. For them, the electricity costs have gone up three times or four times. Some of the steel companies do have contracts with the utilities in which 50, 60, 70% of their power is covered, since this is not going to be something forever. Of course, there has to be timelines to that because not only steel industry, all industry in Europe is suffering on account of electricity cost. If you ask me, there's no closure, I've not heard of it that any electrode plant to close or something because on this account, however their costs have definitely gone up. Our peer group, I mean who operate plants in Europe, costs must have certainly gone up even if they are hedged for some portion of the electricity with the utility providers.

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Dhaval Doshi: Okay, but does that kind of help us in terms of the overall electrode pricing, sir? Because either through supply tightness or through costs, essentially the prices have to start moving up, right?

Manish Gulati: Yes, that's true. See, the European plants, definitely the electrode plants must be facing higher electricity prices and definitely that provides some base for the electrode prices because they cannot go below a certain point. Otherwise, it becomes unviable for European plants. Anyway, I can't be commenting on their costs really.

Dhaval Doshi: In your discussions with the customers, are you seeing some kind of uptick in the overall pricing for our electrodes or that really is not the case?

Manish Gulati: For the time being, the European all these steel plants are pushing back their orders with us and with our competitors. Right now, it's not that situation about this pricing. The demand has to be there. Right now, there's pushback of electrodes. This pricing power will return later, but once the demand returns. Right now the price have stabilized at a point they are not falling as such, but they have stopped increasing, that has been the impact of these pushback of orders, some inventories there in Europe. Prices are not increasing, but they're not dropping either because as you said about the rise in energy costs, electricity costs, logistic costs, everything is going up still. It's still at an elevated level.

Dhaval Doshi: Okay, so alternatively, sir, how do you see the needle coke pricing given crude has started, correcting? Do we eventually start see that in our overall needle coke prices as well?

Manish Gulati: See the

needle coke prices thankfully, for the last two quarters, our purchase prices have been at almost the same level. One odd supplier tried to raise prices but more or less you can say for these two quarters. Our purchase price for April to June and July to September for majority of our supplies are remaining the same. So, they're not increasing. That's a good part. Yes, it has some relationship with crude but still is more driven by demand and supply rather than the crude oil prices.

Dhaval Doshi: Can we expect some relief going ahead?

Manish Gulati: I'm not sure actually I will definitely accept some relief from their account, they know their economics they know what is the crude oil price, they know how much demand for their needle

coke is there. Right now, the supply of needle coke is eased. There is no shortage as such, and I would really expect if they could provide some breather, but we are negotiating with them quarter by quarter and I'm sure they are also seeing the markets they are seeing the markets stabilizing or plateauing for a while. Maybe that's up to them. But so far there's no indication.

So far the prices they've continued with the same prices for the last two quarters.

Dhaval Doshi: So, is it safe to say that there can be some near-term challenges as far as the operating environment is concerned before things actually start cooling down in terms of the overall energy cost in Europe and post which we can expect a good recovery?

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Manish Gulati: That is exactly how I think. Let's see we are talking in the middle of August, so of course I know very well what is going to happen in this quarter. The volumes are subdued the price is stable for both electrodes as well as needle coke. Volumes just because of the order pushback from some predominantly from Europe and some other customers, there'll be lesser volumes expected in July to September and maybe the same, probably some of it to continue, same phenomena to continue for October to December, at least in HEG, I definitely expect things to turn around. The steel production has to turn around. We'll see how it behaves in the next one or two quarters. I think in this quarter in the middle of which we are already and the next which is very foreseeable, it seems the volumes will be subdued. See right now, April to June we were working at 92% capacity utilization. We could sell each and every ton we could make. We worked at record low inventory levels. Our closing inventory of 30th June was record low. I mean, it's not even workable inventory. So far so good. Starting July, we started receiving I think the impact of Russia Ukraine thing started to settle in and customers calling us every now and then to push back their orders by 2 months, 3 months that as we book 3 months to 6 months maximum at a time. That impact is being felt that some volumes are spilling over from this quarter to next, from next to next. So, our volumes are expected to be down in this quarter. Not drastically, but somewhat I would say, I can't still put a number on it because I'm still hoping to make it up. I still have 1.5 months to run. Maybe we can make it up, maybe we cannot, but they might be subdued with a stable price. The price the same as April to June quarter, but lesser volume is expected.

Participant: Thanks a lot, sir.

Moderator: Thank you. Next question comes from the line of Sonal Salgaonkar from Jeffries. Please go ahead.

Sonal Salgaonkar: My first question is what has been the capacity utilization in this quarter versus same quarter last year?

Manish Gulati: It was 92% for Q1 2022 -2023 versus 85 % year-on-year a few quarter and if you just compare it with the last quarter, January to March was 87%. So, our volumes of Q 1 have been the most in the last 10 -11-12 quarters. We have sold the highest volumes in Q 1. Highest capacity utilization

ion

of 92%. That's probably the best we can do. We cannot go beyond it. It's very difficult to read the name plate capacity so 92% was our best ever capacity utilization April to June quarter.

Sonal Salgaonkar: Understand. Sir, and as of mid of August currently how much are we running at?

Manish Gulati: We continue to run at full blast, full level because, as I said, Sonal, we have record low level of inventory closing of 30th June. So, we really don't mind. We want to run full till we can for a

couple of months even if sales are slightly lower, but because when the things turn around these

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volumes will be required in the market. So, we'll continue to go full blast for the next three to four months.

Sonal Salgaonkar: So, we are planning at 90% capacity utilization even in the current quarter, right?

Manish Gulati: Yes, absolutely. We are making product where capacity will be utilized to 90%, for sure. 90%, you can imagine. Sales may not be as much, but 90% will be the plant's capacity utilization.

Sonal Salgaonkar: Understand. Sir, in terms of our export, now we export 70%, close to 70% of our top line. Could you broadly elaborate what is the country wise export mix and how much especially Europe is contributing in that?

Manish Gulati: See, we are its all total about 35 countries and it's very well diversified. Our main, if you say the main areas other than excluding India, of course, we are talking about, let's say US, and then followed by Middle East, followed by Europe, followed by Southeast Asia. And if you ask how much has our sales been in Europe, then I would say in 2021 -2022 it was to the order of 10% or 11%.

Sonal Salgaonkar: Understand. Fair enough. Sir, you talked about inventory position being that record low levels for yourself as of the quarter ending June. Sir, how is it for the industry per se?

Manish Gulati: I think their inventory levels are higher than us. I think we had probably the lowest inventory level. But I also do

not mean to say that they were significant ly...

Sonal Salgaonkar: Sorry, sir.

Manish Gulati: No, that's fine, but I think I cannot have a peek into their plant s. But I'm reasonably confident that our inventory levels were the lowest or one of the low est. But a ll the industry has been working full, but I think we have been able to sell more in April to June resulting in low inventory levels closing 30th.

Sonal Salgaonkar: Understand. So, y ou would say industry inventory levels are probably optimal or normal, and we are below normal .

Manish Gulati: I think so. A gain, this is my judgment. I cannot peek into our peers and make an estimate on what they must be carrying, but just by the market, what they have in the market and how they sell, I can have some idea.

Sonal Salgaonkar: I understand. Sir, n ow my next question is regarding price hikes. You did mention that there were price hikes in this quarter. Could you give us the quantum or t he delta of price hikes in this quarter? In the quarter that went by Q 1?

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Manish Gulati: Yes, understood , ma'am. You can consider 3.5% to 4% price , the difference between the Q 1 of 2023 and Q 4 of 2022.

Sonal Salgaonkar: Understand. And t his quarter largely up till now it's been stable.

Manish Gulati: It's going to be stable. I can see that because one and a half months has already gone and it's probably it's going to be stable. I mean, I'm talking overall global average.

Sonal Salgaonkar: Of course. Sir, c umulative, over the past four to five quarters how much do you think coul d be the price hikes ? Because every quarter you have given the quantum of price hikes , and in the preceding quarters they were as high as 7% to 8% as well. So c umulative, do you think it is about 15% to 20% price hike over the past four quarters?

Manish Gulati: Past four quarters i

s going to be much more. If you compare the price level which we have in April to June with what we had in the April to June of 2021, it's going to be more than 50%.

More than that. It depends up on the grade and markets, but anywhere, I mean, 50% odd...

Gulshan Kumar Sakhuja: It is m ore than 50%.

Manish Gulati: Its more than 50%.

Sonal Salgaonkar: Understand. Sir, a lso on the CAPEX bit you talked about commissioning, but I think your overall CAPEX is Rs. 12 billion. So, h ow much of that is already spent and how much are you planning to spend in t he remainder of the year.

Manish Gulati: See, against that 1200 number , almost 900 has already been spent and 300 would be spent in , yes, all of it by March 2023.

Sonal Salgaonkar: Understand. Sir, i n your opening remarks you talked about 15 to 16 million of EF capacities in Europe converting from B OF.

Manish Gulati: Sonal, from BOF to EAF, not otherwise.

Sonal Salgaonkar: Yes. So, b y when do we expect that to happen?

Manish Gulati: See, the projections which they have because it's a big thing, blast furnaces to electric arc furnaces, all these steel making companies, I mean, we have heard public announcements of, let's say, the biggest steel company called Arcelor Mitta l, they have blast furnaces in Spain,

Belgium, Germany, France. So, w hat they are doing is these steel companies , they have made some targets to cut their carbon emissions and they want to be converting gradually and t he timelines would be what they have mentioned is s tarting 2025 to 2030. So, there's a time frame for these 15 -16 million metric tons which I said, and the 20 million metric tons which I said about US, they would be up to 25 or 26. F rom now, starting this year they'll start coming on

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stream by end of 2022 and going up to 2025 or 2026. So, n ext three years, four years, we'll definitely see the arrival of this 20 million metric tons capacity on the ground. This we can see it happening. We know the companies were making it. We know the plants were coming up. And Europe is starting 24 or 25, and they want to do it by 2030.

Sonal Salgaonkar: Understand. Sir, I ast question from my side. Any update on the China electrode supply?

Manish Gulati: Not really anything different we can say what we have always said that we do not compete with them in the ultra -high power grid market. They have lots of capacity. There's no doubt about it.

Their o wn electric arc finance portion is only 11% to 12% which should go up to 20% soon, I mean, next 2 -3 years. And t he excess capacity of electrodes which they have will certainly some of it will get absorbed in the domestic market. They still continue to export lot of electrodes to a lot of countries in the world, but we do not have any head on that competition with them in the ultra-high power grid segment. And i n the non -ultra-high -power grid the small size, it's okay , we do face some competition, but we have several customers in several countries who still prefer to use our electrodes.

Sonal Salgaonkar: Right. S ir sorry, just o ne more question if I may squeeze in. In terms of Europe exposure, you

mentioned that 11% of your sales emanates from Europe. So, how much of your production emanates from Europe, if at all?

Manish Gulati: Our production? I didn't get this. You asked how much we sell in Europe, I said 11%.

Sonal Salgaonkar: In the sense, do you have any manufacturing facilities or planning to do that in Europe?

Manish Gulati: No Sonal, we do not have any manufacturing capacity other than this part in India.

Sonal Salgaonkar: Sure. Thank you very much, sir. Have a good day.

Moderator: Thank you. The next question comes from the line of Pranao Jain from HDFC Securities. Please go ahead.

Pranao Jain: Do you foresee any problem in selling our incremental volumes of 20,000 tons considering the situation

in Europe? And how is the demand outlook going forward?

Manish Gulati: For the next two quarters which I said, the July to September in which we are and October to December, it looks subdued, but this is not something which is going to last forever. See, even the common man today has started feeling the impact of climate change. The seriousness towards that is only growing every day and the developed companies are becoming very -very serious about it and serious about it to the extent that they have actually started putting those electric arc furnace steel plants. This is one of the surest ways to reduce carbon emissions, putting up electric arc furnaces instead of glass furnaces. We have seen that happen in US. We have seen it happen in Europe and likewise this trend will continue. So, this is something which is irreversible. With HEG Limited

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steel industry being one of the biggest polluters of the world I think the trend is going to be toward electric arc furnaces. So, the expansion, I would say it is a modest expansion of just 20,000 tons and it's only a matter of time, maybe it takes a year or so to get fully absorbed in the market. So, it all depends how soon things turn around. The long-term medium -and-long -term fundamentals of electric arc furnaces are unquestionable and robust, and they stay in place. The world is not going to go turn around and say, oh, let's go for blast furnaces. No, that's not going to happen. But yes, what you said is the demand outlook for these two quarters look difficult. Of course, they're all being precipitated by the Russia Ukraine thing. The sooner it gets over and economies get back on track, steel production will grow as the economies grow, out of which electric arc furnace will grow faster.

Pranao Jain: Okay, second question would be how much would be the incremental depreciation in quarter four of the financial year and Q1 of the next financial year? Like after the additional capacity expansion?

Manish Gulati: Yes, our CFO, Mr. Sakhuja will answer this question for you.

Gulshan Kumar Sakhuja: Yes, we are coming to the capitalization of 1200 crores in the next financial year, so considering that 4% to 5% average depreciation on that, so that is going to come around 10 crores to 12 crores per quarter of additional depreciation in the next financial year.

Pranao Jain: Okay, so this would be the added, 10-12 crores additional depreciation, right? Apart from the current. Okay, so just one more question. The share of associate in this quarter was around 25 crores versus 1 crore in Q4 of the last financial year. So, what is the reason behind such a big jump?

Gulshan Kumar Sakhuja: This is on account of that we are having a stake in Bhilwara Energy, and they are into this hydro power. So, out of 25.44 crores around 24 crores have come from only Bhilwara Energy. So, they have shown a very good profit in the first quarter, Bhilwara Energy Limited. We are having a stake of 49%.

Pranao Jain: Okay, so what is the outlook regarding these associates going forward considering we haven't got so much of share from these associates previously?

Gulshan Kumar Sakhuja: If I talk about Bhilwara Energy, the future looks bright and going forward the profitability ratios and all this profitability remain would be on our robust side.

Pranao Jain: Okay. Thank you so much, sir.

Moderator: Thank you. Next question comes from the line of Rajesh Agarwal from Moneyore. Please go ahead.

Rajesh Agarwal: How is the outlook in the US in terms of demand and supply?

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Manish Gulati: Very good. US is, I would say, more resilient, if I may. But yes, the US steel production is doing good. The capacity utilization of steel companies there are in excess of 80% and it is 70% portion is through electric arc furnaces.

Besides that, they are already putting new ones there which will start coming on stream from the end of this year. So, the outlook in US steel production as well as demand for electrodes is good.

Rajesh Agarwal: What is our percentage of supply to US?

Manish Gulati: If you want me to put a percentage on that, it is going to be around 13% maybe roughly. I'm just giving you a rough number, See, we are very well diversified that way. As I said, I mentioned about US, Europe, Middle East, Southeast Asia, so we are serving almost 35 countries and we are not dependent on any one country, whichever it is. So, our sales that way is very well spread out globally.

Rajesh Agarwal: Thank you, sir.

Moderator: Thank you. A reminder to all the participants that you may press '*' and '1' to ask a question.

Navin Agarwal : Since there are no further questions, I would now like to hand over the conference back to Mr. Gulati for his closing remarks.

Manish Gulati: Thank you very much. Thank you, friends for listening to us. I will just close this by saying that we are very optimistic, or I would say upbeat about prospects of electric arc furnace industry, steel making. And we are a company which is making very good quality, ultra-high powered grade electrodes as good as anybody in the world makes and we are very cost competitive being a large plant on one roof, we are cost competitive also. And this year we are completing 50 years of company's existence. So, we are very optimistic about our company's prospects. Thank you very much and I look forward to talking to you again next quarter. Thank you very much.

Moderator: Thank you. On behalf of SKP Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2022

HEG/SEC TT/2022 21st November, 2022

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Sub: Transcript of Earnings Conference Call on Q2 FY23 of HEG Limited

Dear Sir/Madam,

Please refer to our Earnings Conference Call scheduled on 17th November, 2022 intimated vide our letter dated 15th November, 2022 . Please find enclosed the transcript of the said Earnings Conference Call.

The said transcript is also available under the Investors Section of the website of the Company i.e www.hegltd.com .

This is for your kind information and records.

Thanking You,

Yours faithfully,
For HEG Limited

(Vivek Chaudhary)
Company Secretary
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Encl: as above

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"HEG Limited Q2 FY-23 Earnings Conference Call"

November 17, 2022

MANAGEMENT : MR. RAVI JHUNJHUNWALA – CHAIRMAN , MD & CEO,
HEG LIMITED
MR. RIJU JHUNJHUNWALA – VICE CHAIRMAN , HEG
LIMITED
MR. MANISH GULATI – EXECUTIVE DIRECTOR , HEG
LIMITED
MR. OM PRAKASH AJMERA – GROUP CFO, HEG
LIMITED

MR. GULSHAN KUMAR SAKHUJA – CFO, HEG
LIMITED
MODERATORS : MR. NAVIN AGRAWAL – HEAD, INSTITUTIONAL
EQUITIES , SKP SECURITIES LIMITED

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Moderator : Good day, ladies and gentlemen. Welcome to the HEG Limited Q2 FY23 earnings conference call organized by SKP Securities Limited. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the management's opening remarks. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Navin Agrawal – Head, Institutional Equities at SKP Securities Limited. Thank you and over to you sir.

Navin Agrawal : Good afternoon, ladies and gentlemen. It's my pleasure to welcome you on behalf of HEG Limited and SKP Securities to this financial results conference call with the leadership team at HEG Limited. We have with us Mr. Ravi Jhunjhunwala – Chairman, Managing Director and CEO along with Mr. Riju Jhunjhunwala – Vice Chairman and their colleagues Mr. Manish Gulati – Executive Director, Mr. Om Prakash Ajmera – Group CFO and Mr. Gulshan Kumar Sakhuja – CFO. We will have the opening remarks from Mr. Jhunjhunwala, followed by a Q&A session. Thank you and over to you, Raviji.

Ravi Jhunjhunwala : Thank you Navin. Good afternoon, friends and welcome to our Q2 financial results call for the current year. As you're aware the geopolitical developments resulting into an ugly war still continues after nine months with no immediate end in sight. This has resulted into changing the dynamics in most parts of the world resulting in many changes in all parts of the world, some with very serious consequences and some others with moderate consequences. The developed parts of the world like US, EU, Japan seemed to be the hardest hit leading to high inflation in some countries, high interest rate and lower demand for most of the products etc.

Obviously, steel which is where our products are used has also been hit hard in the last 6 to 9 months leading to a drop in overall production by about 8.7%. While some major steel producing countries like Japan and Western Europe had declined between 5% to 11% in the last quarter.

However, our government took some proactive steps to tide over these issues and due to our focus on infrastructure spending steel production continued to increase in June-July of this year and then started declining. But still a fairly small decline compared to the rest of the world.

European steel industry has been specially negatively impacted by their exorbitant gas and energy prices which are also having adverse effects on regional steel demand. In the short term the outlook for the steel industry still appears to be bearish. Steel demand is still being impacted by the fear of a global recession. Steel production is closely linked to the economic growth.

World steel production except China and Iran shows a decline of 5.8% in the first 9 months of January-September '22 compared to the same period last year. There has been a quarter-on-quarter decline of steel production of 6.6% between Q2 and Q3 calendar year 2022, again excluding China and Iran. The bright spots in the otherwise bearish outlook of steel production has been US and India where demand is still strong. As per WSA's latest short-range outlook, world steel demand is expected to drop by 2.3% in 2022, after it increased by 2.8% in 2021.

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The electrode demand which is a derivative of steel produced through electric arc furnaces, what we in India typically call mini steel also fell in July-September quarter due to pushback of orders mainly by European steel producers and slowdown of production in other countries. We continue to see lower demand of electrodes in the current and the next quarter but we continue to still run the plant at full capacity currently.

Having said that I would like to emphasize that decarbonization focused all over the world is gathering steam leading to closures of many blast furnaces and replacing them with new electric arc furnaces which is a huge positive for us, for companies like ours in future. US which produces over 70% of its total fees to electric arc furnaces, new greenfield capacities to the tune of between 20 to 25 million tons have been announced. 6.5 million tons is set to start in the next 2 to 3 months, 11.5 million tons by 2024 end and the rest in the first half of 2025. Besides this EU wants to replace about 16 million tons of blast furnaces by electric arc furnace, starting from 2023 end. Although China still produces only 12% of its steel through electric arc furnaces but this has increased from 4% in the last 5 years to 3 times. They're also on the path of increasing their electric arc furnace share to about 20% as they also try to control pollution.

We feel that medium to long term growth of EAF is unquestionable which keeps us confident of the growth prospects of our industry and that's where our current expansion kicks in. About 2.5 years ago we had announced taking our capacity of existing 80,000 tons per annum to 100,000 tons by end of this year. I'm glad to say that out of 6 different processes that go into production of electrodes 4 are already commissioned the 5th one is getting commissioned in the next two weeks and the last one by early January. Once it is done our capacity will go up to 100,000 tons. Our plant with 80,000 tons capacity till now has been the largest plant under one roof in the world for a very long time and in the next few months once it reaches 100,000 a gap between our plant and the next large plant will further increase and we would start getting further economies of scale and cost advantages. Furthermore, our expansion is coinciding with the new demand of electrodes coming in from these new capacities of electric arc furnaces as I just spoke. This quarter's performance was in line with the first quarter despite lower sales volumes due to benefits of rupee depreciation, higher profits from our several hydropower generation facilities in Madhya Pradesh and Himachal and also higher income from our hydro operations of our associate company Bhilwara Energy, both of which did well due to early onset of monsoon this year and power prices going up substantially in the first half of the current year. The needle coke procurement for the last three quarters have been flatish without any significant increase and continues to remain so. There is no shortage of needle coke in the market due to slowing down of offtake by major graphite producers. Meanwhile as some of you have seen our public announcements, we plan to diversify into making graphite anodes for lithium-ion cells which form the battery for electric vehicles. Given that it is the first such plant coming up in our country, we will see a good opportunity here over the long term. We are forming a wholly owned subsidiary of HEG for this new business and our Board has approved a budget of about Rs. 1,000 crores for manufacturing 10,000 tons of anodes in Phase 1 which should be ready by early 2025.

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We plan to invest another 1,000 crores for the second phase of 10,000 tons after the first phase is successfully implemented. At present, these cells or battery packs are all imported into India and soon there will be a huge domestic demand for graphite anode powder as cell manufacturing starts shifting to India. We see tremendous growth in this business in the next decade as India starts producing and using more and more electrical vehicles. Friends with this I will now hand over the floor to our CFO, Gulshan to take you through the financial numbers and then Riju, our Vice Chair

man and Manish, our E.D. In between all of us will be very happy to answer any queries relating to electrodes or of the new process. Thank you and over to you Gulshan.

Gulshan Kumar Sa khuja: Good afternoon, friends. I will now briefly take you through the company's operating and financial performance for the quarter ended 30th September, 2022. For the quarter ended 30th September, 2022 HEG recorded revenue from operations of Rs. 598 crores as against Rs. 722 crores in the previous quarter and 518 crores in the corresponding quarter of the previous financial year. The revenue for the quarter saw a decrease of 17% as compared to the previous quarter while it witnessed an increase of 15% on Q-on-Q basis. The fall in this quarter is due to lower volume offtake.

During the quarter ended 30th September, 2022 our company delivered EBITDA including other income of Rs. 198 crores as against 205 crores in the previous quarter and Rs. 167 crores in the corresponding quarter of the previous financial year. The increase in employee benefit expenses over the corresponding quarter of the previous year is on account of annual increment in service incentives to employees and provisioning for profit related commissions payable to CMD and ED of the company under contractual terms of their employment.

The reason for the increase in finance cost is due to the hike in the repo rate from 4% to 5.9% by the RBI to keep the rising inflation in check. Other external benchmarks like MIBOR and T-Bill have also moved in the same direction, along with an increase in the working capital requirement in the business. Apart from the above the increase in finance cost from corresponding quarter of the previous year is on account of reduction of interest subvention from RBI from 3% to 2%. The company recorded a net profit after tax of Rs. 130 crores in the second quarter of FY23 as against 134 crores in the previous quarter and Rs. 113 crores in the corresponding quarter of the previous financial year. The extension plan is going on in full swing and we expect the extension project would be completed by December '22 and ready with commercial production by early 2023.

The company is a long-term debt free and has a treasury size of nearly 1,250 crores as on 30th September, 2022. Now we would like to address any questions or queries you have in your mind. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sonali Salgaonkar from Jeffries.

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Sonali Salgaonkar: Thank you Ravi sir for the brief, it was very informative. Few follow up questions; firstly 70% of HEG sales are exports. Could you help us with a country wise revenue breakup broadly and which countries have been instrumental in the weaker demand this quarter apart from Europe?

Manish Gulati: I would say Sonali, revenue break up instead let me just do a tentative volume breakup rather than the revenue breakup.

Sonali Salgaonkar: Yes, that would be helpful.

Manish Gulati: About let's say 20% is America, about 18%-20% is Southeast Asia, about 27% is Middle East, something like that. These are the very broad figures I am giving, so actually very well diversified as you can see. So, our share in the major steel producing regions of the world which are the Americas and the Europe and the Southeast Asia and Middle East. These are the four areas and all these major countries we have a presence. So, tentatively if you take just a 20% share plus minus 2%-3% each and every area, Europe will be low this year. Otherwise, it was about 10% is what is going to European nations, I am talking about total. Again, one third of our product is sold in India. If you add all this up we will reach 100%.

Sonali Salgaonkar: I missed the number you gave for Europe.

Manish

Gulati: 10%. We used to be there. Now it's probably going to slip to 7% to 8% of the total volumes.

Sonali Salgaonkar: What was our capacity utilization in Q2 and currently because you did mention that your plants are operating at a healthy operating utilization and also what is the inventory position in the system for the electrodes?

Manish Gulati: We continue to run at a (+90) level and that's what we have been doing for last six quarters we have not slowed down yet. As Chairman said we have no intention to slow down at least for this quarter. Our sales till April to June quarter, we sold as much as we made again in the 90s, early 90s. That's what our sales utilization was. But from July to September, it's in early 70s and October to December as we see maybe it'll be 60s, mid 60s or something. So, we continue to produce at full capacity but only from July to September quarter, we have sold less compared to our production and the October to December quarter also seems to be in the same way.

Sonali Salgaonkar: And the inventory position?

Manish Gulati: Inventory position is still fine. It's not unmanageable per se. Let's say we can say a month and a half worth of inventory which is quite normal. One month is considered very normal in our operations where we make so many sizes, so many grades, so put together if we have a month worth of inventory that industry considers right, so we have one and a half months.

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Sonali Salgaonkar: About the pricing of electrodes, what has been the trend in pricing that we saw in Q2 because in the first half we did see some price increases panning out in electrodes like in last year? What's the pricing trend in Q2 and also what do you expect to be the pricing trend in H2?

Manish Gulati: Q2 pricing is virtually almost the same, I would say. Very insignificant increase between Q2 and Q1. You can consider they were just exactly the same. But in Q3 in which we are in, there is probably going to be our average price might be about 3% to 4% down. Jan to March still looking at it, if things continue to go like that maybe that quarter also remains under pressure or if things turn around, it can revert to the current price level we saw in the July to September quarter. So, that remains to be seen because we are also booking very gradually. We still are booking for Jan to March quarter.

Sonali Salgaonkar: For our new products that's this lithium-ion product that we are entering, could you help us with the overall TAM, that's the total addressable market which you foresee would be panning out in India. Correct me if I'm wrong but your revenues will start accruing from FY26 onwards, is that correct?

Manish Gulati: I'll have this question better answered by Mr. Riju Jhunjhunwala as he is leading this project, so it's better that he answers it for you.

Sonali Salgaonkar: Sure. Riju, it would help if you could give us the year wise breakup of CAPEX at least for the Phase 1 of Rs. 10 billion which is set out for the next 3 years. Thank you.

Riju Jhunjhunwala: You asked about the overall market size. Let's say by 2025 according to all conservative estimates, the overall battery demand, the cell demand for India would be 50-gigawatt hour. This is what all the companies have signed up in the PLI schemes etc. also which would mean on a very pessimistic side annual graphite anode demand of 50,000 tons just for the domestic market. If you want to understand more in detail this means around 10 lakh EV cars or let's say 1 lakh buses. Our total size that we are putting up in phase one is 10,000 tons. You're talking about a market size very conservatively of 50,000 tons in Phase 1. Our total investment is around Rs. 1000 crores which includes working capital etc. This would be in stages between let's say March of 2023 to March of 2025, so spread

over 2 years and we hope to start commercial production latest by 1st April, 2025.

Sonali Salgaonkar: Could you help us understand the needle coke pricing trend right now? I mean if you are expecting the electrode pricing to be slightly under pressure, is it safe to assume that even needle coke could stabilize going forward?

Ravi Jhununwala: Needle coke has stabilized and there has not been any change in the price of needle coke. As I said availability is not an issue. Before you ask that question let me clarify. In our case the conversion costs being fairly low, our fixed costs are probably the lowest amongst all the graphite producers. The total cost of converting needle coke to finished electrode is not very

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significant. As we see especially America, America is still going very strong on steel. As Manish just responded to your question, America also happens to be our single largest location for exports after India. It doesn't take too much to keep the inventory of finished stock rather than keeping the inventory of needle coke per se. We have taken a very conscious decision that this is a small short blip in the market. We see this market turning around maybe in one quarter, maybe in two quarters. It doesn't tie up a lot of your money if you keep needle coke or you convert the needle coke into electrode. For any short term blip we don't want to take the risk of losing the market and losing the market share. That's the only reason we keep using at 90% even if we are not selling all that product.

Sonali Salgaonkar: Just one last question from my side probably a clarification of a number which you gave in your opening remarks; for the decarbonization trend you mentioned that 20 to 25 million tons of EAF capacity, greenfield capacity it's likely in the US, am I correct and by which year are we expecting?

Ravi Jhununwala: We gave some break-up about 6.5 is already starting in the next 3 to 4 months. We have the names, we have the locations, we have the capacities of each one of these about 25 million tons overall that I'm speaking about, so 6.5 to 7 million tons is starting in the next 3 to 4 months. By middle of 2023 or let's say by end of 2023, we expect another 10 to 12 million tons and the rest from early 2025 onwards. It doesn't take too long to put up an electric arc furnace, very much less compared to a blast furnace. This 20 to 25 is only America. It's only America because America produces more than 70% of its steel through electric arc furnace.

Moderator: The next question is from the line of Nikhil Saboo from SKP Securities.

Nikhil Saboo: Recently GrafTech has to close down their Mexico plant which was having an annual production capacity of 60,000 or representing 30% of the total GrafTech production. Plus, it is the only site which is also producing pinch which is being utilized all the GrafTech graphite electrode production. In the recent call they have highlighted that they are trying to mitigate this missed production by shifting it to either at St. Mary facility or at one of the European facilities but which will take some time. Plus, they have given the guidance of a lower Q4 and if the Mexico plant remains closed then they are saying that 50% of their sales volume will get impacted in H1 calendar '23. In such a scenario if the Mexico plant remains closed for at least for next 3-6 months, how do you foresee the graphite electrode supply shaping up?

Ravi Jhununwala: It is one of the three largest plants in the world. I mean ours if we call it the largest with 80,000 tons going to 100,000. There's another plant in US of Showa Denko which is 70,000 tons. This plant of GrafTech in Mexico is the third one with 60,000 tons. As you rightly said the nipples which is a very critical product with electrode, one electrode goes with one nipple. It's basic

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just 4% weight of the total electrode but without that nipple you can't join the next electrode.

Electrode being consumable every couple of hours, every 6 hours, 8 hours as you consume one electrode you keep adding one more piece of electrode and that is where you need the pins or

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nipples as you call. Typically, both these large companies who have more than one location for producing electrode. They have this tendency of concentrating their nipple production all at one place and then they air freight the nipples to their other locations to sell electrodes and nipples together. So, unfortunately, in this case Mexico is the location where 100% of nipples of GrafTech's entire 1,80,000 tons capacity were produced in Mexico. That is the plant where there have been problems for about 2 months now. Whatever we know, we only know from the public discourse and a lot of papers that they have disclosed in the public domain. Basically, we don't have any more information than what you have. But the fact is that this plant has been closed for 2 months. They have themselves said that they don't see an early resolution. They are themselves saying that in the current quarter which is the October-December quarter their sales will go down by about 25% to 30%. Going forward as their nipple inventory keeps coming down and down because they're not producing any more nipples and without the nipples, electrodes cannot be

sold, it cannot be used. Going forward if this problem continues for let's say the next even 6 months, then it is a problem. It is a problem for the whole industry then whatever tonnage is available with GraTech will get hampered and they have clearly said that in their recent reporting to the SEC.

Nikhil Saboo: Can we expect windfall volume coming up in first half of next financial year? Since we are already producing at around 90% utilization levels where our sales volume would be somewhere close to 65% -70%? Can we expect to liquidate our excess inventory if there's any windfall gain coming because of this?

Ravi Jhunjhunwala: We will be of course if a large part of GraTech sales comes down because of nipples then obviously everybody else, we are not the only ones whoever else is in the production of electrode that's the only option. We have already started seeing some movement there as Manish said America happens to be one of our largest export market and the Mexican plant was majorly supplying to US. GraTech doesn't have an operating facility for electrodes in US. So, most of the US sales were coming from Mexico, which is very close to them, which is close to, which is next door to US. We have already started seeing that kind of a movement. I mean the inquiries and the pace of negotiation and the new orders which are trickling in now. We are getting a feel that more and more demand is getting let's say distributed to the remaining two -three producers of electrodes.

Moderator: The next question is from the line of Bhavin from Enam Holdings.

Bhavin: First on the graphite anode, new project what you're planning. Can you give some economics on what kind of a product this NSR is, what's the raw material use, what kind of EBITDA margins this product can generate. What are the critical raw materials would be for, what would be the payback you are targeting for 1,000 crores, CAPEX you're planning for first 10,000 tons?

Riju Jhunjhunwala: On the CAPEX we spoke about 1,000 crores CAPEX. We're expecting a turnover to CAPEX ratio of approximately 1: 1 The raw material and that's why we have ventured into this particular HEG Limited

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segment is that the raw material that we use for our graphite electrode let's say the needle coke and the Indian coke that we use, it will be more or less the same for this particular venture as well. So, as raw material price would really kind of de

pend on the prices of that day. The selling price of course this is a highly value -added product which is not sold in tons, it is sold in kgs etc. You're looking at a much higher per unit realization of more than double of what you are currently seeing in our graphite electrode business. Basically, the processes are quite similar and that is why in terms of the technology etc. we feel confident that we will be able to do a good job of it and again the payback period etc. what you're looking at, if everything works out the way we are seeing it should be between 5 to 6 years.

Bhavin: Just one question here. Since you said that the NSR is almost double and more or less the processes, raw material is the same. Can we assume that this business will have much higher EBITDA margins than your current electrodes business and obviously

Riju Jhunjhunwala: Our electrodes business as you know well it fluctuates between year -and-year but if you take the current margins that we have in our electrode business the margins in the anode business should be significantly higher than that.

Bhavin: Other question is on the existing electrodes business. You mentioned some there is some 6.5 million, you mentioned starting in the US in next 4 or 5 months. If you have the list, can you name two -three players who are expanding this 6.5 million electric arc furnace in US and I think you said by middle of 2023 another 10 odd million. Can we get some large CAPEX which is happening in US so easy to track for us?

Ravi Jhunjhunwala: I can send it to you separately but you will find most of the known large steel companies in US led by Nucor. I'm sure you've heard of Nucor.

Bhavin: Yes, so Nucor US Steel and those are the most of the guys who are

Ravi Jhunjhunwala: No, US Steel is primarily blast furnace. Nucor is 100% electric arc furnace, then the second large producer of electric arc furnace steel in the US is a company called Gerdau originally a Brazilian company which was acquired by Americans, then there is a company called Steel Dynamics. There are several others. There are at least eight to ten large EAF steel producers in US who are adding these capacities. We can send you the details separately.

Bhavin: We are adding this capacity...

Manish Gulati : Because it is public information and if it really interests you, I can just take the names quickly.

One is the Steel Dynamics at Corpus, the second one is North Star at Bluescope, the third one is Nucor at Gallatin, fourth one is again a Nucor plant in Brandenburg and then there's a group called CMC that's in Arizona, there are two plants, One is ArcelorMittal, they're coming with HEG Limited

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the electric arc furnace, then there's an Algoma in Canada and U SG All this is public information and you can always ask us off line, we will provide you no problem at all.

Bhavin: These are the new capacities and they're not replacing the existing either electric arc furnace?

Manish Gulati : No these are the new electric arc furnaces. There are anyway very few blast furnaces in North America. As Chairman said, they already have 70% electric arc furnace share they have. The names which we are taking are for the newly announced EAF capacities.

Ravi Jhunjhunwala: The replacement is occurring more than. these are additional capacities. These are additional capacities.

Bhavin: The existing CAPEX I think what you're ongoing CAPEX from 80,000 to 1 lakh. If I remember this was a 1,200 crores CAPEX. If I see your CWIP looks like 853. I think another 400 crores is the pending number on this expansion which should be done by March?

Manish Gulati : 200 by March. Actually, there were another two shops which you are not taking in there, actually put together we have spent 1,000 crores. There were some two shops which were came before the expansion with they will also be of course a part of that same.

Bhavin:

Pending is 200 only now you are saying.

Manish Gulati : 200 crores yes.

Bhavin: And there are no other projects so the 200 and your running capacity would be 1 lakh probably by Feb -March?

Riju Jhunjhunwala: Yes.

Moderator: The next question is from the line of Amol Rao from Kitara Capital.

Amol Rao: I remember that we were talking about tying up for our power requirements especially now that we are going to be operating another 20,000 tons. We're talking to I think the Madhya Pradesh State Electricity Board for a good power purchase agreement on good terms. Is there some change in that plan, has that been done? Anything, any comments on that?

Ravi Jhunjhunwala: No, we're not getting any power from Himachal. We have our associate company which produces about 300 MW hydro in Himachal Pradesh but that is all sold in the power exchange on a daily basis. We don't get any power from Himachal. It's not practical in India to get power from Himachal to Madhya Pradesh. The transmission charges and everything is so high that it doesn't make sense. We are buying 100% from the Madhya Pradesh Electricity Board and more so 100% because in the last 12 months -18 months given the cost of coal and the issues related

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with carbon emissions of coal and all that. We have about 65 MW of captive coal generation at the same location as graphite so which is not operating for the last 2 -2.5 years now because we are able to get everything that we need from the electricity board which is much cheaper than producing your own power today.

Amol Rao: Will this arrangement also continue for the additional 20,000 tons?

Ravi Jhunjhunwala: Yes, we have that agreement.

Amol Rao: About the new CAPEX. This is going to be again at the Mandideep facility only that we operate currently?

Ravi Jhunjhunwala: You are talking of the graphite expansion?

Amol Rao: Yes, the anode...

Ravi Jhunjhunwala: No, anode is not coming in Mandideep. We are still to decide the location. We are weighing two or three options within Madhya Pradesh.

Amol Rao: So, within Madhya Pradesh itself?

Ravi Jhunjhunwala: It will be Madhya Pradesh but it has nothing to do with the existing graphite plant.

Moderator: The next question is from the line of Yash Dantewadia from Dante Equity.

Yash Dantewadia: Your existing capacity is 80,000 and you've added 20,000 more. By when do you see this 20,000 - capacity getting utilized by let's say 90% -95%. How much time do you think it will take you to reach there?

Ravi Jhunjhunwala: You see as I explained earlier there are six different processes into the production of electrodes. There are six shops or six processes which are being newly built for these 20,000 tons out of which four have already started. The fifth one is starting in the next 2 -3 weeks and the last one will start in early January. And the total cycle for producing electrodes is between 2 to 3 months, 2 to 4 months let's say. So, in the real sense the entire 20,000 tons will be available let's say from April -May. We'll start the sixth process, the last process in January but it will take us between 3 to 4 months for us to produce finished product out of this because the process itself is anywhere between 3 to 4 months.

Yash Dantewadia: And when do you see this reaching to your, what's your existing capacity utilization for your 80,000 capacity?

Ravi Jhunjhunwala: As Manish said I mean...

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Manish Gulati: We are running at 90s as we said in the beginning we are running at 92% -93%-94% level for all these quarters and continue to do so and same from this quarter onward is depressed.

Yash Dantewadia: This 20,000 that's coming up which will take another 6 months to get on full -fledged, how long do you think this will take to reach 90% capacity utilization?

Manish Gulati : It depends upon global con

ditions because steel is as soon as the steel production in the world gets back on track and we'll be soon seeing this capacity absorbed. But internally what we talk about between 1 to 2 years we should be able to within by 2023 end or 2024 we should be at that 90% level because the new demand of electrodes will come in, in the world with new electric arc furnaces so we expect to get back at the 90% level within 1 to 2 years. That is 2023 and 2024.

Moderator: The next question is from the line of Pratim Roy from B&K Securities.

Pratim Roy: Current year just you mentioned that you are working with the 90% capacity utilization so what is the volume number means how much you have sold in the market and what is your NSR if you can give some light on that? You did mention that 2Q and 1Q NSR is almost in line with (Inaudible) . So, I just want to articulate the number how much is the NSR currently?

Manish Gulati: See if I have heard you clearly as I didn't hear you clearly but I think what you are asking is how much we sold in this quarter of Q2. So, that is an early 70s and for the October to December that's probably be in mid -60s because we are already in the middle of November so we can see where we are going and for the next quarter, we now have started booking for Jan to March quarter so that remains to be seen what level we can achieve.

Pratim Roy: What is the current realization for the combined electrode that you are enjoying right now ?

Manish Gulati: I cannot give a specific figure on a price but it is very easy for you to calculate because all we do here is electrodes if you have the capacity utilization which I already said and we have the revenue and just have to divide it but don't let me do that for you.

Moderator: The next question is from the line of Sanjay Jain , an individual investor.

Sanjay Jain: I wanted to get little bit more sense on this graphite anode that the CAPEX that you have announced about 1,000 crores. Where are we getting this technology from and what could be the, could you give some little bit more on the process? Like want to get some sense on what kind of conversion cost would be and what parameters would be driving those conversion costs?

Riju Jhunjunwala: Technology wise today let's say 90% -95% of the entire anode production in the world is in China and process wise this comprises of four -five different processes like crushing, grinding, coating the raw material with pitch and then the main process in this is the graphitizing of the raw material in which basically where we see as HEG we have a 50 -year experience in the main HEG Limited

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process which is the graphitizing of the raw material. Technology wise we are pretty confident that a lot of technology is inbuilt in what we have within HEG. Some bit of technology we will be outsourcing from some European companies and Chinese companies and process itself like I said it's like you have five or six different processes in electrodes you have five or six different processes in this but the raw material for both the products is the same.

Sanjay Jain: I was asking about what kind of process is there in this making up of graphite anodes? You were explaining there are multiple processes including graphitization and then we lost the line.

Riju Jhunjunwala: That's what I was explaining that the four or five processes and one of the major processes is the graphitization in which the process is quite similar to what we have in the electrode space which is where our expertise comes in. Here the final product is basically crushed graphite powder which is very small in size and made according to the customers' requirements in different shapes or in different kind of qualities. Really in terms of the technology and processes we are very confident that we will be able to do a good job in this particular product and seeing the kind of dem

and that's going to be there in the next 10 years, the potential to keep adding capacity in second or third phases is tremendous.

Sanjay Jain: Another thing that I wanted to understand is what kind of yields are there , business like if you take what are the raw material like needle coke you mentioned and also talked about pitch so for making 1 kg of finished product what kind of, how much, quantities of raw material is needed?

Riju Jhunjunwala: You can talk about it. It's something very similar to graphite electrode which will be around 1.2 - 1.3 kgs for the finished raw material. 1.2 to 1.3 kgs of this thing raw material to the finished product. The raw material would be a mix of depending on quality, a mix of Indian coke and the imported coke that you have, needle coke. But the needle coke would be very limited in its application. Mostly our entire requirement should be met out of the Indian coke itself.

Sanjay Jain: You're saying that there is less requirement of needle coke, more requirement of Indian coke?

Riju Jhunjhunwala: Correct.

Sanjay Jain: Overall raw material cost could be actually lower per ton of finished product?

Riju Jhunjhunwala: Obviously the raw material cost as a percentage of selling price will be significantly lower but even on a per kg basis it should be overall lower because the raw material requirement is not what we have for our UHP electrodes. It's more or less what we have for the other electrodes that we have.

Sanjay Jain: Now since the raw material is cheaper on per ton basis then why is the price of the finished product twice as compared to graphite electrodes? Is there too much of processing cost involved in this or is it because of the lower throughput per amount of CAPEX that we are incurring?

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Riju Jhunjhunwala: It's a mix of all. It's a mix of demand supply, it's a mix of technology and obviously it's a mix of the lower throughput. If you're talking about a 1:1 capital to turnover ratio obviously we will need to have a very high EBITDA over here in order to be financially very viable. But even today what we are seeing in the last 5-7 years the selling prices are stable for this particular product and the processing cost is very similar to what we have for the graphite electrodes and going forward also this is not expected to come down drastically because of the simple fact that the requirement for anode powder is going to go up very substantially not just in India but across the world. That demand supply mismatch will always be there and then you have this 2-year lag time of putting up any new capacities.

Sanjay Jain: Basically, you're saying that raw material cost per ton of finished product will be lower, conversion cost would be similar?

Riju Jhunjhunwala: Correct.

Sanjay Jain: And I missed I think you mentioned in earlier discussion that what will be the tonnage out of this 1,000 crores CAPEX.

Riju Jhunjhunwala: We are talking about the 10,000 tons per year plant which would give us approximately a 1:1 capital I mean investment to turnover ratio. In the first phase we are going for 10,000 tons. In the second phase we'll add another line of 10,000 tons.

Moderator: Thank you.

Navin Agrawal : Thank you very much. As there are no further questions, I would like to hand over the conference to Mr. Riju Jhunjhunwala for the closing remarks. Over to you Riju.

Riju Jhunjhunwala: Manish, I think the closing remarks would be directed towards you, I guess.

Manish Gulati: Let me say friends thank you very much for attending our call. We remain very optimistic for our business electrodes and specially with the sun rise thing anodes coming up, we see a bright future for HEG not only in our bread-and-butter business of graphite electrode but also for this new product called anodes where we are positioning ourselves as a Green Energy company. We look forward to spe

aking to you after the next quarter results are out. Thank you so much and take care.

Navin Agrawal : Thank you Manish ji. Thank you Riju.

Moderator: Thank you. Ladies and gentleman, on behalf of SKP Securities Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

(no extractable text — likely a scanned image PDF)

Call: Jun 2023

HEG/SEC TT/202 3 5th June, 2023

BSE Limited
25th Floor, P J Towers
Dalal Street
MUMBAI - 400 001.
Scrip Code : 509631 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G Block, Bandra - Kurla Complex
Bandra (E), MUMBAI - 400 051.
Scrip Code : HEG

Sub: Transcript of Earnings Conference Call on Q4 & FY23 of HEG Limited

Dear Sir/Madam,

Please refer to our Earnings Conference Call scheduled on 1st June, 2023 intimated vide our letter dated 30th May, 2023. Please find enclosed the transcript of the said Earnings Conference Call.

The said transcript is also available under the Investors Section of the website of the Company i.e www.heg ltd.com .

This is for your kind information and records.

Thanking You,

Yours faithfully,
For HEG Limited

(Vivek Chaudhary)
Company Secretary
M.No. A -13263
heg.investor@lnjbhilwara.com

Encl: as above

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"HEG Limited Q4 FY'23 Earnings Conference Call "
June 01, 2023

MANAGEMENT : MR. RAVI JHUNJHUNWALA – CHAIRMAN , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER – HEG
LIMITED
MR. RIJU JHUNJHUNWALA – VICE CHAIRMAN – HEG
LIMITED
MR. MANISH GULATI – EXECUTIVE DIRECTOR – HEG
LIMITED
MR. GULSHAN KUMAR SAKHUJA – CHIEF FINANCIAL
OFFICER – HEG LIMITED

MODERATOR : MR. NAVIN AGARWAL – HEAD INSTITUTIONAL
EQUITIES – SKP SECURITIES LIMITED

HEG Limited
June 01, 2023

Moderator: Good day, ladies and gentlemen, and welcome to the HEG Limited Q4 and FY '23 Earnings Call organized by SKP Securities Limited. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the managements opening remarks. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agarwal, Head, Institutional Equities at SKP Securities Limited. Thank you, and over to you, sir.

Navin Agarwal: Good afternoon, ladies and gentlemen. It's my pleasure to welcome you on behalf of HEG Limited and SK P Securities to this financial results conference call with the leadership team at HEG Limited. We have with us Mr. Ravi Jhunjhunwala, Chairman, Managing Director and CEO and Mr. Riju Jhunjhunwala, Vice Chairman; along with their colleagues, Mr. Manish Gulati, Executive Director; and Mr. Gulshan Kumar Sakhuja, CFO.

We'll have the opening remarks from Mr. Jhunjhunwala, followed by a Q&A session. Over to you, Raviji.

Ravi Jhunjhunwala: Thank you, Navin. Friends, good afternoon, and welcome to our financial results conference call for the fourth quarter and full fiscal year '22, '23. As per World Steel Association recent report, the global steel industry is poised for a demand rebound this year with a projected growth rate of about 2.3% and going forward, in 2024, the industry is expected to sustain its growth trajectory with a forecast increase of 1.7%.

These projections indicate a positive outlook for the global steel market, signalling opportunities for continued development in the years to come. In the January-March quarter, global crude steel production reached about 462 million tons, representing 0.5% increase compared to the same period of last year. Among the top 10 steel producing countries, only 2, which is China and India, saw an increase of steel production in January -March over the same period last year. While China's production grew by 7.4%, India also increased by about 3%. On the other hand, other large steel producing countries like Japan, U.S., Russia, South Korea, Brazil, Turkey, all experienced a decline during this period. However, on a medium - to long -term basis, we see a big positive for our products as the entire world continues to focus on decarbonization and reduction of greenhouse gas emissions.

As per World Steel Association again, electric arc furnace share of steel production ex-China has gone up from 44% in 2015 to 49% in 2022, which is a substantial increase. Steel produced by electric arc furnace amidst one fourth carbon as compared to same steel produced by the blast furnaces.

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We have seen several announcements by large steel companies, especially in the U.S. and Western Europe, announcing new greenfield capacity for steel production only through electric arc furnace. Out of such announcements of about 25 million tons coming from U. S. alone, which already produces 70% of its steel through electric arc furnace. Out of this 25 million tons, 7 million tons has already come on stream and the balance 18 million tons would be operational in the next 2 years, adding to further electrode demand.

Similar electric arc furnace capacities have also been announced by steel companies in EU, replacing about 16 million tons capacities from blast furnace to electric arc furnace. All this augurs well for the graphite industry. This is a very encouraging sign, especially for us at HEG, as except ours, no new capacity when electrode industry have been announced by any existing graphite player. While we are more or less ready with our current expansion from 80,000 tons to 100,000 tons in the next couple

of weeks, trial runs are already at the final stage.

Out of 5 operations, which go into electrode making, 4 have been already operating for the past couple of months and the last one is more or less at the final stage of operation. And it's a matter of -- it's not a matter of months now, it's a matter of weeks. So it could be as early as next week, or at the most another 2, 3 weeks.

Similarly, China, which only produced 5% of its steel through electric arc furnace, still about 5 years ago is currently at a level of 12% and is aiming to reach 20% in the next few years. We believe electric arc furnace will grow at a CAGR of about 3% in the next decade, which would straight away translate into a substantial increase in electrode demand.

Though in the short-term, the outlook of the steel industry appears to be bearish, steel demand

is still being impacted by the fear of global recession, but the medium - to long -term growth path, especially for the electric arc furnace industry, to which we cater, is very clear.

In the current year, due to current geopolitical situation, steel production is likely to be stagnant, which might impact the demand of electrodes. However, we maintain a fairly strong and unwavering belief in the medium - to long -term growth potential of the electrode industry, particularly due to the ongoing and serious decarbonization efforts by major steel making countries in the Western world.

We at HEG have been operating the single largest plant under one roof in the world with a capacity of 80,000 tons for a long time now. And with our expansion of 100,000 tons, very soon going to be in operation, we are in a very good position to take advantage of all the growth in demand for electrodes, as I just spoke about. This expansion showcases our unwavering dedication to technological innovation, placing us at the forefront of the industry with some of the best and latest equipment and technologies we have put under one roof.

We look forward to the successful completion of this project and the enhanced capabilities, as well as cost quality and cost competitiveness, which it will bring to our operations. Our extensive global market reach, which we have diligently cultivated over the past 25 years enables us to export 2/3 of our production to more than 30, 35 countries.

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This long -standing presence in international markets further strengthens our confidence in HEG's ability to thrive and see opportunities in the electrode industry, which is waiting for us in the next 2, 3 years.

Now about our new subsidiary, TACC. Our new project for graphite anode is progressing well, and we are just about to start our pilot plant, which will facilitate trials, et cetera. The location has been decided. The land acquisition is under process, and we expect to complete the first phase of the project to make 10,000 tons of anode by mid -2025, exactly 2 years from now. In conclusion, the fourth quarter and full year fiscal '22, '23 have been satisfying for us. We have achieved strong financial results. Our capacity utilization has been amongst the highest in the world, driven by our commitment to innovation, customer satisfaction and operational efficiency. We remain confident in our ability to navigate challenges and seize opportunities to create long -term value for our shareholders.

With this, friends, I pass on the floor to our CFO, Gulshan, who will take us through the financial figures. Following that, our Vice Chairman, Riju; and Executive Director, Manish, and I will be delighted to address any queries and questions that you may have regarding electrodes and graphite anode. Thank you. Over to Gulshan.

Gulshan Kumar Sakhuja: Thank you, sir. Good afternoon, friends. I will now briefly take you through the company's operating and financial performance for the year ended 31st March 2023. For the year ended 31st March 2023,

HEG recorded revenue from operations of INR 2,467 crores as against INR 2,201 crores in the previous financial year.

The revenue for the fourth quarter of FY '23 was INR 617 crores as against INR 673 crores in the corresponding quarter of the previous FY . During the year ended 31st March 2023, the company delivered EBITDA of INR 729 crores as against INR 607 crores in the previous financial year. The company, on a stand -alone basis, recorded a net profit after tax of INR 456 crores in FY '23 as against INR 391 crores in the previous financial year. And on a consolidated basis, the net profit after tax is INR 532 crores in FY '23 as against INR 431 crores in FY 2022. The company's long -term debt free and had a previous size of nearly INR 1,000 crores as on 31 March 2023. The Board of Directors has recommended a 425% of final dividend that is INR 42.50 per equity share of the face value of INR 10 each for the financial year '22, '23, subject to the approval of shareholders at ensuing AGM. To take out more questions from the participants in the detailed presentation have been uploaded on the company's website and on the stock exchange.

Now we would like to address any questions or queries you have in your mind. Thank you. Over to Navin.

Moderator : The first question is from the line of Vipraw Srivastava from InCred Capital.

Vipraw Srivastava: Yes. So my question was regarding the EAF plans coming up in U.S. So based on the annual reports, currently U.S. contributes 10% to our sales. So can we expect that number to increase in coming years?

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Ravi Jhunjhunwala: You see, in the last 4 years, if you have followed our data, I mean, obviously, a lot of this data is not public. We have more or less increased our sales in U.S. by at least 2.5x to 3x. And we always had this in mind. As I said in my opening remarks, U.S. produces 70%, 72% of its total steel through electric arc furnace. And U.S. is the single largest producer of electric arc furnace steel. And obviously, thereby the single largest consumer of electrode. So we have been focusing on U.S. for a long time. And as I said, our -- we've increased our sales substantially in the last 3, 4 years.

Vipraw Srivastava: Got it. Got it. My second question was regarding the anode capex which HEG is doing. So currently, there are many companies in U.S., which are working on silicon anode batteries, which are completely free of graphite. So does that pose a substantial risk to our business because of that and some companies are also commercializing it. So if that happens, actually, it will be a big risk. So what are your views on that?

Ravi Jhunjhunwala: Riju, will you take that question?

Riju Jhunjhunwala: Yes. Can you repeat the question again, what exactly it was, please.

Vipraw Srivastava: So what I was saying was that there are companies in U.S., which are working on silicon anode batteries. So basically, these anodes are completely free of graphite and entirely made of silicon.

So if that happens and commercialization occurs then that will pose a substantial business risk to our capex, right, which you are doing. So any views on that?

Riju Jhunjhunwala: So basically, I mean, what you are saying is partially correct. There is absolutely no company, I believe, today, which is working on 100% silicon as a replacement for anode.

Vipraw Srivastava: [inaudible 0:13:56] technologies, they have also commercialized it.

Riju Jhunjhunwala: So there are a lot of projects happening. But still, I think for the next 10 to 15 years, graphite anode will be the primary listing driver for the anode part in terms of any lithium-ion battery.

And we are targeting really 4 business segments. So EV is only one business segment that we are targeting for the lithium-ion battery.

The second, which will require more amount of graphite per ton is the ESS space, the energy storage

space, over there, again, the standardized graphite use is there for the anode side. And the third also, which is going to be a big business potential for our new subsidiary is the green hydrogen business.

Wherever there is an electrolyzer in green hydrogen business, you need this bipolar plates, which are made out of anode powder itself. So as far as the market goes, as far as the cell manufacturing goes, there is absolutely huge capacity and people today are talking about 25%, 10% mixing of silicon. All these technologies are evolving, but the basic technology will remain the graphite is an integral part of the anode side and in all the 4 business segments.

So really capacity-wise, if you ask then looking at 10,000 tons is just a conservative start, we can really go up to a much bigger level. Specially, if we have all the support that we need today as subsidies from the state government and from the central government.

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Vipraw Srivastava: Right. Got it. And one final question from the graphite business. So Graftech did their con call and in there, they told that they were facing issues as far as U.S. steel companies are concerned related to inventory. So they are -- U.S. steel companies are having very high inventories. So what is HEG's assessment on ground? Do we expect that to improve in coming quarters? Or will it sustain? So any views on that?

Ravi Jhunjhunwala: No, I would not like to comment on what my competitor has said, but as I said, we have been focusing on U.S. for a very long time and our sales have been increasing year after year, and they have gone up by like 2.5x, 3x in the last 5 years, and we continue to expand our sales.

Moderator: The next question is from the line of Bajrang Bafna from Sunidhi Securities.

Bajrang Bafna: Just, sir, if you could make us understand that during the -- before the COVID, China announced that they will enter aggressively into conversion of blast furnaces into electric arc furnace and the progression was pretty slow and a lot of electrodes capacity that has come up in China even before EAF capacities getting materialize. So in last 2 years, we are also seeing a lot of dumping that is coming from China in the global market.

So what is your sense when you are saying that they will progressively grow from 11%, 12% to almost 20% over the next few years, which they have already guided. So how do you see the scenario from China side in terms of electrodes that they are dumping in the world market, whether they had slowed or when do you expect that? They'll progressively focus on their domestic market rather than the export market per se. So that will be really helpful for us to understand.

Ravi Jhunjhunwala: Okay. There are 2, 3 things I'd like to explain here. See, if you remember 2017, '18, when suddenly the export -- suddenly, the world market for electrode became absolutely crazy and the demand and everything suddenly boomed. It was on the basis that the Chinese government had

announced their intention that the electric arc furnace capacity was only 5% and they said they would like to increase it to 20% in 5 years.

And to put it into perspective, China produces close to 53%, 54% of the total world steel. So that part of the world, which produced 53%, 54% of the total world steel was only producing 5% through electric arc furnace and everybody else except China, which produced 47% of the world steel was doing about 43%, 44%, 45% through electric arc furnace.

So putting that into perspective, the demand for electrodes in China is going to boom. The 5% has already become 12% in 3, 4 years' time, which is already 2.5x of what they were doing only 5 years ago. And from 12% now, they are still on the path to go to 20%, so a couple of things happened.

So as soon as those announcements were made, the existing graphite companies in China obviously had to increase capacity.

y. They were seeing an increase in electrode demand of 4x

from 5% to 20%. And at the same time, that 5% to 20%, I mean, it was a very, very difficult thing to achieve in just 4, 5 years. So it is at 12%. But that continuously grows year after year because China is also part of the world. And China is also seeing the advantages of decarbonization and that is where the electric arc furnaces came in.

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Secondly, on the technology side, while we do compete with China on about 25% , [30% 0:20:29] of our production, which is the non -UHP, but on the balance, 65%, 70%, which is ultra -high power, we are still far ahead of China as far as the quality is concerned. So -- and that will continue for a long time. The gap between the Chinese quality and our quality, the technology that the rest of the world has and -- which China doesn't have will continue for quite a long time. So we don't see any problem at all. And just again, to repeat what I just said in my opening remarks, we have not seen the kind of growth in the last 30, 40 years in the capacities of electric arc furnace. At least, I have not seen in last 35, 40 years, new capacities to the tune of 40 million, 50 million tons being added on the electric arc furnace.

And again, to put into perspective , a very simple thumb rule for 1 million tons of new electric arc furnace, you need about \$1 billion of investment. So there -- if we are talking about 50 million tons, 55 million tons, which have already been announced between Europe and America, all in the last about 12 to 18 months. So we are talking about \$50 billion to \$55 billion of investment, which even America and Europe have not seen in this sector for a very long time. And so in that context, our expansion, which is now more or less on stream, it's a matter of another week, 10 days, 2 weeks, is very timely. We may have to struggle for the next 6 months, may have to struggle for the next 12 months, maybe 15 months, but except us, there is no new capacities which have been announced. And we have increased our capacity of the plant from 10,000 tons to 100,000 tons in the matter of last 20, 25 years. And we have done it 3, 4 times in the past 20 years.

So with all the knowledge and all the information about which equipment to purchase, which is the best supplier for that, any brown field expansion will take minimum 2.5 to 3 years to anybody. The equipment suppliers take 2 years to deliver equipment. So even if somebody was to announce even if there is a new -- even if there's an existing company, which announces an expansion at their existing site, we will take at least 2.5 to 3 years to build that. And we are very bullish because of whatever I just said.

So our expansion is extremely timely, and we are in a great position to take advantage of whatever new demand is occurring. And 7 million, 8 million tons of new electric arc furnace has already been established in America? And I just said, in the next 2 years, this 7 million is going to become 20 million to 25 million tons. So there is a new -- if there are new capacities to the tune of 20 million, 25 million tons of electric arc furnace, it easily translates into an additional demand of about 40,000 tons. Our expansion is only 20,000 tons.

Bajrang Bafna: Got it. That was very insightful, sir. And sir, if my understanding is right, of late, we have seen good correction in the needle coke prices as well from roughly \$2,300 to \$1,800. How it is going to impact our margins broadly say, in next maybe 2 or 3 quarters per se. If you could guide us, it will be helpful.

Ravi Jhunjhunwala: As electrode industry is linked to electric arc furnace. Needle coke industry is directly related to graphite industry. So just like as I said, if the electric arc furnace increases its capacity, the demand of electrode grows. Exactly the same thing if graphite electrode industry does well and

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the demand for electrode increases, the needle coke demand increases. So it's a matter of -- we are very directly connected.

So -- and we saw 4 years ago when the electrode prices went crazy, obviously, the needle coke prices also went crazy. So it's a relationship of supplier and customers. For them, graphite industry is as important as for us, electric arc furnace is. So obviously, the electrode industry does extremely well and the prices start going up, it is obvious that needle coke prices will also keep going up.

Bajrang Bafna: But sir, needle coke has also got some connection to do with this EV also, not those lithium-ion batteries and all?

Ravi Jhunjhunwala: Not much. Yes, it is. I mean part of that is what you're saying is absolutely right. But like -- I mean, to tell you in a different way, I mean, for us, needle coke is a lifeline. If we don't have needle coke, we can't produce electrode, ultra-high-power electrode. But it's not the case in battery. So it is not a lifeline for them.

They may use needle coke if it is available at a particular price. But if the needle coke is not available at a particular price, they have several other options. So needle coke is one of the many raw materials, which they have an option. Whereas for us, we have no option. If we don't have needle coke, we don't have electrode.

Bajrang Bafna: So for us, sir, if I understand it right, the volume growth that is the one thing which you are anyway ascribing that is going to go up, the utilization levels are going to go up because of the additional demand which is going to be created globally. That's one. And second is this spread that you maintain between electrodes and this needle coke. So recently, we have seen the needle coke prices have corrected. Will that have some impact on our margins immediately, maybe coming into this quarter, maybe next quarter?

Ravi Jhunjhunwala: No, you see, as I said, it's very, very directly connected. If the electrode prices drop, the needle coke prices will also drop. So when it comes to margin, I mean, the margin gets corrected because of a reduction or increase in the needle coke price. And we saw this very much in 2018, '17 when the electrode prices went up by very crazy numbers, needle coke prices also went up in a similar manner, but the margin for electrodes, in fact, went up, it didn't go down.

Moderator: The next question is from the line of Bhavik Shah from MK Ventures.

Bhavik Shah: What has been the capacity utilization in the last quarter in FY '23?

Ravi Jhunjhunwala: Manish, will you take the operational questions.

Manish Gulati: Last quarter, it is about -- I mean, in high 70s, above mid-70s, I would say. That has been the capacity utilization.

Bhavik Shah: Okay. So with the new capacity coming in, what can we -- what will be like our capacity utilization going ahead in FY '24? Will we be able to absorb the -- like the market will be able

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to absorb the excess supply? Or will we see any margin contraction because of the excess supply?

Manish Gulati: No. I mean, Bhavik, of course, when we add capacity, I mean, right now, of course, this first quarter has almost gone in April, May, June. So in the next few weeks, when it's -- ready, so we'll start counting calling ourselves a 100,000 tons plant from, let's say, maybe July onwards. So capacity utilization for the whole year, now we are aiming or we anticipate the traditional demand to come in towards the later half of the year. That's what everybody thinks that 2024 we should see the return of demand.

But we internally think that in this year, if we count ourselves at 100,000 tons, let's say, for the whole year, we should be maybe around 7% or something. It's just our internal thing. That's our aim because we expect the market to -- the demand to come back towards the late

half of the

year or late last quarter, January to March '24.

Bhavik Shah: And sir, are we planning to be aggressive for the excess capacity or we'll try to maintain our margins going ahead?

Manish Gulati: I mean, of course, we are not going to go to that level that I mean, we just get more margins, of course. Our effort will be for both in a balanced way that we have time for market to absorb the tonnage and at the same time, taking care of the margins as well, and we're not going aggressive either ways.

So it just is very balance because market would need some time for the additional capacity to get absorbed. And we have not be very hasty about it. That's about 100,000 tons. So we are not aiming to sell all of that 100,000 tons. We'd rather go gradually, slowly and wait for the demand to rise and then the capacity to get naturally absorbed.

Bhavik Shah: Right, right. And sir, regarding the new capex which has been announced in anodes, what kind

of technology collaboration or expertise will we need? And will it be in-house or are we looking at some partnerships?

Manish Gulati : I will have our Vice Chairman answer this.

Riju Jhunjhunwala: Most of the technology is to be standard and the most important technology as far as this is concerned, which is graphitizing the product, that is something that is only like HEG and some other companies present in the graphite electrode space can have, because that particular thing of graphitizing anode is probably more complicated than graphitizing our graphite electrode itself. So that -- I mean, with our rich experience of the last 40 years in that particular segment, we have a huge competitive advantage as far as that particular side of the technology is concerned.

The rest of the technology is pretty standard, and we are trying to match the kind of best in the world along with the best in cost. So it will be a mixed hybrid. It would not be like one EPC contract. It will be a hybrid mix of Indian machinery, some Chinese machinery, some European ones, and then the Acheson furnaces, which we will develop ourselves in India with HEG profile inside this.

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Bhavik Shah: Okay. And so what kind of revenue and margins are we expecting from the anode business.

Riju Jhunjhunwala: So I mean, I can't really talk about the revenue and margin, but let's say, 10,000 ton plant even at an average of around \$9,000 to \$10,000 per ton should be your revenue. And the margin is really 2 years down the line, what they will be, what they won't be, given whatever the raw material prices is, competition is, demand is everything. So we have assumed a reasonable at least a 25% operating margin in this particular business.

Bhavik Shah: Okay, sir. What has been the sense in the 2 months regarding the price of graphite electrodes and needle coke? Like how has been they moving? And how do you see them in the next quarter?

Manish Gulati : Price is under pressure, which is very natural for it to be in this year of 2023. There are some marginal correction in needle coke prices also and electrode. So going forward, since needle coke contracts are being done still quarter-by-quarter and electrodes are also being booked still, let's say, quarter-by-quarter or maximum 6 months, we hope, and we expect maybe needle coke suppliers should do some more correction. They have already corrected a bit, but more is expected from them.

Moderator : Our next question is the follow-up question from the line of Vipraw Srivastava from InCred Capital.

Vipraw Srivastava: Yes. So what I wanted to know is that as far as the European market is concerned, so what is like I just wanted a ballpark figure, how much the Europe contributed to our volume -- sales volume?

Manish Gulati: As a total of furnace sales, it will be between let's say, about 9% to 10% or something.

Vipraw Srivastava: Right. And there was some

issue in previous quarters regarding Turkey. They were facing some volume issues. So anything on that line or how is it faring right now?

Manish Gulati: It's definitely better than the past quarters because Turkey is one country where they are very flexible of steel making, they are quick to reduce, they are quick to come. So we are seeing some positive signs and rise in production in Turkey also.

Vipraw Srivastava: Okay. And one last question. So as far as the [inaudible 0:34:54] contracts are concerned, so there was a time when we were signing 6-month contracts. So like how is the situation now? Is it 6 months, is it 3 months? So how is it now?

Manish Gulati: It continues to be 3 months still.

Navin Agarwal: Aman, I guess no more questions. Thank you very much that was the last question in queue. As there are no further questions, I would now like to hand over the conference to Mr. Manish Gulati for closing remarks. Thank you, and over to you, Manishji.

Manish Gulati: Friends, thanks for listening to our call and thanks for attending the call. And we are very optimistic about our industry. There is no doubt about it. We can see things happening on the ground. We are seeing new and new electric arc furnaces coming up, and we are very positive about HEG being a 100,000-ton plant at one location. This is one of the most cost-competitive

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plants in the world. So we hope that from 2024 onwards, you'll see a rebound in demand, and we'll be very much ready for that. Thank you so much, and we look forward to seeing you again.

Navin Agarwal: Thank you, Raviji. Thank you Riju. Thank you Manishji. Thank you, Gulshan. On behalf of SKP Securities, that concludes the conference. Thank you for joining us, ladies and gentlemen.

You may now disconnect your lines. Thank you, and have a nice day.
Moderator : Thank you.

Call: Aug 2023

HEG/SEC TT/2023 21st August, 2023

BSE Limited
25th Floor, P J Towers
Dalal Street
MUMBAI - 400 001.
Scrip Code : 509631 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G Block, Bandra - Kurla Complex
Bandra (E), MUMBAI - 400 051.
Scrip Code : HEG

Sub: Transcript of Earnings Conference Call on Q1 FY24 of HEG Limited

Dear Sir/Madam,

Please refer to our Earnings Conference Call scheduled on 18th August, 2023 intimated vide our letter dated 14th August, 2023. Please find enclosed the transcript of the said Earnings Conference Call.

The said transcript is also available under the Investors Section of the website of the Company i.e www.hegltd.com.

This is for your kind information and records.

Thanking You,

Yours faithfully,
For HEG Limited

(Vivek Chaudhary)
Company Secretary
M.No. A -13263
heg.investor@lnjbhilwara.com

Encl: as above

Page 1 of 12

"HEG Limited
Q1 FY2024 Earnings Conference Call "

August 18 , 2023

ANALYST : MR. NAVIN AGRAWAL – HEAD INSTITUTIONAL
SECURITIES - SKP SECURITIES LIMITED

MANAGEMENT : MR. RAVI JHUNJHUNWALA – CHAIRMAN , MANAGING
DIRECTOR & CHIEF EXECUTIVE OFFICER – HEG
LIMITED

MR. RIJU JHUNJHUNWALA – VICE CHAIRMAN – HEG
LIMITED
MR. MANISH GULATI – EXECUTIVE DIRECTOR – HEG
LIMITED
MR. OM PRAKASH AJMERA – GROUP CHIEF FINANCIAL
OFFICER – HEG LIMITED
MR. GULSHAN KUMAR SAKHUJA – CHIEF FINANCIAL
OFFICER – HEG LIMITED
HEG Limited
August 18, 2023

Page 2 of 12 Moderator: Good day ladies and gentlemen . Welcome to the HEG Limited 's Q1 FY2024 Earnings Conference Call organized by SKP Securities Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the management's opening remarks . Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded. I now ha nd the conference over to Mr. Navin Agrawal , Head Institutional Equities at SKP Securities Limited . Thank you and over to you Sir!

Navin Agrawal : Good afternoon ladies and gentlemen. It is my pleasure to welcome you on behalf of HEG Limited and SKP Securities to this financial results conference call with the leadership team at HEG Limited. We have with us Mr. Ravi Jhunjunwala – Chairman, Managing Director and CEO and Mr. Riju Jhunjunwala – Vice Chairman along with their collea gues Mr. Manish Gulati – Executive Director, Mr. Om Prakash Ajmera Group CFO and Mr. Gulshan Kumar Sakhuja CFO . We will have the opening remarks from Mr. Jhunjunwala followed by Q&A session. Thank you and over to you Ravi Ji!

Ravi Jhunjunwala : Thank you N avin. Friends g ood afternoon and welcome to our financial results conference calls for Q1 FY2023-2024 . As per World Steel Association 's data steel production in the first six months of the calendar year 2023 that was January -June was lowered by about 4% at 408 million tonnes as against 425 million tonnes in the first half of 2022 and it is expected to remain subdued in the rest of the next six months as well. However, World Steel Association 's outlook projects that steel demand would rebound in the next few quarters and is likely to increase by about 4% in 2024. It has been known for quite some time that steel industry alone accounts for about 7% of the global carbon emissions in the world and it also accounts for about 23% of industrial carbon emissions. The western world especially the US and the Western Europe are making serious efforts to decarbonize the steel industry in the near future. Steel produced through blast furnace emits about four times more carbon from the same st eel produce d through electric arc f

urnace. In this backdrop, the western world 's steel production through electric arc furnace minus China it used to be about 44% in 2015 has now a lready rea ched about 50% in 2022 going up by about 78 million tonnes from 357 million in 2015 to 435 milli on tonne s in 2022. Several steel bodies in the world expect electric arc furnace production minus China to further increase by about 100 million tonne s by 203 0 taking the electric arc furnace production from its current level of 435 million tonne s to 535 m illion tonne s which means an additional demand of graphite electrode to the extent of anywhere in the region of 160 to 190000 tonne s. Similarly OECD to expect new capacities of US minus China of about 53 million tonne s to be operational by 2026 and another about 45 million tonne s by conversions of blast furnace s into electric arc

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Page 3 of 12 furnace s by 2030. So, this again matches with the WS A figure of about 100 million tonne s of new electric ar c furnaces coming into operation in the next 6 -7 years. This would mean a substantial increase in demand of our products all over the world and since we have been exporting about two thirds of our production to some 30 plus countries for a very long time, we are well set to meet this demand from HEG . We are closely tracking abo ut 60 million tonne s of new electric arc furnace capacit ies between Europe and US of which about 7 million tonne s have already started and another 18 million tonne s are likely to be in operation in the next two years and the rest between 2026 and 2029 -2030 . In this backdrop our timely decision to expand our capacity by about 20000 tonnes per annum is likely to yield good results. While we remain solidly upbeat about the continued growth of electric arc furnace steel production in the coming decade resulting into a continuous rise in electr ode demand at present we are seeing a period of subdued steel production in the world over due to several global factors, which all of us are aware , which is likely to continue through the end of 2023 resulting into subdued demand for our prod ucts for the next few quarters.

Now turning to China, China which only produces about 5% of its steel through electric arc furnace say about five years ago is currently at the level of 12% and is aiming to reach 20% by 2025. We believe electric arc furnace will grow at a CAGR of about 3 to 3.5% in the next decade, which will directly translate into a substantial increase in graphite electrode demand. All this sounds very exciting for us at HEG as no new capacities in the electrode industry have been announced by any other graphite company in the western world. Now a word about our expansion, production of graphite electrodes as you know is a long process which entails five different processes. Four of these are already in operations for the last few months and the last one is under trial and is likely to go on stream fairly soon. In our expansion we have used some of the best and most modern equipments and technologies which we believe will take us to the next level of enhanced capabilities in terms of quality as well as cost competitiveness. We at HEG had been operating the world's largest plant under one roof with a capacity of 80000 tonnes for a long time and with our expansion to 100000 tonnes very soon going to be operational we are in a strong position to take advantage of the growth in demand of our products. Now a couple of words about our new subsidiary TACC. Our new project of graphite anode is progressing well and we have started our pilot plant which will facilitate trials. The land acquisition for this project is already achieved and we expect to complete the first phase of the project to make about 10 000 tones of anode by mid 2025.

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Page 4 of 12 Friends in conclusion our Q1 2023-2024

has been pretty satisfactory given the very tough market conditions. The next two, three quarters may see margins coming under some pressure, but we are fully confident of the demands coming back from 2024 onwards and we will take full advantage of our expanded capacity and competitive costs. We have all the technological capabilities, operational efficiencies, and market reach to take our company forward and to succeed and thrive in all emerging situations to create long-term value for our shareholders. With these words I will now pass the floor to our CFO, Gulshan who will take us through the financial figures following that Riju, our Vice Chairman; Manish, our Executive Director and Gulshan will all be very delighted to address any queries you may have regarding electrodes and graphite anodes. Thanks and over to Gulshan!

Gulshan Sakhuja: Thank you Sir! Good afternoon friends. I will now briefly take you through the company's operating and financial performance for the quarter ended June 30, 2023. For the quarter ended June 30, 2023 HEG recorded revenue from operations of Rs.671 Crores as against 722 Crores in a corresponding quarter of the previous financial year. During the quarter ended June 30, 2023 the company delivered EBITDA of Rs.178 Crores as against 205 Crores in the corresponding quarter of the previous year. The company on a standalone basis recorded a net profit after tax of Rs.98 Crores in Q1 FY 2024 as against 134 Crores in the corresponding quarter of the previous year and on a consolidated basis the net profit after tax is Rs. 139 Crores in Q1 FY 2024 as against 159 Crores in the corresponding quarter of the previous FY. The company is long term debt free and had a treasury size of nearly 980 Crores as on June 30, 2023. Now to take out more questions from the participants the detailed presentation has been uploaded on the company's website and on the stock exchange. Now we would like to address any questions or queries you have in your mind. Thank you. Over to Navin!

Moderator: Thank you very much Sir. We will now begin the question and answer session. The first question is from the line of Amol Rao from Kitara Capital. Please go ahead.

Amol Rao: Good afternoon Sir. Sir just a clarification I thought you were expecting to commission our capacity at the end of June a slight delay understandable but what is the technicality to which the delay is happening?

Ravi Jhunjhunwala: See as I said out of five operations four have been in operations so we are getting the additional tonnages from those four but obviously if the fifth one is not yet commissioned to that extent I can not say that we can produce 100000 tonnes as of today but it has been a very small breakdown of a very small piece which is being replaced and it is coming from Bengaluru and it is a matter of another maximum three to four weeks and by end of next month we should be in business.

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Page 5 of 12 Amol Rao: I guess there is no harm or foul because anyway the markets are a little sluggish so no hurry to commence?

Ravi Jhunjhunwala: Exactly.

Amol Rao: Sir one more question this is more on the business practice so I realized that we were sitting on something like around 800 Crores of inventory last quarter when we spoke and the

business vision is completely fine what is the call here on, do we see that demand still intact for which we had stocked up our finished goods inventory or has it been a slight change in timelines for that, if it is by how much it is?

Manish Gulati : See about inventories normally in our business we may take one to one-and-a-half months this is now two-and-a-half months so we do not see any big issue in liquidating that whether looking at the impending opportunity we want to have this in our hands so that when the market starts picking up we will have some additional products

to sell in the market. So that

inventory is not something like an unmanageable type of thing as I said from 1 to 1.5% of normal inventory it is 2.5 it is just 1% requirement.

Amol Rao : So basically the outlook remains the same as last quarter that we want to be stocked with finished good material whenever the demand materialize and the market is short is that correct so that understanding remains intact, right?

Manish Gulati : Absolutely because you see in our process electrode takes 45 days to make and the connecting pin which we call nipple takes five months so it always happens whenever there is a downside the market picks up they are very indigenous we are trying to make that product, so we are keeping that additional inventory knowingly consciously waiting for the market to turnaround.

Amol Rao : Fair enough Sir and I am sorry I know I am supposed to ask only two questions, but one more question on the spread our needle coke as per your analysis that needle coke and graphite electrode spread that we usually look at on a rolling three month, six month, 12 month basis, six months usually for us is that still more or less intact or has there been some contractions?

Manish Gulati : If I were to sell electrode today at the price which we are getting orders and the needle coke also bought today we can say the spread is intact but when the price is coming down for both electrode and needle coke, needle coke takes longer to absorb it takes longer to their price to take effect just because of inventories and our processing cycle so that way I would say that the spread is under pressure because not too much but yes it is under marginal

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Page 6 of 12 pressure because electrode price as we book quarter-by-quarter when they fall needle coke funds to catch up with that.

Amol Rao : Correct Sir. Thank you Sir. Thank you for that clarification. Wish you all the best Sir.

Moderator : Thank you. The next question is from the line of Pranay Khandelwal from Alpha Invesco. Please go ahead.

Pranay Khandelwal : Hi thank you for the opportunity. Fairly new to the company. I wanted to understand demand supply scenario right now of needle coke as it is a critical raw material for our operation so pricing, demand, and supply of petroleum needle coke?

Manish Gulati : If you have been tracking our peer group nobody is running at full capacity for some reason 45-50 globally so there is abundant availability of needle coke as of now what we expect from our needle coke suppliers is to help us to get better pricing so that we are able to go through this time with decent spread. So as per your question was for availability today it is in abundant.

Pranay Khandelwal : Can you just give me the number if possible, just the industry supply ex of China and from China of needle coke?

Manish Gulati : That is fairly standard. Actually their capacities have not changed for many years. It is about I would say 650000 should be a close number of their capacities ex of China.

Pranay Khandelwal : 650 from rest of the world.

Manish Gulati : Yes.

Pranay Khandelwal : From China how much is that?

Manish Gulati : China has lot kind of coke, pitch coke, petroleum coke and several quota-based coke so that I cannot comment, but this must be a large number.

Ravi Jhunjhunwala : Just to add here we hardly import from China. It is not the same quality which you get from Japan or US. In our case in this business there are only three, four producers of needle coke, the quality producers and these are all based out of Europe, US, and Japan.

Pranay Khandelwal : Do we have any information of any new suppliers that are currently coming up in Japan or US?

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Page 7 of 12 Ravi Jhunjhunwala : I think the last new entrant in this business in the western world probably is about 70-75 years old, so in

the last 60, 70-75 years I do not think there has been a new entrant anywhere in the world.

Pranay Khandelwal : Apart from this new entrant any capacity expansion from the existing players ?

Ravi Jhunjhunwala : They keep adding a little bit here and there , for them it is one of the byproducts so depending upon the demand they keep increasing or decreasing and replaces it by something else so it is part of a refinery process.

Pranay Khandelwal : I believe we must source it on contracts so what is your average tenure ?

Ravi Jhunjhunwala : It again depends on the market these days it is quarterly. It basically has to match with our selling cycle. Obviously if our selling cycle in current market conditions is quarterly we cannot buy coke for six months or nine months. We do not know the price of electrode after three months so it is not practical to buy coke for more than three months.

Pranay Khandelwal : Do we have any sense of the capacity utilization they might have in petroleum coke ?

Ravi Jhunjhunwala : As I said it is exactly connected to the graphite industry so if we are at 60 -70% they will ideally be 60-70%.

Pranay Khandelwal : Does that affect our contracts in anyway like if the capacity utilization is lower, higher; is there any restructuring in our contracts?

Manish Gulati : No, not at all, actually you see as the Chairman said since the big players all working at around 60%, the needle coke supplier also have to align with that. They cannot be producing and adding to their inventory so they are also at a level of 60% but still we are negotiating with them or concluding contract quarter -by-quarter so there is no change in that such related to capacity utilization.

Ravi Jhunjhunwala : Just to clarify in simple words there are only 5 -6 players in the graphite industry , there are only four or five players in the needle coke industry so everything works in tandem, it is not a commodity where there are hundreds of customers or there are hundreds of suppliers everybody works in tandem with each other.

Pranay Khandelwal : Alright . That will be all . Thank you.

Moderator : Thank you. The next question is from the line of Abdulkadir Raja from Ratnabali . Please go ahead.

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Page 8 of 12 Abdulkadir Raja : Yes good afternoon Sir. Thank you for the opportunity. Sir just two questions , first one, was there any inventory loss in this quarter and my second question is if you could just please repeat like what is the current status on the graphite anode project and like are there any other technology partners with us?

Manish Gulati : Not at all. You have seen our results, pretty good result. There is no inventory loss. Our pricing is higher than the cost of goods sold , so there was no question of taking any inventory loss in this Q1 or even Q2.

Abdulkadir Raja : Sir like wanted to know the current status on our anode project and like are there any technology partners with us ?

Riju Jhunjhunwala : No, we are more or less selected all the machines that we will be importing and ..(inaudible) so there is not one technology partner because we are actually sourcing the machines from four or five different companies and these are large companies in China and the current status is that we got the land with us. It was 100 acres of land in one area and we have now applied for all the clearances like environment clearance, etc., and right now we are still quite hopeful of being on target of around Q1 2025.

Abdulkadir Raja : That is great. Thank you so much Sir. I will come back in the queue.

Moderator : Thank you. We have the next question from the line of Ajit from Nirzar Securities LLP .. Please go ahead.

Ajit: Thank you so much Sir. Sir I just have two questions. The first one is what is our strategic development towards energy storage solutions in medium to long terms and the second

and

question is what is our approximate replacement cost of our assets that is it?

Ravi Jhunjhunwala : Replacement cost of ?

Ajit: Of the assets.

Ravi Jhunjhunwala : You mean the current capacity of about 100000 tonnes?

Ajit: Yes.

Ravi Jhunjhunwala : I can give you very, very, rough estimate because if you have been tracking our industry you will probably know that ours is the last new Greenfield plant put anywhere in the world minus China and we have been expanding from 10000 tonnes to 1 00000 tonnes so only based on that experience and our last experience is about 20000 tonnes where we have spent

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Page 9 of 12 about 1200 Crores, so if you just multiply it by maybe five or six, so probably anywhere between 6 to 8000 Crores that will be very, very rough but again it is not going to be as accurate because ours was a Brownfield expansion and the new Greenfield plant is a total kettle of fish and I am not even sure that anybody will put up 100000 tonne plant to start

with it is a fairly complicated technology and I am sure nobody is going to take a risk of putting up a 100000 tonne plant so maybe the smallest plant viable will be like 30 -40,000 tonnes and probably it will cost somewhere in the region of 5000 to 6000 Crores.

Ajit: The first question which was towards energy storage solutions like water and strategies and is there any development in that medium to long term?

Riju Jhunjhunwala : HEG is not participating in the energy storage solutions that we are doing from our different companies Bhilwara Energy in which HEG has 49 % stake and there the things are going fairly as per target . We are actually working on four different projects totalling around 120 Crores which would close by the end of this financial year and as we are seeing more and more traction in that we are on track to be around 400 Crores of projects in this particular year.

Ajit: Sir why this question was that in our annual report there is one slide about powering the immobility drives so in that leveraging our expertise in graphite technology and all these things so just for that reason I was asking the question so any development in this ?

Riju Jhunjhunwala : So within HEG we are not doing anything on energy storage because over here we already have our energy coming from the state government, but outside of HEG yes we are working on different projects on energy storage .

Manish Gulati : In our annual report the page which you are referring to powering the e-mobility drive that is for our new subsidiary TACC in which we will be making graphite anode powder which is one of the component which goes into cell manufacturing and those cells goes into batteries which (audio cut) 27:51 so you are referring to that page and this is answer that we will be making graphite anode powder from the new subsidiary it is not HEG making graphite electrode.

Ajit: The graphite anode powder will be used in cells.

Riju Jhunjhunwala : Lithium ion batteries.

Ravi Jhunjhunwala : Yes lithium ion cells.

Ajit: Thank you so much.

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Page 10 of 12 Ravi Jhunjhunwala : That is the process which Riju just explained should be in operation by second half of 2025.

Ajit: Thank you so much.

Moderator : Thank you. The next question is from the line of Deep Mehta from Bank of India Mutual Fund. Please go ahead.

Deep Mehta : Hello, Sir. Thank you for the opportunity. First question what was our capacity utilization for Q1 and how should we look at for the year ahead ?

Manish Gulati : Closer to 90 for Q1.

Deep Mehta : On 80000 capacity ?

Manish Gulati : On 80000 capacity.

Deep Mehta: For full financial year what are we expecting?

Manish Gulati : The two quarters of Q3 and Q4 as Chairman was saying (audio cut) 29:21 with subdued demand, so I do not know where we will finally land up with maybe around if

you take this

power capacity or new capacity it should be around 80 -85% of 80000 tonnes .

Deep Mehta : Sure Sir this is very helpful and my second question is regarding needle coke as a raw material recently Reliance Industries have announced in their annual report that they have developed a technology for manufacturing needle coke so is this needle coke same as what we use in our plant and then it help us in procuring our raw material supply ?

Manish Gulati : See Reliance has been trying, and spoke to us in the past also and also Indian Oil has been trying so we will see what eventually, there would be technology from somewhere so we will see what kind of product they eventually come with and (audio cut) 30:17 ultra high power grid or not that remains to be seen.

Deep Mehta : So as of now we do not see any clear visibility on the usage of that product ?

Manish Gulati : No.

Deep Mehta : So that is all from me. Thank you very much.

Moderator : The next question is from the line of Pratim Roy from B &K Securities. Please go ahead.

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Page 11 of 12 Pratim Roy : Hi Sir. Thanks for the opportunity. My first question is that right now the prices hovering around if I am not wrong \$1600 to 1700 per tonne and (inaudible) 30:53 the fixed cost income and is there any possibility to improve further from here on ?

Manish Gulati: Did you mean to say the needle coke pricing is around \$1500 and electrode pricing what did you say ?

Pratim Roy : Needle coke pricing is around 1500 to 1700 and the graphite anode pricing more or less

trading at a same level in the last two to three months if I am not wrong so in that scenario we can expect improvement in stake but in your earlier comment you mentioned that the spread is under pressure, margin is under pressure if you can throw some light on that specifically ?

Ravi Jhunjhunwala : As far as the price of coke is concerned you are more or less in the ballpark but your second assumption is not correct. Manish clarified that the markets are weak and we do expect the markets to remain weak for the next couple of quarters and the prices are under pressure. So, it is not correct to say that the prices are stable prices are under pressure but we still expect to maintain our capacity utilization at about 80 -85%.

Pratim Roy : That is helpful and my second is that for the graphite anode business it will come in the second half of calendar year 2025 what is the ROE or IRR you can expect from that project and how much that can contribute to the profitability of the company if you can give some broad idea on that ?

Riju Jhunjhunwala : We cannot give absolute idea on that because we are still two years away from completing the project but the project cost should be approximately 800 Crores which will produce 10000 tonnes of anode. The current price of that being in the region of 9000 to 10000 tonne , so obviously then you can do your math based on that selling price which will take similar prices of raw material that we have in our graphite electrode price, so the IRR, etc., we are expecting 25-30% EBITDA in this particular project. We have gone \$8000 to 10000 on our selling price.

Pratim Roy : Thank you. That is very helpful Sir.

Pratim Roy : Thank you. The next question is from the line of Ajit from Nirzar Securities LLP . Please go ahead.

Ajit: Sir just a followup question from my side on the powder you were talking about is this a byproduct of the existing process or altogether a new product ?

HEG Limited

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Page 12 of 12 Riju Jhunjhunwala : This will be altogether a new product and the raw material will be alkali and petroleum coke and that will be of different grades of coke and our byproduct that we produce in HEG because they are different grades of raw material that we produce over there we will try to use some of those also for this particular project

but as far as the basis of the project is concerned it is all on new raw material.

Ajit: Just a ballpark market size of this product?

Riju Jhunjhunwala : Market size is huge. It is basically going into lithium ion battery. In India alone by 2025 we expect a demand of around 50 to 60000 tonne and by 2030 around 300000 tonne should be the demand in India based on what the cell companies have announced , companies like Amara Raja, your Reliance , Ola, and TVS Lucas, etc., who are setting up plants in India. Their requirement itself should be big and the global requirement is huge. Today also we are seeing requirement of around 300000 tonnes globally.

Ajit: What will be our share in this 50 to 60000 tonnes ?

Riju Jhunjhunwala : We are right now going to produce I think 10000 tonnes of material this can be either exported or used for Indian market as well.

Ajit: 10000 or 12000 ?

Riju Jhunjhunwala : 10000.

Ajit: Understood. Thank you so much Sir.

Ravi Jhunjhunwala : It is a first project of its kind in India so marketing 10000 tonnes in a market which is today 50000 tonnes is not really a problem.

Ajit: Great . Congratulations and all the best. Thank you.

Moderator: Thank you very much. That was the last question in queue. As there are no further questions I would now like to hand the conference over to Mr. Jhunjhunwala for the closing remarks.

Over to you Sir!

Ravi Jhunjhunwala : Thank you friends for taking so much of interest and asking some very pointed questions. I look forward to speaking to you next time in about three months ' time. Thank you.

Moderator: Thank you. On behalf of SKP Securities Limited that concludes the conference. Thank you for joining us ladies and gentlemen. You may now disconnect your lines.

Call: Nov 2023

HEG/SECTT/2023 20th November, 2023

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Sub: Transcript of Earnings Conference Call on Q2 FY24 of HEG Limited

Dear Sir/Madam,

Please refer to our Earnings Conference Call scheduled on 16th November, 2023 intimated vide our letter dated 10th November, 2023. Please find enclosed the transcript of the said Earnings Conference Call.

The said transcript is also available under the Investors Section of the website of the Company i.e www.hegltd.com .

This is for your kind information and records.

Thanking You,

Yours faithfully,
For HEG Limited

(Vivek Chaudhary)
Company Secretary
M.No. A-13263
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Encl: as above

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"HEG Limited
Q2 FY'24 Earnings Conference Call"
November 16, 2023

MANAGEMENT : MR. RAVI JHUNJHUNWALA – CHAIRMAN , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER – HEG
LIMITED
M R. RIJU JHUNJHUNWALA – VICE CHAIRMAN – HEG
LIMITED
M R. MANISH GULATI – EXECUTIVE DIRECTOR – HEG
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M R. OM PRAKASH AJMERA – GROUP CHIEF
FINANCIAL OFFICER – HEG LIMITED
M R. GULSHAN KUMAR SAKHUJA – CHIEF FINANCIAL
OFFICER – HEG LIMITED

MODERATOR : MR. NAVIN AGARWAL – HEAD INSTITUTIONAL

EQUITIES – SKP SECURITIES LIMITED

HEG Limited
November 16, 2023

Page 2 of 12

Moderator: Ladies and gentlemen, good day, and welcome to HEG Limited Q2 FY '24 Earnings Conference Call organized by SKP Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agarwal, Head Institutional Equities at SKP Securities Limited. Thank you, and over to you, sir.

Navin Agarwal: Good afternoon, ladies and gentlemen. It is my pleasure to welcome you on behalf of HEG Limited and SKP Securities to this financial results conference call with the leadership team at HEG Limited. We have with us Mr. Ravi Jhunjhunwala, Chairman, Managing Director and CEO; and Mr. Riju Jhunjhunwala, Vice Chairman; along with their colleagues, Mr. Manish Gulati, Executive Director; Mr. Om Prakash Ajmera, Group CFO; and Mr. Gulshan Kumar Sakhuja, CFO. We'll have the opening remarks from Mr. Jhunjhunwala, followed by a Q&A session. Thank you, and over to you, Raviji.

Ravi Jhunjhunwala: Thank you, Navin -- and welcome to our financial results conference call for the second quarter '23-'24. As per World Steel Association's data, the steel production in the world outside of China went down by about 3.7% between the second and third quarters of this calendar year and by about 2% in the first 9 months of 2023 compared to 2022.

The global economic uncertainties continues to limit steel demand and consequently steel production. However, India has registered a significant surge of about 11.6% in steel production in the first 9 months of current year. Simultaneously, the Middle East and Africa have also witnessed a modest upswing of 1.2%, whereas North American steel production reduced by about 3.3%, Europe and Turkey by about 8.8% and a whopping 10.1%.

Persistent low domestic demand within China has resulted in increased Chinese steel exports outside. This trend is expected to exert ongoing downward pressure on production, particularly in Europe and US and obviously, a little bit elsewhere also.

The World Steel Association has revised their earlier projections downwards for steel demand in 2023 and 2024 in EU by 5% and in US by 4%. In our last call, we talked about steel industry alone accounting for about 7% of the total global carbon emission in the world and around 23% of total industrial carbon emissions.

The Western world, especially the US and the Western Europe are making serious efforts to decarbonize the steel industry in the near future, while some other countries have also started announcing, establishing new electric arc furnace. As we mentioned last time, the steel produced through blast furnace emits about 4x more carbon than the same steel produced through the electric arc furnaces. And this is giving rights to more and more new greenfield electric arc furnaces plants being set up all over the world, mainly in the US and Europe and more recently in Turkey and in the Gulf countries, where a large majority of steel is even currently produced through electric arc furnaces.

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We have seen announcements of over 85 million tons of such new electric arc furnace capacities in just the last 12 to 15 months' time, which has never been seen in the past. We continue to track and see more and more such announcements practically every month. The world steel production through electric arc furnace minus China, which used to be around 44% in 2015, has now reached 50% in 2022, going up by about 78 million tons from 357 million tons to about 435 million tons currently.

This is expected to further increase by the new announcements and the new plants which are

being established, most of which are projected to go into production by 2030, of which 85 million tons is already announced, taking the electric arc furnace production from its current level of 435 million tons to around 535 million tons by 2030. This would mean a substantial increase in the demand of our products all over the world. And since we have been exporting about 2/3 of our production to some 30-plus countries for a long time, we are well set to meet this demand from HEG.

You would have seen by now our announcement with regards to expansion of our plant capacity

to 100,000 tons being fully completed and implemented under one roof. All the production facilities are fully and satisfactorily operating now. We have taken care to buy some of the latest and most modern equipments and technologies available to graphite industry, making us the -- not only the single largest plant under one roof, but having most of the latest equipments and technologies at one place.

Special focus has been given this time to choose environmental-friendly equipments keeping our sustainability goals in focus. While we remain solidly and firmly upbeat about the continuous growth of electric arc furnace steel production in the coming decade, resulting in the continuous rise in electrode demand, we, at present, are seeing a period of subdued steel production due to several global factors, which are known to everyone, which is likely to continue through the end of 2023 and could be in the first half of 2024, resulting into subdued demand of our products for the next few quarters.

We believe electric arc furnace will henceforth grow at a CAGR of about 3% in the next decade, which would directly translate into a substantial increase in electrode demand. All this sounds very exciting for us at HEG, as no new capacity in the electrode industry have been announced by any other graphite company.

And a word about our new subsidiary, TACC. Due to economies of scale and considering the huge demand expected in the EV sector, the Board has recently approved the decision to start with a 20,000 tons graphite anode plant in one go, which initially was being planned to do in two phases of 10,000 tons each. The land is already acquired, and the construction is likely to begin fairly soon, and we intend to complete this plant by about mid-2025. We will obviously keep you informed about the progress every quarter.

In conclusion, our second quarter of 2023-'24 has been satisfactory given the tough market. Our second quarter 2023-'24 is going to be a tough quarter given the market conditions. And the next 2, 3 quarters may see margins coming under some pressure, but we are looking at a bright future
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for HEG, with some of the very large new capacities of electric arc furnaces which are being implemented currently all over the world.

Friends, with this, I'll pass on the floor to our CFO, Gulshan Sakhuja, who will take us through the financial figures. Following that, our Vice Chairman, Riju, and our Executive Director, Manish, along with myself, will be delighted to address any queries and inquiries that you have regarding electrodes and graphite and our businesses. Over to Gulshan.

Gulshan Sakhuja: Thank you, sir. Good afternoon, friends. I will now briefly take you through the company's operating and financial performance for the quarter ended September 30, 2023.

For the quarter ended September 30, 2023, HEG recorded revenue from operations of INR614 crores as against INR598 crores in the corresponding quarter of the previous financial year.

During the quarter ended September 2023, the company delivered EBITDA of INR130 crores as against INR198 crores in the corresponding quarter of the previous year.

The company, on a stand-alone basis, recorded a net profit after tax of INR62 crores in Q2 FY 2024 as against INR130 crores in the corresponding quarter of the previ

ous year. And on a

consolidated basis, the net profit after tax is INR96 crores in Q2 FY 2024 as against INR169 crores in the corresponding quarter of the previous financial year. The company is a long-term debt free and had a treasury size of nearly about INR1,010 crores as on 30 September 2023. Now to take more questions from the participants, a detailed presentation has been uploaded on the company's website and on the stock exchange. Now we would like to address any questions or queries you have in your mind. Thank you. Over to Navin.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Vipraw Srivastava from InCred Capital.

Vipraw Srivastava: Yes. So just had a question on the European business of HEG. So, there is a duty right on import of graphite electrodes in Europe, but the structure is different for HEG -- so I want to understand how does the duty affect you? And Europe is also coming up with this carbon border tax thing, obviously, which will result in a reduction of blast furnaces. But then will the duty hinder your business in Europe? How do you see it? So just some thoughts on that.

Ravi Jhunjhunwala: No, this antidumping duty in Europe has been around for the last 15, 16 years now. And we have not lost the market share. We took a very, I mean, careful decision long back, that we will pay the 7% duty. The duty is 7%. So, we keep paying that duty and -- but we have not lost the market share. So, we will continue to sell whatever we are selling now and a little more. And -- so that is as far as Europe is concerned, but the major positive that we have seen in our industry in the last 12, 15 months is given this euphoria about carbon emission and control and all that, this has been known to everybody for a very long time that blast furnace emits about 4x the carbon compared to electric arc furnace steel.

So, there has been continuous announcements of new electric arc furnace plants by some of the large and some of the best-known names in the steel industry in the world. And as I just mentioned, I mean, we've seen announcements of about 85 million to 90 million tons already all

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in the last 12, 18 months. And we keep seeing a couple of announcements like these every month now.

Until 3 to 6 months ago, all these were happening within US and Europe. But in the last 4, 5 months, 6 months, we have seen many, many announcements on similar lines in the Turkey, Iran and the Gulf countries. And with no one -- nobody else having put any additional capacity on the contrary, because of the COVID, a couple of Western plants have closed down in the last 2 years or so. And while at the same time, we have expanded.

So as soon as some of these electric arc furnace capacities, the new ones start operations, and some of them have already started operations in the last about 12 to 18 months. That will be about 8 million to 10 million tons already. In '23 and '24, we expect another 10 million to 15 million tons of these new capacities starting to operate.

So -- and we -- as I said, we have been exporting about 2/3 of our production to more than 30 countries. So, we are fairly well entrenched in these 30, 35 countries wherever there's a consumption of electrodes. And so, we are looking forward to this sudden spurt of demand, which is likely to happen not too far away.

Vipraw Srivastava: Right. Right. Right. So just a follow-up on this. So, your peer in US, that's GrafTech, so they disclosed their selling realization prices every quarter. So, what I've realized is that the price with seller electrodes, it's very high compared to what HEG and other player sell. So due to this price difference, are we gaining market share in US or Europe? How is this shaping up? Or do this offer something incremental, that's why they're charging a higher price? Just wanted to have some though

ts on that.

Ravi Jhunjunwala: Two things. You're right. But if you go back to the history about 5 years ago, GrafTech was -- GrafTech is in a very unique position that they have about 135,000, 140,000 tons, which is about 60%, 65% of their graphite capacity. They are the only ones in the graphite industry to have their own needle coke plant. They have captive diesel coke capacity of about 60%, 65% of their requirement.

And with that in their hand and they have done something very smart 5, 7 years ago, they had booked -- they've forward booked their raw material for a fairly long time at a very attractive price. I'm basically talking about the oil. So, with that background, they went out and they sold about 60%, 65% of their next 5 years' electrode production at a fixed price.

So having their own captive needle coke and that too hedged for the next 5 years, which is an unique situation. And obviously, they took advantage of that by having a long-term agreement for 5 years.

So, a very large majority of that has already been implemented by now. I don't remember the number, but still some maybe 10%, 15% of that is still in the pipeline, actually still going on.

So, except that, I don't think we are selling cheaper electrodes anywhere else. I mean we are not selling anything cheaper than most of our competitors. So, the only difference is this, nothing else.

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Vipraw Srivastava: Just one final question. So, with this ban on exports of anodes, graphite anodes by China for lithium-ion batteries, so obviously, our facility is coming up in '25 -- CY '25. So that's a positive development, right? I mean, if China controls the supply chain and we can set up our own facility, we can create domestic demand also. So, you will take it as a positive, right?

Ravi Jhunjunwala: Yes. Absolutely. Absolutely. Riju, if you want to add anything?

Riju Jhunjunwala: No, I think absolutely correct. I mean -- and as is it the world was looking at being more graphite from outside China. Today, China controls more than 92% of the world graphite. And with this happening, obviously, it added to our confidence of going in for the larger size projects.

Moderator: Next question is from the line of Gourab Paul from Techsellence Financial Services. Please go ahead.

Gourab Paul: Okay. Sir I'm really excited about your anode plant and the project that's going on. My first question is -- or the questions around this are what percentage of processes are common between your normal electrode versus your anode plant? I mean, are there any synergies over there?

Ravi Jhunjhunwala: Not so much. In terms of similarity, it's a totally different product. It's a totally different plant, except that in one of our processes of electrodes, we are handling the temperature of about 2,800 degrees centigrade, which is more or less similar to one of the processes involved in the powder business. So, except that there is nothing in common.

Gourab Paul: Okay. A follow-up question just to that is how much energy is needed to graphitize like 1 ton of such material to...

Ravi Jhunjhunwala: In terms of cost? In terms of megawatt?

Gourab Paul: Megawatt would be good.

Riju Jhunjhunwala: It would be the same as graphite electrodes, exactly the same.

Gourab Paul: And I mean, have you also started with the environment clearances for this new plant?

Riju Jhunjhunwala: So, we've -- the land we have acquired already and we've got all the state environment clearances ready. And now we are just doing the central environment study, which should be complete by November or December. But that doesn't stop you. Once you get a license to operate, you can start the -- some part of the construction activity already, which we already have over there of levelling, etcetera, and all of that.

Gourab Paul: Okay. And finally, just a light on this one. So, what would be the difference in cost between, say, a natural

graphite versus an artificial graphite that you're producing? Any light on that?

Riju Jhunjhunwala: No. These are two very, very different products. I mean it's like -- Graphite, over there, you don't need to graphitize that particular product. And then in this particular thing, the additional cost from graphitization is there. But I think -- I mean more or less; our focus is on the synthetic graphite. Although -- I mean, if there is some part of natural graphite also to be done, we can

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probably do that. But costs are more or less the same because cost of natural graphite, purchasing natural graphite covers up for that additional cost of graphitization.

Moderator: This next question is from the line of Amol Rao from Kitara Capital. Please go ahead.

Amol Rao: Yes. Sir, usually, you always shed a light on what's the utilization rate for the quarter and how we are faring on inventory. Sir, any colour on that, sir, for this quarter, please?

Ravi Jhunjhunwala: Manish, would you take that?

Manish Gulati: Yes, sir, I'll take this question. See, for the Q1, it was close to 90%. For Q2, it's close to 85%. And these 2 quarters, which are expected to be probably the toughest quarters, we should be around 75% of capacity utilization.

Amol Rao: All right. And sir, just for the sake of clarification, because we have commissioned our additional 20,000 tons also. This is the 75% on the -- including the 20,000 tons that have come in, right? So, 100,000 tons roughly...

Manish Gulati: Yes. Yes. So let me explain this point once. See, we have started the green shop, which was -- where the electrode starts from. We have commissioned that. It came into commercial production 1st November. That's the date we mentioned in our release also. So -- and it takes, of course, 5 months to make the labels and 2 months to make the electrodes. So effectively, if something is starting on 1st November, we would consider arrival of this 100,000-ton capacity in Q4. The plant has started, everything is fine. So, this 75% is on that basis for Q3 as well as Q4. In the Q4, we will count it as 100,000-ton capacity.

Amol Rao: That is very helpful, sir. And sir, just -- I mean you all have mentioned that there is some bit of tightness in the market regarding demand. Sir, this demand, I mean if you see the World Steel data that is coming out on a monthly basis, so production seems to be picking up quite a bit in our target markets. So, I mean, the US has shown an improvement, if I remember correctly, some 3% to 4%. Turkey showed an improvement of almost, I think, 8% or 10%. Korea was around 18%. So, I mean, still you expect some amount of tightness in the second half of the year?

Manish Gulati: No, no. I mean, again, I can offline, of course, send you the World Steel data, but we don't think that there's an improvement. From 9 months to 9 months, it's also decline. There's a decline quarter-to-quarter. I can, of course, send my sheet to you in which we have tabulated all these countries. So just let me repeat the phrase up for you. Other than this China and let's say, exclude Iran, which is under sanctions, also Russia where we do not do much. Actually, it's a decline of 2.7%. So, I will send you my figures.

Amol Rao: Done, sir, done, done. This is most helpful. Sir, last one question. Sir, we were sitting on some amount of inventory of, if I remember correctly, INR1,400-odd crores 6 months back. The number says that it's around INR1,300 crores. So, you're not running down this inventory? Or we plan -- this is what we plan to sell in the next half of the year?

Manish Gulati: See, we have, I mean, run down the needle coke inventory to a very large extent. Today, we are just have the normal operating levels. As regards to finished good inventory, we have, let's say,

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2.5 months of production. Normally, which would be 1 month of -- worth

of production. It is,

let's say, close to 2.5. And we don't want to run it down any further because passing -- by passing these 2, 3 quarters and the good things we are hearing from the market with electric arc steel coming up, it is only a matter of time. It can take 2 quarters. It can take 3, but it will turn around.

So, at that point in time, we are just keeping the extra 1.5 months of inventory for those days when there's an uptick in demand.

Amol Rao: Got it, sir. So after around 2 quarters, we should see these levels coming down and the production from the EAF side starts picking?

Manish Gulati: Yes, yes, absolutely. You see basically you look at the World Steel figures, you will yourself find out when the steel production starts to grow up, and then EAF will be the major beneficiary of that.

Moderator: Next question is from the line of Ajit from Nirzar Securities.

Ajit: Congratulations on commissioning of the new expanded capacity. Sir, I just have two questions.

First one is, sir, recently, Government of India -- there is news that Government of India is to invite bids for 20 critical minerals, including lithium and graphite. So, sir, are you planning to bid for those mines, sir?

Manish Gulati: See, we are artificial graphite company. We make graphite starting from petroleum coke and process it. What they are talking about minerals, etcetera, that is purely for mining. So that's mining of natural graphite. I believe there are a few places in India where we have natural graphite. So it is for that purpose, not for synthetic graphite which we make. So, our anode will be synthetic graphite anode, not a mined product.

Ajit: Okay. Understood. And the second question is, sir, one of our competitors has entered into synthetic anode who also claim that it is more effective than the graphite one. So, I wanted to understand your thoughts on this.

Riju Jhunjunwala: I tell you that is, I told you about Himadri, they took over the Australian company, which is into silicon anode. So that is still, I mean, largely an untested technology. Today, more than 90% of all lithium-ion batteries are made out of graphite. And now what has started happening is you are starting to mix 5% or 10% silicon in it. But according to all data, everything which is free at least till 2050, there is no chance that graphite as an anode product for lithium-ion batteries can be 100% effective -- you'll have certain variety...

Moderator: Thank you. Next question is from the line of Gourab Paul from Techsellence Financial Services. Please go ahead.

Gourab Paul: Sir, my second question was regarding the uptick of graphite -- I mean, uptick of battery production -- lithium-ion battery production in India. Are you seeing any interest from the people who are putting up capacity or companies like Ola, Reliance and others and Tata. Are you seeing some interest? Are they taking some portion of your powder to kind of test it out and make their own batteries?

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Riju Jhunjunwala: So of course, we are in touch with all these companies, whether you talk about Tata, Exide, Amara Raja, Ola, Reliance, we are in touch with all these companies, also because we already have our pilot plant for this anode reduction, which is 100% ready. So, and all these companies will have their battery production by anywhere middle to end of 2025. And there -- yes. So because of that, we are in touch with these companies and that -- it's over the next period of 2 years, we'll be working even more closely through our pilot plant to try and do the perfect permutation and combination because the idea is to sell as much to the Indian market as possible and then export whatever is left over.

Gourab Paul: Okay. And do you see any advantage of PLI coming through your way? Because what I understood was the government also wants to kind of help or support the EV producers sort of manufacturing things?

Rij

u Jhunjunwala: So, we were trying very hard this year to get our product also in the whole this thing -- the PLI scheme. So, although cell production is covered under PLI, but raw material for cell have -- but next year onwards, we are quite confident that this will start happening. I mean we are trying very hard with the government to confirm for extending the PLI scheme to the raw materials also.

Moderator: Next follow-up question is from the line of Vipraw Srivastava from InCred Capital.

Vipraw Srivastava: I just had a follow-up regarding the anode part for lithium-ion battery. So can you tell what is

roughly the realization in this space per kg?

Riju Jhunjhunwala: So difficult to say what is because there are different ranges ranging from \$5,000 per ton to going up to \$15,000 per ton, different ways of anode that you make for different applications.

The lower grade ones, which are used for your things like stationary batteries, calculators, etcetera. They are \$5,000 to \$7,000. But the very high-end thing like producing for companies like, the auto companies like Mercedes, Tesla, etcetera, the batteries that they use, that is closer to between USD10,000 to USD15,000 as of today.

Vipraw Srivastava: You're talking about anode realization, right, this number...

Riju Jhunjhunwala: Yes. Yes. Yes. The anode realization, the graphite realization per ton. This is all data from China. Today, China is controlling 90% of the world's trade. So, I mean this is all the -- their selling rates today.

Vipraw Srivastava: Sure, sure. Noted, noted. I just had one final question. So GrafTech US, they in the con call told that they're also looking towards carbon-neutral graphite electrodes, which won't leave any carbon footprint as such. So, I mean, maybe not now, but in the future, will HEG look towards that because obviously, we know graphite anode is polluting as far as manufacturing is concerned. So, in future, any thoughts on that? Are you looking exploring that field, yes?

Riju Jhunjhunwala: I can answer for the graphite anode plant since it's going to be a greenfield plant from the beginning. Our -- all our kind of environment approvals, etcetera, also cover a lot of this thing to try and be carbon neutral, which includes buying green electricity, green belts, etcetera, etcetera. So obviously, our idea May 1 is...

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Moderator: Sorry, we are again losing your audio.

Manish Gulati: Shall I take this question?

Riju Jhunjhunwala: Yes, Manish. Yes, please.

Manish Gulati: Yes. Yes. Yes. See, what they are doing, GrafTech, because I was in Europe and I spoke to them also. I mean -- so they -- that would just have green colour electrodes. So initially, what they're trying to do is to take all renewable energy wherever possible. See they have plants in Europe. They have plants in US So that is -- that's step number one. And of course, for those other carbon-reduction initiatives, just like we are doing, they'll also be doing the same. I mean, I can also -- that the electrodes, which are made in HEG, HEG also has a hydroelectric power plant, and we use power and also we have solar plants. So, I see, every company is trying these initiatives, the sustainability goals, everybody is taking it seriously, and HEG is also taking it very seriously. So, I have seen what you're saying is that they are seeing that maybe they will make a zero carbon this thing. So first, they will start with renewable energy, and then they'll do -- take some other initiatives. But of course, there has to be energy which is consumed to make graphite electrodes. And in turn, graphite electrodes is actually helping the world save on carbon emissions. So, I don't know how they'll put it -- put this all together. But eventually, that benefit should also come to graphite people because this is -- because of electrode that carbon emissions dropped by one fourth between blast furnaces and e

lectric arc furnaces.

Moderator: Next question is from the line of Deep Mehta from Bank of India Mutual Fund. Please go ahead.

Deep Mehta: I had one question regarding our upcoming anode facility. What is the updated total capex requirement which we are planning for this newer capacity? And have we done some work on determining what -- how competitive will be this plant vis-à-vis our Chinese competitor in terms of cost of production?

Riju Jhunjhunwala: Yes. So, the -- on the capex front, we had assumed around INR1,000 crores for a 10,000-ton plant. So obviously, when we are looking at doubling the entire plant, we are not going to incur exactly double the cost. We'll be saving a lot of things like our power lines, some processes, etcetera. So, the capex would be between -- right now, we are still in the final phases of calculating it, but it will definitely be at least 10% lower of -- than INR2,000 crores if you see proportionality.

And on the operational front, it will be more or less similar as competitive to the Chinese prices because a lot of this price depends on the power price. And power price-wise, we are quite competitive in Madhya Pradesh. We are hopeful to get electricity between INR5.5 to INR6 for a period of 20 years. And with that, you become reasonably competitive because the cost of raw material, which is needle coke is the same, manpower cost is more or less the same. So, all other costs mainly become quite similar in our 20,000-ton plant.

Deep Mehta: That is very helpful. Just one follow-up. What kind of margins or ROC which we are targeting for this capacity?

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Riju Jhunjunwala: So, we currently are targeting kind of a 30% EBITDA margin. And so based on that -- I mean, one can do the calculation because here kind of capex to the turnover ratio will be more or less 1:2 or 1:1.2. And based on that selling prices, whatever we have prevailing in 2025, depending on that, you'll have your EBITDA margin safely between 25% to 35%. So -- should actually not be more than 5 to 6 years.

Moderator: Next question is from the line of Chetan Phalke from Alpha Invesco. Please go ahead.

Chetan Phalke: Sir, recently, this Epsilon Advanced Materials, they have done an MoU with Government of Karnataka. And I think they're going to invest some INR9,000 crores for this graphite anodes plant only. So, are we -- so what is our understanding, sir, they are also going to make the same graphite anode that we are going to make and we are going to compete with them heads on?

Riju Jhunjunwala: Yes, it will be more or less similar because we have been seeing what they are doing. But now I think their plans have changed more to setting up a plant in the USA. And more or less settling for a smaller plant in India or more or less like this thing, your pilot plant in India. But their main plant that they've announced is now in America, with outlay of \$650 million over a period of 10 years or something like that. But the product that they'll be making will be very similar to ours. The raw material could be different, but the end product will be more or less the same.

Chetan Phalke: Okay. And sir, I mean, what is your take on this? I mean, why they have shifted to US? Is it more cost efficient? Or is it due to better raw material availability, closeness to customers, what is your assessment?

Riju Jhunjunwala: So, it's a mix of everything because US is giving a very good this subsidy -- the Inflation Act that they have in which they give more or less the same kind of subsidy that you would have if you had put the plant in China in order to make it more competitive. So, I don't know what really led to their decision of putting the plant over there. But having said that, I mean, raw material would be same, manpower per costs definitely should be higher in the US And so -- but we expect our cost competitive to be, I mean, higher than them to start with a

t least.

Chetan Phalke: Okay. And do we see, sir -- I mean I just want to understand the demand side more closely. So, what is the existing demand of graphite anodes that we are importing into the country? And what kind of opportunity you see opening up over the next 7, 8, and 10 years in terms of tonnage, if you can...

Riju Jhunjunwala: So today, it is zero because there is no cell manufacturing in India. And let's say when you have in 2025, 5-gigawatt of cells that will be requirement of around 5,000 ton by 2025. And this is expected to grow to around 1.5 lakh ton -- 1.2 lakh ton by 2030. So, the requirement-wise really, I mean, which is why we've taken this decision to be of a particular scale. Demand-wise, we don't really see any kind of problem. And technology-wise, also I mean you don't see much of a risk for graphite being -- players buying automotive diesel, etcetera. So even as early as 2025, we're talking about 35,000 tons a month and going up to 1.2 lakh tons of demand in India.

Chetan Phalke: And what would be the installed graphite anode capacity in China, any idea, sir?

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Riju Jhunjunwala: They talk about -- today, they're talking about 500,000 tons of graphite anodes capacity that is already existing. But we've been there, we've seen everything. The rate of their expansions are in -- we are talking about 20,000 tons, they talk about addition of 2 lakh ton, 3 lakh ton. So, their rate of expansion will be definitely much higher than that of India.

Chetan Phalke: Okay. Okay. And sir, this Chinese ban of certain grades of graphite, I mean -- because China also controls a large part of graphite mining as well. So, will it impact the pricing of natural graphite and essentially -- eventually, it will also impact the pricing environment for synthetic graphite?

Riju Jhunjunwala: See, it will definitely be a big plus for us. It will be a big plus for a country like India because then your other battery manufacturers will not be -- cannot afford to be dependent only on China for their imports. So, what Chinese people want to do is they want to produce the battery themselves. Instead of exporting the graphite, they want to consume all the graphite within China.

But across the world, wherever there are battery companies coming up, they will either need to produce their own graphite, which is not possible in every case or they'll have import graphite from other countries or countries apart from China. So, for us -- because we, in any case, we're not planning to import any graphite from China to begin with.

Chetan Phalke: Okay. So, our imports of the raw materials would be mainly from which geography, sir?

Riju Jhunjunwala: We will be using Indian raw material. We can also use the needle coke, and we can also use the Chinese pitch coke. So, all three raw materials, we have -- plants and all three raw materials give you different kinds of final product.

Chetan Phalke: Okay. Okay. So, sir, just last question on this. So apart from HEG, any other player -- apart from HEG and Epsilon, any other players who are planning to enter this field?

Riju Jhunjhunwala: Himadri, of course, they've also announced recently their plans to get into anode, but I don't know much about how much capacity, etcetera. So as of now, you see these three companies, which are clearly stated their plans HEG, Epsilon and Himadri.

Chetan Phalke: Okay. Particularly for graphite anode because I think Himadri...

Riju Jhunjhunwala: Yes, specifically for graphite anode.

Moderator: Thank you very much. That was the last question in queue. As there are no further questions, I would now like to hand the conference over to Mr. Jhunjhunwala for closing remarks.

Ravi Jhunjhunwala: Thank you, friends, and thank you for taking so much of interest in communicating with us, and I look forward to talking to you in the next 3 months. Thank you.

Moderator: Thank you very much. On b

ehalf of SKP Securities. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Feb 2024

HEG/SEC TT/202 4 25th February, 2024

BSE Limited
25th Floor, P J Towers
Dalal Street
MUMBAI - 400 001.
Scrip Code : 509631 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G Block, Bandra - Kurla Complex
Bandra (E), MUMBAI - 400 051.
Scrip Code : HEG

Sub: Transcript of Earnings Conference Call on Q3 FY24 of HEG Limited

Dear Sir/Madam,

Please refer to our Earnings Conference Call scheduled on 21st February, 2024 intimated vide our letter dated 15th February, 2024 . Please find enclosed the transcript of the said Earnings Conference Call.

The said transcript is also available under the Investors Section of the website of the Company i.e www.hegltd.com .

This is for your kind information and records.

Thanking You,

Yours faithfully,
For HEG Limited

(Vivek Chaudhary)
Company Secretary
M.No. A -13263
heg.investor@lnjbhilwara.com

Encl: as above

"HEG Ltd. Q3FY24 Earnings Conference Call"

February 21, 2024

MANAGEMENT : MR. RAVI JHUNJHUNWALA – CHAIRMAN, MANAGING
DIRECTOR & CHIEF EXECUTIVE OFFICER , HEG
LIMITED

MR. RIJU JHUNJHUNWALA – VICE CHAIRMAN , HEG
LIMITED

MR. MANISH GULATI – EXECUTIVE DIRECTOR , HEG
LIMITED

MR. OM PRAKASH AJMERA – GROUP CHIEF FINANCIAL
OFFICER , HEG LIMITED

MR. GULSHAN KUMAR SAKHUJA – CHIEF FINANCIAL
OFFICER , HEG LIMITED

MODERATOR : MR. NA VIN AGRAWAL – HEAD, INSTITUTIONAL
EQUITIES , SKP SECURITIES LIMITED

HEG Limited
February 21, 2024

Moderator: Good day, ladies and gentlemen. Welcome to the HEG Limited Q3 FY24 Earnings Conference Call organized by SK P Securities Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agrawal – Head, Institutional Equities at SK P Securities Limited. Thank you and. Over to you, sir.

Navin Agrawal: Good afternoon, ladies and gentlemen. It's my pleasure to welcome you on behalf of HEG Limited and SK P Securities to this Financial Results Conference Call with the leadership team at HEG.

We have with us Mr. Ravi Jhunjhunwala -- Chairman, Managing Director and CEO; Mr. Riju Jhunjhunwala, Vice Chairman, along with their colleagues, Mr. Manish Gulati, Executive Director, Mr. Om Prakash Ajmera, Group CFO and Mr. Gulshan Kumar Sakhuja, CFO.

We'll have the opening remarks from Mr. Jhunjhunwala followed by a Q&A Session. Thank you. And over to you, Ravi ji.

Ravi Jhunjhunwala: Friends, good afternoon and welcome to our Q3 Financial Results Conference Call for the Year '23-24.

As per World Steel Association's data, total world steel production did not register any growth in 2023 as compared to 2022 and remains more or less similar at the same level of 1,882 million tons last year. Similarly, world steel production outside of China also remained similar at the similar levels at 2022 at about 868 million tons. Chinese steel production while growing in the first half of 2023 dropped significantly in the second half and full year period of '23 to 1,020 million tons, which was again in the same region as 2022 due to demand erosion. However, persistent low domestic demand within China resulted into increased Chinese steel exports, which increased by about 34% from 67 million tons in 2022 to 97 million tons in 2023, obviously, putting pressure on steel production in rest of the world.

Among some of the large steel producing regions, US stood at the same level in 2023 at about 81 million tons as in 2022, while production in EU declined by about 7%, India at the same time grew by about 12% on the back of healthy domestic demand from infrastructure and real estate sectors. Here, we need to remember that in India, steel production is predominantly through blast

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furnace route and also a significant portion of steel is also produced from induction furnaces, which is not our customer segment.

We continue to concentrate on our exports, which remained at above 70% of our total sales in the first three quarters of the current year.

Coming specifically to our "Q3 Performance":

As you can see from our results, the electrode pricing remains under pressure, although we operated at about 85% capacity utilization for all the three quarters combined at 80,000 tons capacity. Due to long duration of production cycle for our products till the previous quarter, the commercial production from our expanded capacity to 100,000 tons did not go into the market. We'll start selling electrodes from this quarter from this expanded capacity. However, our capacity utilization remains the highest amongst all the western world graphite electrode companies.

The needle coke prices keep correcting due to difficult market conditions, but there is always a time lag between needle coke procurement time and sales of finished electrodes. As you know our production cycle varies between 2, 2.5 months to 5, 5.5 months. Our raw material inventory levels are now normalized and we do not have any inventory overhang.

Global economic uncertainty continues to limit

steel demand and thus constraining steel

production. We do not see much improvement in steel production in 2024 also. However, the positive for our industry is that the decarbonization efforts has now become an irreversible process with more and more Greenfield electric arc furnaces being announced every month. Till date, as per our information, more than 90 million tons of new Greenfield capacities have already been announced in different parts of the world with the US and EU leading these numbers and we keep seeing such announcements regularly. Out of this, about 9 to 10 million tons is already into operation, another 30 million tons is expected to be operation between current year and 2025 and rest of it post '25.

As we have said in our earlier calls, we expect graphite electrode demand to increase gradually by about 150,000 to 200,000 tons by 2029, 2030. This is a significant increase over current demand of about 500,000 to 600,000 tons of. Ultra-high power electrodes excluding China.

Just to repeat the context for anyone who is new listening to this call, steel industry causes 7% to 8% of total man-made pollution in the world, and about 23% of all industrial pollution. Steel produced through blast furnace emits about four times more carbon than the same steel produced through the electric arc furnace. And this is what is giving a very strong push all over the world,

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where companies are switching from blast furnaces to electric arc furnaces. The western world production through electric arc furnaces without China, which used to be around 44 %, six, seven years ago, has already reached 50% in 2023 and is likely to exceed 55% in the next three, four years. Friends, as you know, we have successfully completed our expansion and our new facilities are running perfectly well.

Other than HEG, no other Company has announced any new capacities in the western world. It takes at least four to five years to build a new Greenfield capacity and about two to three years to expand an existing Brownfield plant. On the contrary, one of the leading graphite companies has recently announced closure of one of their plants in US with the capacity of about 25,000 tons.

You are aware that HEG has been exporting more than two-third of its production to some 30 - plus countries for a very long time, and we have a diverse and established customer base and we are working hard to get a larger piece of the requirement and we also keep adding new customers from time -to-time in several countries. In this backdrop, our expanded capacity of 20,000 tons p.a. has come at a n opportune time when the electrode market is likely to expand at a fairly fast pace around the world.

While we remain solidly upbeat about the continuous growth of electric arc furnace production in the coming decades, resulting into continuous rise in electrode demand, at present, we are seeing a period of subdued steel production due to several global factors, which is likely to continue through the first half of 2024, resulting into subdued demand for our products for the next few quarters.

We believe electric arc furnaces will grow at a CAGR of about 3 % to 3.5% in the next decade, which would directly translate into a substantial increase in electrode demand. And in the backdrop of fairly high technology area that we are operating in, we don't see any newcomer or any new electrode Company coming into business.

We at HEG have been operating world's largest graphite plant under one roof with the capacity of 80,000 tons for a long time. And currently, with our expansion to 100,000 tons which is now operational, we are now amongst the lowest cost producers in the world due to economies of scale and our operational efficiencies.

Now, a couple of words about our new subsidiary, TACC:

Due to economies of scale in the CAPEX outflow and considering the huge demand

expected in

the EV sector, the board has approved the decision to start with the 20,000 tons graphite anode

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powder plant in one go, which initially we were planning to do in two phases of 10,000 tons each. The land is already acquired and the construction has started, which we intend to complete by mid -2025. We will keep you informed about this progress from time -to-time.

In conclusion :

Friends, our 3rd Quarter '23-24 has been satisfactory given the tough market conditions under which we are operating. The next two, three quarters may see margins remaining under some pressure, but we are hoping that the demand would come back sometime from second -half of 2024 and we are going to take full advantage of our expanded capacity. We have all the technological capabilities, operational efficiencies and market reach to take our Company forward and to succeed and thrive in all emerging situations, creating long -term value for our shareholders.

With this, I will now pass on the floor to our CFO – Gulshan, who will take us through the "Financial Figures," following that, our Vice Chairman – Riju and our Executive Director – Manish and I will be delighted to address any enquiries you may have regarding electrodes and also graphite anode powder. Over to Gulshan.

Gulshan K Sakhuja : Thank you, sir. Good afternoon friends. I will now briefly take you through the Company's "Operating and Financial Performance" for the quarter -ended 31st December 2023 :

HEG recorded revenue from operations of Rs.562 crores as against Rs.614 crores in the previous quarter and Rs.530 crores in the corresponding quarter of the previous year, revenue for the quarter saw a decrease of 8.5% as compared to the previous quarter. During the quarter ended 31st December 2023, the Company delivered EBITDA including other income of Rs.110 crores as against Rs.130 crores in the previous quarter and Rs.170 crores in the corresponding quarter of the previous financial year.

The Company on a standalone basis recorded a net profit after tax of Rs.37 crores for the quarter ended 31st December 2023 as against Rs.62 crores in the previous quarter and Rs.103 crores in

the corresponding quarter of the previous financial year. The Company is a long-term debt free and having treasury size of nearly Rs.950 crore s as on 31st December 2023. A detailed presentation has been uploaded on the Company's website and on the stock exchanges.

Now, we would like to address any questions or queries you have in your mind.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Pritesh from Lucky Investments. Please go ahead.

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Pritesh: Sir, you mentioned the capacity utilization is at 85% in the nine months. Can we give us the capacity utilization for Q3?

Ravi Jhunjhunwala: Q3 alone, it's more or the same, a couple of percentages plus/minus, it's in the same region. We have been consistently running, let's say at that level for the last three quarters.

Pritesh: So which means the volume growth in nine months over nine months is largely flat, right, it's a flat volume?

Manish Gulati: See, you will see a volume growth compared between the two fiscals. So nine months, yes, there has been a volume growth and by the time we close the year, we believe that we would have sold about 10% to 12% more than last year. So you can take this figure of 10% to 12% for the nine months.

Pritesh: Sir, on the spread side, what we see is that there is a continuous spread reduction from Q1 to Q2 to Q3 the capacity utilization is largely similar. So, if you could just share the spread in dollar terms, what should be the spread?

Manish Gulati: Dollar terms will become a very specific answer to be given in public domain, but if you just take our results, I think you can make a

very good guess yourself about how our spreads have

varied between the three quarters. They have been coming down. That is sure, that is what you see in our bottom line. And the main reason for that is see, the needle prices have also been coming down. But, actually there's a lag effect where electrodes take two months to make and needle take five months to make. So this when electrodes fall, it takes time for the spread to adjust. The consumption needle coke price is higher and the electrode prices are lower for that particular quarter. So that's what hurts. That's very unique to us just because of long process times.

Pritesh: We are hearing about this electric arc furnace-led capacity addition from your side and electric arc furnace-led steel growth from your side is for the last five, six quarters now. So, let's say when you're giving this steel production number of 1,883 million and saying, it's flat, what is the electric arc production from electric arc furnace and the growth rate?

Ravi Jhunjhunwala: See, as I as I gave you that figure in my short speech. It used to be 44% till about five, six years ago minus China which has gone up to about 50%. So in the international concept, 44 to 50 is like 15%, 17% increase, which is pretty substantial if you look at the whole world, and in the next three, four years, this is probably going to go beyond 55% to 58%, so which will be like from 45% to 57%, 58%, or close to 60% over a six, seven, eight-year period.

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Pritesh: I was asking about Calendar Year '23. What is the production growth from electric arc furnace, is there any growth?

Manish Gulati: I will give color to that. You see, the electric arc furnace steel will be about 430-odd MMT in rest of the world and add about 110 or 120 coming from China they will be late to come with figures. So if your question is how much of that 1,888 MMT is electric arc furnace, my answer would be about 540 to 550.

Pritesh: And this 430-odd MMT, has it grown this year?

Ravi Jhunjhunwala: See, 430-odd MMT as you have seen in the figures in the world steel association, we also mentioned in the call, it's absolutely stagnant for all regions. China did grow in the first half and dropped in the second half and then the rest of the world is exactly at the same level. If you look at '22 and '23 steel figures add up to almost exactly the same number barring 1 or 2 million tons in such a large base. So the steel production has been stagnant and thus the electric arc furnace as a proportion of that has also been stagnant.

Moderator: The next question is from the line of Mihir Vyas from 9Rays Equi research. Please go ahead.

Mihir Vyas: I wanted to ask, can you give some color on potential revenue and margins from the anode business?

Riju Jhunjhunwala: The potential see, we are investing around 2,000 crores into this particular business and the investment to output ratio should be more or less 1:1 or depending on the quality is around 1:1.3.

And as of today as per our business plan, we are assuming a safe margin of around 25% to 30%

EBITDA on this particular business going concern, I mean, second year onwards kind of you

can say. The plant production should start around March or April of 2025 .

Mihir Vyas: How much drop in EBITDA margin is expected due to the drop in demand and excess supply from China?

Riju Jhunjhunwala: If you're asking about the anode powder , today, India does not produce any anode powder.

Mihir Vyas: I'm asking about the electrodes.

Manish Gulati : See, you are specifically asking about what is the impact going to be because of China. My answer to that would be that China predominantly makes and also exports the high power grade, which is not high power grade , they're not yet established as the main players are, they are trying, but we do not relate in this way that because o

f China, what is going to be the margin reduction,

we don't look at it this way , we look at our segment in which we operate when we are strong

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that is ultra -high power grade where the western producers are the main competitors in that segment .

Mihir Vyas: So I hope there won't be any reduction in the capacity utilization because of these reasons, right?

Manish Gulati : No, we have operated at 85% all through the year. We are working at higher capacity utilization in all of the industry. And as we go to this '24, we'll be counting ourselves as 100,000 tons capacity . Of course for some one or two quarters just because this we now base our system , utilization percentage on 1,00,000 tons , you will see a little bit of reduction in that but we will climb up on that and we are sure that within a matter of one year, we will be back at 85% on 100,000 tons also .

Ravi Jhunjhunwala: We have only three or four main competitors in the world , I mean, if you exclude China and , as Manish rightly explained, we are not really competing with China in that segment. So , in this higher segment, there are only three, four companies in the world. And if you are tracking them, it's all public information. At least one of them is operating at 40 % , low 40s to 45% kind of utilization. The others are in the region of 60 % , 65% and still believe that we are at 85% which is probably the highest in the industry.

Mihir Vyas: How is our arrangement with the suppliers contracts on quarterly, half yearly or yearly basis?

Ravi Jhunjhunwala: In a declining market of electrodes and a declining market of raw material , it is quarterly .

Moderator: The next question is from the line of Saurabh Jain from Sunidhi Securities. Please go ahead.

Saurabh Jain: My question is about graphite anode facility. Recently , there has been a news article that says after Toyota, BMW has also said goodbye to electric cars. So what are your thoughts for our upcoming anode facility considering the huge CAPEX we are doing ? Also , there have been other articles saying that lithium and battery performance has reached a plateau in recent years , and using silicon instead of graphite enables significantly higher energy density and faster charging. So that's why it's been focused by many Global OEMs like GM, Mercedes, even Airbus. So I know on the last call also, you had clarified that you don't see m threatened by this development, but this news has been quite persistent for the last couple o f quarters and n ow a strong signal for after Toyota , what BMW did last week. Your thoughts please.

Riju Jhunjhunwala: There are new developments happening almost on a weekly basis , new kinds of technologies, new kind of things. But as f ar as core goes, I think lithium ion batteries are here to stay for at least two to three decades , and some kind of improvisation will keep happening , mixing of silicon , mixing of some other elements, but graphite as the core conductor of this thing we do not foresee a big c hange in volume . Again, like you have lithium ion batteries . Everyone's talking

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about sodium ion batteries as far as the stationary application go. There also , I mean , we will be in a position to produce the raw material for sodium ion batteries as well. A nd in the next few years, I think lithium ion has the main infrastructure for moving batteries is not something that we at least seem to do this thing about of being replaced by some thing else . You will keep seeing changes , you will keep seeing whatever, b ut the infrastructure once made for lithium ion in terms of charging , etc., we do not see that thing changing , and plus the big plants of lithium ion batteries that are coming up in India . They have already been announced and they have already been impleme nted and they have more than 50,000 GWh of facility that i

s coming up within

India by established names like Exide, Amar Raja, Reliance, Ola, etc ., That itself means the the powder consumption of around 50,000 tons which will include stationary application s also. So , I mean this question will keep happening , I mean every one month some new technology will come and innovation happening over there and rest assured , there's a lot of innovation happening at our own end also how to keep pace with all these innovations so that we can keep trying to

produce the raw material that will ultimately be required for these applications.

Saurabh Jain: My last question is, if you can point out some difference or your opinion on how come our utilization is around 85% while other players are running at 40% to 60%, 65%?

Manish Gulati: We are more competitive. This is the relative performance. That's all I can say. Competitive on cost, competitive in marketing, whatever, I mean this, but that's true.

Moderator: The next question is from the line of Rajesh Majumdar from B & K Securities. Please go ahead.

Rajesh Majumdar: So I had a few questions. I just wanted to know, you mentioned about the world's largest producer operating at 40% utilization. It's a common knowledge now. So, is there any takeover opportunity for any M&A activity available within the space right now?

Ravi Jhunjhunwala: I mean, there are only three, four players. There's nothing hidden in this industry. If you really study whatever is available there are only three, four players. So if at all it happens, it has to be only between these three, four, nothing else.

Rajesh Majumdar: Actually, let me ask this question the other way around. Even at 40% utilization, the cash losses are above \$1,000 for this player. So how is it likely to play out -- either it shuts down or it gets acquired and then the prices start moving up or will the prices start moving up on its own? And the related question to that, if the prices started moving up again, is there enough capacity in the world today to absorb the new demand because if the industry is operating at around 50% or 60% rate, then even if the demand grows in the next two or three quarters, then there's adequate capacity available to absorb this, it can put a cap on the prices?

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Ravi Jhunjhunwala: You see as far as your first question is concerned, I mean, obviously, nobody can talk about it in public domain. For the second question, yes, you are right, I mean, whatever is the overall capacity utilization, whether it is 40% or 70% or 80%, it will keep going up as the demand keeps growing. But just to clarify one point which is very typical in our industry. It takes, as I said between two to two and a half months for the easiest electrode to produce and it takes as long as five to six months for something called nipples, which is the pin which joins the two electrodes. So although the weight is only 4%, but without that nipple, the electrodes are of no use. So that takes anywhere between five to six months, depending on the size, quality and things like that. So given that the process is very long ... and not just long, but there are four or five different processes within which the electrode is produced. So, even in the very peak demand or highest prices that this industry saw in 2017, 2018, 2019, the overall capacity utilization of each one of us combined or separately, I don't remember the exact number, but it would not be more than 90%. Because it's not easy to run the entire plant with five different processes at more than 90%, 91%. I mean something or the other in the large plant does break down and that has an impact on the whole production chain. So given this peculiar issue with regard to our industry where 100% is 90 and not 100%. So this is what it is. So the demand of electrode, I mean, if we are talking about 90 million tons which is already 90 million

tons of new electric arc furnace

capacities which are already announced, and a lot of this information is in public domain as to who is putting up how, what size of a plant and when are these plants going to be operational.

The growth is going to be very large. I mean once this 90 million tons is all established and operational, the increase in demand will be, I mean, I'm just quoting somebody else, somebody else meaning, one of our competitors, they are talking in terms of 200,000 tons and this 90 million tons is not a fixed number. I mean, as you can imagine, we track this part of the information very closely every month, every week and this number keeps increasing, I mean as late as three, four weeks ago, this number used to be 84, 85 million tons. So in the last 30 days itself there have been new announcement of 5, 6 million tons. So it keeps increasing because this carbon emission and environment is here to stay, it is not going to go away anytime soon and especially in America and Europe and other parts of the western world, they are taking it extremely seriously. So, basically this is the answer to your enquiry.

Rajesh Majumdar: My other question was regarding additional 20 Kt. Who is the supplier of needle coke for this? Because as I understand that there are limited number of petroleum grade needle coke suppliers and that is a big constraint in the graphite electrode space?

Ravi Jhunjhunwala: It's not a constraint. I mean there are four or five suppliers, but yes, if electrode industry gets back to 90%, 92%, 95% capacity utilization, then the demand of needle coke and the capacity of needle coke and the demand of needle coke for the graphite industry will be more or less matching. There is still enough capacity to supply. I mean there will be occasional mismatch where maybe one month, two months, three months, somebody will be short of supplies, but at

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current level of 80, 90 million tons of additional capacity of electric arc furnaces coming in,

resulting into more demand of electrode, the supply of needle coke and demand of needle coke is more or less going to match.

Rajesh Majumdar: Is there any capacity coming in with needle coke anywhere in the world, any envisaged capacity?

Ravi Jhunjhunwala: No, nothing. And I don't have that figure in mind, but probably the last needle coke plant would have been put about 45, 50 years ago. So it's exactly like graphite. I mean we came into production in 1977 and today we are in 2024, so close to 47 years. There has not been any new Greenfield plant anywhere in the world. So it's exactly the same situation in needle coke.

Probably I'm wrong when I'm saying 47, 50 years. I mean last needle coke plant would have been more than like 60, 65 years. In both the cases it's not a question about technology.

Moderator: The next question is from the line of Sahil Sanghvi from Monarch Network Capital. Please go ahead.

Sahil Sanghvi: So my question is more of about the supply/demand dynamics. While we on this call only we discussed that probably the world ex-China demand for electrodes has not gone up or down much, and on the other side world ex-China electrode manufacturers utilization has slightly reduced. So I just wanted to understand that why in that case is the pressure so much on pricing, and because one of the reasons is the Chinese electrodes because I hear that some of the HP electrodes also can be blended along with the UHPs, so just if you can explain this a little bit in detail.

Ravi Jhunjhunwala: I will take the second part first. It's not possible to replace UHP electrode by HP. I mean because there is a difference in definition. I don't know what that you mean by HP and UHP. These are very loosely used terms, but to answer specifically in a furnace, if you require a particular quality of electrode which is let's say

called UHP, you can't replace it by HP. Basically, it's not a matter of that instead of 2 kilos per ton of steel, you can use 3 kilos per ton by switching from UHP to HP. HP will just not work. It is not a question of 20, 20, 40% more consumption. You need an electrode which will withstand the high temperatures in the UHP furnace. So that's the first answer? And what was the second question, if you just repeat that?

Sahil Sanghvi: So my question was that, what is the primary reason for pressure on the prices of electrodes because I mean on one side, we are saying that the demand for electrode world ex-China has not grown or moved much, and on the other side there has been these utilizations of a few companies ex-China which has come down, so I mean what's the real reason for the pricing pressure?

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Ravi Jhunjhunwala: I mean, you're answering your own question. I mean, obviously there are four or five players in the industry and whoever is more competitive will sell more. I mean, we believe our quality is as good as anybody else, and we also believe that our cost structure is better than most of the others. So this is obvious.

Moderator: The next question is from the line of Sandeep Machhar from Maichhar Industries Limited. Please go ahead.

Sandeep Machhar: I'm an investor. I have two questions. One, you said that you are already running at a capacity utilization of 85% and now as I understand that we are ready with the additional expanded capacity of 20,000 tons. So that means, first, we'll be able to achieve 100% capitulation of existing capacity, then only we can I think go for the additional expanded capacity. So by when we expect the additional capacity to be used? That is my first question. The second question is regarding the new expansion you just mentioned that you have started construction for the graphites which are used by EV industry. So, I just wanted to know by when we expect that expansion to be completed and commercial production in place?

Ravi Jhunjhunwala: I will answer the second one, which is easy. I already said in my opening remarks, we expect to be in production by let's say second half of 2025, so let's say sometime in July, August, September. And your first question is about capacity utilization. It can be one to two years really depends. I mean it's a very difficult I mean to pinpoint a month or a period when the demand will increase. It's an extremely difficult question. But only thing which is very satisfying for us is that we are still operating at 75%, 80%, 85% of utilization, so which obviously indicates that our quality is acceptable, our margins are better than most of the other players, so which obviously means that we have some competitive advantage and our quality is similar to what others are doing.

Moderator: The next question is from the line of Vipraw Srivastava from InCred Research. Please go ahead.

Vipraw Srivastava: I just had a question on Turkey. So based on the data, as far as electrodes imports are concerned, China has a very big player in Turkey. So wanted to understand, what kind of electrodes does bulky import from China, is it UHP or would it pose a threat to rest to our business, how do you look at that?

Manish Gulati: See, most of the electrodes, the data which you're referring to, you will find that most of them are HP grade. You will also see some quantities here and there of the ultra-high power grade because the furnaces are different and there are very high powered furnaces, there are low

powered furnaces . So you yourself look at the data you will be able to figure out in Turkey also they might be doing a trial here and there. But all I can say is that if you look at the big steel
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companies , they're not at that level yet that they will be reliably given 30 % , 40% of the business consist

ently year -after-year. That level is not there . Of course we can make trial here and there.
Vipraw Srivastava: My second question was on the anode subsidy coming up. So just have two questions on that. First of all , about the technical expertise required for manufacturing o f anodes, do we have that technical capabilities or are we doing it in tie -up with some other Company , how are we going about that?

Riju Jhunjunwala: So in terms of what you are referring, that consists of six, seven various processes, but the main process there also remains graphitization . And in graphitization, we are talking more about the older type of furnaces that H P does not almost use d today which are the adjacent furnaces, which are widely used for the anode application . So there we already have a very good pool of resources in-house, which we are already deploying on the design and development phase also of the facility. The rest of the facilities are more or less machine -led which do not require too much of manual intervention, but yes, there's a lot of R&D required on which kind of a raw material to process , and so there's a lot of trial and error over there , for which one to work very closely with the customers that we are already doing with our pilot phase c urrently . So we already have a state-of-the-art pilot plant that is fully producing around 10 tons per month. And with that, we've already started sampli ng with some large companies and trying to work along with them for their kind of requirements. So, there is no technical tie -up with one particular Company , but from time-to-time we will be taking help from whichever technical resources required.

Vipraw S rivastava: The other thing is the manufacturing of anodes . One significant cost is power cost, right because it's a very big component of anode manufacturing. So how will be the facility sourcing power for this in your perspective.

Riju Jhunjunwala: So we selected the state of Madhya Pradesh for this particular industry which we are getting a lot of subsidies from the government and one particular subsidy is around the 50 paisa reduction on the power cost for this particular facility . So the net cost of po wer to us should not be more than Rs.5.50 paisa for this facility when it comes up . And apart from that, obviously , the whole focus of the buyers in this particular industry is how much of the green electricity are you producing for which you're already in touch with a lot of solar and wind manufacturer s to work closely along with us, to have a kind of dedicated facility of 200 MW, 100 MW, that kind of a number in which we can do a buyback arrangement from them for electricity. So that is still work -in prog ress, but that will further bring the cost of power down for us, which we hope will not be more than Rs.5 as a weighted average cost of power. We have assumed around Rs.5.5 to Rs.6 in our business plan, but I'm quite sure by the time we work on it, we shou ld be able to save some power costs over there.

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Vipraw Srivastava: So as far as India and w hole market is concerned, how do you see it developing , I mean are there customers who are thinking of manufacturing batteries in-house because currently a lot of these batteries are imported from China. So how do you see this landscape changing? How is the ecosystem developing as far as the whole manufacturing in India is concerned?

Riju Jhunjunwala: So the Indi an battery we have t his thing . You must have already read around 50 GWh of lithium ion battery manufacturing has already been signed up by the government. They have increased this by 10 GWh more. So there is a lot of scope for anode production over there . And apart from us, Himadri or some other two more players, no one has now very, very serious kind of capacities for the lithium -ion batteries so I mean H EG has to be the leader in thi s as

far as the timing goes ,
and that's what Chairman also mentioned when he said that we wil l start commercial production by the second half of 2025.

Moderator: Ladies and gentlemen, that was the last question in the queue . As there are no further questions. I would now like to hand the conference over to Mr. Jhunjunwala for closing remarks. Over to you, sir.

Ravi Jhunjunwala: Thank you , friends, for asking some very pertinent and very pointed questions. I'm grateful to you for your interest in our Company and I will continue to engage with you on a quarterly basis and h opefully with some better results , with some better numbers. Thank you very much for that and see you again after about three months.

Moderator: Thank you , members of the management . Ladies and gentlemen, on behalf of SK P Securities

Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Jun 2024

HEG/SECTT/2024 3rd June, 2024

BSE Limited
P J Towers
Dalal Street MUMBAI - 400 001.
Scrip Code : 509631 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G Block, Bandra - Kurla Complex Bandra (E), MUMBAI - 400 051.
Scrip Code : HEG

Sub: Transcript of Earnings Conference Call on Q4&FY24 of HEG Limited

Dear Sir/Madam, Please refer to our Earnings Conference Call scheduled on 29th May, 2024 intimated vide our letter dated 24th May, 2024. Please find enclosed the transcript of the said Earnings Conference Call. The said transcript be read with the clarification given vide our earlier letter dated 29th May, 2024 intimating the Audio recording of the captioned Earnings Conference Call. The said transcript is also available under the Investors Section of the website of the Company i.e www.hegltd.com.

This is for your kind information and records.

Thanking You,
Yours faithfully, For HEG Limited

(Vivek Chaudhary)
Company Secretary
M.No. A-13263
heg.investor@lnjbhilwara.com

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"HEG Limited
Q4 FY '24 & FY '24 Earnings Conference Call"
May 29, 2024

MANAGEMENT : M R. RAVI JHUNJHUNWALA – CHAIRMAN , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER – HEG
LIMITED
M R. RIJU JHUNJHUNWALA – VICE CHAIRMAN – HEG
LIMITED
M R. MANISH GULATI – EXECUTIVE DIRECTOR – HEG
LIMITED
M R. OM PRAKASH AJMERA – GROUP CHIEF
FINANCIAL OFFICER – HEG LIMITED
M R. GULSHAN KUMAR SAKHUJA – CHIEF FINANCIAL
OFFICER – HEG LIMITED
M R. PUNEET ANAND – CHIEF STRATEGY OFFICER –
HEG LIMITED

MODERATOR : M R. NAVIN AGRAWAL – HEAD INSTITUTIONAL
EQUITIES – SKP SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the HEG Limited Q4 FY '24 and FY '24 Earnings Conference Call organized by SKP Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agrawal, Head, Institutional Equities at SKP Securities Limited. Thank you and over to you, sir.

Navin Agrawal: Good afternoon, ladies and gentlemen. It's my pleasure to welcome you on behalf of HEG Limited and SKP Securities to this financial results conference call with the leadership team at HEG Limited. We have with us Mr. Ravi Jhunjhunwala, Chairman, Managing Director and CEO; and Mr. Riju Jhunjhunwala, Vice Chairman. Along with their colleagues, Mr. Manish Gulati, Executive Director; Mr. Om Prakash Ajmera, Group CFO; Mr. Gulshan Kumar Sakhuja, CFO; and Mr. Puneet Anand, CSO. We'll have the opening remarks from Mr. Jhunjhunwala followed by a Q&A session. Thank you and over to you, Raviji. Ravi Jhunjhunwala: Thank you, Navin. And friends, good afternoon and welcome to our financial results conference

call for the fourth quarter fiscal year '23-'24 and also the full year '23-'24. As per World Steel Association's recent short-range outlook, global steel demand is set to rebound with an increase of about 1.7% in 2024 reaching about 1,795 million tons and a further growth of 1.25% in 2025, reaching about 1,815 million tons. This is in contrast to the negative growth of 1.1% in 2023, which totaled to about 1,763 million tons.

In China, steel demand this year is expected to remain at the same level as 2023, while for 2025, they expect a 1% decline due to expected decline in demand from real estate. Outside of China and rest of the world, steel demand is projected to grow faster by 3.5% annually in 2024 and also 2025. In that, India is a key driver with an impressive 8% growth expected in steel demand, spurred by significant infrastructure investments. By 2025, Indian steel demand is expected to be nearly 70 million tons, higher compared to 2020.

Other emerging markets, particularly the Middle East and ASEAN regions, are expected to see accelerated steel demand growth after the slowdown in the recent past. In the developed world, a gradual recovery is anticipated with steel demand growth of 1.3% in 2024 and 2.7% in 2025.

The EU, despite significant challenges, is expected to see a meaningful recovery in steel demand with a forecasted growth of about 5.3% by calendar year 2025. U.S. demand is also expected to grow at 1.8% in 2024 and by another 2% in 2025 due to robust investment activity and housing market recovery.

Coming to our Q4 '24 and full-year financial year '23-'24 performance, as you can see from our results, electrode pricing remained under pressure. Our expansion from 80,000 tons to 100,000 tons is now fully complete and all the new facilities are running smoothly. With this, HEG now runs the largest graphite electrode plant under one roof in the Western world.

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We declared a full start of our expansion in November '23. However, due to our long production cycle, the additional capacity came into effect in the last quarter of financial year '24. During first 3 quarters of financial year '24, while our capacity was 85% on the basis of 80,000 tons capacity. And for the last quarter '24, it was 75% on the basis of 100,000-ton capacity. The needle coke prices kept correcting through the past year due to difficult market conditions. And due to long production cycle in our product, there is always a lag time between needle coke procurement and

sales of finished electrodes. Our finished goods working process and raw material inventory levels are now normal and we do not have any inventory overhang.

We hope to see marginal improvement in steel production towards second half of 2024, which should result in increase in demand of electrodes. The positive for our industry is that the decarbonization has now become an irreversible process with more and more electric arc furnaces being announced every month. Till date, as per our information, more than 90 million tons of greenfield capacities have already been announced and we keep seeing such announcements regularly.

Out of this, about 9 million tons is already in operation and another 30 million tons is expected to be in operations between now and end of 2025. Some of the well-known international consultants like BCG and one of the largest companies in the world, which manufactures electric arc furnaces and other related equipment, a company called SMS from Germany, have recently come out with their reports confirming these projections in the -- which are now in public domain. This gives us confidence to project that the demand of our products is set to increase sharply over the years.

As we have said in our earlier calls, we expect graphite demand to increase gradually by around 150,000 to 200,000 tons by 2033 -- 2030, which is a significant increase over current demand of about 500,000 to 550,000 tons, excluding China. Other than HEG, no new capacity has yet been announced in the Western world. It takes at least 4 to 5 years to build a new greenfield capacity and about 2 to 3 years to expand an existing brownfield plant and we are well placed to take a meaningful share of this increasing world demand -- world market for our products.

You are aware that HEG has been exporting more than 2/3 of its production to some 30-plus countries for a very long time. And we have a very diverse and established customer base and we are working hard not only to get a larger piece of their requirement but we also keep adding new customers regularly in most of the countries we are exporting to.

In this backdrop, our expanded capacity of 20,000 tons per annum has come at a good time when the electrode market is likely to expand at a fast pace all around the world. Again, as you must have seen from public records in the entire field of graphite electrodes between 5, 6 companies in the world, our capacity utilization in the last 6, 7, 8 quarters has always been the highest.

Friends, with this, I would now ask Riju and Puneet to take over and explain to you in details about the recent restructuring and demerger announcement that we made last week. So over to Riju and Puneet?

Riju Jhunjhunwala: Puneet, if you can just go through the document. Thank you.

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Puneet Anand: Sure. Good afternoon, everyone. As you may have seen, we have announced the restructuring of HEG. We plan to demerge HEG into 2 new companies, HEG Graphite Limited and HEG Greentech Limited. We know there might be questions, so let us explain why we are making this deal. HEG currently has diversified businesses, including HEG Graphite business, 49% in Bhilwara Energy, the power company and 100% subsidiary of TACC Limited.

The Bhilwara Energy Limited has the following assets, 14 megawatts of the wind power, 51% of the Malana Power Company Limited. It's a joint venture between StatKraft and the promoters, which owns 86 megawatts of hydro assets in Himachal Pradesh. Malana Power also holds investment in wholly-owned subsidiary, which is AD Hydro Limited, which owns 192 megawatts of hydro assets in Himachal Pradesh. Also, 74% of RePlus is owned by BEL, which has the battery energy solutions. It already has 1-gigawatt hour plant in Pune and it will be expanding to 5-gigawatt plant by end of 2025.

These business have different growth strategies, risk profiles and investor base compared to our

graphite business. By creating 2 separate companies, we can unlock shareholder value and allow each business to focus on its core strength. The rationale behind the structuring is to unleash business potential, demonstrating the true value of our businesses. providing investors with a clear focus, offering distinct access to various lines of businesses, sharpening the focus on each business and increasing the shareholder value.

Simplifying the future capital infusion, circulating future capital investments for both HEG Graphite Limited and HEG Greentech Limited independent. Concentrating on core competencies, prioritizing our core business strength, establishing an independent brand entity, building specific core competence of new businesses, enhancing self-reliance in the TACC business. And lastly, creating a platform for future merger and acquisition for HEG Graphite business and HEG Greentech business.

As a shareholder, you won't lose anything. For every share of HEG you currently hold, you will be receiving 1 share in both new companies. This process will take around 15 to 18 months as it requires approvals from shareholders, lenders, creditors, NCLT and ROC. HEG Graphite

Limited will retain our graphite business and HEG Greentech Limited will hold hydro, wind through merged BEL, energy storage solution through RePlus, advanced carbon business through TACC and other opportunities which the management is currently evaluating such as pump hydro and battery recycling.

A new age HEG Greentech Limited will focus on green technologies. This move is expected to be highly beneficial for all the shareholders. By splitting into 2 end companies, we create a clear strategic focus on each. HEG Graphite will house the world's largest single graphite plant and its associated profits, while HEG Greentech will focus on green energy solutions. This split should enhance value of shareholders.

In conclusion, this demerger followed by merger allow us to pursue focused growth strategies and maximizing value for our shareholders. Both companies will be more agile and competitive, each with a sharper strategic focus. Shareholders will benefit from owning shares of both entities with significant potential of long-term value creation. We believe this restructuring is the right

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decision for our company, our employees and our shareholders. We are excited about the future possibility of both business and look forward to share this journey with you. Thank you for your continued support.

In conclusion, our fourth quarter and full -- our full year '23-'24 results have been satisfactory given the tough market condition. We have done better than most of our industry peers in all aspects. The next 2, 3 quarters may see margins remaining under some pressure but we are hoping that the demand will come back sometime in second half of 2024 onwards and we're now fully equipped to take advantage of our expanded capacity. We have all the technology capabilities, operational efficiencies and market reach to take our company forward and to succeed and thrive in all emerging situations and to create long-term value for our shareholders. I will now pass the floor to our CFO, Gulshan, who will take us through the financial figures. Following that, our -- Riju and our -- and Raviji will be entitled in addressing queries of the shareholders individually.

Gulshan Kumar Sakhuja: Thanks, Puneet. Good afternoon, friends. I will now briefly take you through the company's operating and financial performance for the year ended 31st March 2024. For the year-ended 31st March 2024, HEG recorded revenue from operations of INR2,395 crores as against INR2,467 crores in the previous financial year. The revenue for the fourth quarter of FY 2024 was INR547 crores as against INR617 crores in the corresponding quarter of the previous year. During the year-ended 31st March 2024, the

company delivered EBITDA of INR526 crores as against INR729 crores in the previous financial year. The company on a stand-alone basis recorded a net profit after tax of INR232 crores in FY '24 as against INR456 crores in the previous financial year.

And on a consolidated basis, the net profit after tax is INR312 crores in FY '24 as against INR532 crores in FY '23. The company is long-term debt-free and has a revenue of approximately INR980 crores as on 31st March 2024. The Board of Directors have recommended a 225% of final dividend, that is through INR22.50 per equity share of the face value of INR10 each for the financial year 2024 subject to the approval of the shareholders at the ensuing AGM.

To take up more questions from the participants, the detailed presentations have been uploaded on the company's website and on the stock exchange. We would now like to address any questions or queries you have in your mind. Thank you. Over to you, Navin.

Moderator: First question is from the line of Deep Mehta from Bank of India Mutual Fund.

Deep Mehta: Couple of questions. First question is regarding our graphite electrode business. I would like to understand the supply-demand scenario of graphite electrode business. From what we have read, it looks like some of the capacities in developed markets have shut down. So, a, is this correct? And how much market share we would have gained because of our high utilization as well as competitors' lower utilization?

Ravi Jhunjhunwala: See, as I said, if you look at the last 6, 7 quarters results closely and compare ours with most of the other peers, including Europe and American, Japanese, our capacity utilization has been by HEG Limited
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far the largest in every quarter. So obviously, in a shrinking market because of demand constraints, we -- if we are adding -- if our capacity utilization is the highest, obviously, we are gaining market share. And this is more or less in maybe more than 15, 20 countries. We are very well diversified in terms of our export reach.

As I said in my opening remarks, we have been exporting about 2/3 of our production for more than 25, 30 years. So we have a good grip of this market. And so -- unfortunately, the steel industry is not doing well worldwide, so we are affected to that extent but the future looks pretty promising. And up till now, most of the consultants were talking about it. But now, in the last 2, 3 months, we have got in the official domain a report from BCG and another report from SMS. And SMS probably knows the most about this industry because they are suppliers of most of the electric arc furnaces and all the related equipment.

So they are all projecting a very bright future for electric arc furnace simply because there's a carbon emission. The carbon emission through electric arc furnace steel is practically 20%, 25% of the same steel which is produced from blast furnace. So that is gathering steam in the rest of the world. India is still behind that because we are still not -- we -- our commitment to Zero Carbon is very far away. But rest of the world has taken a note of this carbon emission and as I said, about 90 million tons of steel capacity -- new greenfield plant capacities have already been announced all over the world. And all the expectation is that it will be about 200 million tons additional capacity by 2030.

So -- and with our expansion and our highest capacity utilization that I spoke about, so we are very well placed to take advantage of that as soon as there is a small tick in the market.

Deep Mehta: That is very helpful. If I have to take a slightly shorter-term view, like you've said that there is a lead and lag between needle coke in our books as well as current price on which there's margin volatility. So going ahead, what -- is the difference between the inventory in our books and the current price of needle coke still very high? And how

should we see the raw material volatility going ahead?

Ravi Jhunjhunwala: No. See, currently, there is no shortage. There's no problem at all. As the electrode prices have dropped in the last 6, 7 quarters, so have been needle coke prices dropped. So if you are talking about the margin being the difference of the selling price of electrode versus the buying price of needle coke, it hasn't changed much. It has kept pace with the drop in the electrode prices. And this is true in the past also. And fortunately, our buying has been pretty decent. And unlike most of the other peers in the industry, who have taken a fairly large NRV hits in their balance sheet over the last 3, 4 quarters. We haven't taken any hit. So our inventory overhang of high-priced needle coke has not affected our results.

Deep Mehta: Very clear, sir. And now coming to other businesses. Now we are merging a couple of businesses and separating 2 listed companies. So if you can talk about other businesses for which our M&As might be slightly lower, specifically battery storage business as well as power business. What are the current numbers? And how should the future look like for these newer businesses?

Ravi Jhunjhunwala: So Riju or Puneet, one of you.

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Riju Jhunjhunwala: Yes, I think I can take that one off and I can just give a slightly longish answer so that the other queries are also answered as well. So as you guys -- as everyone must be already aware, HEG holds 49% in a company Bhilwara Energy Limited, which is owned 51% by the promoters directly and 49% by HEG. Bhilwara Energy in turn holds 51% in a 300-megawatt hydroelectric power venture. Both these hydro plants are run of the river plants and merchant power plants. One has been operational since 2002 and the other one has been operational since 2011. Now, under Bhilwara Energy Limited, we have started a business of RePlus, which is into providing energy storage solutions, both for stationary applications of solar and wind power energy storage as well as for moving electric vehicles, where we're already working with some renowned names Pinnacle, Lyca, et cetera, etcetera, for manufacturing the battery packs for their electric vehicle. So this -- so Bhilwara Energy owns 74% in this and the balance is technically for the promoters who have started that event.

TACC, which is the large graphite anode manufacturing project that HEG had undertaken, had conceptualized around 2 years back. That is taking good shape on ground. We had decided and we had spoken about it in the last meeting also that we are setting up 20,000 tons per annum of graphite anode -- high-grade graphite anode powder, which will be used for the lithium-ion battery manufacturing on the anode side. And obviously, India today does not have any cell manufacturers. So this product will actually go there.

Now, having a platform which has both hydro -- active hydroelectric power, active business in the energy storage space, which is in my personal opinion, I think, in the right -- in the next 5 years, that should see a lot of traction. And also this new project, TACC, which although we are still on track, absolutely on putting up the 20,000-ton per year capacity, will obviously come in terms of the capacity utilization. The way we had explained earlier also, it will not be something which we -- which is a plug-in and then out kind of a thing. You'll have to work very closely with the battery manufacturers, both in India as well as abroad.

So our plans for putting up this project will have to match with timelines of the cell manufacturers. And that's what we are trying to do. And in the meanwhile, we are shuffling around with the technology. So as a conscious decision, we took up this exercise around 6 months back internally, which was made public in this Board meeting, that the resulting structure will have 2 clearly defined companies. One will be the

the HEG Graphite company, which will have the HEG Limited, which is 100,000 tons graphite plant and the captive 20-megawatt power -- Tawa hydroelectric power units and enough cash in its balance sheet to fund dividend for this year and the leftovers from the expansion and some kind of safety capital as we might call it. And the leftover company would be renamed to, let's say, HEG Greentech Limited, obviously subject to all the clearances, et cetera and it will take 15 to 18 months. That company would have absolutely mirror shareholding of HEG Limited and that will have Bhilwara Energy's 49% stake of HEG, 100% stake of TACC and Bhilwara Energy's stake of RePlus Limited. So clearly, 3 different businesses but all 3 related to the new age economy businesses and also to do with

renewable energy and kind of -- with lithium-ion battery infrastructure.
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In Bhilwara Energy, we already have a very safe kind of -- it's a battery company, the parent company -- the parent hydro companies. So you have a safe cash flow inside Bhilwara Energy of between INR100 crores to INR150 crores worth of dividend, which will come in every year. So subsequent to Stage 1 of this demerger process, the promoters who own 51% of Bhilwara Energy will merge their shareholding of Bhilwara Energy into the main company. And in view of giving that 51% shares that the promoters would be giving for Bhilwara Energy, as per the true and fair valuation, which has been done by PwC and also supported by ICICI Securities. The resultant company will have an increased shareholding later on where the promoter shareholding goes up from 56% to around 70%. But that additional shareholding that is going up in the new company is purely because the promoters are putting in 49% of their equity that they today hold in Bhilwara energy. So then we have 2 clearly separately listed verticals, mirror shareholdings of both the companies. While HEG focuses on the graphite electrode business completely, this new energy business focuses on DC chargers to begin with. And like Puneet said in the introduction, I mean technology is ever evolving in these new areas. And we are looking at whatever kind of other projects possible, like battery recycling, et cetera, et cetera, as and when it comes under this particular framework. So it gives us and also the shareholders 2 very clear distinct identities, both which are listed with existing cash flows to focus on different businesses, one is the graphite business and one is the new age economy business. So I hope I've been able to kind of explain it properly in terms of what the resultant structure where we are aiming at. And everything has been done absolutely at arm's length. PwC has done the entire evaluation, in which they've taken their existing valuation of -- so all the valuations of all these independent companies has been done by PwC absolutely and which has been evaluated by ICICI Securities as well. And Bhilwara Energy has been valued at around INR3,000 crores in total. So HEG share of Bhilwara Energy becomes INR750 crores. From total share of that 51% becomes -- yes and the TACC evaluation is exactly as per the last business plan that we had done in terms of the 20,000 tons and INR1,800 crores of capex coming up in the middle of 2025 operating at 30%, 50%, 75% and then 90% of capacity utilization in year 4. And based on that and the 16% weighted average cost of capital for the new project, the valuation, the HEG today has invested around INR80 crores of money in TACC but we've already valued it at INR280 crores as part of the demerger plan. So that is absolutely fair and square for all the minority shareholders as well as promoters. And then the culture of both the companies, the manpower requirements of both the companies, the kind of -- ease of structures of both the companies, we can manage accordingly. So that is the rationale behind the demerger.

And we hope that in the coming few years, it should gain. And in the medium term also, it should give a lot the HEG shareholders a huge benefit to take advantage of both these businesses, the graphite and the new energy business. So that's all from my side but I'll be happy to take whatever other questions anyone might have specifically.

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Deep Mehta: Very clear. Just 1 clarification. There was some noise disturbance so -- just 1 clarification, Bhilwara Energy valuation is around INR3,000 crores. Is my understanding correct?
Riju Jhunjhunwala: No, no. So that I stand corrected, the overall valuation of the hydro business is at INR3,000 crores, of which Bhilwara Energy holds 51%. So the valuation of Bhilwara Energy's 51% in the hydro company stands at around INR1,500 crores. Now HEG holds 49% of Bhilwara Energy and promoters hold 51% of Bhilwara Energy. So that is around INR750 crores and INR750 crores each. So for the purpose of valuation, Bhilwara Energy's total valuation for the demerger and the subsequent merger has been taken at around INR1,500 crores.
Moderator: The next question is from the line of Saurabh Jain from Sunidhi Capital.
Saurabh Jain: Okay. Just needed 1 information on the graphite electrodes business. So based on capacity utilization numbers on the previous calls, sir, I guess the volumes have broadly remained little under 70,000, maybe around 69,200 to 69,500 during the last 3 fiscals, that's FY '22 to FY '24. Am I right?
Manish Gulati: Yes. You're almost there, very close.
Saurabh Jain: Sir, my humble request to the management to start providing utilization or volume numbers in

our quarterly presentations just like our competitors do, that would be really helpful.

Manish Gulati: We can do that. It's not a problem.

Saurabh Jain: Okay. Sir, my next question on the -- this demerger thing. What would have been the FY '24 revenue, EBITDA and net profit of the existing businesses of HEG Greentech Limited, which includes Malana, RePlus and AD Hydro Power, if it is possible right now?

Riju Jhunjhunwala: So Malana, so BEL's overall value inside Bhilwara Energy as a company specific, there is only 20 megawatts of wind power, which is being operated. So the overall revenue is only around INR17 crores, INR18 crores of the entire Bhilwara Energy. The main value of Bhilwara Energy will come in the form of dividend that it will start receiving from this year onwards from Malana Power Company Limited, which in our estimation should be very safely depending on the selling rates of power every year, should be in the region of between INR100 crores to INR150 crores for Bhilwara Energy as a whole. Half of it predominantly flow to HEG, half of which will flow to the promoters directly.

Now, for the purpose of valuation, we have taken a very rough estimate of around INR6 per unit of selling price for electricity for the next 20 years and the average generation or whatever the plants have been achieving for the last 10 years as the generation figures for that. So in terms of the real valuation -- real value, if you ask me, the overall revenue is only between 5% to 6% of the entire company what is being done by -- from the new Greentech. But in terms of future valuation, yes, of course. I mean, TACC will start commercial production by middle of next year. Then, depending on the kind of capacity ramp-up over there, that will start bringing significant revenues.

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RePlus, we are very confident, which will then become a 100% subsidiary of Greentech business, that we are hoping that this year, we should -- in the year '24-'25 on a very conservative basis, we should be able to do revenues of between around INR250 crores to INR400 crores, which are a decent EBITDA kind of margins, which can only see growth in the next few years because of the kind of growth that we see in the sector.

So going forward, I mean, obviously, next 1 or 2 years, it's more about investments, more about everything in the new Greentech business. But we have a very steady source of revenue in Bhilwara Energy, which will come in the form of dividends. And RePlus itself will start generating cash flows very soon. TACC will take another couple of years before it starts generating very significant revenues.

Saurabh Jain: Okay. Sir, I missed out on RePlus EBITDA. You had mentioned something.

Riju Jhunjhunwala: So RePlus, let me tell you -- I mean, RePlus is in the business of energy storage solutions. We have a factory, which is a 1-gigawatt hour factory, which is put up in Pune, which is 100% up and running. There, basically, you are importing the cells today from China and making these battery packs, both for the energy storage business and for the vehicle kind of business. So that business is less on capex because these are mostly you're talking about assembly lines which are being setup. So the capex involved in the total RePlus till now is roughly around INR70 crores to INR80 crores only.

But more of the money that goes into the particular project, let's say, if you get a large tender from the government tomorrow to give 200-megawatt hour of energy, a large portion of that will have to be supported by a strong balance sheet of the -- your delivery clauses, your performance

guarantees, et cetera, et cetera, which Bhilwara Energy will be in a position to provide. 100% of Bhilwara Energy is under the new Greentech business. And that also alienates the existing HEG Graphite business from providing any kind of guarantees or any kind of performance bank guarantees, late delivery clauses, et cetera, et cetera, for any of the new businesses.

And the growing, steady state, we expect RePlus to easily give an EBITDA margin of between 10% to 15%. Again, this is all dependent on product to product. Every day you will see a massive change in lithium-ion battery prices. They've literally halved in the last 1 year. Where they stabilize, what kind of rates we get the project bid at, it's -- this will all kind of play in the next 2 or 3 years. But a 10% to 15% healthy EBITDA margin.

And this year, we are very confident of ending the year '24-'25, given the order book that we have, at between INR250 crores to INR400 crores. And why I'm giving such a big kind of margin thing between INR250 crores and INR400 crores is because these are large government projects, which you know better than me -- I mean, we are hoping that it closes very fast but they can be delayed because of elections, because of whatever reasons by about a couple of months here or there. So on a conservative basis, it's INR250 crores and on an aggressive basis, around INR400 crores is what our target is for this year. And this company will be a 100% subsidiary of the new HEG Greentech company.

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Saurabh Jain: That was really helpful. Sir, my last question, what would be the capex number look like for FY '25 and '26 for graphite electrodes?

Ravi Jhunjhunwala: No, in graphite electrode, we have just...

Saurabh Jain: Sorry, anode.

Riju Jhunjhunwala: So for the anode, so at least the overall capex for the project that we are envisaging is between INR1,600 crores and INR1,800 crores depending on the final selection of technology, et cetera, how much power we need to take, how much -- we are still kind of contemplating between 48-kilometer 250 kVA line or whether we can make do with a 133 kVA line, that changes the entire dynamics. But between INR1,600 crores to INR1,800 crores over the next 18 months is the capex plan that we have for TACC.

And around INR750 crores of this capex would be clearly funded by the cash to be left behind by the HEG Graphite company, which the HEG Graphite company was anyways committed to invest in TACC. And the balance will be from the dividends of Bhilwara Energy and a combination

of some debt that we take on its balance sheet later once the demerger process is complete.

Moderator: The next question is from the line of Pradeep Rawat from Yogya Capital.

Pradeep Rawat: So my first question is regarding our margin. So last year, we had a margin in the range of 25% to 30%. And now in this quarter, it's around 8%. So any specific reason for that?

Ravi Jhunjhunwala: Gulshan?

Gulshan Kumar Sakhuja: Yes, yes. This is on account of only that reduction in the selling price quarter-on-quarter basis. Nothing more than that.

Pradeep Rawat: Yes. And what's the reason driving the reduction in selling price?

Manish Gulati: There is no -- that is the degrowth of steel production between '22 and '23, which is, I mean, resulting in slowdown of demand and all the -- our peer group not being fully utilized. So that is why -- I mean, all -- our competition takes its toll when all -- everybody needs that extra ton of order.

Pradeep Rawat: Yes. And my next question is regarding our revenue split. So can you provide a number like how much revenue do we generate from ultra high-power graphite electrodes?

Manish Gulati: See, if you -- in the portion of our business, it's roughly, I would say, 70% to 75% of UHP and balance of HP grade electrodes -- I mean, non-UHP electrodes.

Moderator: The next question is from the line of Vandana Soni from SBI Mutual Fund.

Vandana Soni: Just wanted to understand the merger valuation. You said hydro business is valued at INR3,000 crores. So just wanted to confirm whether this include Malana Power plus AD Hydro Power both or just Malana Hydropower?

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And second thing, I wanted to understand the valuation which we have given for TACC Limited.

Sir, you said INR80 crores has been invested till now and we have given INR280 crores as a part of demerger to HEG, which implies the total valuation for TACC is INR950 crores. So is that correct?

Riju Jhunjhunwala: No, no. I think you have some confusion. At the hydro structure, it is very clear. So we have Malana Power Company Limited, which owns Malana Power Company, which is around 90 megawatts of hydropower and which owns almost 100% of AD Hydro, which is 200 megawatts. So let's assume Malana power company has a 300-megawatt hydro company, in which Bhilwara Energy owned 51%, 49% is held by our Norwegian partners. Now neither are we planning to buy the Norwegian partners out, neither they plan to buy us out and neither are we planning to demerging that company. So the valuation of the entire hydro business is at around INR3,000 crores, out of which, Bhilwara Energy's valuation comes to be around INR1,500 crores. Out of this INR1,500 crores, it is evenly split between the promoters and HEG, 49%, 51%, at around INR750 crores each.

TACC Limited is a 100% subsidiary of HEG Limited, in which HEG Limited has invested around INR80 crores today and that has been valued at INR280 crores. That INR80 crores has been valued at INR280 crores. TACC as a company has nothing to do with the Bhilwara Energy today or with RePlus or with any other company. It's a 100% subsidiary of HEG. And INR80 crores has been infused as equity, which has been valued at INR280 crores based on the numbers that we've always been discussing and a 16% weighted average cost of capital there. So these are the 2 valuations.

Vandana Soni: So what will be the total valuation for TACC? I understood the HEG part is valued at INR280 crores. And post-demerger, HEG will hold 29.46% of this TACC. So this implies INR950 crores of TACC valuation. Is that correct?

Riju Jhunjhunwala: No, no. No, that's not correct.

Puneet Anand: Vandana, I'll take this thing. So the demerged entity post the graphite business been demerged, it comprises of 3 main things, where one is 100% subsidiary TACC Limited, where the infusion is INR80 crores, we have 49% of BEL shares, which is today at a book value of INR300 and some investments, which will be roughly for INR700. The total asset, which is in the demerged entity, is roughly INR1,100 crores. The fair valuation of this INR1,100 crores is INR2,200 crores. So 100% TACC, which today, we have infused INR80 crores, it has been valued at INR300 crores, INR292 crores to be very precise.

The BEL equity of 49%, which demerged HEG hold, it is valued at INR1,050 crores. And the investments are being valued at INR776 crores. When you are merging the BEL, so 49% of the equity of HEG Limited will be canceled and the promoters plus another listed company RSWM Limited, will be issued new shares. The merger valuation is INR2,134 crores. Out of that, INR1,045 crores is of HEG and remaining, it is for promoters. So these are the numbers.

Riju Jhunjhunwala: So TACC value will be around INR292 crores, as Puneet said.

Puneet Anand: Correct.

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Riju Jhunjhunwala: For INR80 crores of money that HEG has put in today. It's a 100% subsidiary of HEG. And the new Greentech company will own 100% of TACC. It will not be 29%, it will 100% of TACC, the new Greentech company.

Puneet Anand: Once the merger is done, the 29.8% equity, being issued, is with the public shareholders, not with the HEG because the demerged entity is held by the public shareholders. So HEG is not holding anything in HEG Greentech Limited.

Riju Jhunjhunwala: It's a mirror shareholding. It's just a mirror shareholding of what it is today.

Moderator: The next question is from the line of Bhavik Shah from MK Ventures.

Bhavik Shah: Just wanted to understand like the investment which currently HEG holds, out of which INR750 crores will be transferred to HEG Greentech. Is that right?

Ravi Jhunjhunwala: Yes, correct.

Riju Jhunjhunwala: It will remain with the current company while the HEG Graphite company will become like a new company. So in terms of the structure, the graphite -- HEG Graphite will be moved to a new co and all the existing businesses, including INR750 crores of cash will remain in the current HEG Limited, which will be renamed HEG Greentech Limited later on.

Bhavik Shah: Okay. And sir, the borrowings will shift to the graphite company or will remain in this company?

Puneet Anand: So as for the borrowings which we have in HEG Limited is more for the working capital. This will be part of the HEG Graphite Limited. But we are also adding INR300 crores of cash kitty in that for the future. And the -- any profits which is coming from April '24 onwards is also of HEG Graphite Limited.

Bhavik Shah: Okay. Okay, sir. Also, I just wanted to understand the revenue per ton and EBITDA per ton, which you are making right now. What is that number?

Gulshan Kumar Sakhuja: We cannot speak specific about our numbers, EBITDA per ton but that can easily be calculated from the number that is available in that -- in the market -- in the public.

Bhavik Shah: Okay. Can you just guide with our Q4 volumes, like what were volumes for the quarter?

Gulshan Kumar Sakhuja: Volume is 90% based on that, 80,000 capacity.

Bhavik Shah: Okay. Okay. And -- okay, sir. Sir, any guidance for FY '25...

Ravi Jhunjhunwala: Just to clarify, as I just said in the beginning, on the basis of -- we cannot keep talking about 80,000 anymore. I mean we are now fully equipped to produce 100,000 tons. So as I said in my opening remarks, the capacity utilization this year based on 100,000 tons, we expect it to be in the region of 75%.

Bhavik Shah: Okay, sir. So this number for '25 would a 75% would be like 80% to assume that, like we can target that?

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Ravi Jhunjhunwala: Yes, in the region of 75%, more like 75%. It could go to 80% if the market picks up a little bit. But at this moment, I'll probably say 75%.

Bhavik Shah: Okay, sir. And sir, in the Greentech business, which we have, sir, what kind of return ratios are we seeing in the anode business? As we are

saying we want to invest INR1,600 crores to

INR1,800, what kind of return ratios do you expect to generate?

Riju Jhunjhunwala: So in the long run and let's say, 4th year onwards, then we are assuming like a steady state of

revenue at 20,000 tons capacity, at 90,000 capacity utilization year 3 or year 4 onwards. It should give us a steady state of between INR400 crores and INR425 crores of EBITDA. That should be the kind of range -- that's the kind of number that has been taken for the purpose of valuations and also at the beginning of the conceptualization of the project itself few years back.

Bhavik Shah: If I like heard your opening remarks currently, in RePlus, we are expanding from 1-gigawatt to 5-gigawatt, right?

Riju Jhunjunwala: That is a very long-term plan. That's a long-term plan. The area that we acquired is good enough to go from 1 gigawatt to around 3 gigawatts. But when I say 1 gigawatt, this is of battery assembly. I mean, let's make on e thing very clear. This is not 1 gigawatt of lithium-ion cell manufacturing because that's a whole different bus iness altogether with like \$1 billion plus per gigawatt hour of capex. We are purely in the business of battery assemblies and battery pack manufacturing. So we have manufacturing capacity of 1 gigawatt hour based on three shifts of operation today for different kinds of battery chemistries and making battery solutions out of it.

So our raw material for that is the lithium-ion battery cells. which we are importing currently from China. And these are the same companies th at tomorrow, hopefully, will become our clients once TACC is functional and making its graphite anode powder. So the clients of -- so for the buyers of TACC would be the suppliers for Re Plus if you want to put it that simply.

Bhavik Shah: Okay. Sir, this INR250 crores to INR400 crores is like from our peak revenue potential. This is only for FY '25, right?

Riju Jhunjunwala: Yes, because this has unlimited revenue potential. I mean, the way the whole ESS business is growing in India, almost every te nder that you have seen from SECI, almost every tender that you are seeing from any private company today is for round-the-clock power. And obviously, with the renewable energy exceeding its targets today in India, for the solar and for the wind power projects, the peak power can only be provided by a backup of energy storage solutions.

Now -- so in the long run, there's going to be a huge demand, not only in India -- I mean, we are already in the company and we already finished a project, if you've heard of the NEOM City in Saudi Arabia, which is being built. It's not a very large project, it's a IN R45 crores project for RePlus but we've already handed over that projec t -- to the NEOM City. So that is also in the business of providing solutions to export customers, not just in India. But over a 5-year period, this can really be -- grow into a very lean and thin and a very good -- kind of good, sustainable kind of a business in power.

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Bhavik Shah: Current capacity of, say, 1 gigawatt, INR400 crores could be a maximum potential of revenue if -- but we can always expand.

Riju Jhunjunwala: Yes. Yes and no. I mean, I'm not saying INR400 crores is the maximum because a lot of these projects -- a lot of projects will be where you have to assemble the comple te battery pack. A lot of projects will be the projects in which the cust omer buys the cells and delivers it to you and you just have to provide them the solution overall. So revenue is really not the key over here.

This same INR400 crores of revenue could be INR1,000 crores of revenue if all the sales were to be bought by us instead of being supplied by the clients.

This has to be seen more by an EBITDA basis but we are very, very confident that I think now this business is established, it's a year -- the factory has been running for around 6 months. And we

are seeing very encouraging results. We just signed an MoU, which is in the public domain EKA buses, the Pinnacle's buses that they are coming up with. We've already supplied 100 battery packs to them and we are in the process of supplying 2,000 more battery packs to that company. So in the long run, we have good potential both from case study and moving the application for this particular business.

Bhavik Shah: All right. And sir, if I squeeze in 1 last questi on. Sir, this TACC will be -- plant will be operational from September 2026, right?

Riju Jhunjunwala: No. The TACC plant will be in operation from around middle of, let's say, June or July 2025.

Bhavik Shah: Okay, 2025.

Riju Jhunjunwala: But -- '25, yes, plant will start commercial prod uction but I said to achie ve, let's say, the first year of revenue would be around 30% of capacity utilizations because there's a lot of work that you need to do around with the battery companies along with the end user to kind of match the exact profile of that. But by September 2026, we can easily see a 75% kind of a capacity utilization for the 20,000-ton plant.

Moderator: The next question is from the line of Pradeep Rawat from Yogya Capital.

Pradeep Rawat: So we import battery cells from Chinese players and we will supply them lithium-ion anode to the cell manufacturer, right?

Riju Jhunjunwala: I mean, yes and yes and no because today, India does not have any lithium-ion battery manufacturers but you have a lot of companies, Reliance, Ola, Exide, Amara Raja, Rajesh

Exports, other companies, Genpact, which have signed a lot of MoUs with the government to put up large capacities for at least 50-gigawatt hour of battery manufacturing in India by the year 2026. Now that 50,000 tons -- 50-gigawatt hour of battery manufacturing -- cell manufacturing would turn into a demand of 50,000 tons of graphite powder. And in India, really, today, there are no real manufacturers of graphite powder.

Apart from us, there is a company called Epsilon, which you all must have heard of. There is Himadri Chemicals. Everyone is working on pilot-scale plants. We also have our own 100 tons per year of pilot plant, which is already operational, where we are working with 24 to 25 different

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grades of raw material along with the customers to provide them with this solution. But today, when we have to buy cells for RePlus, the only option is to either buy from China or if the customer wants a non-Chinese product, then it's probably 1.5x higher and you have to import from countries like Japan and South Korea, et cetera, because the cost of manufacturing of these cells in China is far lower than anywhere else.

So we are importing these cells and converting them into battery packs and racks. And then a very important portion of that is the battery management system, the energy management system, everything, which is designed as per the particular client's application. So that's what the business RePlus is in.

Pradeep Rawat: Yes. So once our plant is operational, so we will be seeing a demand from Indian players also for our graphite anode powder?

Riju Jhunjhunwala: Correct. So the rationale behind putting the plant, if you ask me in one line, the rationale and the core rationale behind putting the plant is obviously in the long run to cater to the Indian suppliers.

But you know, I mean this demand and supply cannot be exactly matched time to time.

You don't know if their plant gets delayed by 2 years, if they start importing anode powder. So we have already started working with all the larger -- these larger companies, whether they are based in China, whether they are based in Europe, whether they are based in Japan or Korea.

We've already started trials of our graphite anode powder that in the initial few years, even if we have to export the graphite anode powder, it should be a very profitable venture then also.

So

the core philosophy behind the project is to cater to the domestic demand in the long run. But in the short and medium run, if the domestic demand does not sum up as anticipated because of whatever delays in their plans of putting up the cell plants, our plants can easily cater to the exports market also to begin with. So we are not changing our manufacturing plan as far as creating regional services.

Moderator: The next question is from the line of Pranay Khandelwal from Alpha Invesco.

Pranay Khandelwal: I just wanted to understand and clarify one thing. TACC, the graphite anode business, that stays with the HEG Greentech business, right?

Riju Jhunjhunwala: Right, right, right.

Pranay Khandelwal: Right. And we have INR1,600 crores to INR1,800 crores kind of capex. I just wanted to understand that you -- how will it be funded?

Riju Jhunjhunwala: So like we mentioned earlier, around 700 -- around INR80 crores of it has already been funded by HEG in terms of the land and the basic civil work that have started. There's around INR750

crores, which will be left in the balance sheet of the HEG Greentech company, which will be used for funding this. We will have a dividend in Bhilwara Energy of easily close to around INR200 crores or INR300

crores of distributable dividend in the next 18 months, which will be used for this. And the

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balance INR400 crores to INR500 crores can easily be funded by debt. I mean, we are being very conservative when we are talking about this because if we are investing INR1,500 crores of equity into this business, even if I were to consider 1:1 debt-equity ratio, one only needs to put in around INR800 crores of investments, for which the funds are already tied up, even to maintain a 50-50 debt-equity ratio.

One can easily take an INR750 crores debt and complete this project. But as we go along, depending on the cash availability of Bhilwara Energy, what kind of requirements we have, whether it is 12 months, whether it is 18 months, specificities getting matched. And I think we have the good mix of equity and debt. And for the first phase, I think we'll try to go for maximizing whatever equity we can put into the business. And for the subsequent steps of growing that particular business in the next 3 to 5 years, debt will always be a very welcome option over there.

But today funding 20,000 tons of INR1,600 crores should not be a problem at all with the

INR750 crores of cash in the resulting Greentech balance sheet, INR80 crores that has already been invested by HEG and around INR250 crores to INR300 crores of money that Bhilwara Energy can support. And the balance INR400 crores will be your debt portion. So we'll be able to complete the project absolutely without any problem in terms of raising any more money for this particular business for Stage 1.

Later on, once -- any kind of options are open from kind of doing that business including getting any strategic partner, getting any kind of private equity, et cetera, for that particular business. But that's at the later stage once it's established and the plant is up and running and we have a good future of concept of what I'm actually talking about right now.

Moderator: The next question is from the line of Deep Mehta from Bank of India Mutual Fund.

Deep Mehta: Just 1 clarification. After these -- all the transitions and once Bhilwara Energy becomes 100% part of HEG Greentech, we expect roughly INR200 crores to INR300 crores of dividend from -
- cumulatively in the listed company, correct?

Riju Jhunjhunwala: Yes. So this will be like, let's say, 3 years of dividend or 2.5 years of dividend because that is -- some, I mean, already there, we've already announced 1 round of dividend into Bhilwara Energy.

And the plan is to keep the money over there in the Bhilwara Energy Limited as part of the dividend to be invested as part of TACC Limited. And this number can range

ge -- this number will range anywhere between INR100 crores to INR150 crores a year depending on the selling prices of that particular year.

Deep Mehta: Okay. So annualized dividend will be somewhere between INR100 crores to INR150 crores?

Riju Jhunjhunwala: Correct. And, again, it is very difficult for me to...

Ravi Jhunjhunwala: Just to clarify, see, these were the 2 hydro projects that the group put in the last 15, 17 years.

And these were the first 2 projects in the country in the private sector and we took the risk of not signing a long-term PPA. So at that time, there was a lot of debate in the banks and financial

institutions and a couple of institutions backed out of their commitment of loan. But we were

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convinced that by signing a PPA -- long-term PPA, we will only lose by signing a PPA because we were of the opinion that the open market selling price will always be higher than a fixed-price PPA. And that fortunately turned right for us.

So consistently, this number that we are now talking about, the dividend number that we expect to get every year is based on the last 3, 4, 5 years of actuals. And as Riju explained, this particular company is owned 51% by us and 49% by a Norwegian partner, which is the largest hydro company in Norway. So we have seen the selling prices of power in the open market to be at least 50%, 60%, 70% higher than what would be -- what we would have got had we signed a long-term PPA. So that was a very critical decision that we took. That was a big risk that we took about 15 years ago.

And because we were convinced that in India, the power prices will keep going up and hydro is the most competitive power as we all know. Unfortunately, both these projects got put up at a fairly reasonable price. And so within 4, 5 years of commissioning of the project, we made enough money to repay all the debt. So for the last about 6, 7 -- 10 years, probably, we have been a debt-free company. And in hydro, as you know, there is very small cost of running the

plant. So interest is normally between 70% and 75% of the revenue -- I mean, of the cost in the first 5 to 10 years till you carry the debt. So we didn't carry that debt for a very long time.

Within 4, 5 years of the operation, we were able to repay the entire debt, which would have been more or less in the region of INR1,200 crores, INR1,400 crores. So this is a very reasonable number that we are talking about, a 51% dividend of about INR100 crores to INR200 crores, in

between that. So selling prices of power are very attractive. And in Hydro, as you know, we can cater to, what you call, peak demand.

So in the last 6 months of the winter time, October to March, when the generation goes down to 15% to 20%, 50% of capacity but it gets compensated by very high price of selling number -- selling price because of the peak times. So we generate all the power in 4, 5 hours where the peak prices apply. So that figure of INR100 crores to INR150 crores being 51% of our dividend is very, very easy. I mean, it's not an exaggerated number that we are talking about. We've seen this in the last 4, 5 years.

Puneet Anand: Just to add here 1 more thing. This BEL also through AD Hydro owns 170 kilometers of transmission line. There, some relief is given by CERC and we may receive INR400 crores of transmission income in next 1 or 2 years. That will also increase and contribute to the profits.

Moderator: That was the last question in the queue. As there are no further questions, I would now like to hand the conference over to Mr. Jhunjhunwala for closing remarks. Over to you, sir.

Ravi Jhunjhunwala: So thank you, friends, for a very insightful discussion we have had today. In the last 2, 3 weeks, ever since we announced the demerger in the public domain, there have been lots of speculation.

So it's good that we all spoke about it and we spoke about it very freely. And I believe you

would

have got all the answers that you were looking for. And if somebody didn't get a chance and we'd -- or somebody could not or we were not able to satisfy somebody on the numbers, we'll

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be very happy to have a one-on-one call with anyone, just to take care of all those speculations which were going on for the last 10, 15, 20 days.

So thank you very much and look forward to speaking to you again.

Moderator: Thank you very much. On behalf of SKP Securities Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

HEG/SECTT/2024 24th August, 2024

BSE Limited
P J Towers
Dalal Street
MUMBAI - 400 001.
Scrip Code : 509631 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G Block, Bandra - Kurla Complex
Bandra (E), MUMBAI - 400 051.
Scrip Code : HEG

Sub: Transcript of Earnings Conference Call on Q1 FY25 of HEG Limited

Dear Sir/Madam,

Please refer to our Earnings Conference Call scheduled on 20th August, 2024 intimated vide our letter dated 14th August, 2024. Please find enclosed the transcript of the said Earnings Conference Call.

The said transcript is also available under the Investors Section of the website of the Company i.e. www.hegltd.com .

This is for your kind information and records.

Thanking You,

Yours faithfully,
For HEG Limited

(Vivek Chaudhary)
Company Secretary
M.No. A-13263
heg.investor@lnjbhilwara.com

Encl: as above
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HEG Limited's
Q1 FY25 Result Conference Call
August 20, 2024

Management: HEG Ltd
Mr. Ravi Jhunjunwala - Chairman, Managing Director & Chief Executive Officer
Mr. Riju Jhunjunwala – Vice Chairman
Mr. Manish Gulati – Executive Director
Mr. Om Prakash Ajmera – Group Chief Financial Officer
Mr. Puneet Anand – Chief Strategy Officer
Mr. Ravi Tripathi – General Manager Finance

Moderator
Mr. Navin Agrawal
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HEG Limited
August 20, 2024

Moderator: Good day, ladies and gentlemen. Welcome to the HEG Limited Q1 FY '25 Results Conference Call organized by SKP Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the management's opening remarks. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agrawal, Head Institutional Equities at SKP Securities Limited. Thank you, and over to you, sir.

Navin Agrawal: Good afternoon, ladies and gentlemen. It's my pleasure to welcome you on behalf of HEG Limited and SKP Securities to this financial results conference call with the leadership team at HEG Limited. We have with us Mr. Ravi Jhunjhunwala, Chairman, Managing Director and CEO; and Mr. Riju Jhunjhunwala Vice Chairman. Along with their colleagues, Mr. Manish Gulati, Executive Director; Mr. Om Prakash Ajmera, Group CFO, Mr. Puneet Anand, CSO; and Mr. Ravi Tripathi, GM Finance. We'll have the opening remarks from Mr. Jhunjhunwala, followed by a Q&A session. Thank you, and over to you, Raviji.

Ravi Jhunjhunwala: Thank you, Navin. Friends, good afternoon, and welcome to our financial results conference call for the first quarter Fiscal year '24 - '25. Global crude steel production for the first half of calendar year '24 remained flat at about 955 million tons which is more or less similar to last year, as reported by the World Steel Association. However, production trends varied significantly in this 6 months across the major steel producing areas.

U.S. saw a decline of 2.4%. Japan declined by 2.7%, South Korea 6.8%, and Russia 3.1%. In contrast, Indian steel production grew by 6.9% which grew up to about 74 million tons backed by very strong domestic demand for infrastructure, real estate, etc. Germany and Turkey also grew by 4.3% and Turkey as high as 14.5%, respectively. China produced about 531 million tons of steel in the first 6 months, reflecting a decline of about 1.1% over 2023.

It is important to highlight here that China produced about 55.6% of the total world steel in the first half of current year and as such, any substantial change in steel production in China does affect the rest of the world. Chinese steel exports increased significantly due to slowdown in their domestic demand. In the first half of 2024, China exported 53.4 million tons in the first half of 2024, while their full year export in 2020 was 53.7 million tons meaning what they exported in the whole year of 2020, they exported the same volume in the first 6 months.

At this rate, China may end up exporting more than 100 million tons of steel in the full year 2024 which is very close to the highest ever export of 112 million tons in 2015. Such large exports from China to rest of the world does affect other countries' own steel production due to cheap prices of Chinese exports of steel. This obviously has an impact wherein the demand for graphite electrodes reduces as the rest of the world produces less steel under pressure from Chinese exports. And obviously, this results in reduced demand of electrodes.

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Now coming to our quarterly performance. As you have seen from our results, our profit before tax was lower compared to past quarter. Here, I would like to mention about onetime impact of one of our treasury-related investments in equity shares where we have taken a mark-to-market loss due to fall in its stock price and booked it under the head of other expenses. We are, however, bullish on this particular investment in the medium to long term, and we do not see any cause for concern at this stage.

Operationally, our performance was more or less similar to past 2 quarters. Now

coming to the outlook.

As you are aware, our expansion from 80,000 to 100,000 tons is fully complete and all the new facilities are running very smoothly. And this makes our plant by far the largest at a single location in the entire Western world, leading to certain cost advantage over all other large producers, majority of whom are in the Western world having higher cost of production.

Our capacity utilization for '23-'24 was 82% with the first 3 quarters on the basis of 80,000 tons capacity and the fourth quarter when our capacity became 100,000 tons. For Q1 '25, which means April, May, June we were close to 80% capacity utilization, and we hope to be close to 75% for the full year despite steel not doing very well in the world.

Our capacity utilization is the highest amongst all our peers in the world. The electrode pricing continues to remain under pressure due to reduced demand. The needle coke prices kept correcting through the past year due to difficult market conditions. But the spread between electrode prices and needle coke prices did narrow down, bringing pressure on margins as is evident when you look at our margins for the last 6-7 quarters.

Our finished goods, work in process and raw material inventory are at very normal levels and we do not

have any inventory overhang of higher costs. While we are currently facing some near-term margin pressures, we are very positive about our industry in the mid to long term. Decarbonization has now become an irreversible process. We are constantly tracking more and more announcements of the new Greenfield electric arc furnaces from different parts of the world.

As we speak, more than 100 million tons of new Greenfield capacities have already been announced, which will be in operation between now and 2030, out of which about 64 million tons is likely to be in operation by as early as 2027, and we keep seeing more and more such announcements on a regular basis. As we have been exporting about 65% to 70% of our production to more than 30-35 countries for a very long time, we are in a good position to meet this increasing demand for our products all over the world. In this backdrop, our expanded capacity of 20,000 tons per annum has come at a good time when the electrode market is likely to expand at a rapid pace around the world. Friends about the recent restructuring and demerger announcement that we made last quarter, the update is that the scheme of arrangement is progressing well and is currently with the SEBI and stock exchanges, pending approvals. After the stock exchange approval, the scheme will also require approval from the NCLT, National Company Law Tribunal. We expect the process to be completed by middle of next year. In conclusion, our first quarter results may not have been satisfactory given the tough market conditions. But operationally, we have still done well compared to our peers in the industry. HEG remains one of the most competitive plants due to our large capacity at a single location. The next few quarters may see margins remaining under pressure, but we are hoping that the demand would come back sometime from 2025 onwards and we are fully equipped to take advantage of that through our expanded capacity.

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We have all the technological capabilities, operational efficiencies and market reach to take our company forward and to succeed and thrive in all emerging situations to create long-term value for all our shareholders. With this, I will now pass on the floor to our General Manager Finance, Ravi Tripathi, who will take us through the financial figures. Following that, our Vice Chairman, Riju; our Executive Director, Manish and our Chief Strategy Officer Puneet, and I will be delighted to address any inquiries or queries that you may have regarding electrodes and the demerger announcement. Now over to Ravi Tripathi.

Ravi Tripathi: Thank you, sir. Good afternoon

, friends. I will now briefly take you through the company's operating and financial performance for the quarter ended June 30, 2024. For the quarter ended June 30, 2024, HEG recorded revenue from operations of INR571 crores as against INR671 crores in the corresponding quarter of the previous financial year. During the quarter ended June 30, 2024 the company delivered EBITDA of INR59 crores as against INR178 crores in the corresponding quarter of the previous year. The company on a standalone basis recorded a net profit after tax of INR 3 crores in Q1 FY 2025 as against INR 98 crores in the corresponding quarter of the previous year. And on a consolidated basis, the net profit after tax is INR 23 crores in Q1 FY 2025 as against INR 139 crores in the corresponding quarter of the previous financial year.

The company is long-term debt-free and had a treasury size of nearly INR917 crores as on June 30, 2024. The detailed presentation has been uploaded on the company's website and on the stock exchange. Now, we would like to address any questions or queries you have. Thank you. Over to Navin.

Moderator: Thank you very much sir. The first question is from the line of Pritesh from Lucky Investments. Please go ahead.

Pritesh: Sir, first, on the graphite anode plant. What is the capex spend so far on the green anode plant? And what is the cash balance that we have in HEG's balance sheet? Then with respect to Malana Power, post the restructuring what is the holding that HEG Greentech would have in Malana, the percentage ownership. And what is the P&L of Malana Power? Basically, this 300-megawatt hydro power plant in FY '24, what was the utilization EBITDA and PAT for this plant?

Ravi Jhunjhunwala: I'll ask Riju to answer that, but you talked about Malana 300 megawatt. There are actually 2 projects. One is called Malana, one is called AD Power, which is Allain Duhangan which is the location. So Malana is 100 MW, the other one is 200 MW. The is 300 megawatt, but there are two different projects.

So now, I'll ask Riju to take up.

Riju Jhunjhunwala: Yes. So on the graphite anode part of it, the total capex that the company has done till now is around INR 60 crores, out of which between INR 30-35 crores is purely on account of land. And then the balance into levelling of the land and the boundary walls and environment approvals and the preoperative expenses.

So total expense till now is around INR 60 odd crores. The exact cash balance in HEG's books, I think Ravi Tripathi would be in a better position to answer that question specifically. And in HEG Greentech, today HEG owns 49% of Bhilwara Energy and promoters directly hold 51% of the company.

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So when this merger happens of Bhilwara Energy with HEG Greentech, the exact percentage, which will evolve will depend on the exact valuation of Bhilwara Energy which will be exactly the same for the promoters and for the HEG shareholders, but to answer your question, I think -- and on the profitability of Malana Power, I think Mr. Ajmera is here. He is expertly explain to you about the profitability of Malana and the cash balance, I think, Ravi Tripathi, if you can just give the exact cash balance on HEG books right now.

Ravi Tripathi: The exact figure is INR917 crores treasury is there.

Om Prakash Ajmera: With respect to the EBITDA of Malana and AD combined, Malana consolidated is about INR 350 crores for FY 2023-'24.

Pritesh: Okay. Sir, just one clarification on this hydro power plant. So eventually -- the HEG Greentech, which would be the new company on demerger and the merger of Bhilwara into that company, how much holding HEG Greentech will have in these hydro power plant?

Puneet Anand: So I'll take this question. So today when the entire restructuring will be completed, HEG Greentech will hold 51% of Malana Power, 49% is held by the Statkraft. And then there is 100% companies underneath the Mal

ana Power, which is AD Hydro. So in totality, HEG Greentech will be holding the 51% of the entire Hydro assets like today. There's no change in the asset of Malana or Hydro.

Pritesh: And sir, lastly, one clarification on the graphite anode plant. Your targeted base for production in FY '26 and you have spent only INR 60 crores. So is it that the machinery orders have been placed for or is there any changes in the time lines for commercializing these assets?

Ravi Jhunjhunwala: So I'll tell you very briefly on this particular thing. We've kind of pushed forward our commissioning target for this particular plant. That's only on account of two things. We are absolutely ready with all the machinery that has to be placed in terms of the orders. We are completely ready with all the civil design, and we are completely clear with all the sales engineering drawing which has been done by Mott MacDonald.

So tomorrow morning, as of now, if we actually give the go ahead, then the plant construction can start fully on. The only reason why we have pushed it slightly back by maybe like 1 or 2 quarters is for two reasons. Firstly, the plants that were coming up in India, their plans have also been kind of delayed. And this is on account of just purely the last 8 to 12 months of a complete drop in lithium ion battery prices from around \$85 to \$90 per KWH to around \$55 per KWH.

Now we are just studying this particular thing as to whether it is temporary or permanent. But after getting into all details, I mean, we believe this is the bare minimum that the prices can actually go to because of the overcapacity in China. And like you all would have seen in other companies as well, the overall ecosystem of the EV in auto use globally has not gone as per expectation.

But this is just a demand supply kind of a mismatch temporarily. And obviously, because of this we are trying to renegotiate with the state government and different other state governments in India on the power prices because power constitutes around 30% to 35% of the variable cost in this particular project.

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So while the demand for anode is absolutely one way, which is upwards, the prices at which Chinese companies are selling today is below the variable cost as of date because of the large overcapacity that they have created. But ultimately, our aim is to sell to the Indian market and try to export whatever balance to the export market. So we are in complete touch with all the possible Indian consumers, and we are trying to match our plant commissioning along with them.

So we are absolutely ready from our side. But obviously, I mean every day is a new kind of day in these new technology businesses. And we are trying our best to try and renegotiate the kind of power prices because they will ultimately determine the final price for this product.

So while Madhya Pradesh is still the most preferred option for us, we are trying to look at a couple of processes in this particular plant, if we can shift it to some other state where the prices of power might be lower. So everything is absolutely ready. There is absolutely no confusion on the company's path to put the project up. There is no confusion on the demand.

The only temporary confusion that has come about is in the last 8 to 10 months with the battery prices crashing. And obviously, anode being a part of that, how to make sure that our margins are protected, in which power plays the most important role. So we are trying to renegotiate with the Madhya Pradesh government that they should allow us to buy power from third parties or captive without putting any kind of surcharge or different states like Odisha, et cetera, which are offering power at a much cheaper rate.

So just -- it is just that process that we are involved in. Everything else remains absolutely unchanged.

And this INR 60 crores of capex that I spoke about, regardless of whenever

the plant comes up, this is

something that had to be invested because of the land and because of the environmental clearances and

clearing of the land and the boundary, et cetera.

So it is not like sunk cost or it's not like a cost which has been just done like that. It's something that we would have to do in any case, regardless of 1 or 2 quarters of actually spending the money. So like Ravi Tripathi mentioned, the INR910 crores sitting in the balance sheet of HEG, which continues to grow, it would just be that decision on when to start spending that kind of money on the ground. That is a decision that we've just purposely kind of delayed by a couple of months or quarters depending on how well we can negotiate with the state governments.

Pritesh: So it's pushed to FY '27 as of now?

Riju Jhunjunwala: I mean FY 26-27, most definitely, the plant would come up because that is the time when the battery companies would have started. So I mean, to be honest, on ground, except for Exide, no other company has started physical ground breaking and physical production of batteries as of today. So we are working very, very closely with all of them, because the whole kind of accreditation process with all these companies will take between 15 to 18 months in any case to produce from our pilot plant. So that process is fully on.

So there is no change in the project. There is no change in the thought process for the project. The only thing we need to work is how to further lower the opex cost, which primarily being the power prices for which we are fighting with the different state governments and trying to get the best price possible from there. So there's no change in the project. Just that, I mean, we are looking at a couple of quarters and which will also coincide with the ultimate battery producers. So that's the only change.

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Pritesh: Okay. I'll come back if there are more questions.

Moderator: The next question is from the line of Vipraw Srivastava from InCred Capital.

Vipraw Srivastava: Right. First question was on the -- investment in GrafTech, which you have done in U.S. So that stock is getting a notification from the exchange for delisting -- potential delisting because stock price has come below \$1. So in that event, what happens to your investment? And how do you plan to mitigate that strategy?

Puneet Anand: Puneet Anand this side. The exchange has given them the time line for 6 months. And I believe, this is our understanding, they have different ways of getting it -- keeping it in the exchange itself because we understand they are looking for an investment, and they are looking for some more fund flow. As a normal way, like we -- like I can give you an example, like HEG today is doing a split of shares. They can also do a reverse split. And the price will again go above \$1. So there are ways to mitigate these kind of delisting things. We don't foresee any kind of challenge today with our investment in GrafTech.

Vipraw Srivastava: Right. Fine. Fair enough. Second question, sir, a few quarters before, the management said that HEG power cost is competitive with China. I mean, the figure which I remember was around INR 5.5 per kilowatt hour. So what -- how has that changed? At what price does HEG plans to procure the power now? Is it below INR5.5? Because in China, in Mongolia, power cost is around INR5 to INR6 only per kilowatt hour. So I don't see much of a difference there, but what is HEG's management view on that?

Riju Jhunjunwala: So I'll take the question again. I mean, it's more related to the green power. HEG's current cost of between

INR5 to INR5.5 is on the basis of HEG shutting off its thermal power plant. So when HEG shuts off its thermal power plant, in lieu of that, the government has given a subsidy and giving power at INR5 to INR5.5. That is limited to the HEG site where the HEG's current site is there. It does not mean t

hat if we

are putting up the anode project in Madhya Pradesh at a separate location, then the same subsidy would apply to that.

Vipraw Srivastava: But then why do you have to move to a separate location if you can get power at INR5.5 and your current...

Riju Jhunjunwala: No. Because that location, we cannot put -- we are still trying to evaluate because that particular location, after our expansion of graphite from 80,000 to 100,000, there is literally no space in that particular plant to kind of put up a new project over there.

But we are still looking at ways and means on how we can do a little bit of mix and match if there is some possibility of doing that. So when I mentioned that we are trying to reduce the cost of power, just to give you an idea, I mean, in producing 1 ton of anode powder, there is one particular process that involves 11,000 units of power. If we can save INR1 over there or INR2 over there, you're talking about potential savings of INR20,000 per ton as far as this is concerned.

When you're talking about a long-term project of 15 to 20 years for this particular kind of thing, I think a couple of quarters of delay in trying to make sure that we at least get the power at the cheapest ways possible, wherever we put that particular process is something that we are working on day and night on. And if we can manage to achieve that, that will make us definitely much more competitive. And China,

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like you spoke, I mean, they already have the sunk cost. These projects have been -- people are producing over there for more than 5 to 8 years because China was big on EV for the last 10 years.

So I mean, they only have the variable cost to look at. But today, the product is selling at x price, they have no other option than to produce that product over there at whatever price of power they're getting. But when we are selecting a greenfield project and going from it right from the start, then even that INR1 or INR2 of difference in the power price can make a huge difference over a 10-year period of the product. So which is the reason why we are kind of looking at that.

Vipraw Srivastava: So sir, I mean, if any state can give you power as low as INR5 or INR5.5, you can do a project there. That -- is that understanding correct, right?

Riju Jhunjunwala: Yes. We can actually split the whole project into 2 parts. And actually, the main part, which is the graphitizing part that consumes the maximum amount of power, which HEG has the competitive advantage because of us knowing the graphitizing process very well because of the electrode business in the last 50 years.

There is absolutely no problem in looking at any state in India or outside India also to kind of do this particular process at a particular place. Because it will make a huge difference per ton of between -- around INR20,000 per ton in the overall scheme of things. So if you're talking about 20,000 tons per annum and INR2 difference of power, that makes it around INR40 crores a year.

So which is something that -- a couple of quarters of trying to negotiate with different governments or that kind of thing, I think it's something that we should be looking at and that's what we're doing.

Ravi Jhunjunwala: Just to add something here. When we -- there was a time, I think, 6, 7, 8 years ago, when we were operating 70 megawatts of thermal in addition to the 15-megawatt to 20-megawatt of hydro that we have, which is still operating, but we were also operating 65 megawatts to 70 megawatts of thermal. And at that time, Madhya Pradesh government was surplus in power. So they more or less gave a discounted price of power for a certain number of years to some industries which were among the largest power producers in the state.

So in that backdrop, we closed down our thermal plant, which is still there. I mean, we can start it the day we want, but obviously, at current prices of c

oal, it is much more interesting to buy from the grid than operate that plant, but that plant is still standing there.

Moderator: We'll take the next question from the line of Gaurav Paul from Excellence Financial Service Financial Services.

Gaurav Paul: Sir, my first question is on the anode powder business. So given the prices of the lithium-ion battery, which have fallen, as you also mentioned in the call, what was the fall in the prices of the graphite anode powder prices? I mean the battery price fell. So what was the percentage of fall in the prices of the anode? And also, since now the BESS is becoming very attractive. I mean there are multiple tenders which are coming out. And as the prices of the battery energy storages become cheaper there might be more demand for those for grid level or utility level battery storage. So could you please give your thoughts on that?

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Riju Jhunjunwala: Yes. So the battery prices have actually fallen in the last 12 months from, let's say, \$85 to \$100 per KWH to around \$50 to \$60 per KWH. Now when we do all the calculations backwards, I think below \$50 is just a dream. That is something that is not going to happen according to us because below that, you go below the variable cost for everything.

Anode is between 10% to 14% of the battery prices. So let's say, when the battery prices were \$85 to \$100 the anode was being sold at between \$10,000 to \$12,000. Today when the prices have gone down for the batteries up to \$50 to \$60 per KWH, the price of anode too today, you are getting between \$6,000 to \$7,000 per KWH depending from application to application.

Now very correctly, you spoke about the BESS thing. There, the grade of battery that you need; for that, you can sell anode at \$5,000 to \$6,000 per ton. But for the EV applications, you still need a higher grade of anode, which will need around \$7,000 to \$8,000.

So at \$8,000 or \$7,000 per KWH per ton of anode, the project is still very, very viable and excellent IRRs on that particular range. It's when you go below that range of around \$7,000 that we have to start seeing the cost of electricity, et cetera, which will make us more and more competitive. And the good news for a company like ours, which is like the new company, which will be made, the HEG Greentech, there, we are already present in the BESS business in which we are already doing projects in India and outside of India. There, our raw material is the battery itself.

So there, we are seeing the tenders that are now coming up with SECI, et cetera, in which the prices are for 20 years, they are selling prices between hybrid of solar, wind and BESS system at INR3.40 for 20 years. So the cost of BESS systems, which used to be INR2.5 crores per megawatt has come down to around INR1.25 crores per megawatt. So you will see a huge demand in BESS system coming up in India in the next few years, for which you already have our company, which is totally held by Bhilwara Energy

and which should be part of the new HEG GreenCo, which will be -- which is Replus. And there, the business development that we are seeing, both India and outside of India is very, very strong. So that too should be contributing a good value to the overall -- this new Greentech business that we are trying to get into. But to answer your question, Anode is between 10% to 14% of the lithium-ion battery prices. And there is always room for better grade anode that we wish to produce, which will be used more for -- not for stationary applications, but more for the moving application. Then the requirement would be for the higher grade, which is what we are targeting at. But regardless of that, power consumption is the same. So we'd rather try to look at some cheaper sources of power to make ourselves more and more competitive in that.

Gaurav Paul: Understood, sir. My second question is how sticky is the anode powder products? So f

or example, say,

Exide mix of product or a certain battery. And the -- I mean, can they switch between, say, an HEG or Himadri or Epsilon? Or is it like a powder grade, which is chosen based on the size?

Riju Jhunjunwala: I'll answer that because we also here in the last 1 year, we are in the process of understanding this business

much better. So let's say Exide has to produce lithium-ion batteries. They have around 42 raw materials that they have to purchase in order to run the line efficiently. Graphite anode is only one of the 42 products.

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So once they select between an HEG or an Epsilon or Himadri or any other company that they want to buy the anode from, then it is very difficult or I'd rather say, not worthwhile to try and consider a change. Because then that will mean a change in their entire process, changes their entire chemistry, which is why I think our decision to put up our power plant -- or sorry, pilot plant way in advance so that we are already talking to companies like Exide and all to start using our anode.

So yes, technically, they can change our anode from our anode to some other companies. But once it is set, it is not going to be something that they would like to change immediately. They would give 2 or 3 year, 4 years kind of order depending on price, but this will not be something that will be discussed on a monthly to monthly basis. Okay, that's quite sticky that way.

Gaurav Paul: Right. Sir, and also last year, actually, there were some notification on news about China blocking exports of anode powder. How is that progressing? I mean, is that still going on? Or are they losing on that?

Riju Jhunjunwala: No. So the U.S. actually imposed the ban on Chinese products for lithium-ion batteries, but they realize that the cost of setting up an anode plant in the U.S. is almost double that of India. We are talking about \$12,000 per ton as the capex, they are talking about 20,000 tons as their capex. So U.S. also relaxed their norms, and they have said that till 2027, they will allow Chinese imports into the country.

Now China has put a 13% duty on export of graphite material because it's just cross-border bullying happening on both the sides, because they want to export their products at a higher price and they want most of the product to be consumed within China. They've not banned it but they've put like 13% duty on the export of this raw material from China. The ban, I think, was more on natural graphite products from China, not the finished synthetic raw materials.

Moderator: The next question is from the line of Gouri Malik from Desvelado Advisory.

Gouri Malik: I would like to ask that as said earlier, the medium- to long-term optimistic outlook for the graphite electrode demand due to the decarbonization efforts. So could you please provide more details on your strategic plan to capitalize on this anticipated demand, which is likely to increase, especially with the potential for 200,000 tons of additional demand by 2030?

Ravi Jhunjunwala: See, as I spoke about, about 100 million tons of new electric arc furnace capacities have been announced

all over the world, minus China, we are talking of the Western world. And I believe in simple terms, 1 million tons of electric arc furnace today costs about \$1 billion. So \$100 billion of new steel capacities investments have been committed, and it is all over the world.

America is amongst the largest because unlike rest of the world, which produces about 40%, 42% of steel through electric arc furnace without China, America has always been at 70%. So they have been producing 70% of their steel through electric arc furnace, whereas the rest of the world is in the range of 40%, 42%.

So America was taking the lead earlier also because they were more focused on the decarbonization and environment and all. So now it is happening all over the world. So between Europe, U.S.,

Middle East

and a little bit of South America and Africa, about 100 million tons of new capacities are already announced and they are all coming before 2030, out of which we have some fair data, fair knowledge about 60 million, 65 million tons, which is going to be operational between now and 2027.

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So that is likely to give a boost to electrode demand to the extent of 100,000 to 125,000 tons in the next 3 years or so. And as you may have followed other graphite producers of the world, at least 3 or 4 European, American and the Japanese plants have been closed, all in the last 12, 18 months. They have announced closures of those plants because of current situation, risks, and all that and while we have expanded.

Of course, you cannot time the expansion perfectly, but we are not disappointed that we expanded and we spent INR 1,200 crores. It could have been delayed by 1 year, but nobody can time it exactly. So it's a matter of 2, 3, 4 quarters. Again, I cannot pinpoint when. But it is sure that the demand is likely to increase substantially.

And as I said in my opening remarks, I mean, we are the lowest cost producer. And since we have been exporting about 65% to 70%, not in the last 2, 3, 5 years, but for the last 25, 30, 35 years. So we have a fairly good reach in most of the countries which produce steel through electric arc furnaces where in most of the cases, we are selling to them. And these are the people who are either expanding their capacities or some new steel plants are coming. So we are fairly confident that as soon as this market changes, I hope as early as '25, we are the only ones who will have extra capacity of 20,000 tons to sell.

Moderator: The next question is from the line of Pritesh from Lucky Investments.

Pritesh: Sir, just one question. With respect to this anode facilities. So in India, based on whatever capacities have been announced by Exide or Ola factory or whatever is announced today by them and what is getting implemented on ground, what is the amount of graphite anode that these companies will need or the demand from India? .

Riju Jhunjunwala: So I mean, if you look at our source of information, it is only NITI Aayog. I'm not getting into what the BCG, McKinsey and all are kind of projecting. But the NITI Aayog really says that by 2030, we will have a minimum of 80 gigawatt hour to a maximum of 130 gigawatt hours of battery production in India.

That would mean 1 gigawatt hour would mean 10,000 tons of anode requirement.

So you're looking at anywhere between 80,000 tons to 130,000 tons. And like my dad replied about what the graphite electrode business will be in the last question, the exact timing of that cannot be -- I mean, neither I can tell you, neither NITI Aayog can tell you, but we're talking about a range of between 80,000 tons to 130,000 tons of demand by 2030.

So when you extrapolate this graph from 2030 to 2040 which is a long time ahead, it increases even further drastically. But you've already had like this one, your Exide, which is on the verge of starting 5 gigawatt factory. Ola, I believe, already has a 3 to 4 gigawatt factory.

Pritesh: No, it's 1.5 gigawatt.

Riju Jhunjunwala: 1.5 gigawatt, yes. So this will keep changing from time to time.

Pritesh: So this 6.5 gigawatt, which is there, let's say between Exide and Ola, the 6.5 gigawatt hour mean how much anode requirement, 10%?

Riju Jhunjunwala: That would be 6,500 tons, let's say.

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Pritesh: 6,500 tons.

Riju Jhunjunwala: 6 gigawatt would be 6,000 tons. So right now, their only source is from import. I mean, right now, they would be importing this from China or any other company. I mean, obviously, China has 90% of the anode manufacturing around the world. All this will be from China today, which ultimately, every company will have to move towards localization. And that's why they are

doing very large pilot projects

with companies like us that whenever our plant is up and running, they can change it from the current source to Indian sources.

Moderator: We will take the next question from the line of Shashank Kanodia from ICICI Securities.

Shashank Kanodia: I just wanted to check on your base graphite electrode business. So almost yourself and all your competitors are bleeding on electrodes, right? So -- and all your numbers are in the listed space as well.

So, it's bleeding...

Moderator: Sorry, sir, your voice is breaking. I would request you to kindly use your handset.

Shashank Kanodia: So just wanted to check on your base graphite electrode business. So yourself and your peers are bleeding

to the throat. And since these are listed, even your end customers are aware of the numbers. So what prevents us as an industry of taking aggressive price hike in the system to support our profitability?

Puneet Anand: We are unable to understand your question. Can you be more clear, please?

Riju Jhunjunwala: Just repeat the last sentence that you spoke about.

Shashank Kanodia: Sir, what prevents us to take aggressive price hikes in the system? So right now, I think you might be selling your graphite electrode at \$3500 a ton. So as the industry benchmark, can we scale up to \$12,000 per ton across sales?

Ravi Jhunjhunwala: No, it is -- we are not -- we are one of the 5, 6 players in the industry. So arbitrarily, we cannot sell at a higher price compared to what our peers are selling at. And our peers are, as you know, they're sitting in Europe, America and Japan. So obviously, in a competitive world, I mean, you have to sell at the same price at which others are selling.

Shashank Kanodia: Even those guys are bleeding badly, right? Their cost of production even higher than ours. So as an industry, practically, all of us, all the peers' profiles are bleeding there. Can we take a collective price hike?

Ravi Jhunjhunwala: How can we have a collective price hike? It's a competitive business.

Riju Jhunjhunwala: I mean that would mean going to jail. I mean, if you're looking at something like cartelization, that is something that, HEG, as a company, we've never engaged in.

Shashank Kanodia: Break even of the EBITDA levels. Your competitors are bleeding the EBITDA level, right? So these numbers are there in the public domain for everyone to see.

Ravi Jhunjhunwala: Yes, these -- I mean, that's exactly what I was saying that we are the lowest cost producer, and we have expanded. So as soon as the market shows some sign of improvement, which it is bound to because in

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the last 40, 50 years, we have not seen even more -- even 20 million, 30 million tons of new electric arc furnaces being established in the world. .

And currently, we are talking about 100 million tons. And it has everything to do with the decarbonization because as you probably know, the same steel produced through the electric arc furnace versus blast furnace, the carbon emission is about 4x more in the blast furnace. So all that is happening in the last 2, 3 years on account of the realization of decarbonization and pollution and environment, which is a very good sign for our industry.

And as I said -- and as you rightly said, we are the lowest cost producer, and that is why we are still operating at 75%, 80%. I mean even in a bad market, despite our expansion, we just said that we hope that we will be able to maintain a level of 75% as compared to anybody else. I mean, I don't want to quote their numbers. They're all in the public domain. So we are by far -- in capacity utilization as well as in terms of operating margins and profits and everything, we are by far ahead of them.

Shashank Kanodia: And sir, can you please explain logic behind making equity investment in GrafTech? So doesn't that put all the eggs in one basket?

Ravi Jhunjhunwala: I mean we have so much of inves

tment. I mean, we have invested INR1,200 crores only recently and

expanding our plant. And so it's a very well thought out investment that we have done because this is the only company, GrafTech is the only company in the world -- in the world of graphite, which is backward integrated. And we know all -- everybody knows what happened 5 years ago when the electrode prices went up by 5, 6, 7x and also the needle coke prices went up.

So they are in a very unique position that to take double advantage of whenever the electrode prices hot up and the electrode demand goes up, they are in a very unique position that they have their own coke and that is where they made a lot of money 5 years ago.

We are -- I mean, yes, you can never time the market. I mean you people know this much more than I know, but we are very, very bullish about it. And we don't see any problem. And whatever it is, it's a temporary reduction in the price. It's a matter of 2, 3, 4 quarters. I mean it will come back. And when it comes back, I should not be talking about my competitor, but we think that their prices will shoot up much more than our share prices just because they have a handle on their raw material.

Shashank Kanodia: Can you quickly quantify what is the level of write-off that's taken in other exchanges for this quarter on your investment?

Ravi Jhunjhunwala: Can you repeat again?

Shashank Kanodia: The quantum of write-off if you take any other expenses for the investment ?

Puneet Anand: So it will be in between INR30 crores to INR31 crores.

Shashank Kanodia: And would it be more prudent to take it as an exceptional item? Because the listed space has never seen a parlance when it is taken to other expenses.

Puneet Anand: So this is as per the Ind AS and as per the auditor's suggestion.

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Ravi Jhunjhunwala: So if you take the -- if you analyze our last quarter report, P&L, and if you take out the loss on the investment of the share, and then you compare it with all the other 3, 4 companies, they are all in the public domain. Then you will realise that our margins are still very healthy compared to all others.

Shashank Kanodia: So it was normal practice to take that part as an exceptional item or maybe resulted from other income?

Ravi Jhunjhunwala: No, no. You cannot. I mean this is the only way.

Moderator: We'll take the next question from the line of Saurabh Jain from Sunidhi Securities.

Saurabh Jain: Sir, on our anode prices, earlier, we were guiding for around USD 10,000 per ton. And now with the recent developments, we are guiding for USD 7,000 to USD 8,000 per ton. So how does it affect our EBITDA margins?

Riju Jhunjhunwala: So right now, I mean it's just a temporary blip right now, which you -- if you see at USD 10,000 per ton, our EBITDA margin was coming to around 30%, 35%. And the same prices go down to USD 7,000, the EBITDA margins go down to around 20%. But then again, if we can make a move on our power prices and try and reduce them further, which is what we are trying to aim at right now, then even at USD 7,000, you make a healthy 25%, 26% EBITDA margin kind of a thing.

And that's why, I mean, we've taken a little bit of time to cool off while everything is ready. But just trying to manage the single most important factor of the power prices. And if we can manage to convince the government not to implement kind of cost subsidy, banking surcharge, and we can go in for trying getting green power directly to our plant, then we are talking about some serious reduction in the power prices. So right now, that's what we are trying to aim at while continuing our efforts on product development, et cetera.

Saurabh Jain: Okay. And just a small clarification on one-off and other expenses was INR 31 crores, right?

Ravi Jhunjhunwala: Yes.

Saurabh Jain: Okay. Sir, one last question on this show cause notice from GST for INR 282 crores. So what is your take on

the same?

Puneet Anand: We are currently evaluating it, and our legal team will be responding to the authorities. Prima facie the demand which has been provided and asked by the authority is not correct. We have already done one level of scrutiny about it and we are filing our reply to the authorities very shortly. We'll keep posted on the exchange for any developments on this front.

Moderator: Ladies and gentlemen, we will be taking last 2 questions for the day now. The next question is from the line of Aryan Sharma from B&K Securities. .

Aryan Sharma: Just one question. Could you guide us about your future outlook on the spread?

Ravi Jhunjhunwala: Future outlook on?

Aryan Sharma: On the spread, spread between needle coke prices and realization?

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Ravi Jhunjhunwala: You said needle coke prices and?

Aryan Sharma: The realization -- graphite realization.

Ravi Jhunjhunwala: That is anybody's guess. I mean, it's -- we are in the open market, competitive market. Needle coke prices

are always connected to the electrode prices. If electrode prices go down, needle coke goes down and vice versa. So it's very difficult to give a number to that.

Moderator: The next question is from the line of Gaurav Paul from Textiles Financial Services.

Gaurav Paul: Sir, I also wanted to ask regarding the pumped hydro. I remember in the last con call, there was some mention of it that you are also working in that area as well. So could you just throw some light what is the status and what is the market that we can see in this area?

Riju Jhunjhunwala: I think Mr. Ajmera on the call. He will be the best person to answer this.

Ravi Jhunjhunwala: Ajmeraji, are you on the line?

Om Prakash Ajmera: Yes, sir, I'm on the line. And with respect to the pumped hydro, last time what we discussed is that we were thinking of having some hydro scheme on our own project to Malana or AD, but some of -- the Government of Himachal Pradesh is now lagging behind to implement the scheme. So that scheme itself has gone into the back burner. So now we are holding this division.

Gaurav Paul: So are there some sort of -- I mean a regulation that blocks these sort of implementation. I mean what are the -- are there some environmental challenges and all. I just wanted to...

Om Prakash Ajmera: No. See, there are 2 kind of pumped hydro. One is the independent pumped hydro project, which can be

done anywhere where you just have to have a water body. And what pumped hydro we are talking about only at our own plant where we are generating hydropower on a run-of-the-river scheme, where we had a plant based on the schemes released by the Government of Himachal Pradesh to add the generation and to have a pumped hydro scheme there, which we were planning to do as per the Government of Himachal Pradesh scheme.

But somehow with the new regime there, they are not interested to carry forward this scheme anymore.

So our application has been there and now we believe that this has been -- there is no such possibility now with the new regime being there. So the viability of that project is no more -- no longer is there.

Ravi Jhunjhunwala: I'll tell you. I'll tell you frankly, what is happening is...

Riju Jhunjhunwala: One second. If I can just add to that on the pumped hydro thing. I mean energy storage and going forward in the next 10 years is going to be one of the major challenges for India. And there, you have these 2 possibilities, either the BESS, which is the lithium-ion battery storage, or the pumped hydro storage.

Now until last year, the capital cost for the lithium-ion battery storage used to be INR 2.5 crores per

megawatt, which has come down to INR1.3 crores per megawatt. So a lot of projects in which the BESS was financially not viable has suddenly become very viable for a company like RePlus, which comes under Bhilwara Energy.

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So going f

orward, of course, we have all the experience in hydro; we have all the experience in design, development of pumped hydro projects if need be; and RePlus also being in the battery storage system. So if we have any opportunity going forward to kind of bid for a particular project, which involves pumped hydro and the energy storage system both, we will be in a very comfortable position to do that. And that is why the added focus on HEG Greentech Limited, where we'll be able to in the future, play a part, both in the battery side as well as the pumped hydro side, whether as an EPC contractor or as a consultant or whatever.

So I mean, today, both these things have become very, very attractive going forward. And any project that SECI is coming up with is requiring either pumped hydro or the battery-assisted solutions.

Ravi Jhunjhunwala: I'll tell you what is coming in the way in Himachal Pradesh. I mean, we can easily put certain megawatts from hydro at both our locations. We have as I said, we have 2 locations in Himachal, one is 100 megawatt, another one is 200 megawatt. But in the process of generating power at these 2 locations, we are already paying 15% to 20% as the free power for using the water to the state to, let's say, the Himachal Electricity Board.

So Himachal Electricity Board wants another 15%, 20% free power out of this added generation of pumped storage. So after giving that 15%, 20% a second time, it doesn't remain viable. So that is what we are fighting with the Himachal Government, that they can't charge for the same water, 2x 20%.

Moderator: Ladies and gentlemen, that was the last question in queue. As there are no further questions, I would now like to hand the conference over to Mr. Jhunjhunwala for closing comments. Over to you, sir.

Ravi Jhunjhunwala: Thank you, friends, for very insightful details and very thought-provoking questions that some of you asked, both on the electrode side and on the battery side, and I look forward to continue to speak to you in the next quarter. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of SKP Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2024

HEG/SECTT/2024 19th November, 2024

BSE Limited
P J Towers
Dalal Street MUMBAI - 400 001.
Scrip Code : 509631 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G Block, Bandra - Kurla Complex Bandra (E), MUMBAI - 400 051.
Scrip Code : HEG

Sub: Transcript of Earnings Conference Call on Q2 FY25 of HEG Limited

Dear Sir/Madam, Please refer to our Earnings Conference Call scheduled on 15th November, 2024 intimated vide our letter dated 4th November, 2024. Please find enclosed the transcript of the said Earnings Conference Call. The said transcript is also available under the Investors Section of the website of the Company i.e www.hegltd.com.

This is for your kind information and records. Thanking You, Yours faithfully,
For HEG Limited

(Vivek Chaudhary) Company Secretary M.No. A-13263
heg.investor@lnjbhilwara.com
Encl: as above

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Transcript

HEG Ltd
Q2 FY25 Earnings Conference Call

November 15, 2024

Management:

Mr. Ravi Jhunjhunwala – Chairman, Managing Director & CEO
Mr. Riju Jhunjhunwala – Vice Chairman
Mr. Manish Gulati – Executive Director
Mr. Om Prakash Ajmera – Group CFO
Mr. Ravi Kant Tripathi – CFO
Mr. Puneet Anand – CSO

SKP Securities Ltd
Navin B. Agrawal | Head, Institutional Equities
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HEG Limited
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Moderator: Good day ladies and gentlemen. Welcome to the HEG Limited Q2 FY25 results conference call organized by SKP Securities Limited.

As a reminder all the participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. And you will be able to ask questions after the management's opening remarks. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference call is being recorded.

I now hand the conference over to Mr. Navin Agrawal – Head, Institutional Equities at SKP

Securities Limited. Thank you and over to you sir.

Navin Agrawal: Good afternoon, ladies and gentlemen. I'm pleased to welcome you on behalf of HEG Limited and SKP Securities to this Financial Results Conference Call with the Leadership team at HEG Limited.

We have with us Mr. Ravi Jhunjhunwala – Chairman, Managing Director and CEO and Mr. Riju Jhunjhunwala – Vice Chairman along with their colleagues, Mr. Manish Gulati – Executive Director, Mr. Om Prakash Ajmera – Group CFO, Mr. Ravi Tripathi – CFO and Mr. Puneet Anand – CSO.

We'll have the "Opening Remarks" from Mr. Jhunjhunwala, followed by Q&A session. Thank you and over to you Raviji.

Ravi Jhunjhunwala: Thank you Siddhant. Friends, good afternoon and welcome to our Financial Results Conference Call for the 2nd Quarter of Fiscal Year '24-25.

As per the recent data published by the World Steel Association, global crude steel production for the first nine months of 2024 declined by about 2% to 1,394 million tons. While production for the previous quarter July-September saw a larger drop of 5.5% compared to the same period last year. This declining trend shows notable differences across major steel producing regions.

While US saw a decline of 1.6%, Japan decreased by 3.3%, South Korea by about 5% and Russia by about 6%. In contrast India's steel production went up by 5.5% reaching 110 million tons, supported by government's push on infrastructure projects. Germany and Turkey also

experienced some small increases of 3.8% and a large one in Turkey 12.1% respectively.

Meanwhile China by far the largest steel producer of the world declined by about 4.8%. It is important to highlight here that China produces a little over 55% of the total world steel in the first half of the current year. Chinese steel exports have surged to around 81 million tons till September which is on track to reach close to 100 million tons by the end of the year. This impacts the demand of graphite electrodes the world over which brings pressure on sales prices

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and the production obviously. Operationally, our performance was more or less similar to past two quarters.

Now coming to the outlook:

As you are aware our expansion from 80,000 tons to 100,000 tons is now fully operational and stabilized. And this makes us by far the single largest plant in any location in the entire western world, leading to certain cost advantages over all the other large producers. For Q2 '25, our capacity utilization for the quarter was about 80% which is highest amongst all the other producers around the world. We do expect this to continue for the rest of the year. The electrode pricing continues to remain under pressure due to reduced demand. The needle coke prices kept correcting through the past year due to difficult market conditions but the spread between electrode prices and needle coke prices narrowed down bringing pressure on margins. While we are currently facing some near-term margin pressures but we are positive about our industry in the mid to long term.

Decarbonization has now become an irreversible process. We are consistently tracking more and more announcements as they happen for new greenfield electric a

rc furnaces from different parts

of the world. Already more than 100 million tons of new capacities have been announced which would be in operation between now and 2030. As we have been exporting about two-thirds of our production to more than 25-30 countries for a very long time, we are in a good position to meet this increasing demand all over the world. We remain one of the most competitive plants due to our large capacity at a single location. The next few quarters may see margins remaining under pressure but we are hoping that the demand would come back sometime from second half of 2025 and we are fully equipped to take advantage of that. We have all the technological capabilities, operational efficiencies and market reach to take our company forward to succeed and thrive in all emerging situations to create long term value for our shareholders.

Now friends, coming to our "Quarterly Performance":

As you have seen from our results Our profit before tax has been much higher in this quarter as compared to the previous one. I would like to mention about the impact of one of our treasury related investments in the equity shares where we have taken a mark to market gain due to increase in stock price of that company and booked it under the head of other income while in the previous quarter, we had a mark to market loss due to fall in its stock price.

With this I'll now pass on the floor to our CFO – Ravi Tripathi who will take us through the financial figures. Following that our Vice Chairman – Riju, Executive Director – Manish, Chief Strategy Officer – Puneet and I will be delighted to address any queries that you may have. Over to Ravi.

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Ravi Kant Tripathi: Thank you sir. Good afternoon, friends. I will now briefly take you through the Company's "Operating and Financial Performance" for the quarter ended 30th September 2024:

For the quarter-ended 30th September 2024, HEG recorded revenue from operation of Rs. 568 crores as against Rs. 614 crores in the corresponding quarter of the previous financial year.

During the quarter ended 30th September 2024, the company delivered EBITDA of Rs. 140 crores as against 130 crores in the corresponding quarter of the previous year.

The company on a standalone basis recorded a net profit after tax of Rs. 62 crores in Q2 FY25 as against similar amount of Rs. 62 crores in the corresponding quarter previous year. And on consolidated basis, the net profit after tax is Rs. 82 crores in Q2 FY25 as against Rs. 96 crores in the corresponding quarter of the previous financial year. The company is a long-term debt free and had a treasury size of nearly about 923 crores as on 30th September, 2024. Now to take more questions from the participants a detailed presentation has been uploaded on the company's website and on the stock exchange. Now we would like to address any questions or queries you have in your mind. Thank you. Over to Navin.

Moderator: Thank you very much sir. We will now begin the question and answer session. Our first question is from line of Saumil Shah from Paras Investments.

Saumil Shah: On consolidated basis our EBITDA margin is in the range of 17% for this quarter. So where do we see this range settling for the remaining half of this year?

Ravi Kant Tripathi: Yes we are expecting the similar range in the coming quarters too.

Saumil Shah: Considering the current demand scenario any guidance you would like to give for FY26?

Ravi Jhunjhunwala: As I said in my opening remarks we don't see much of a difference in the next couple of quarters. But as I said something like 20-25 million tons of new capacities which we talked about out of 100 million tons. We expect about 20-25 of them to be operational, let's say sometime in the second half of next year. So that will obviously increase the demand.

Saumil Shah: Any update on this demerger of HEG Greentech?

Ravi Jhunjhunwala: I will

ask Puneet, our Chief Strategy Officer who is pursuing that.

Puneet Anand: So, our scheme of arrangement is today with the stock exchange, I think in a couple of weeks it will go to SEBI for the approval. Once SEBI approves it then it will go to NCLT. We feel that by October or September 25, the entire process will be completed and the company will be listed, the HEG.

Ravi Jhunjhunwala: This is what we had originally said. I mean we are more or less on track.

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Puneet Anand: There was a big delay of one month due to the split which we have done in between. But everything is on track.

Saumil Shah: And one of the interviews we had mentioned that we are looking at an EBITDA of 1,000 crores in next 2-3 years for HEG Greentech. So, I mean anything you would like to say about that?

Puneet Anand: So, it is too early to say because the anode project which we are envisaging and we are putting it has some lag for a quarter or two. So, we expect that by next conference call will give you the better timeline on the EBITDA for the coming years for the new company. But the business is on track.

Saumil Shah: So as of now is there any sales from this company, HEG Greentech? I'm sorry I'm not tracking this.

Puneet Anand: So if you ask me about HEG Greentech, today that it holds the hydro assets which has the business and they are generating the revenue and the EBITDA which has been shown in the HEG books also. Apart from this our battery storage company is also doing very well. And we have won couple of contracts there. So, we are expecting to have a good turnaround in our company. Apart from this we have some wind assets which are generating the EBITDA. The future revenue and EBITDA will be coming from the anode part which is the major asset we have here.

Saumil Shah: So as of now Greentech EBITDA would be how much?

Puneet Anand: As of now Greentech EBITDA will be in a range of....at a consolidated basis you're asking?

Saumil Shah: Yes consolidated.

Riju Jhunjhunwala: So, it would be around 125 crores, that is the dividend that we received from the Hydro assets today.

Puneet Anand: On a consolidated basis the EBITDA is between 270-300 crores.

Riju Jhunjhunwala: That is once the scheme is approved and 100% of Bhilwara Energy shares belong to the Greentech.

Puneet Anand: Correct. So yes, post the consolidation of the entire hydro asset under HEG Greentech, the EBITDA is between 275 to 300 crores seeing the numbers today.

Moderator: Our next question is from line of Aryan Sharma from B&K Securities.

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Aryan Sharma: Actually, I had a question about the pricing scenario. So, since we saw one of the major global players Resonac increased pricing by around 20% in September. So, we are still saying that margins will remain subdued. What would be your outlook on spread for the rest of the year?

And what do you think about this price hike which the global player came out with?

Ravi Jhunjhunwala: We have seen that announcement that you are talking about. But we haven't seen that on the ground. But the obvious question is if the demand, there is a pressure on demand, there is extra capacity worldwide. So, we are basically not seeing any impact of that 20% increase. Everybody is attempting to do that but it is not going through.

Aryan Sharma: You mentioned that we have the highest capacity utilization globally currently. So, could you mention what is the average global capacity utilization in HEG right now?

Ravi Jhunjhunwala: We are at about 80% and some of these major foreign players are more or less at about 50%-55% and probably the other Indian companies at about 60%-65%. These are all public data. This is all available. They're all listed names.

Moderator: Our next question is online of Pradeep Rawat from Last Blue.

Pradeep Rawat: Can you name some of the major global player in

graphite electrode business?

Ravi Jhunjhunwala: Basically, there are only 4-5 of us. Apart from us and Graphite India in our country there are two large competitors of ours who have more or less 1.8X to 2X of our capacity. But they have several plants. I mean one company is called GraphTech International which used to be Union Carbide about 20 years ago and about till recently it was part of Brookfield and now it's a professionally run independent company. They have about 180,000 tons. And then there is a Japanese company called Showa Denko. It's a very large conglomerate where graphite business is a very minuscule kind of percentage. They have about 200,000-210,000 tons but again at four different locations. And all these locations are in Europe, America and Japan. So obviously over these locations we have certain advantages of cost.

Pradeep Rawat: What is the status for our graphite anode plant?

Ravi Jhunjhunwala: The status of our anode plant is as follows and I'll be as candid as I can be. So, the global battery prices, the cell prices for which we will supply this product have sharply come down as you may know from around \$85 to \$100, 85 cents to \$1 per KWH. And now they've come down to around the level of 55 to 60 cents per KWH. Now this obviously depends on different applications like energy storage or EV car. So, for the sake of prudence, we are taking our top line which we were expecting two years back let's say at 9,000 to 10,000. We are doing all the project planning at 6,000. So, we are going back to the state government, trying to get some more subsidy on power because power will be the major component in this around 15,000 units of power per kg of production in this particular product. So, while we have the land in place, we've leveled the land,

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we are ready to place the machinery order but we are still fighting with different state governments for giving us slightly more subsidy to make the project commercially viable from day one. So that is the status right now, we are ready to break ground tomorrow. I mean after this call technically we can break ground but we are purposely holding back. And I think by the end of December, middle of January we'll have two very good letters from two different state governments giving us different power rates, beneficial power rate and capital subsidies that will help us make this project even more successful at \$6000 per ton also. So, after doing all the sensitivity of \$7000-\$8000 or \$5000 for BESS, \$6000 is a very conservative number that we've taken. And we are going to start construction of this plant as soon as we get these extended benefits from the state government in hand.

Moderator: Our next question Dhawal Doshi from Dymon Asia.

Dhawal Doshi: Just continuing on the previous question. So, if we can just elaborate a bit more in terms of the kind of return expectations that we have assuming status quo which is no incremental subsidies that any of the state governments are offering, how would that be and what would change with the state subsidies coming in?

Ravi Jhunjhunwala: I'll tell you in terms of simple very simple words, if we get no subsidy from the state government then also our project payback on paper becomes 9 to 10 years. But if we get those subsidies from the state government, the project payback goes back to around 6 years which is basically a higher

rate of return. At 6 years we are looking at more than 20% return on equities which is what we desire at this point in time. Having said that all the cell companies also which were putting up their cell capacities in India, they've all kind of seeing the decline in prices. They also are doing the same kind of work that we are doing. And with our pilot plant we are already working with those companies and seeing a lot of success as to how much we will be able to sell the product at and the quality.

Dhawal Doshi: So

, in terms of the product approvals at what stage are we?

Riju Jhunjunwala: So, in terms of product approval fortunately our pilot plant is fully up and running in the last 1 year and we are working on at least 28 different permutations and combinations of raw material that we need. And we are working very closely with all the cell companies whether they are in India or abroad. And on the technical front, I can assure you that on almost all parameters we are not only achieving the global standard but we are also beating them. So, this plant is definitely coming, whether 3 months here 3 months there I cannot say. And whether we sell in the domestic market or export market and once again from the point of view of the question that you are, I mean we are assuming 45% capacity utilization in year one going up to 60 then going up to 75 and going up to 90. Because this is not a commodity product like you said we have to work very closely with the cell maker so that there is complete standardization of that product. But the pilot plant is greatly helping us to kind of resolve that problem. So once the plant is up and running, we want to run it at least at 45% capacity utilization from day one.

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Dhawal Doshi: So, our assumption in terms of the payback, is assuming what kind of utilization is 45-60-70 and 90 what you mentioned?

Riju Jhunjunwala: Yes, 45-60-75 and 90 and that's all included in the payback calculation and taking \$6000 as the most pessimistic price for the per ton selling of the product.

Dhawal Doshi: And how long do you think so will the construction take once we break ground?

Riju Jhunjunwala: So, let's say if we start tomorrow, this will take around 18 months. The longest lead time in this is the 220 KVA line. But we can start production even before that because you would not be operating at 100% capacity utilization. In short, I mean right now we've taken Rs. 6 as the power cost but we are trying hard to negotiate with the governments to get us power at Rs. 4.5 per unit. Once that happens there is absolutely zero problem in this project.

Dhawal Doshi: So, given we have our existing plant, can't we use them as an in terms of restructuring PPAs or because Bhilwara Energy plants will be a part of the demerged company, right?

Riju Jhunjunwala: No, but that company, Bhilwara Energy, it's a run of the river plant and it has its own reservoir which basically produces 60% of its energy at peak power. So, we are able to sell that power at Rs. 8-9 to the state government and the average cost of selling that power becomes around Rs.

6. I mean keeping this at arm's length, why should we take that power which we are able to sell tomorrow to the state government at Rs. 6 and make more money there. We'd rather negotiate with the state governments to give us cheaper power over here or also at the same time looking at solar PPAs captive power etc. as all the options. So, when I speak to you, before the last concall and this call, a lot of work has actually happened on the ground in terms of trying to work with the different companies. But yes, the captive power plant that you're talking about for Bhilwara Energy which will be part of this company, we don't want to mix the two things up because there we are already getting an advantage of selling the power at an average of easily more than Rs. 6 per unit. So, it'll be foolish for us to use that power for this particular project.

Ravi Jhunjunwala: And moreover, transmitting and moreover sending this power from Himachal to let's say Madhya Pradesh is more or less impossible. It's too expensive.

Riju Jhunjunwala: Because green power the government has exempted like you can put up power in Karnataka power plant in Karnataka and sell the power to your this thing. But that is only limited to solar power. So as the Chairman just mentioned that getting this power from Himachal Pradesh to

Madhya Pradesh or Odisha wherever we set up this plant, there will be so many government surcharges etc. that Rs. 1-1.5 will actually go in to that. So instead of selling the power straight at Rs. 6 and getting that advantage to Bhilwara Energy, we are not even looking at that option of kind of selling that power to this particular plant. But we are very confident, I mean Odisha as a state let's say already has a policy of Rs. 4.5 power. But again, that would mean going and

buying new land, going and doing an entire new setup, environment approval. So, as I talked to

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you today, we are in the position tomorrow to open LCs for all the machine give out all the civil costs. But we are just holding back on that for 3 more months so that we can get cheaper rates from the government. And having said that all the cell capacities also that were coming up in India they are coming but they are also world delayed by a year or two. So, we don't see a problem in kind of a 3 to 6 month delay on this project and no money has been spent except for buying the land in any case. So, you don't have stuck money which is going into kind of making the project not viable.

Dhawal Doshi: And what is the project cost that we're looking at total?

Riju Jhunjunwala: We are looking at 1,750 which is including a 100 crores unnecessary cost of a 220 KVA line

that we have to build over 52 km. So that is the long lead item actually. But the total project size for the 20,000 tons is around 1,750 crores.

Dhawal Doshi: Just one more question with regards to the electrode pricing. So, the Chairman did mention that the prices aren't getting absorbed on the ground despite of the announcement by Resonac for a 20% hike. Is it to do with the Chinese electrodes still coming into the market and coming at much lower pricing or it is to do with the overall weak demand environment as well?

Ravi Jhunjhunwala: It's a combination of both. Chinese electrodes are coming and they are coming quite a lot in India especially. But as we have always maintained that we also produce about 25%-30% of our products which are what we call non-ultra-high power. So, in that segment China we do compete with China and to that extent I mean Chinese prices are crazily low. So, you don't even want to compete with that.

Riju Jhunjhunwala: Sorry if I'm just commenting in between, like Iran is completely kind of blocked from our market right now because of all the sanctions. So, all the Chinese products are getting dumped in Iran.

Now with all the geopolitics changes happening etc., we don't know what's going to happen tomorrow. If that market reopens for us then obviously it takes a lot of pressure off our head in terms of volumes because till 4 years back Iran used to be a major market for us. So right now, I think when the Chairman is talking about 80% capacity utilization etc., it is all without Iran. Tomorrow if Iran actually comes on the global map by any chance, you don't know what's going to happen 3 months, 4 months down the line, then definitely our supplies will increase to that region also because we were always very strong over there.

Ravi Jhunjhunwala: And Iran is a large market. They consume about 40,000-45,000 tons every year and they used to buy practically everything from India 7-8 years ago, till the sanctions were put on them.

Dhawal Doshi: Right now if you were touch a bit more on the realization part, the current realizations and do we see any bit of an improvement or practically no more improvements?

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Ravi Jhunjhunwala: Very difficult to put a number. I mean basically if I were to guide it, I would say more or less similar numbers.

Dhawal Doshi: So, the global plants operating at below cash cost, we will need to see how long do they take to blink. Is that the correct understanding?

Ravi Jhunjhunwala: That is exactly what

I said when I said we have the single largest plant and that plant happens to be in India versus most of the major plants in Japan, Europe and US. So, we do have that advantage and that is why you see the difference between our capacity utilization versus others.

Moderator: Next is a follow up question from line of Dhawal Doshi from Dymon Asia.

Dhawal Doshi: If you can just elaborate, how do you see the CBAM mechanism changing the industry Dynamics going into CY25 and '26?

Ravi Jhunjhunwala: No, we are very bullish. As I said about 100 million tons of new electric arc furnace capacities have already been announced. And when I'm saying 100%, I mean 100 million tons has been announced. Out of that 100 million tons, we believe that somewhere in the region of 70 million tons are such where the grounds have been broken, the orders have been placed for all the equipment because as you know electric arc furnaces of large capacities of 1 million, 1.5 million, 2 million tons, they take about 2.5-3 years to build and these are all greenfield plants. So, our confidence is coming from the fact that out of that 100 million tons which have been announced till now, about 65 to 70 million tons are due to start operations between 2025-26 and let's say first half of '27. So, our confidence is coming from that number that 65-70 million tons are definitely coming. I mean the grounds have been broken, obviously the construction has started, the equipment have been ordered. I don't want to publicly give the number the breakup of that 65 million tons. But we do have certain numbers for '25-26 and '27 separately. So, we are pretty confident there. And we have an advantage that we have been in exports for more than 30-35 years. And for 30-35 years, our exports have been more or less in the region of two-thirds and one-third. So, one-third Indian market, two-third exports. So, we have relationships, we have been selling to all these customers for last 30-35 years. we've been exporting two-thirds. So, it's only a matter of time. I mean and obviously these existing customers are the ones who are adding all these 100 million tons capacities. There are not too many total newcomers so to say. So, it's only a question of, they building these new capacities of electric arc furnace, needing more electrodes. So even if we continue to sell the same market share that we today have with them running at 80%-85% is not a problem.

Dhawal Doshi: My question was more to do with how China is likely to react and also to do with the pricing. I completely understand in terms of the overall volume game that you're trying to say but that was a similar story probably a few years back as well before China actually started ramping up their electrode production into the global market.

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Ravi Jhunjhunwala: So just to remind you I mean see, any steel producers electric arc steel producer who buys electrode, he buys more or less three-fourth of his electrodes which is called ultra-high power. And 25%-30% is the small ladle furnace as they call. So, while we do compete with China but our competition is limited to that 25%-30% of the non-ladle furnace segment. Most of these new furnaces which are coming up in the western world, they are all going to be million tons, 1.5 million tons, 2 million tons kind of furnaces which will require 65%-70%-75% ultra-high power. So, we don't compete with China in that segment, and it is not just us but all the other 4-5 international graphite players.

Dhawal Doshi: Correct me if I'm wrong, but China is gaining acceptance even in the UHP segment?

Ravi Jhunjhunwala: It's a very loose term. I mean it's not easy to explain on a call but we can have a one-to-one call and I can explain to you in detail, it's a very loose term what is UHP, what is non UHP. But yes, if you go literally then China can produce something which is on the very low end of UHP but

beyond that China cannot. And one thing again I'll remind you, the cost of electrode for a steel company is less than 1.5% to 2%. So, they don't want to take any chance on a product where it costs them only 1.5% to 2%. They want to be very sure about the quality and they don't want to give that take that chance that to save that 1.5%- 2%, if they buy an inferior product then what they lose is much more than that 1.5% cost that they say.

Dhawal Doshi: Secondly with regards to China once again, when I said CBAM mechanism and its impact on China, this time I'm referring more to the mode of steel production. Do you see China shifting more towards its electric arc furnace production despite of a higher cost, probably running into the second half of next calendar year?

Ravi Jhunjhunwala: No, I'll tell you. You see until about 4-5 years ago, if you remember the electrode boom which came in 2018-19, China was at that time also producing more than 50% of the world steel. And while rest of the world was producing 40% of their total steel through electric arc furnace, China which was the other half, China was only producing 5%. So, the difference between China and rest of the world in which I am literally taking each country, South America and everybody, so that part of the world was producing 40% through electric arc furnace and China was producing 5%. And when that boom happened it basically happened because China announced on a particular day 5-6 years ago that they want to close 140-150 million tons of blast furnaces simply to control their pollution and replace this by 150 million tons of electric arc furnace, again to control the environment and the pollution and all those things. So, while they had announced their intentions to go from 5% to 30% in the next 5-6 years, they have reached about 13%-14% by now. So, China has more than doubled their share of electric arc furnace but it still is very small at 13%-14% compared to the rest of the world which was already at 40%. And now to complete the story, the rest of the world which was 40% about 5-6 years ago has already gone up to 50%. So, in the world context, where the growth is hardly 1% 2%-2.5% every year a growth from 40% to 50% is like 25%. Electric arc furnace in the last 5-7 years minus China has gone

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up by 25%, 40% to 50%. And in the near future it is likely to go to 60%-65% as and when we are talking about that 75 to 100 million tons of new capacities coming in. So, the rest of the world will go up to 65%-70%. And that is where we are hoping that the electrode demand should rise by anywhere in the region of 150,000 to 200,000 tons which is exactly what our other two major international competitors from US and Japan have been talking about. I mean these are all public information, it's all on their website. Our numbers and their numbers are more or less matching. Everybody is saying that this 40 has become 50, 50 is going to become 60. So, 40 to 60 in the world context is a huge number. You're talking more than 50%.

Dhawal Doshi: Correct me if I'm wrong, but this 40 to 50 and 50 to 60....?

Ravi Jhunjhunwala: 40 to 50 has already happened.

Dhawal Doshi: No, what I am trying to understand is this 40 to 50 and 50 to 60 is a function of the share or the absolute production on the blast furnace side coming down, right?

Ravi Jhunjhunwala: Exactly.

Dhawal Doshi: It's not it's not to do with the absolute production of electric arc furnace going up. So, while the percentage share does look good, what I am trying to understand is will this mechanism actually lead to an increase in production from the electric arc furnaces because still the absolute production starts going up?

Ravi Jhunjhunwala: No, I understand what you're saying. But if you see the steel production number minus China, it has declined by maybe 1%-1.5%, 2%-2.5%, in the last 2-3 years it's a very abnormal situation

I mean we just got out of the COVID in 2021-22. So that was a different reason. And then all the geopolitical scenario that we have seen in the last 2-3 years, it's not going to be permanent like that. So, coming from COVID and the last 2 years because of the Ukraine Russia and Israel

and Gaza and things like that. So, it has to stabilize one day. I mean it's been 4-5 years now. So obviously it's not related to electrode but everything is impacted by the world situation. But the only good part in our business is that 40 has become 50 and 50 is likely to go to 60. And in that context, as we are always speaking about, that our expansion came from 80 to 100 at the same location at 80,000 tons already we were having certain advantages of cost in India. So that cost has further been impacted positively for us in the last 9 months or so since we have gone to 100,000 tons. So, until last year while we were speaking that our capacity utilization was 70%-75%-80% that was based on a capacity of 80,000 tons. So, in the last 9 months and today, now we are talking of 80% on 100,000 tons. So, if you look at the total tonnage, 80% of 80,000 versus 80% of 100,000. So, we are able to produce more additional 10,000- 11,000-12,000 tons and find a market for that in a situation in a world where the total electrode demand has gone down, total consumption has come down for the reason that we just spoke about. So, we have been able to increase our market share basically. I'm not talking of India; I am talking of India plus the rest of the world.

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Moderator: Our next question is a follow up from line of Pradeep Rawat from Last House Blue.

Pradeep Rawat: I have only one question. So, for 1 MTPA EF plant how much graphite electrode would be required?

Ravi Jhunjhunwala: See it's depending upon the kind of furnace they are putting up, depending on the size of the transformer that they use, it's about 1.5 to 2 kilo s per ton of steel. So, let's say a million ton will mean 1,500 to 2,000 tons per annum. If you convert that 100 million tons—I mean we are talking about 100 million tons, if that 100 million—additional capacity is built then you're talking of an additional demand of anywhere between 150,000 to 200,000 tons.

Pradeep Rawat: That's annually?

Ravi Jhunjhunwala: Annually which is not small. I mean currently as we speak, the world demand minus China is about half a million tons, 500,000 tons. So, you're talking of 150 to 200, that's a big number.

Moderator: Thank you. That was the last question in the queue. As there are no further questions, I would now like to hand the conference over to Mr. Jhunjhunwala for closing comments.

Ravi Jhunjhunwala: So, thank you friends. I mean we had some very good discussion; very pointed questions and we tried to be as much as frank and as detailed in our explanation. I hope that helps. Thank you and I look forward to talking to you again.

Moderator: Thank you very much sir. On behalf of SKP Securities Limited, that concludes this conference. Thank you for joining us ladies and gentlemen. You may now disconnect your lines. Thank you.

Call: Feb 2025

HEG/SECTT/2025 18th February, 2025

BSE Limited
P J Towers
Dalal Street
MUMBAI - 400 001.
Scrip Code : 509631 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G Block, Bandra - Kurla Complex
Bandra (E), MUMBAI - 400 051.
Scrip Code : HEG

Sub: Transcript of Earnings Conference Call on Q3 FY25 of HEG Limited

Dear Sir/Madam,

Please refer to our Earnings Conference Call scheduled on 14th February, 2025 intimated vide our letter dated 30th January, 2025. Please find enclosed the transcript of the said Earnings Conference Call.

The said transcript is also available under the Investors Section of the website of the Company i.e www.hegltd.com .

This is for your kind information and records.

Thanking You,

Yours faithfully,
For HEG Limited

(Vivek Chaudhary)
Company Secretary
M.No. A-13263
heg.investor@lnjbhilwara.com

Encl: as above

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"HEG Limited
Q3 FY '25 Results Conference Call"
February 14, 2025

MANAGEMENT : M R. RAVI JHUNJHUNWALA – CHAIRMAN , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER – HEG
LIMITED
M R. RIJU JHUNJHUNWALA – VICE CHAIRMAN – HEG
LIMITED
M R. MANISH GULATI – EXECUTIVE DIRECTOR – HEG
LIMITED
M R. OM PRAKASH AJMERA – GROUP CHIEF
FINANCIAL OFFICER – HEG LIMITED
M R. PUNEET ANAND – CHIEF STRATEGY OFFICER –
HEG LIMITED
M R. RAVI TRIPATHI – CHIEF FINANCIAL OFFICER –
HEG LIMITED

MODERATOR : M R. NAVIN AGRAWAL – HEAD INSTITUTIONAL
EQUITIES – SKP SECURITIES LIMITED

Moderator: Ladies and gentlemen, welcome to HEG Limited's Q3 FY '25 Results Conference Call, organized by SKP Securities Limited. As a reminder, all participant lines will be in the listen-only mode and you will be able to ask questions after the management's opening remarks. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Navin Agrawal, Head, Institutional Equities at SKP Securities Limited. Thank you, and over to you, sir.

Navin Agrawal: Good afternoon, ladies and gentlemen. I'm pleased to welcome you on behalf of HEG Limited and SKP Securities to this financial results conference call with the leadership team at HEG Limited. We have with us Mr. Ravi Jhunjhunwala, Chairman, Managing Director and CEO; and Mr. Riju Jhunjhunwala, Vice Chairman; along with their colleagues, Mr. Manish Gulati, Executive Director; Mr. Om Prakash Ajmera, Group CFO; Mr. Ravi Tripathi, CFO; and Mr. Puneet Anand, CSO. We'll have the opening remarks from Mr. Jhunjhunwala, followed by a Q&A session.

Thank you, and over to you, Ravi ji. Ravi Jhunjhunwala: Thanks. Friends, good afternoon, and welcome to our financial results conference call for the

third quarter 2024-'25. Global crude steel production for the full calendar year 2024 totalled about 1,883 million tons, making a 0.8% decline from 2023. However, excluding China, the world production reached 878 million tons, showing a very insignificant small growth of 0.2% as per the recent data published by the World Steel Association.

Steel production across major regions saw some mixed results. While U.S., Japan, Korea and Russia dropped between 2.5% to 7%, Mexico declined by 16.5%. On the other hand, India continued its growth trajectory with production rising by 6.3% to close to 150 million tons, supported by robust infrastructure and a strong automotive sector. Germany and Turkey posted a positive gain of 5.2% and 9.4%.

Meanwhile, China, who by far is the world's single largest steel producer, saw a decline of 1.7%, producing 1.005 billion tons in 2024. However, Chinese steel exports surged in 2024 due to a slowdown in domestic demand there, reaching 111 million tons, which is the highest in the past 8 years, which obviously results into a reduction of steel production in all other parts of the world, except China, which has a direct bearing on the graphite electrode demand in the markets we serve.

Having stabilized our plant operations post expansion to 100,000 tons, we were still able to operate our plant at about 80% capacity utilization with a base level of 100,000 tons, which was 81% last year, '23-'24, for the first 3 quarters at capacity of 80,000 tons. So practically, what I'm saying is our capacity utilization remains 80% at 100,000 tons versus 80% at 80,000 tons, which used to be 1 year ago. From all available -- public data available, we can safely say that this is by far the highest capacity utilization amongst all the graphite electrode companies in the Western world.

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Electrode pricing remains under pressure due to subdued demand, while needle coke prices have been stable for the past 2 to 3 quarters, which obviously results into narrowing of profit spread. However, we believe that we remain the lowest-cost producer in the world or a little bit better even after expansion.

Despite near-term challenges, we remain highly optimistic about our industry's medium to long-term outlook. The decarbonization shift is irreversible, and we have been tracking projects all over the world with a total close to 100 mmt of steel, which are coming up with up new greenfield electric arc furnaces world

wide.

While margins may remain under pressure in coming quarters, in our view, we should start seeing a demand recovery in the second half of current year with some new capacities of electric arc furnaces coming into operation in different geographies of the world. And as you know, we have been exporting about 2/3 of our production to more than 30 countries for a long time. And we believe that we are fairly well positioned to capitalize on this increased demand.

As you may have seen, some of our peer group companies in the Western world have recently announced a price increase for the new orders in the region of 15% to 20%. And we do hope prices will start improving gradually as the current price levels are not sustainable for some of the high-cost producers.

Our demerger scheme is in the process. It got delayed by about 2 months due to our share split,

which was also important to do, and the papers have now been re-filed with SEBI. We hope to get all the required approvals by the end of this year. Friends, with strong technological capabilities, operational efficiencies and market reach, we are confident in navigating industry shifts and creating long-term value for our shareholders.

With this, I'll now pass on the floor to our CFO, Ravi Tripathi, who will take us through the financial figures. Following that, our Executive Director, Manish; Vice Chairman Riju; and our Chief Strategy Officer, Puneet; along with me, will be delighted to address any queries that you may have. Over to Ravi.

Ravi Tripathi: Thank you, sir. Good afternoon, friends. I will now briefly take you through the company's operating and financial performance for the quarter ended 31st December 2024. For the quarter ended 31st December 2024, HEG recorded revenue from operations of INR477 crores, as against INR562 crores in the corresponding quarter of the previous financial year. During the quarter ended 31st December 2024, the company delivered EBITDA of INR194 crores, as against INR110 crores in the corresponding quarter of the previous year.

The company, on a stand-alone basis, recorded a net profit after tax of INR98 crores in Q3 FY '25, as against similar amount of INR37 crores in corresponding quarter of previous year. And on consolidated basis, the net profit after tax is INR83 crores in Q3 FY '25 as against INR44 crores in the corresponding quarter of the previous financial year. The company is long-term debt-free and had a treasury size of nearly INR1,000 crores as on 31st December 2024.

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Now, to take more questions from the participants, a detailed presentation has been uploaded on the company's website and on the stock exchange. Now, we would like to address any questions or queries you have in your mind. Thank you. Over to Navin.

Moderator: Thank you very much sir. We have the first question from the line of Praful Kumar from Dymon Asia. Please go ahead.

Praful Kumar: Okay. I have just broadly 3 questions. One, if I listen to the con calls of our global competitors, they are all indicating a 15-odd-percent price hike, given the conditions they are prevailing and weakening balance sheets. In that context and given the fact that recently, U.S. major steel producers have given a reasonably confident outlook for the year, do you think you will be taking the commensurate price hikes, or you will be still maintaining -- how it works in terms of -- if they increase prices, are you competitive enough to increase them?

Ravi Jhunjhunwala: You want to ask the 2 other questions so that we can answer at one go?

Praful Kumar: Yes. Sir, second question is your demerger process, the anode business. How should we understand in terms of what value it can create for minorities over a medium term? So, what is the broad sense and how this will be valued over time in terms of, say, opportunity size, market share? How do you think

about the business? Where we should peg the valuations? Maybe INR100 million, INR500 million ballpark?

And final question is in terms of the reciprocal duties that have been talked about. How competitive we'll be and how it works and what it means for the business? These are the 3 questions, sir.

Ravi Jhunjhunwala: So, what was the last one? We missed that.

Praful Kumar: The duties that have been talked about from the U.S., the reciprocal duties, what it means for our industry and how -- yes.

Ravi Jhunjhunwala: Okay. Now, about the price increase, so obviously, if you -- I'm sure all of you are comparing our results versus everybody else's. So you will clearly see a difference, whereas we are still making 15%, 17% EBITDA even in these markets. It's not the same situation with some of the other competitors that we have. So, taking a lead from one, the second guy has also increased. The third guy has also announced a price increase. And let's see. I can't make any more comment than that. The time will tell, in the next couple of quarters, whether it goes through or it doesn't go through.

Praful Kumar: No, but, sir, the question is, if their price hike goes through, we'll be obviously comparable. So understanding that each steel producer has 2, 3 vendors...

Ravi Jhunjhunwala: Everybody's price is more or less similar, give and take, \$10, \$20 here and there. So, obviously, one price increase goes up, everybody will follow. But I'm not sure -- I mean, by our wish that we will increase the price, if it was that simple, then everybody would have done that long back. It's for the market to accept or not to accept. So, that's the first one.

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The second one, our Chief Strategy Officer, Puneet, is on the call. He will explain about the demerger process. About the duties, I'm not sure. Of course, we have heard the results of Mr. Modi's visit to U.S. this morning. They have not announced any duties -- reciprocal duties, as they call. As and when they do, we'll have to bear that 7.5%.

But given our competitiveness and given our costs, till the time we -- as a country, so long as we are not able to -- I mean, basically, what I'm trying to say is, if this duty does come, whenever it comes on a reciprocal basis, so except paying that duty and still selling the electrodes in the U.S. market, there's no other option.

But since America happens to be amongst the single-largest consumer of electrodes, so to the extent possible, we would not like to lose our market share. And we'll absorb that 7.5%. As I said, we still have a reasonable margin. If I remember correctly, our EBITDA margin last quarter was also about 16%, 17%. So, to that extent, whatever exports we do to U.S., the EBITDA will come down to 10%. That's all.

Puneet Anand: On the demerger part -- can you hear me?

Praful Kumar: Yes.

Ravi Jhunjhunwala: Yes, Puneet, we can hear you.

Puneet Anand: So, on the demerger part, like Ravi told about that since we have done a split and the process got delayed, we...

Ravi Jhunjhunwala: Split meaning the share split. From INR10, we went down to INR2.

Puneet Anand: Correct. So we envisage that the entire process and the listing of the new entity will be done by this -- end of the year.

On the question about the value for the shareholders and all, so the prime objective for doing this demerger was to actually unlock the value of the shareholders, reason being today, HEG graphite business has a multiple -- and the green business, which we do, which is the anode business, which is the -- other green businesses which we are into -- doing into this new entity, has a different, entirely, multiple.

And today also, if you see the market cap of HEG, that doesn't give the fairness value of the value which it holds. So, to answer you, if you have seen the PwC and ISEC reports on the fair valuation of the asset, which will be

of the new entity, that is close to INR3,200 crores. That is the fair value of that asset. So, once this process has been done entirely, it will create immense value for the shareholders.

Ravi Jhunjhunwala: And the shareholder, it will be exactly similar, 1:1.

Puneet Anand: So, yes, you're right. When you are doing this scheme of arrangement, the -- it is 1:1. But since promoters are also contributing their 51% stake of the Bhilwara Energy into this company, so they will be given additional share of this company because they are putting the value to it. But HEG Limited

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this is not having any detrimental value on the shareholders because it will enhance the value and create a linear structure for the future [inaudible 0:16:35].

Moderator: The next question is from the line of Saumil Shah from Paras Investments.

Saumil Shah: Looking at the current pricing environment and our capacity utilization, where do we see our company in FY '26? Can you kindly provide us a guidance on revenue and EBITDA for FY '26?

Ravi Jhunjhunwala: See, it will all depend upon what happens in the next 12 months. As I said, we have been tracking practically every new electric arc furnace, which is under construction in Europe, in America, in other parts of the world. And we are pretty sure -- we can't talk about the specific numbers, but we are pretty sure that a lot of these are going to be in operation this year.

And so, with this new demand coming up and the old demand is not going away in any case, so all the new capacities which are coming in are going to add to electrode demand. So, it's too early to predict what's going to happen in '26. As I probably have told last time also, any new greenfield plant, which is coming for electric arc furnace, the CapEx is more or less \$1 billion for 1 million tons of new plant.

So, it's a fairly heavy expansion in current scheme of things. So there is always a possibility of preponing or postponing of 1 or 2 quarters for whatever reasons that somebody has. So reacting to something which is likely to happen, let's say, 9 months, 12 months down the road is very dangerous. And we, obviously, cannot put a number to it. But all I can tell you is that at least 20 million to 30 million tons of new electric arc furnaces are more or less coming by end of this year, or let's say, between now and the end of this year.

Saumil Shah: Okay. And for the current ongoing quarter, have we increased our prices, as one of our larger competitor, what you said, has increased their prices? So, even have we increased our prices?

Ravi Jhunjhunwala: No, nobody has increased the prices. See, I could go on and send 100 letters to 100 customers asking for 20%, but that doesn't serve much of the purpose. Everybody wants to increase, but whether it is going to be acceptable or not, that is the main question. So everybody is trying to

do whatever he can in order to push the price.

But it's too early to say. And typically, in the American, European system, they talk about 2 quarters or 3 quarters of pricing. So whatever they are predicting or contemplating is probably in the second half. The first 2 quarters probably is more or less 70%, 80% already sold at the old prices.

Saumil Shah: So, the current quarter prices are similar to what it were in the Q3, previous quarter?

Ravi Jhunjhunwala: Yes.

Saumil Shah: So we can expect the similar margins for the current quarter?

Ravi Jhunjhunwala: Yes. See, you have to also appreciate in this particular product, from the time you buy your raw material and by the time you sell your electrodes, it's anywhere between 3 to 6 months. The raw material is imported. So, by the time you buy, you get it shipped and you get it, it's already 2,

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2.5 months. And the process time to produce electrode is anywhere between 2 to 3 months to 5 months,

depending on the size, quality and everything else.

So, we can more or less -- we more or less know our -- if not full 2 quarters, we know at any point of time what does the next quarter or 1.5 quarters look like because everything is frozen.

The needle coke is purchased, the power price is known, selling price is known. So, you know the cost price, you know the selling price. So, whatever we are now talking about is already going to the third quarter of this calendar year.

Saumil Shah: Okay. So basically, what you mean to say is for next 1, 2 quarters, our EBITDA will remain in the similar range, around 16%, 17%?

Ravi Jhunjhunwala: Yes.

Saumil Shah: Okay. And sir, recently, there was some news on Chinese -- China's quota on graphite exports used in EV batteries. And I think our stock price has zoomed up after this news. So, we are currently not doing this production, right, for graphite used in EVs?

Manish Gulati: Yes, that is -- that was for natural graphite and all the graphite powder and products used for the EV anode powder, that was the export restriction. It was not on graphite electrodes.

Saumil Shah: Correct. So currently, we are not into that, right?

Manish Gulati: We will come into that later when our plant is in -- the anode plant is in production.

Saumil Shah: Okay. And that will take at least what -- how many more quarters?

Manish Gulati: 18 months maybe.

Saumil Shah: Okay. And sir, what is the export percentage to U.S., sir? Just now -- you just said that maybe U.S. can have an import duty. So what is the percentage of our sales to exports?

Manish Gulati: [inaudible 0:23:03] percentage to U.S.

Ravi Jhunjhunwala: I would not like to talk about the exact percentages, but it is amongst the largest. U.S. is one of our larger geographies to where we sell. And it is pretty natural because they are the single largest consumer of electrodes in the world as a country. Just to clarify, as you know, electrodes are used where the steel production happens to -- happens through electric arc furnace.

So, while the rest of the world produces about 47%, 48% steel through electric arc furnace, U.S. produces more than 75%. So, obviously -- and U.S. is the third largest producer of steel. So, that makes U.S. amongst the largest consumers of electrodes in terms of capacity and size.

Moderator: The next question is from the line of Suraj Khaitan from SKP Securities.

Suraj Khaitan: Sir, can you please provide an update on the current status of graphite anode project?

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Ravi Jhunjhunwala: I think Puneet just talked about it. It's delayed by about 2, 3 months because the split that we did -- split of HEG shares, and the Anode project is practically -- I mean, the construction started more than 2, 3 quarters back. We are targeting end of next year -- end of '26.

Moderator: The next question is from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: So, sir, my first question was in the current graphite electrode market of, say, 7.5 lakh, 8 lakh tons, what is the capacity utilization?

Ravi Jhunjhunwala: You're talking of capacity utilization of ours or others or...

Rajesh Majumdar: No, of the overall 7.5 lakh, 8 lakh ton market, but ex China.

Ravi Jhunjhunwala: No, first of all, ex China is nowhere close to 700,000 tons. Ex China, after some of the capacities have been closed down in the last 2 years in the Western world, that capacity is more or less in the region of 550,000 tons, maximum 600,000 tons.

So it was -- it is not in that region that you're talking about. And again, I'm just giving you public data, which is all available on the website of different companies. I think the 2 Western

companies like GrafTech and Resonac, they have very recently come out with their results for the last quarter, and they are both more or less in the region of 50%, 5

2% capacity utilization.

Manish Gulati: You see, among the 3 major groups, Rajesh ji, one is Resonac, one is GrafTech, and a player which is smaller than us is Tokai. So, like you, we also just read the papers and whatever they provide in public. So let's say, one of them said 55%, and then there's -- somewhere you can reduce to 60%.

So, if you just add ours and theirs and put it all together in one basket -- so your question which you asked was what is the overall industry capacity utilization ex China -- probably you will end up at a number around -- anywhere between 60%, 65% or in that range, 60% to 65%. When you add all of us together and divide by the total capacities we have, probably it would be 60% -- close to 65%.

Rajesh Majumdar: So, on the current operational capacity of 5.5 lakh-odd tons which sir mentioned, the utilization is 65%, is that correct?

Manish Gulati: Yes, 65%, close to, if you add up everybody.

Rajesh Majumdar: That is, about 3.5 lakh tons is the current production in the market. Is that right?

Manish Gulati: Ex China, yes.

Rajesh Majumdar: Ex China, yes.

Manish Gulati: You can take the number of 600,000 tons after all the recent closures announced. And on that 600,000 tons, you can talk about 65% because this is a bad year actually.

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Rajesh Majumdar: Okay. So I have 2 questions. So, we are now operating at, say, 380 kt kind of production figure. So, by the analysis that you provided so nicely, we are assuming that the overall GE demand will go up by over 2 lakh tons over the next 5 years. So my -- I have 2 questions in 2 parts. One is that what is to prevent from the -- old capacity from coming in and satisfying this demand? Secondly, you have mentioned in your notes that China's shift to EAF has been stalled, resulting in an oversupply of Chinese electrodes and their supply in the market. So earlier, we thought that the quantum of Chinese electrodes, which could come out, is limited in terms of the technical parameters of UHP electrodes. So, given these 2 factors that industry can go back to the original capacity of 7.5 lakh tons and Chinese electrodes can also come, where is the case for a firmer pricing scenario? If you could clarify these doubts?

Ravi Jhunjhunwala: I'll clarify this. It's pretty simple. We still believe that China is still producing not more than 13%, 14%, 15% of its total steel through electric arc furnace, whereas the rest of the world is now in the region of 47%, 48%, minus China. So, that's number one. Secondly, China -- China's electrodes and the Chinese electrodes technology and the quality is still far behind.

And they are very -- with great difficulties, they are able to make some of their electrodes work in some of the European and American and Indian plants. It's not just Europe. It's not just America. It's even India. They are exporting a little bit in India also. So, whatever we have been saying for a long time, we don't really consider them as a threat, at least in the near future.

The ultra-high power, which is what we have been talking about -- majority of our production or Graphite India's production or Americans or the Japanese companies' production is majorly for the ultra-high power, where China is not able to provide the same quality.

Rajesh Majumdar: Okay. No, because you mentioned -- this is a point in your note that oversupply of Chinese electrodes have contributed to continued price decline. So, I was just wondering why this note has come because I also had the same impression that they can't compete in the high-quality electrodes. But since you put it as a note in your presentation, I was just wondering as to how much of a threat is it.

Manish Gulati: Rajesh, are you referring to our investor presentation or somebody else's?

Rajesh Majumdar: Yes, your investor presentation, industry outlook -- you mentioned there,

in point #5, the China's

shift to electric arc steel production has stalled, resulting in an oversupply of Chinese electrodes and continued price decline.

Manish Gulati: Yes. So, let me explain this point in perspective. You see, it's -- see, China earlier said that they would reach 20% of their production by, let's say, 2020 and then 2025. So, as we see the production, their shift to electric arc furnace is not happening as per their own schedule. So, when we say stalled, they stalled as compared to their own projections of reaching 20%.

So, it's still there about I think not even 13%, 14%. It's around 11%, 12%. Had that electric arc furnace shift happened in China, the oversupply of Chinese electrodes in export markets would not have happened. So, they are still lagging behind their own EAF production targets. So, every time that target shifts, that is what is causing an oversupply of Chinese electrodes, even if they

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are not of the UHP variety because a large part is the HP grade variety. So that's what that point #4 means.

Rajesh Majumdar: Got it. So this Chinese electrodes are coming only into India, or even in U.S.? U.S., they can't come because of the import duty. But in other markets like Middle East and Japan also, the Chinese electrodes are coming now?

Manish Gulati: See, Chinese electrodes are going all over the world, Rajesh ji. It's about that quality which they are supplying. I think there must be -- I think some customer at a, I was having a look a few days back, it's about 400,000 tons. But out of that 400,000 tons of electrodes, they are not UHP variety, and they go to all kinds of countries, a big list of countries, everywhere. There's a big dumping duty in U.S. on Chinese electrodes. That's where they are limited. But other than that, they go to every country, including India.

Rajesh Majumdar: Okay. So I just wanted to know whether that's a concern for our long-term future, that's all.

Manish Gulati: No. They've always been there. You see, not only now, for 5, 6, 7 years, they have been exporting a lot of these tonnages. And they mostly cater to the ladle furnace market. Lately, they are also targeting some furnaces where UHP grade works. But that's still behind. I'm not known of any big customer group giving them 20%, 30% of the business for the last few years because in this product, consistency and reliability is most important rather than price.

Ravi Jhunjhunwala: All these new 100 million or 70 million, 80 million that whatever we are talking about in terms of new electric arc furnaces being built all over the world, they are all very large furnaces with very large amount of transformer and power and everything. Their quality requirement, the size of electrodes is very, very different than what China can produce.

So, China has been producing a lot of electrodes. They're consuming a lot of electrodes. But their size of furnace, the size of rectifier, the power that they feed into those furnaces is nowhere comparable to these plants which are coming up now.

And one point here is also important for you to understand. Electrode only means 1.5% to 2% of the cost of production of a steel company, whereas 1 bad electrode, 1 breakage of a bad electrode means 1 or 2 hours gone. So, the cost of loss of that production of 2 hours is far too high compared to the cost of 1.5%, 2% in the price difference and the consumption difference of electrodes.

Moderator: The next question is from the line of Pranay Khandelwal from Titan Capital.

Pranay Khandelwal: Just wanted to ask, the management made a comment that the U.S. and Europe, they sell the capacity 1 or 2 quarters ahead. So, just wanted to understand if that is something that applies to us also. Like do we also follow the same practice?

Ravi Jhunjhunwala: No. You see, if we are exporting about 2/3 of our production,

it takes about -- as I said, between

2 to 4 to 5 months, it takes to produce all those electrodes. And if we are -- so unless we have order book for the next 2 quarters at least, you can't even start production of those electrodes.

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Pranay Khandelwal: So, we work on an on-order basis?

Ravi Jhunjhunwala: So, it is the same pattern. Today, if you are operating at 80%, 85% capacity, let's say, in this quarter, January-March, we can supply another 5%, 7% for an ad hoc supplier -- ad hoc demand.

But 80%, 85% is already sold. And similarly, if it is not 80%, 85% for next quarter, April-June, it will be at least 50%. So, you cannot plan unless you know what size and what quality you have to produce and sell in April, March -- March, April, May, you can't plan your production also.

Moderator: The next question is from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor: Sir, firstly, I missed your number on the global -- yes, am I audible, sir?

Ravi Jhunjhunwala: Yes. Global -- what was your word, global what?

Saket Kapoor: Yes, sir. Global capacity addition, firstly, in terms of the graphite electrodes that have taken place for 2024, and what are the capacity addition in the anvil going ahead, whether there are any?

Ravi Jhunjhunwala: No. See, I can give you more or less accurate data. If you -- if we go back to, let's say, 2010, the total capacity of electrode minus the 2 Indian plants was 740,000 tons. That 740,000 tons is today close to 500,000 tons. So, that -- this number is 90%, 95% accurate because there have been public announcements that this plant is closed, that plant is closed of this capacity and that capacity.

So, 10 years ago, 14 years ago, 740,000 tons meant about 21 plants. Again, I'm talking minus Graphite India, minus HEG. So, that 740,000 tons and 21 plants in 2010, currently it stands at

500,000 tons and 13 plants. So, 8 plants have fully closed down and 240,000 tons of capacity has gone out of business. And this is, as I said, without HEG and Graphite India. And now, if you come to India, India was 120,000 tons in 2010. So, 740,000 tons outside of India, 120,000 tons in India. I'm going back to 2010. And that 120,000 tons was equally divided between HEG and Graphite India, 60,000 tons each. Currently, to day, as we speak, we are 100,000 tons and Graphite India is 80,000 tons.

Graphite India, as you know, had a plant in Germany, which they closed down 3, 4 years ago. They had a plant in Bangalore, which they had closed about 7, 8 years ago. So, Graphite India today has 2 plants with a capacity of 80,000 tons in Durgapur and Nashik. So, if this gives you a picture -- if this gives you a satisfactory answer to what you are looking for, so these are the statistics.

Saket Kapoor: Yes, sir. And how have the steel production shaped up from the electric arc furnace route, if we take that statistics in correlation to how the mothballing of capacity for graphite has been?

Ravi Jhunjhunwala: See, I'll tell you the global figure, again, minus China because in all these discussions, we are excluding China because as soon as you mix China in the rest of the world, the figures differ, they change drastically because China produces only 10%, 11% of its steel through electric arc

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furnace and China produces 55% of the world's steel, whereas the balance 45% steel, which is produced by everybody, excluding China, electric arc furnace accounted for about 40%. So, that 40% in the last 2, 3 years has come close to 50%. So, 40% going to 50% in the last 5, 7 years basically means 25% jump.

Now, in India, for some reason, which we cannot understand, the electric arc furnaces are not being built, whereas close to 100 million tons of new greenfield electric arc furnaces are coming in because -- simply because of the carbon emission. Carbon e

mission in the electric arc furnace

is between 4x to 5x higher than the same steel produced through the electric arc furnace.

So, in that backdrop, 100 million tons of new electric arc furnaces are coming in the world, which does not include India and which does not include China. And the CapEx for these 100 million tons is roughly \$100 billion. So, for every 1 million tons of new greenfield electric arc furnace, the cost is about \$1 billion. So, the steel industry outside of India and outside of China is investing about \$100 billion to build about 100 million tons of new electric arc furnace.

I don't know if I made sense, if this is what you were looking for.

Saket Kapoor: Yes, sir. And 2% of that will go towards -- the expenditure towards the graphite consumption?

Ravi Jhunjhunwala: No, you are confusing. Now, we are talking about the CapEx.

Saket Kapoor: Capex, okay, right.

Ravi Jhunjhunwala: The capex to build 100 million tons is about \$100 billion. And when you are talking of 2%, we are talking of the operating cost. That means what I'm saying is, electrode constitutes about 2% of the operating cost to produce 1 ton of steel. So, it's a very insignificant cost for the steel producer. But as I explained in answer to one more question earlier, but that 2% can stop your furnace for 2, 3 hours. If 1 electrode breaks, it takes you 2 -- you waste 2 hours of production just for a bad quality electrode, which is -- which accounts for 2% of your cost.

So, the cost of that 2 hours is very, very high as compared to saving in buying an electrode, which is, let's say, 5%, 3%, 4% cheaper than the best ones. You imagine a 200-ton furnace stopping for 2 hours. So, he loses 400 tons of steel production because of the bad electrode, which only means 1.5% to 2% of his operating cost. That is where the quality and the technology comes in.

Saket Kapoor: Yes, sir. Sir, can you comment on the raw material price basket, especially for the needle coke and the pitch tar part? And also, when we look at our other income component, that has gone up for this quarter. So, what factors led to this other income -- increase in other income?

Manish Gulati: First question, other income has gone up.

Ravi Jhunjhunwala: No, first question was what -- I mean, the other question was M TM.

Saket Kapoor: First question was regarding the RM prices.

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Ravi Jhunjhunwala: The first question was needle coke -- no, first question was needle coke prices. So, as I said, the electrode prices are more or less frozen for at least 1 or 2 quarters because it takes that long to produce electrodes. So, in consonance with that, the needle coke prices are also frozen for 1 to 2 quarters because unless we know the cost of needle coke at least for the next 2 quarters, we can't buy it. We can't sell our electrodes. So, this more or less goes hand in hand.

Saket Kapoor: Correct, sir. And the price end also, sir, going ahead with the capacity addition for needle coke also. I think that is mainly from -- China only is the major producer. So, what would be the outlook there in terms of...

Ravi Jhunjhunwala: No, major producer of what was China?

Saket Kapoor: Needle coke, I think so, is majorly produced...

Ravi Jhunjhunwala: No, we don't buy a single ton of needle coke from China.

Saket Kapoor: Okay, sir. How about the capacity...

Ravi Jhunjhunwala: China doesn't produce needle coke. We only produce -- there are basically only 2 or 3 producers of needle coke in the world. It's exactly the same story in needle coke as electrodes. There are a very handful of companies producing needle coke and a handful of companies producing electrodes. It's a matter of technology basically. So there's an American company and there are 2, 3 small Japanese companies for needle coke.

Moderator: Ladies and gentlemen, we will now take the last 2 questions for the afternoon.

The first is from

the line of Deep Mehta from Bank of India Mutual Fund.

Deep Mehta: Just taking for the last participant's question, like you said, the roughly 2.4 lakh ton of electrode capacity has been gone since last few years. How difficult or easy is it for those guys to bring back those capacities? And what can be the lead time between someone wanting to start the capacity and those capacities actually coming on stream?

Ravi Jhunjhunwala: See, just to give you a quick context, our plant, the HEG plant near Bhopal, that is really the last new greenfield plant built in the world. So, that gives you an idea about the complexity of the technology and how many companies there are who can give you the technology. And it used to be 7, 8 at that time when we came in 1976.

Today, it is down to 3 or 4. If you really talk about the graphite world, there are basically 4 large companies, GrafTech and Resonac -- GrafTech in America, Resonac in Japan, and the 2 of us in India. There's a small company in Japan called Tokai, but they have a capacity of 72,000 tons between 3 plants, 3 locations.

So, in any case, with an average of 24,000 tons, 25,000 tons plants at 3 locations and all those 3 locations being in Japan and Europe, their costs are way higher than anybody else. So, this is the context in which you asked that question. So, I don't know if this helps you.

Deep Mehta: That is somewhat helpful. But, let's say, GrafTech or some big company, they have shut down a capacity...

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Ravi Jhunjhunwala: No, they can always restart. Of course, they can restart. But a gain, these plants are all very, very old. Even if you take our plant, we started this plant in '76 with a capacity of 10,000 tons. But we have kept expanding from 10,000 tons, and currently, we are at 100,000 tons.

So, even in terms of equipment and everything, every 5 years or every 4 years when we have expanded by 15,000 tons, 20,000 tons, 30,000 tons, we have had this opportunity to buy the best equipment of that day. All the equipment that we buy, there is obviously some improvement in cost, some improvement in technology, some equipment in -- some improvement in efficiency.

So, because we have kept expanding over the last [inaudible 0: 50:26] we have had this advantage over others that every time we have expanded, we have bought the best equipment of that day.

So, theoretically, what you are saying is perfect that it is always possible to restart the plant.

Let's say -- I mean, I'm just talking out of my mind. If the prices go to 10,000 tons, everything will start. Why should they not?

Even if your cost is \$500 higher or \$700 higher, everything will restart. And they will obviously restart. If there's a demand for electrode and the prices go to 10,000 tons, it doesn't matter whether you make \$500 more or less. So, theoretically, yes, it is possible. But given the situation in the world today, especially in terms of labor and regulations and things like that, it is not -- I mean, today, it's not easy to restart a plant which was closed 10 years ago, let's say, in Japan or Germany or Spain.

But yes, theoretically, you are perfect -- perfectly all right. Nothing stops them to restart the plant. But a couple of plants in the last 5, 7 years, which were closed down, have actually been razed to the ground. So, there are both the scenarios. Some plants have been razed to the ground because they were very close to a large-ish kind of a city in Germany or Japan or Spain. And so, it was not worthwhile waiting for restarting the plant rather than selling the land to a real estate developer.

Moderator: The next question is from the line of [Zeb Porczyk 52:30] from Opoka TFI.

Zeb Porczyk: Two, if I may. You just authorized an increase in the investment limit in foreign stocks by some 40%. And I

understand that you will increase your stake in Graf Tech even more and probably exceed 10% in the company. So, the question is, what is your long-term plan with such a huge stake in competitor? And why do you think it's better to buy those shares instead of buying back your own stock?

And the second question on price increases. You mentioned that your competitors increased prices or they try to increase prices, yes, Resonac 20%, Tokai 10%, GrafTech 15%. And you just mentioned that you are waiting for those to go through or not to go through. And the question is, why are you in a waiting mode and why you are not acting proactively and do the same as your competitors, meaning send those 100 letters to your 100 customers saying that you would like to increase prices?

Ravi Jhunjhunwala: Okay. Now, your first question -- first 2 questions are relating to our investments in GrafTech. See, from our calls in the last -- let's say, 4, 5 calls over the last 1.5 years, 2 years, we have always been saying that we see a big increase in the demand for electrodes. And there are not
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too many players who are in this business. There has not been any new player in the field of graphite electrodes in the world. We were the last one 50 years ago.

So, in that backdrop, we have been expanding our plant because, as I said, we are amongst the lowest-cost producer of electrodes in the world. And, of course, the size of the plant makes a difference. From 10,000 tons, if we have grown to 100,000 tons, when you understand, what happens when you produce 100,000 tons on the fixed costs.

So, in that backdrop, about 6 months ago, we just saw that GrafTech's market cap -- and GrafTech is in a very special situation compared to all the other 4, 5 graphite producers. That's the only company who has -- who is backward integrated to the raw material, needle coke. So, they had a capacity of 200,000 tons of electrodes and 140,000 tons of needle coke.

So, if you have been following our business, let's say, for the last 5, 6, 7 years, you would have seen that 5, 7 years ago, when the electrode prices went up by -- absolutely went through the roof, let's say, so did the needle coke prices. So, GrafTech is in a very, very good situation, where they have 70% of their own raw material, and that raw material happens to be a very special kind of crude oil.

And as you know, in the Western world, you can buy your raw materials, especially oil, in future. You can buy all your raw material for 140,000 tons of needle coke for 3, 4, 5, 6 years at a frozen price. You can pay a premium or a discount, depending upon when you are doing it. So, you can actually freeze your raw material cost.

So, to answer your question very frankly and very clearly, so 3, 4, 5 months ago, their market cap -- with more capacity, more or less 2x capacity of electrodes, plus a 70% backward integration, that is what GrafTech is, which -- that privilege is not available to any of the other graphite companies of needle coke. And as you must have understood from our tone and tenor, we are looking at good days.

Nobody can time that. But we are talking about an increase in the electrode demand because of this new 80 million, 90 million, 100 million tons of new electric arc furnaces, which are likely to be in operation. Some of them are already in operation, and some of them are coming this year and another next 2, 3 years. So, in that backdrop, their market cap was practically half of ours, which didn't make sense, given the capacities, given the backward integration and given the next 2, 3 years' demand of electrodes.

So -- and we were sitting on a fairly substantial treasury, which was giving us 6%, 7% -- a rate of 6%, 7%, 8% return. So, we said, why not? If we are sitting on cash and making 7%, 8% returns, and if we believe in this business, and -- so, obviously,

if we believe in this business and

we believe in all whatever I just explained that their prices are likely to shoot up much more than ours. That's what actually prompted us to do it. So, that -- so I believe that explains our rationale about why we invested there.

And what else? Was there anything else that you asked?

Manish Gulati: Why waiting for a price increase? Proactively announce.
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Ravi Jhunjhunwala: So, is it okay? Have I answered you to your satisfaction, the first question?

Zeb Porczyk: Yes. Maybe the first -- one more sentence on the first part of the question. So, what is your long-term plan with such a stake because we are not talking about 1% in the company, but 10%-plus. So, is it just waiting for a price increase or you would like to make some kind of integration, if you can comment?

Ravi Jhunjhunwala: No, for the time being, we are not looking at any integration. As I said, if we are the cheapest-cost producer, why would we like to have any integration with a producer whose cost is much higher than ours? So, that is not even in our radar. It's purely on the assumption that we are in the right business.

We believe the electrode business is going to be better and better and better. And when that day comes, their prices -- their share prices will see a much larger jump than our own prices because of that needle coke that I just talked about. And we saw that 5 years ago. Their prices jumped much, much more than us because they made -- not only they made profits on electrodes, they made tons of profits on needle coke, which only they could have done.

So, that is the -- that's purely the reason that attracted us to invest in GrafTech. And we are happy about it. It doesn't matter whether it goes down or up. We are not -- we are not taking a short-term view on that.

Zeb Porczyk: Okay. And the second question on why you are not acting proactively on price increases, if you could comment on that?

Ravi Jhunjhunwala: No, I didn't say that. I didn't mean that. Even if I did say, I didn't mean it. See, announcing on paper and making that change on ground are 2 different things. See, purely by sending a letter, if I could get a price increase, I'll be very happy to do it this afternoon. But the -- and we are still half the size of the other 2 bigger players.

So, if they have taken the initiative, the market is aware about the intention, and the reason they have announced the price increase is obviously because they also believe more or less on whatever we just spoke about, that new electric arc furnaces are coming, the demand of electrodes is going to rise. So, in that backdrop, obviously, they have announced a price increase. So -- and as I said in answering an earlier question, in this business, you are more or less already booked for the next -- at least 100% for the next quarter and at least 50%, 60% of the second quarter. So -- and we are also going by the assumption that if there is a price increase because the other 2 guys have already announced, we will see it in the market in any case. So, there's no need to irritate the customer by sending letters after letters that we are also increasing the price. Whatever will happen will apply to us in any case.

But I can assure you that we are not selling cheaper. Our quality, our service is that we don't need to sell cheaper than them, and we are not doing it.

Moderator: The next question is from the line of Shashank Kanodia from ICI CI Securities.

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Shashank Kanodia: Sir, if you can just quantify the MTM gains on your other income? I think these were largely pertaining to the shares that you hold of GrafTech, right?

Ravi Jhunjhunwala: Yes, that was one of the reasons, right, major one.

Shashank Kanodia: So, can you quantify, sir, what was the other income on account of MTM gains?

Ravi Jhunjhunwala:

I think it was somewhere in the region of INR60 crores, INR70 crores.

Shashank Kanodia: Okay. And second, sir, on the anode plant, I think your last commentary was that you're still negotiating your deals with the state governments regarding some relief on the power tariffs or something of that sort, right? So -- and now you're mentioning that the construction of the plant has started. So, can you please help us understand where are we on that front? And have you finalized the location and the tariffs in the state government deals?

Riju Jhunjhunwala: So, I can answer that. Riju this side. We are -- we've absolutely decided on the site. We've already procured the site. It's 105 acres in Dewas. And we are in the process of now finally doing the final drawings for the 20,000 tons plant, which we increased from 10,000 tons. And in the next few weeks, we'll be starting to open all the LCs, etcetera, for all the machine import that we have to do.

With the state government, obviously, we have a whole list of demands that we want. And whatever we can get out of that, we will try to extract the most. But regardless of that, based on the current view that we have, we are still going ahead with that plant exactly as per plan.

Shashank Kanodia: Right. And, sir, initially, we were expecting a payback of roughly 7 years, given the fact there was a decline in lithium and battery prices. So, that mathematics still remain? Or does that improve into our favor or, call it, worse to us?

Riju Jhunjhunwala: It would remain the same right now because the battery prices that now we have taken in our business plan and changed all our other assumptions accordingly. I think the battery prices, the way we are seeing globally now, they have more or less bottomed out. So, we won't be seeing a further decline over there.

And again, China produces more than 7 lakh tons of this product, and we are talking about 20,000 tons. And there's a host of American companies, Indian companies and European companies who want to buy this material from places other than China. So, while, obviously, we are not going to get 20%, 30% kind of a delta compared to China, but definitely, a 10% to

15% added margin because of the product being made outside China is something that is a very -- I mean, reasonable assumption.

Of course, if we get the other stock that we're asking from the government, if we get that, then of course, the payback definitely becomes shorter.

Shashank Kanodia: Great. And sir, we intend to spend something like INR1,700 crores, right? So, can you please share the time line as in what happens in FY '26, what's going to happen in FY '27?

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Riju Jhunjhunwala: So, we've -- right now, we've spent around INR100 crores, and I think this plant will be fully operational by September 2026. That is the plan. And obviously, by that time, the demerger would have happened. So, it will be part of the new company, which is HEG Greentech, which would consider -- or which would be part of Bhilwara Energy, which will be one vertical; bottle-to-bottle manufacturing, which will be the other vertical.

Third vertical would be RePlus, which is our battery storage company. And the fourth would be this particular -- the TACC project. So, of course, as part of the demerger, the HEG shareholders will get one share for all these other projects as well.

Shashank Kanodia: Right. And the total capex spend remains same, right, INR1,700- odd crores?

Riju Jhunjhunwala: INR1,700 crores to INR1,750 crores, depending on your -- there's been a bit of an issue with the whole dollar appreciation, which we, of course, are trying to talk to all the Chinese partners that this has to be on their account because prices of -- capital expenditure should also go down and not go up only because of the dollar appreciation.

Moderator: Ladies and gentlemen, we now

have the last question of the afternoon from the line of Saket

Kapoor from Kapoor Company.

Saket Kapoor: Sir, firstly about this anode plant, which Riju sir was explaining. So, this will be entirely a different vertical and no correlation as such with the electrode part of the story? And the total capex to run the plant optimally would be how much, sir?

Riju Jhunjhunwala: So, I would not say that HEG and TACC will not have any correlation. Of course, it will be in a different company after the demerger. But a couple of the major factors like the raw material purchase, your graphitization process, these are factors that are common to HEG graphite and to the new anode plant, which definitely gives us a much bigger up per hand compared to our other competitors in this.

And yes, it will be in a different company, but we'll have a lot of synergies between the 2 companies as far as this is concerned. And the total capex would be, like you mentioned, between INR1,700 crores and INR1,800 crores.

Saket Kapoor: And Riju sir, what we observe -- I'm also an investor in your other group company, RSWM. We find you also there as the Managing Director, and here, the Joint Managing Director. I think so there is a split of responsibilities in both the 2 different aspects.

But just to -- just as a concluding remark, sir, we find that for HEG as a whole, not only for this quarter, for -- now being for many years, both Ravi sir and his team has been always not only answering to the question, but leading from forefront in explaining to us all the nitty-gritty, whereas when we look at your other group company, RSWM, there is a shift in the top role and all.

So, I would just like to take -- bring to your kind notice that, Riju sir, you should be taking up some more keen interest in listening to your investors. They are also addressing their queries and putting things in order. The y are in order. You [inaudible 0:70:40].

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Riju Jhunjhunwala: They had a large investor call yesterday in RSWM where I was present...

Saket Kapoor: Yes. I was there, sir. I was there as part. So, I would like you to be there also, sir. Yes.

Riju Jhunjhunwala: [inaudible 0:70:53] But talking about the new industries, we are going into absolutely 4 different verticals, which is a bottle-to-bottle, which is your anode, which is your -- this thing, your battery storage. And in time, obviously, there will be -- this company will be completely professionally led. We need to have a CEO for this company. But as of now, we are just putting all the pieces of the puzzle together and managing it that way.

As far as RSWM is concerned, I think we have answered most of your questions yesterday. It's just been a bad 18 months for the textile industry in general. And whatever internal changes we had to make, whatever efforts we need to make from our side, absolutely, nothing is going unnoticed or not being done.

Saket Kapoor: Yes. Sir, congratulations to all the good work being done in both the organizations, and we hope

for the continuity of these calls and a lot of merit in the discussion, sir.

Navin Agrawal: Thank you very much. That was the last question in the queue. Before I hand over the call to Mr. Jhunjhunwala for the closing remarks, I'd like to invite Mr. Manish Gulati. Manish ji?

Manish Gulati: Yes Thank you, Navin ji. I wanted to make a clarification. See, while we were answering queries on industry capacity, industry utilization, there were some questions from Rajesh Majumdar of B&K. So, let me clarify very clearly. The nameplate capacity of a lithium graphite electrode industry excluding China is 700,000 tons.

And when we say -- when Rajesh ji asked what would be the typical industry-level utilization, while we can very clearly say ours, we only have to look at public state

ments made by others.

Some of them make it clearly, some of which we can't make out. So, let's say, 65% to 70% would probably be the industry-wide capacity.

This is the maximum estimate we can give. So 65% of 700,000 tons would mean 4.5 lakh tons of electrodes, and 70% would mean 500,000 -- 5 lakh tons of electrodes. So, I just wanted to clarify this very clearly. This is what we think our estimate of the industry utilization, where we are very accurate with our own, of course. That's all.

Navin Agrawal: Thank you, Manish ji. I'd now like to hand over the call to Mr. Jhunjhunwala for his closing remarks. Ravi ji?

Ravi Jhunjhunwala: Thank you, friends. It's been a pleasure talking to you. And this is time, we had very, very probing questions. And I hope we have been able to satisfy you, and I look forward to having another discussion in 3 months' time with you. Thank you.

Moderator: Thank you. Thank you very much. On behalf of SKP Securities Limited, that concludes this conference. Thank you all for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2025

HEG/SECTT/2025 30
th May, 2025

BSE Limited
25th Floor, P J Towers
Dalal Street MUMBAI - 400 001.
Scrip Code : 509631 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G Block, Bandra - Kurla Complex Bandra (E), MUMBAI - 400 051.
Scrip Code : HEG

Sub: Transcript of Earnings Conference Call on Q4 FY25 of HEG Limited

Dear Sir/Madam, Please refer to our Earnings Conference Call scheduled on 26th May, 2025 intimated vide our letter dated 20th May, 2025. Please find enclosed the transcript of the said Earnings Conference Call. The said transcript is also available under the Investors Section of the website of the Company i.e www.heg ltd.com.

This is for your kind information and records.

Thanking You, Yours faithfully, For HEG Limited

(Vivek Chaudhary) Company Secretary M.No. A-13263
heg.investor@lnjbhilwara.com

Encl: as above

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"HEG Limited Q4 FY'25 and Full Year FY'25 Results
Conference Call"

May 26, 2025

MANAGEMENT : M R. RAVI JHUNJHUNWALA - CHAIRMAN , MANAGING
DIRECTOR AND CEO, HEG LIMITED
MR. RIJU JHUNJHUNWALA - VICE CHAIRMAN , HEG
LIMITED
MR. MANISH GULATI - EXECUTIVE DIRECTOR , HEG
LIMITED
MR. OM PRAKASH AJMERA - GROUP CFO, HEG
LIMITED
MR. RAVI TRIPATHI – CFO, HEG LIMITED
MR. ANKUR KHAITAN - MD AND CEO OF TACC
LIMITED , HEG LIMITED
MODERATOR : M R. NAVIN AGRAWAL – SKP SECURITIES LIMITED

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Moderator: Good day, ladies and gentlemen. Welcome to the HEG Limited Q4 FY'25 and full year FY'25 results conference call organized by SKP Securities Limited.

As a reminder, all participants' lines will be in the listen-only mode, and you will be able to ask

questions after the management's opening remarks. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agrawal, Head Institutional Equities at SKP Securities Limited. Thank you and over to you, sir.

Navin Agrawal: Good afternoon, ladies and gentlemen. I am pleased to welcome you on behalf of HEG Limited and SKP Securities to this Financial Results Conference Call with the Leadership Team at HEG Limited.

We have with us Mr. Ravi Jhunjhunwala – Chairman, Managing Director and CEO; and Mr. Riju Jhunjhunwala – Vice Chairman, along with their colleagues Mr. Manish Gulati – Executive Director, Mr. Om Prakash Ajmera – Group CFO; Mr. Ravi Tripathi – CFO; and Mr. Ankur Khaitan – MD and CEO of TACC Limited, a subsidiary of HEG Limited.

We will have the opening remarks from Mr. Jhunjhunwala followed by a Q&A session. Thank you and over to you, Raviji.

Ravi Jhunjhunwala: Thanks. Friends, good afternoon and welcome to our financial results conference call for the fourth quarter and full year '24-'25. As per the World Steel Association, global crude steel production in Q1 2025 declined slightly by 0.3% to 468 million tons compared to 470 million tons in Q1 of 2024. Similarly, steel production excluding China also came down by 1.5% to 209 million tons in Q1, indicating continued weakness across major steel producing regions due to weak demand and pricing challenges. Chinese production, however, rose by 0.8% to 259 million tons, enabling stronger export volumes and impacting global pricing. India was one of the exceptions and continued its upward momentum with a 6.8% year-on-year increase in steel output to 40 million tons in Q1, driven by infrastructure investments and other demand. In contrast, large steel producing countries like US, Germany, Japan, South Korea, Turkey all witnessed notable declines ranging between 0.6% in US to as high as 12.6% in Germany reflecting regional economic slowdowns leading to weaker demand. Chinese steel exports once again surged, intensifying global competition and further pressurizing the international prices. Consequently, it also impacted demand of our products, keeping prices under pressure. The recent imposition of 10% import duties in the US, if not withdrawn, will have some impact on our business. However, given HEG's very well diversified sales, sales footprint across all major global markets, the overall impact is expected to be limited. Our EBITDA quarter-on-quarter has been going up. It was 16% in Q1, which went up to 21% in Q3. And in last quarter, Q4, it was 27%. HEG Limited
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was as high as 27%, with a full year average being 21%. Excluding mark-to-market loss on investments in the shares of GrafTech International, operationally last quarter was our best quarter.

HEG continues to be amongst the lowest cost producer of electrodes in the world, more so with our last expansion which brought our capacity to 100,000 tons. This should be seen against the backdrop where we have recently seen most of our Western competitors not only completely shutting down some of their plants, but also downsizing some of their plants in Malaysia, China, US, Spain, France, Mexico, and Japan.

If you look at these closures and reduction of capacities, which have all been announced in the last 12 months or so, over the past, we have seen 4 plant closures, 4 full plant closures, and additional downsizing of 4 other plants, leading to a combined capacity reduction of 120,000

tons, which is equivalent to about 16% of global total capacity excluding China and Russia. These are very significant and meaningful reductions in recent years in our business, which points to tightening of supply and possible implications on future pricing dynamics. This should help the industry to regain some pricing power in the medium term. All these reductions have happened at a time when we at HEG have increased our capacity from 80,000 tons to 100,000 tons last year. Even after our expansion, HEG continues to operate at the highest capacity utilization in our industry at between 80% and 85% as compared to an average of 50% to 60% of our international Western peers.

Moreover, world's largest graphite electrode Company, Resonac of Japan, with a total capacity of approximately 210,000 tons, spread across 6 plants worldwide, US, Spain, Austria, Japan, Malaysia, and China, representing about 30% of the world's graphite electrode capacities, excluding China and Russia is considering sale of its graphite electrode business by end of this year. It has also recently announced closure of 2 of their plants in Malaysia and China, resulting in a total reduction of 44,500 tons, which constitutes a 21% cut in their total capacity. Similarly, in July 2024, Tokai Carbon of Japan had announced a capacity downsizing their German plant from 30,000 tons to 20,000 tons and the closure of a plant in Japan, which was about 14,000 tons, resulting in a total capacity reduction of 24,000 tons, which is equivalent to about 25% of their overall capacity. All these are in addition to GrafTech International having closed their US plant early this year with a capacity of 24,000 tons in US. All these closures add up to about

120,000 tons. And with these, the total graphite electrode industry today stands at a total of about 633,000 tons as against about 752,000 tons about 2 years ago, a reduction of 18%.

You are aware that given their high cost structure and incurring significant losses, most of our international peers had announced their intent to increase electrode prices by about 15% to 20% in last 2 quarters. While we do see some price increases being absorbed in the market, we hope in the coming quarters the impact of significant closures of above capacities would help the industry to get back in a healthy state.

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Now let me take you through our investment in equity of GrafTech International US, a significant player in the electrode industry. GrafTech is the second largest graphite Company in the world with a capacity of about 178,000 tons with 3 plants in Mexico, Spain, and France. In addition, they also have a backward integrated needle coke plant, our key raw material located in Texas, US, with a capacity of about 140,000 tons, which meets a significant part of the needle coke requirement. As part of our treasury operation, we have invested a total of Rs. 282 crores to buy Rs. 2.57 crore shares of GrafTech, which is 9.98% of their equity at an average price of \$1.32 per share. As you are aware, as per accounting standards, we have to record our investment at fair value as per the quarter closing price of the share. As such, as on 31st March 2025, the share was trading at \$0.87 dollars per share, because of which we had to fair value them at a closing price and take the hit of MTM, mark-to-market of Rs. 160 crores for the quarter 4 of FY'25 and Rs. 80 crores for the full year of 2024-'25 purely on account of this investment. This is evident when you look at our other expenses, which looks abnormally higher in the quarter as compared to the last quarter. Excluding this MTM loss on GrafTech investment shares, our PBT would have been Rs. 88 crores for Q4 and Rs. 228 crores for the full year 2024-25, which makes Q4 as the best performing quarter in the previous year. Our capacity utilization for the year 2024-25 was close to 80% based on our expanded capacity of

100,000 tons and we hope to maintain this in the current year too, if not increase this a little bit. We do remain the most cost competitive graphite electrodes Company in the western world, supported by low fixed costs and a large capacity of 100,000 tons at single location while the total graphite industry's average plant size stands at about 40,000 tons today.

Despite near-term challenges, we remain optimistic about the mid- to long-term outlook. The global shift towards decarbonization is now irreversible. And we continue to closely monitor new greenfield electric arc furnace projects, which are expected to drive future demand of graphite electrodes. We believe over the last 18 months or so, approximately 11 million tons of new greenfield electric arc furnace capacities have already been commissioned and in the next 18 months, this figure is likely to be in the region of another 25 to 30 million tons. So which will make it close to 35, 40 million tons in the next 18 months, 35 to 40 million tons of new electric arc furnace capacities.

Above capacity reductions across the graphite electrode industry coupled with higher electrode demand are likely to help stabilize the demand supply dynamics, easing margin pressures, and paving the way for a more balanced market environment in the coming years. We hope these reductions in electrode capacities will help in selling prices firming up soon as the current prices are unsustainable for the industry, which is reflecting in most of the Western world's actions in the recent past as described above.

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Now a word about demerger of HEG. Our scheme has been filed with stock exchanges and all other relevant authorities, after which it will go to NCLT. We expect to get all the required approvals by end of calendar year 2025.

With this, friends, I would now request our CFO – Ravi Tripathi to take you through the financials of the Company for the last quarter as well as for the year 2024-25. And then we will be very happy to address all your questions and queries. Thank you.

Ravi Tripathi: Thank you, sir. Good afternoon, friends. I will now briefly take you through the Company's operating and financial performance for the year ended 31st March 2025.

For the year ended 31st March 2025, HEG recorded revenue from operation of Rs. 2,153 crores as against Rs. 2,395 crores in the previous financial year. The revenue for the quarter of FY2025 was Rs. 537 crores as against Rs. 547 crores in the corresponding quarter of the previous year.

During the year ended 31st March 2025, the Company delivered EBITDA of Rs. 388 crores as against Rs. 526 crores in the previous Financial Year. The Company on a standalone basis recorded a net profit after tax of Rs. 101 crores in FY'25 as against Rs. 232 crores in the previous Financial Year. And on a consolidated basis, the net profit after tax is Rs. 115 crores in FY'25 as against Rs. 312 crores in FY'24.

The Company is long-term debt-free and had a treasury size of approximately Rs. 875 crores as on 31st March 2025. The board of directors have recommended a 90% of final dividend that is through Rs. 1.80 per equity share of the face value of Rs. 2 each for the Financial Year 2025 subject to the approval of the shareholders at the ensuing AGM. To take up more questions from the participants, the detailed presentation has been uploaded on the Company's website and on the stock exchange.

We would now like to address any questions or queries you have in your mind. Thank you. Over to Navinji.

Moderator: Thank you very much. We will now begin the question and answer session. We will take first question from the line of Suraj Khaitan from SKP Securities Limited. Please go ahead.

Suraj Khaitan: My first question is regarding the graphite anode plant. What is the date on the commissioning timeline of the graphite anode plant?

Ravi Jhunjhunwala: So Ankur would you like to take

that question?

Ankur Khaitan: Sir that will be in April 2027.

Suraj Khaitan: And sir what is the CAPEX that we have incurred so far and what is the expected remaining spend?

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Ankur Khaitan: Sorry, can you repeat the question again?

Suraj Khaitan: So what is the CAPEX that we have incurred so far and what is the expected remaining spend?

Ankur Khaitan: So we have right now we have all the land and the permissions related to the site. We have started our groundwork and we have also finalized our machinery. So in next one quarter, we will be finalizing all the, we will be placing all the orders of the main machinery and our site work is already started.

Suraj Khaitan: Can you please quantify the CAPEX that we have incurred so far still now?

Ankur Khaitan: So in terms of implementation, a little bit more than Rs. 100 crores we have already spent and we have started committing against the main machinery.

Suraj Khaitan: What is the expected CAPEX that we can incur on this plant in this FY'26?

Ankur Khaitan: The total CAPEX is around Rs. 1850 crores and we would be spending a large amount of that. We would be committing almost 100% within this Financial Year.

Suraj Khaitan: How do we plan to structure the capital for this project like it will be all through internal accruals or debt?

Ankur Khaitan: It will be a mix of debt and equity.

Suraj Khaitan: And sir, any recent development around the US tariffs that is going on that...?

Ankur Khaitan: Yes, definitely.

Ravi Jhunjhunwala: You're talking about US tariffs or something else?

Suraj Khaitan: Yes, sir, US tariffs.

Ankur Khaitan: So right now, in case of anode, the biggest change which has happened is that almost all the customers outside China have started opting for China Plus One because of the uncertainty in US and various other geographies. So that is giving us a very clear advantage of the product being manufactured in India.

Suraj Khaitan: The graphite electrode that on the Forex side, what is the current hedging policy that we are opting right now and how are we managing currency volatility, especially given our export exposure?

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Ravi Jhunjhunwala: You see, our exports are much larger than our imports. I mean, our main raw material, needle coke, is also imported. So on an overall basis, our exports proceeds are larger than what our dollar spends are. So we do take a view from time to time and either we book a little bit in advance, or we just leave it open based on the market speculation, if you want to call it. And so this is what it is. It's partly covered, partly not covered.

Suraj Khaitan: Okay sir, thank you for the opportunity.

Moderator: Thank you. We will take our next question from the line of Shlok Bhartiya from Svan Investments. Please go ahead.

Shlok Bhartiya: So in your initial remark you indicated that near about 120,000 tons of the supply out of the market. So right now, the current capacity is around 630,000 tons. So just wanted to understand in terms of the demand perspective, what was the total demand in Financial Year '25 and with the new 11 MT that will commission in 18 months and another 25 million ton likely to come in 18 months, what could be the incremental demand on electrode do we see in next 18 to 24 months?

Ravi Jhunjhunwala: You see, on an average, any electric arc furnace steel producer uses about 1.5 to 2 kilos of

electrode per ton of steel. So if we are talking about 25, 30 million tons of new capacities, partly which have already been commissioned, and the other part which is likely to be commissioned in the next 6 to 8 months, you would more or less multiply that by 1.5 to 2 kilos and that is the additional demand for electrode that gets created. But to answer your second part of the question, as we spoke, in addition to what ever has been commissioned in the last 12 months and whatever

is likely to be commissioned in the next 12 months, we believe that in addition to that, there is about 50 million tons more which is at different stages of commissioning. I mean, at some places, the equipment has been ordered. At some places, the construction has started. So from all the various data that we collect from different sources, the total new electric arc furnace capacities including the last 12 months actual commissions of about 10, 12 million tons, it's more than 100 million tons.

Shlok Bhartiya: And sir, in FY'25, what was the actual demand of electrodes globally?

Ravi Jhunjhunwala: I mean, it's very difficult to answer that very specific question. All I can tell you is that, as I said, you look at the electric arc furnace production of steel, and you more or less multiply it by 1.5 to 2 kilos. And electric arc furnace steel capacity, I mean production, I mean it changes from month to month. So without China, Manish what would you say, what is the general production has been last year or let's say this year minus China?

Manish Gulati: Yes sir. Sir I would like to put this in a way that if we look at the capacity utilizations of all the producers, Western producers, HEG, Graphite India. So if let's say GrafTech was working at 58 or something, I don't remember the figure accurately. So that was the figure and we let's say take HEG Limited

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65% for Japanese, this Resonac and others put together, industry put together. If we put a figure of let's say around 65% multiplied by 6.5 -- 650,000 ton of capacity. So this is where we are. So these are, it depends on the utilization of the electric arc furnace industry, which we can say for the markets which they cater to, if the electric arc furnace steel is running at an average capacity utilization of let's say 75%. We can look at the individual companies, GrafTech's, Resonac's, our's, Tokai's Graphite India's capacity utilization. So I think we will come in demand of around between 450,000 to 500,000 tons for these six companies combined.

Shlok Bhartiya: Sir, thanks for that answer. Just wanted to understand, definitely globally given China One Plus coming back but in terms of the electrodes, can you help us in understanding suppose all this capacity 120,000 tons is going up the system. What role does China play in terms of the overall export of electrodes and in terms of the impact on the overall pricing? Because in first quarter also, we have seen some increase in the pricing now after this closure of Japan's Resonac there was some increase, but the benefit of the same is yet to get reflected on our numbers.

Ravi Jhunjhunwala: See the impact of China, if you see, number on the question that you just asked, but just to tell you generally China still does not have the technology and we do compete with China, but very small segment in the market which is the lower part of the segment of the let us say 500-1000 tons of electrode demand or whatever Manish was spoke about. So the impact on people like us or Graphite India or the Japanese or Americans is minimal because of Chinese production of electrode and exports. But again, I'm very clearly saying that China produces very large amount of electrodes, but they are not yet there in the real sense what you call the high-grade electrodes or the ultra-high-power electrodes where we are only competing with the two Japanese companies and GrafTech in America.

Shlok Bhartiya: So overall, it seems that because of this closure and no competition from China, there could be a decision enough of the price appreciation for the graphite electrodes for the forthcoming years.

And that's an augur as well for us, GrafTech, and the other manufacturers. Is it time to assume that?

Ravi Jhunjhunwala: Can you repeat the question? Your voice is not very clear.

Shlok Bhartiya: Just wanted to understand now since you said that the Chinese is not a big player in the

technology, so the closure of the current unit and the price hike that has happened in the June to March quarter. So I do assume that the coming quarters of FY'26, we should have a decent price increase for the graphite electrodes and that should be sustainable for the full year?

Ravi Jhunjhunwala: I hope so. I mean, these closures have just been announced. I mean, it takes some time to even close the plant. But there have been very significant announcements in the last 2, 3 quarters, as I just explained who has announced what kind of capacity reductions. So it's a very sizable number. And as I said, we continue to operate. We were, let's say, operating at about 75%, 80% about 2 years ago of 80,000 tons and we are still operating at 80% with a new capacity of 100,000

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tons. So obviously our production has gone up and we have taken somebody's market share and as I said we are probably the lowest cost producer in the world and again to repeat what we've been saying for a very long time, exports constitutes about two thirds of our sales. So we are fairly well-entrenched in the export market and we are exporting to more than 25-30 countries from smallest ones to the biggest ones.

Shlok Bhartiya: Last question from my side. I mean, last 4 quarters definitely we have seen a sequential improvement in operating leverage and which has driven the overall margin for us. So is it fair to assume the last quarter margin of 21% is a sustainable numbers to work with or probably there could be some pressure on that?

Ravi Jhunjhunwala: See, it will all depend on the pricing. I mean what can I tell you? I mean, I can't pinpoint the number of 20%, 22%. We will keep on reporting to you whatever happened in the last quarter. But from all indications and from all the happenings in this industry for the last 2, 3 quarters, where substantial closures have been announced, these, obviously, these will take a couple of quarters, at least 1 or 2 more quarters to be closed down. So while the capacities of electrodes are getting closed in high cost economies of the world and the new electric arc furnaces coming up in the world which will need more and more electrodes. So directionally what you are saying is absolutely right. I mean it's a matter of time that we will see, we will start seeing some impact on the pricing.

Shlok Bhartiya: That's all from my side. Thank you and all the best. Thank you.

Moderator: Thank you. We take next question from the line of Kaushal Patel, an individual investor. Please go ahead.

Kaushal Patel: Hi, thanks for that. Just to piggyback on the last question, that's an additional 100,000 - 120,000 of new graphite electrode capacity, sorry, EAF, steel products and capacity coming online. Do you expect the China electrode would be a major competitor in that new capacity or is it all like large mills and requires ultra high power and it should not be a major part of competition from China?

Ravi Jhunjhunwala: No, most of these new capacities of electric arc furnaces which are coming up, these 100 million tons that we are talking about, these are all in the western economies. So obviously they are putting up large furnaces which will require big size electrodes which we call ultra high power and that's where the competition from China is minimal. These are all large furnaces which are now coming up. I mean nobody is going to put 100,000 or 200,000 tons electric arc furnaces in today's world.

Kaushal Patel: Also, there was a report last December coming out of South Korea saying POSCO, the major steel producer there, is trying to phase out their graphite electrode imports, which South Korea doesn't produce currently. And say their sister Company is trying to produce the graphite

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electrode themselves. Do you have any thoughts on that? Do you see any other player coming up in South Korea that

produces graphite electrode?

Ravi Jhunjhunwala: Manish, would you take this question?

Manish Gulati: See, what you're mentioning, this Korea thing, POSCO, we have also heard this, but nothing beyond that, nothing concrete we have come across. We did hear that they are considering putting up a plant somewhere here, there. So beyond that, nothing came over. This news is, I think, about 3 to 4 months old. So maybe, but we will check up. But so far, there is nothing concrete on that. But we did hear it.

Kaushal Patel: Thank you. Also, to come to your new anode production facility, can you explain us with new policy like China Plus One, where US might be looking to import their material from other countries other than China, what is the current situation? What are the other major countries that is providing to this anode materials for the EV batteries. And where do you see yourself? Because it seems like because of the China competition, other countries are also struggling right now where they sell their material below their cost. So where do you see this going like if this anti-China policy from up in US? And where do you see India playing role in that?

Ankur Khaitan: Hi, Ankur this side. So yes, right now the major part of the anode is happening in China. China is in fact supplying more than 90% of the synthetic anodes. And there is a very big difference between production in the Western countries versus India. As we speak about the electrode business, the same is applicable about the anode as well because while manufacturing in India, we have a very significant advantage to have a control over our fixed cost, which is one of the most important factors for the long run. Second part is that when with expertise of HEG over the last 50 years, our team plus our technological aspects are very well settled in terms of the finalization of the product, the making, the graphitization and several other processes. That is why for a newcomer in especially in the Western world, there is a lot of work which has to be done in terms of research and development, which HEG has already been doing over the last many years. So we definitely enjoy at least a very big advantage of the R&D as well as of our

expertise over the years. And while we are coming up with our commercial plant today, the fact of the matter is that we have been working on the project in terms of the research, in terms of the demo plan, since a much longer time. So when we discuss today with the OEMs across Europe and US, there is a clear distinctive advantage to have a facility in India and supplying to the Western world versus compared with actually having facility in the Western world or in fact competing with China.

Riju Jhunjunwala: And also if I can just tell you quickly about the domestic market, I think by the year 2030 you will see a demand of between 100,000 tons to 140,000 tons based on the cell battery that will be produced in India. So we are looking at not only the global market but actually the India market itself would be mature enough to consume 120,000 tons of graphite anode powder. So our first

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stage, of course, we are starting with 20,000, but we hope that in the same location we will be able to at least double that capacity in the next 4 to 5 years.

Kaushal Patel: And what is the current supply dynamics in India?

Riju Jhunjunwala: Currently, they are importing from China. There is hardly any cell manufacturing in India but a couple of companies who have started cell manufacturing like Ola, Exide and all, they are sourcing their anode from China which is not a problem right now because obviously, but one day the Indian companies start producing the same anode powder, then they would rather buy here for localization promotion and they will be getting more and more benefits if they buy out of the Indian factories rather than import from China.

Kaushal Patel: And what

is the main raw material that is used in these plants to produce the EV battery anode factories? Like is it same as the graphite electrode like the petroleum needle coke or like is it something else?

Ankur Khaitan: It is very similar to the petroleum needle coke, but the only major difference is that we don't use calcined materials, so it is normally green coke and the two major raw materials are the needle coke as well as power. So again like electrodes, anode is also a very highly power intensive manufacturing process.

Kaushal Patel: And who are the major supplier for those currently?

Ankur Khaitan: So we have very good tie-ups with the Western players, including P66. And we have, again, relationship with HEG has. So we have good material which they are also providing. And then we do have material in Japan as well available. So these are some of the sources because again, even in the raw material, there is a difference of the customers who are non-Chinese raw material. And for our kind of capacity, we don't see a challenge of this quantity from the Western and the Japanese producers.

Kaushal Patel: Okay, and my last question to Ravi sir. You have said this many times in the past, conference call saying current qualified prices are unsustainable. And we have seen that over the years, like closing down substantial capacity of about like 18%, 16% of the ex-China of qualified products. If this continues for a little while, where do you see ex with HEG and Indian players being the low cost players, I would assume that you are very well protected from this. But where do you see major cut downs coming from, if you have to take a good guess, like whether China, USA, and yes, where do you see that? But the reason I am asking is because you're putting a substantial amount of confidence in buying 10%, about 10% of GrafTech and just trying to understand like if you see if this continues for a little while, do you see any major write down that Company can incur?

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Ravi Jhunjunwala: You see, obviously we increased our capacity about 4 or 5 years ago from 60,000 to 80,000 tons, which more or less happened during the COVID years. And as I mentioned in my talk, we were operating at about 80% after expansion from 60,000 to 80,000 tons 2 years ago. And currently, we are still operating at 80% when we are at 100,000 tons. So our capacity utilization has more or less been in that region of 75%, 80%, 85% at 60,000 tons, 80,000 tons, and now 100,000 tons. And this indirectly also tells you that we are probably the best cost producer, the lowest cost producer. And we have twin advantages. One is the size. If you, after all these new closures that we just saw in the last 3, 4 months from the Japanese and Americans, the average size of all other plants is like 40,000, 45,000, 50,000 tons at the most. So if you're comparing a capacity of 40,000 to 50,000 tons in Japan, Germany, France, Spain, US, versus a 100,000 ton plant in India, I mean, you have the answer. And as I said, we have been exporting about two thirds, not for the last 5, 7 years, but for the last 25, 30 years. So we are fairly well-established in most of the geographies of the world. And obviously, unless our quality was as good as anybody else provides, we would not be exporting 65%, 70% for 30 years. And we are pinning a lot of hope with this new electric arc furnaces. I probably finished my answer. There was some interruption in between.

Moderator: Thank you. We will take our next question from the line of Suraj Khaitan from SKP Securities.

Please go ahead.

Suraj Khaitan: Thank you for your follow-up question. My question is regarding the US impact on the graphite electrode front. What the tariffs that they are imposing? What will be the impact that we can see in graphite electrode?

Ravi Jhunjhunwala: No, it is 10%. For the time being, it is 10% not only from India, but from all over the world. So

we will have to see, wait and see. I mean, the real date is the 9th of July, when this 10%..until when it is 10%, we never know whether it will come back to zero or it will remain at 10% or...

I mean, it's just speculation today.

Suraj Khaitan: Thank you.

Moderator: Thank you. We will take our next question from the line of Aryan Sharma from B&K Securities. Please go ahead.

Aryan Sharma: So, from what I get, there are multiple capacity closures you just told us. Yes, we have already seen some price increases I think. So could you quantify like what we could expect in price realizations when it electrodes going forward? Like are there any price increases which we have asked for expected near term? And steel price now also better comparatively?

Ravi Jhunjhunwala: Manish, would you take that?

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Manish Gulati: Yes, sir. You see, Aryan, the price increases which they have announced, you would have noted that they have said for future business booked. So any Company, if we talk about ourselves, so we are of course booked for the next 2 months, 3 months. So these things take some time to take effect. And of course, these capacity reductions are helpful in a way. And if you look at the financials of the peer group, everybody is eager, they are dying to increase prices because only then everyone, the industry can sustain itself. Some are in better shape, some are not so better shape, but price, everybody needs prices to rise. It may take a while, it may take a quarter for you to actually see it happening on the ground. But what the sense we are getting at is that yes, some price increase may be on the way, but we have to wait for a while because the orders which we have on hand, of course, they have to be executed. So towards, let's say the second half, I think, and we hope that prices should increase. Extent will be known, how much, the steel production is still down. As Chairman said in his speech, the rest of the world we cater to, it is still down. So once the steel production starts to improve, I am sure there will be price increase. But please wait for, give us a quarter or two to provide clear direction.

Ravi Jhunjhunwala: And in addition to what Manish just explained, I mean, the impact of these very recent closures, I mean, these recent closures that we just spoke about, especially the Malaysian plant and the German plant and this and that, it takes some time to... It's not like an electric arc furnace operation that you switch it off in one day and from tomorrow morning, you don't have any capacity. It's a very long drawn process even to shut it down. So the shutting down process of all these plants that we just spoke about in the Western world, it takes some little bit of time before the whole thing is shut down. And till then, obviously, they would have electrodes at different stages. So they will have to finish and produce those electrodes before they completely shut down. But as Manish said, it's a matter of maybe a quarter or two before this total capacity of I think something in the region of 100,000 - 120,000 tons that we spoke about which disappears from the horizon.

Aryan Sharma: Sure, thank you for the elaborate answer. Sir, could you just tell us about what we think about the spreads going forward? Like, what are the needle coke price trends that we're seeing right now, sir?

Manish Gulati: See, the needle coke prices have been stable. Needle coke prices have been stable in the last 3 quarters. Now they are also, of course, needle coke prices are tied to the electrode prices. So let's say in the next 1 or 2 quarters, we think they should be in the same range because the electrode prices are also going to be in the same range. But once needle coke prices start to increase, then we will figure out what needle coke people have to say. But so far, they have been stable in the last 3 quarters and the same continue

s for the April to June quarter. And I hope they will keep the same for July to September quarter, because whatever price increase happens will actually happen beyond that, even if people start booking orders now at increased prices, but they'll take effect later.

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Aryan Sharma: Sure, sure. Previously you mentioned that it takes a lot of time to shut down the plants. Obviously, it takes some time. But my question is in regards to how much time it will take to

restart production from these plants. So like what we see going forward is a lot of EF capacities are coming up. Plus the graphite electrode capacities are going down. So there could be significant supply and demand gap. So like how much time will it take to correct that gap if it happens?

Manish Gulati: The electrode production has to go up. The moment it goes up, see electric arc furnace is very quick to respond to market changes because it's a stop and shut operation. The moment demand grows up, the electric arc furnace industry is the first to capitalize on that because they increase their heats melted per day. And since graphite electrode is a derived demand and every ton of steel consumed, takes 1.5 to 2 kg of graphite electrodes. So the demand starts to come rather quickly. So how much time is going to take? We just have to watch the steel production in the major steel producing countries of the world making it through the electric arc furnace route, which means Americas, which means Europe, which means Middle East. So these are the countries where the moment steel production starts to go up, the electrode demand will come very soon because it's derived from every ton of steel made. Whether it takes one quarter or everybody can hazard a guess.

Aryan Sharma: Sure, sir. Thank you for the elaborate answer. One final question is with regard to power consumption. So what is the power consumption in units per ton of graphite production and what is our average cost per unit? Also, could you just quantify what percentage of captive we do for power requirement?

Ravi Jhunjhunwala: No, let's not get into how many kilowatt hours and the pricing. I mean, we don't want to talk about it publicly for obvious reasons. But as far as your answer to your second question, more captive, we have a 15 megawatt hydro power plant just about 2 hours away from where we produce electrodes. So that's a very insignificant consumption of power that we do on our own. Majority, a big large chunk is purchased on the electricity board.

Aryan Sharma: Sure sir, that is it from my side. Thank you for answering my questions.

Moderator: Thank you. We will take our next question from the line of Amol Rao from One Up Financial Consultants. Please go ahead.

Amol Rao: So just a clarification Mr. Jhunjhunwala. Sir, we are still holding on to the 6-month contracts for needle coke and our finished product pricing, right?

Ravi Jhunjhunwala: No, I do not think we ever said that. There is no fixed formula that we hold 6 months that we order needle coke 6 months in advance or produce electrodes 6 months in advance. There is no basis for that. I mean, we produce 6, 7, 8 different sizes of electrodes, 2, 3 different kinds of electrodes, UHP, non-UHP and all that. So there is no fixed formula. I mean, but because of our

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experience, we know in which category, on which size and which quality of electrodes we normally sell. It takes a very long time to produce electrodes. So we have to make some estimates based on our past experience. And that's how the production cycle goes.

Amol Rao: Got it. So secondly, just to get into the small part of our utilization, did you mention that we operated at 80% of our expanded total capacity of 1,00,000 tons for last year, right?

Ravi Jhunjhunwala: Correct. Correct.

Amol Rao: Yes, sir. And sir, we expect it to be around the same level this year.

ear. So probably next year is an

inflection point once all..

Ravi Jhunjhunwala: A little higher.

Amol Rao: A little higher. All right. And sir, just to get into the last participant's question. So there is this whole thing about sourcing from the renewable sources and all that stuff at concessional rates.

So any moves by our Company on that to reduce the power costs probably in the future, sourcing from renewable sources?

Manish Gulati: Yes, we are working on that. We see, there are two things which we have. Our power consumption is very high considering that we are making 80,000 tons of electrodes. So one is that hydro plant, the power of which is sold to the exchange. Then we have some 3 megawatts solar plant inside. Another three is being put up. And there is option available from the Madhya Pradesh Discom that they are ready to sell us renewable energy, but that it costs higher, more than 50 paisa higher. So we have to, in times to come, we will take a call on that, but we remain totally conscious of this fact that going forward, we would start to use more and more renewable. And as you can see, the solar power prices are coming down day by day, so let's see once they once the MP Discom becomes a little more reasonable and provides us renewable power at a bit more competitive rate. Certainly, we look at that.

Amol Rao: Okay, so it's a tactical call based on the prices basically.

Manish Gulati: Absolutely.

Amol Rao: So yes, whenever it's in our favor.

Manish Gulati: Yes. Absolutely.

Amol Rao: Thank you so much sir. Thank you. Wish you all the best.

Manish Gulati: Thank you.

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Moderator: Thank you. As there are no further questions, I now hand over the conference to the management team, Mr. Jhunjhunwala, for closing comments. Over to you, sir.

Ravi Jhunjhunwala: So there is nothing much to talk more than what we already spoke. So based on all these descriptions that we gave that the 100,000-120,000 tons capacities have been shut down very recently, more and more new electric arc furnaces are coming up, which is a fact of life. I mean, we are not speculating there. So the demand for electrodes will keep going up. And since we are the only ones who have added more and more capacities and we claim to be the lowest cost producer, so we are just waiting for better days to come. It may be a couple of quarters away, it may be 4 quarters away, nobody can predict that. But we are pretty bullish about this industry in the long term. Thanks.

Moderator: Thank you. On behalf of SKP Securities Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Aug 2025

HEG/SECTT/2025 8th August, 2025

1 BSE Limited
P J Towers
Dalal Street MUMBAI - 400 001.
Scrip Code : 509631 2 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G Block, Bandra - Kurla Complex Bandra (E), MUMBAI - 400 051.
Scrip Code : HEG

Sub: Transcript of Earnings Conference Call on Q1 FY26 of HEG Limited
Dear Sir/Madam, Please refer to our Earnings Conference Call scheduled on 4th August, 2025 intimated vide our letter dated 30th July, 2025. Please find enclosed the transcript of the said Earnings Conference Call.

The said transcript is also available under the Investors Section of the website of the Company i.e www.hegltd.com.

This is for your kind information and records.

Thanking You, Yours faithfully, For HEG Limited

(Vivek Chaudhary) Company Secretary M.No. A-13263
heg.investor@lnjbhilwara.com

Encl: as above

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"HEG Limited
Q1 FY26 Earnings Conference Call"
August 04, 2025

MANAGEMENT : M R. RAVI JHUNJHUNWALA – CHAIRMAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – HEG LIMITED
M R. RIJU JHUNJHUNWALA – VICE CHAIRMAN – HEG LIMITED
M R. MANISH GULATI –EXECUTIVE DIRECTOR – HEG LIMITED
M R. OM PRAKASH AJMERA – GROUP CHIEF FINANCIAL OFFICER –
HEG LIMITED
M R. RAVI TRIPATHI – CHIEF FINANCIAL OFFICER – HEG LIMITED
M R. PUNEET ANAND – CHIEF STRATEGY OFFICER – HEG LIMITED
M R. ANKUR KHAITAN – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER OF TACC LIMITED
M
MODERATOR : M R. NIKUNJ PACHISIA – SKP SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to HEG Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nikunj Pachisia from SKP Securities Limited. Thank you, and over to you, sir.

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Nikunj Pachisia: Good afternoon, ladies and gentlemen. I'm pleased to welcome you on behalf of HEG Limited and SKP Securities to this financial results conference call with the leadership team of HEG Limited. We have with us Mr. Ravi Jhunjhunwala, Chairman, Managing Director and CEO; Mr. Riju Jhunjhunwala, Vice Chairman; along with their colleagues, Mr. Manish Gulati, Executive Director; Mr. Om Prakash Ajmera, Group CFO; Mr. Ravi Tripathi, CFO; Mr. Puneet Anand, CSO and Mr. Ankur Khaitan, MD and CEO of TACC Limited. We will have the opening remarks from Mr. Jhunjhunwala, followed by Q&A session. Over to you, Ravi ji.

Ravi Jhunjhunwala: Thank you, Nikunj. Good afternoon, friends, and welcome to our financial results conference call for the Q1 '25-'26. Let me begin with a brief overview of the global steel industry trends, which continue to shape the demand environment for Graphite Electrodes. According to the World Steel Association, global steel production in the first 6 months of 2025, calendar year '25 stood at about 934 million tons, which is a decline of about 1.9% year-on-year and 952.4 million tons in the corresponding period of last year, indicating a slowdown in the demand across major steel producing economies. China steel production declined by about 2.4%, primarily due to weaker construction activities there and the government-imposed production curbs. At the same time, finished steel exports surged 9.2% Y-o-Y to 58 million tons, increasing global competition and exerting additional pressure on international steel prices.

Production outside of China fell by about 1.2% to 419 million tons, driven by ongoing macroeconomic headwinds and a muted industrial recovery in most of the countries. In contrast, India remained a standout performer with a 9.2% year-on-year increase to about 81 million tons in the first 6 months, supported by our continued infrastructure spending and automotive sector growth. Another large producer of steel, Japan, reported a 5% decline, South Korea fell by 2.8%, Turkey dropped by 1.7%, while United States registered a modest 0.8% increase, highlighting relative market resilience. In this kind of a macro environment, Graphite Electrode market continues to face challenging conditions during the quarter.

The recent imposition of 25% duty in the U.S., an important market for us and the leading consumer of graphite electrodes, is being studied, and we hope that this is eventually settled down to some reasonable level as we believe discussions between the two countries are ongoing. However, given HEG's well-diversified sales footprint across all major markets, we will do our best to see that its impact on us is minimal. On the near- to medium-term demand, the global transition towards low-emission electric arc furnace steelmaking continues to gather momentum, underpinned by regulatory actions and decarbonization targets.

Electric arc furnaces, which offer a significantly lower carbon footprint versus its traditional blast furnaces, are central to the steel industry's transformation. The global shift towards electric arc furnace steelmaking continues to accelerate, driven by climate goals. This transition is expected to generate substantial incremental demand for our products, which is estimated at HEG Limited

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150,000 to 200,000 tons annually by 2030, excluding China, reinforcing industry's long-term growth potential.

As per our data, in last 2 years, about 11 million tons of new electric arc furnace capacities have already been installed in the Western world, while we expect another 50 million to 55 million tons to be in operation by 2027 and added 40 million tons or so between 2028 and 2030. All this totals up to a staggering figure of about 100,000 tons of new capacities, which we have never seen before.

As you are aware, this is all due to continued focus

on lower carbon emission by every country

in the world, which electric arc furnace steel provides. HEG continues to operate at highest utilization levels in the industry despite a stagnant demand. Last quarter, we operated at 90% plus -- and in this background, we have to remember that this 90% on our newly expanded capacity of 100,000 tons.

Our single location, a large production base, combined with a competitive cost positions us as one of the lowest cost producer globally. Despite market challenges, we remain confident in the medium- to long-term growth of our industry. The combination of electric arc furnace-led structural demand growth, supply rationalization by some other industry majors in the world and current unsustainably low prices -- low price levels should gradually lead to market stabilization and pricing recovery.

Considering all these, we have recently announced another expansion plan to increase our existing capacity from 100,000 tons to 115,000 tons, which will require a capex of about INR650 crores to be completed in 2.5 years from now with expected production in January-March 2028, which will help us to further reduce our costs and increase our market share.

Regarding demerger, the scheme is filed with stock exchanges and all other relevant authorities, after which it will go to NCLT, and we do expect to get NCLT approval by end of the calendar

year 2025. With this, I would now like to invite our CFO, Ravi Tripathi, to present the financial results for the quarter and along with our Vice Chairman, Riju; Executive Director, Manish and Chief Strategy Officer, Puneet.

We will all be very happy to answer your questions about electrode business as well as other diversifications, which are under implementation. Thank you, and over to you, Ravi.

Ravi Tripathi: Thank you, sir. Good afternoon, friends. I will now briefly take you through the company's operating and financial performance for the quarter ended 30th June 2025. For the quarter ended 30th June 2025, HEG recorded revenue from operations of INR613 crores as against INR571 crores in the corresponding quarter of the previous financial year.

During the quarter ended 30th June 2025, the company delivered EBITDA of INR154 crores as against INR59 crores in the corresponding quarter of the previous year. The company on a stand-alone basis, recorded a net profit after tax of INR72 crores in Q1 FY '26 as against INR3 crores in the corresponding quarter of the previous year.

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And on a consolidated basis, the net profit after tax is INR105 crores in Q1 FY '26 as against INR23 crores in the corresponding quarter of the previous financial year. The company is long-term debt free and had a treasury size of nearly INR977 crores as on 30th June 2025. Now to take out more questions from the participants, the detailed presentation has been uploaded on the company's website and on the stock exchange.

Now we would like to address any questions or queries you have in your mind. Thank you. Over to Navin -- over to Nikunj.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Amit Lahoti from Emkay Global.

Amit Lahoti: Congratulations on a good set of numbers. My first question is on our expansion plan of 15,000 tons. So given that there were capacity curtailments globally, so there must have been an option to acquire something for cheap valuations, but we have decided to expand capacity that comes with a time period of 2 to 3 years. So if you could provide some color in terms of the thought process that has gone behind in making this decision to build instead of going inorganic?

Ravi Jhunjhunwala: See, we obviously looked at all these opportunities that you are talking about. And yes, as you are probably aware, one of the two major producer, international producer has formally announced that they

are wanting to exit this business. So while we are pursuing that, we are in contact with them.

We will probably -- at the right time, whenever they are ready, we'll probably go look at the plant and then take a view. But our gut feeling has been in the last 20, 30 years that these opportunities were available to us even in the past. And as you know, most of the other graphite production happens in all the expensive countries of the world, basically Japan, Germany, France, Spain, Italy, U.S.

So with the cost structure that we believe that they have and most of these are listed companies.

So a lot of data is available to everyone to see. So we believe that it is still better to spend 2.5 years and to build more capacity in our own country, where our costs are significantly lower than if we were to acquire any plant in any Western world.

First of all, these plants are very, very, very old. I mean, to my memory, probably the last plant, which is -- which was built -- some of these plants which are currently on the block, probably the last one would have been built 60, 70 years ago or at least more than 50 years ago. And they have not done much in those plants.

So it probably doesn't make sense to acquire a very old plant in a European or a Japanese or an American economy where obviously, the costs are much higher than ours. So in the long term, we looked at all the permutation combinations, and we again came to a conclusion. And secondly, it's not easy.

I mean, even if you start looking at some possibility today, it's a very long-drawn process. I mean, it will take at least 6, 9 months, 12 months to even conclude that deal. So when we are

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more or less certain that expanding in India at the existing site gives us a much more competitive edge.

We -- while we will look at it, but in the last 25 years, we have looked at all these opportunities, and we have stepped back and expanded here. So we didn't want to waste another 6, 9 months, 12 months and then come to that conclusion. But of course, so long as we are amongst the

cheapest cost producer, which we are based in India, we'll continue to look at that opportunity. Nobody stops us to acquire one of the good plants, which is on the block, even after expanding to 115,000. Amit Lahoti: Okay. Understood. And does this capex that we have announced of INR600 crores, does it include captive power plant as well, or we will continue to procure from the grid? Ravi Jhunjhunwala: No, we have always continued to buy the power from the grid. We don't have any captive power plant. We had built it long, long back. But as we have formally announced long ago, we had closed that down, maybe more than 10 years ago. Amit Lahoti: Okay. And lastly, just a housekeeping question. How much was the production volume in Q1? Ravi Jhunjhunwala: In excess of 90%. Yes, as I said, we were -- we operated at more than 90% last year -- last quarter. And we are more or less in that same range, maybe a couple of percentage plus and minus.

Moderator: The next question is from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund. Kirtan Mehta: Would you be able to share your assessment of the demand-supply balance outside China? And what would be the average utilization level at this point of time? That was the first question? Manish Gulati: Okay. Shall I answer, sir? Ravi Jhunjhunwala: Yes, go ahead. Manish Gulati: Yes. Sir, it's ex China, we can safely say that electric arc furnaces in rest of the world is between 70% to 75% utilization as a total. Kirtan Mehta: I was actually referring to the utilization of the graphite electrode plant as an industry outside China? Manish Gulati: Okay. Sure. See, from -- we hear what you hear from the peer group. I mean, one of them said they were at 65% in the last quarter. And the others would be from -- I mean it's all market hearsay. I mean only one of them provides a

number, rest of them do not do that. I believe the others would also be at a level of 60%, I would say.

One of them is clear because we can -- you know whom I'm referring to. That was 65% and others would also be in that same range, 60 -- between 60% to 65%.

Kirtan Mehta: Great. As a follow-up, typically, we have seen the pricing sort of flexibility returning whenever the industry utilization level goes above 80% or so. So how far we are away from the situation?

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And addition of our plants, would it sort of delay that positioning or keep the market oversupplied for a few more years? And one more related question was in the U.S., now the duties have been increased. So could it lead to restart of any of the U.S. plant?

Manish Gulati: Yes. See, your -- first, I'll answer the second question. U.S. makes about 72% of the steel from the electric arc furnace route. So their utilizations, I mean, I would -- I was reading a paper, they were around 75% in U.S. And the other question, I just missed the other question. What was the first question?

Kirtan Mehta: Sorry, sir, I was asking, in terms of the U.S., basically, do we see a risk of the start of any graphite electrode plants, which could add supply to the industry?

Manish Gulati: Okay. Understood. So you see the electrode -- in U.S., particularly, the plants which -- there's no risk of restart in the sense because there's nothing on the ground other than the ones which are running. There's one competitor's plant, two Japanese, and the plants are on the ground and running.

The one of the other competitor, which was mothballed, I think, it runs partly or something, whatever we hear from the public documents, maybe some half of the operation is going on, some machining or something. So there is no other plant other than these 2, which are already operational, which would come up in U.S. per se.

And there's one more graphite plant in Mexico, and that's also a running plant. So there's nothing we can see that there's some closed plant which will come up, other than the one small plant I referred to, which runs half of it, half of the process, the less value-added advance.

Kirtan Mehta: Understood, sir. And the first question was about basically, as you are noting that the industry utilization is in the range of 60% to 65%. We have announced capacity expansion of 15 Kt. Our Indian competitors have announced also the capacity expansion of another 25 Kt. So will this supply addition delay utilization level improving in the industry and thereby, keep the prices under pressure for a few more years? Would you see that possible?

Ravi Jhunjhunwala: I'll answer that. I mean, in my opening remarks, I clearly said that x amount of new electric arc furnaces have already started production in the last 2 years. And in the next 4, 5 years, we believe that about 100 million tons of new electric arc furnace capacities are being added all over the Western world. We are not talking of China.

And this is the first time in the history that most of the large steel companies around the world, and it is -- it actually includes every country, which produces steel, not selected some countries. They are stopping their blast furnaces and converting them -- not converting them, but they are

replacing them by electric arc furnaces only because of the carbon emission. The electric arc furnace steel emits about 20%, 22 % of the carbon compared to the same steel produced by the blast furnace. So given the sensitivity of the subject of carbon emission now, about 100 million tons of new electric arc furnaces are coming up somewhere in the world -- in the Western world, out of which about 11, 12 have already come in, 20, 25 are coming within the next year -- within this year and next year.

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And in total, we do have a list of about 100 million tons. So this 100 million tons will

add

demand for 150,000 to 200,000 tons of electrodes. And in the backdrop of this demand increase of 150,000 to 100,000 -- 200,000 tons, of course, this will take some time. It's not going to happen overnight, but it has started happening.

New electric arc furnaces are already operational. They need more electrodes. And new ones are coming up every 2 months, every 3 months, every 6 months for the next 3, 4 years. So the demand is likely to go up. Supply -- on the supply side, as you probably have seen, as we have seen, some capacity closures have taken place in the last 2, 3 years in Europe and in America.

So the total capacity, which used to be on the ground 2, 3 years ago, has substantially come down and some more are in the offing. So -- and of course, I mean, whatever I just said is very important. But as I also started off by saying that we believe we are the lowest cost producer of the graphite electrode anywhere in the world. So that gives us a certain advantage.

And if we increase the capacity, when we increased from 80 to 100, we practically didn't increase any fixed cost. And when we now increase from 100 to 115, of course, there will be some increase in fixed cost, but it will be nowhere in the region of proportionate increase. So at a marginal increase in capital -- in running cost, in production cost, if we are adding more and more capacity, it adds to our competitiveness, it adds to our bottom line.

Kirtan Mehta: Understood, sir. Quite clear. One last question was about, we have around 10% stake in GrafTech. So what would be our ambition there? And how do we plan to develop further there?

Ravi Jhunjhunwala: So our intention when we started buying, and we clearly mentioned it in the last couple of calls, our intention is simply the share price. And as we have explained in the past, GrafTech happens to be the only company in the Graphite business, which has a backup of their own raw material, needle coke.

And as we are very bullish about the graphite demand -- graphite electrode demand, so simultaneously, there will be a demand for additional needle coke. And GrafTech happens to be the only graphite company, which has a substantial backup in terms of backward integration of coke. So when the electrode prices start rising on the back -- on the background of demand, the needle coke prices also go up.

So when that happens, that will be the only graphite company, which will have a twin advantage of increased prices of needle coke and increased prices of electrodes. And when we took this decision to buy a bit of GrafTech shares on that day, about 9, 10 months, 12 months ago, the market cap was unreasonably low. I mean it was probably 1/3 of ours.

So it didn't justify the kind of market cap they had with practically double the capacity of electrodes plus a backup of their raw material, which nobody else has. So in the backdrop of what we expect the demand of electrodes to grow, needle coke demand to grow, we took a view that it's a very safe bet.

Moderator: The next question is from the line of Chirag Pachisia from SKP Securities.

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Chirag Pachisia: Sir, the new 15,000 ton per annum expansion has a lower capex per ton than your previous phase. So what key factors are driving this improved capital efficiency? And can we expect similar cost advantages in the future expansion?

Manish Gulati: Yes. You see -- you rightly noticed that it's less than before. See, the last expansion was unique in its own way because we wanted a totally different facility to make nipples, which are the critical part along with electrodes. Now here, what we are doing is this 15,000 -- because now we have ample nipple capacity.

So the investment in the last project was higher. And another thing is that now we have a big 100,000 ton plant, and we have an opportunity, there are one or two shops where -- 1 or 2 processes where the capacity already

exists to some level. That is why we just streamlined all our processes to make all equivalent to that 115,000.

So we will end up saving some money here in this -- to have a synergy with already 100,000 ton plant because there are 6 different processes. So one of the processes we already had that capacity. So that is how we save money.

Moderator: The next question is from the line of Rohit from iThought PMS.

Rohit: So just two, three questions. One was, sir, in terms of the realizations in the graphite business.

So I think you had mentioned in the last call that the capacity cuts that have happened are yet to sort of -- it takes time for them to get materially -- I mean, get sort of to operationalize. So how do you -- so now that probably they would have gotten operationalized or more closer to getting operationalized, how do you see the realization happening now, let's say, in the coming year? Any thoughts on that?

Manish Gulati: See, you have seen the steel production figures. See, graphite electrodes is a derived demand.

For every ton of steel made, let's say, it consumes 1.5, 1.6 kg per ton. So the steel production, I mean you know the geopolitical situations. For the last 2 years, steel has been stagnating. But what is happening now is, of course, it is not going to continue like that forever.

So even the existing electric arc furnace capacities are underutilized at a 75% level. The moment -- see, electric arc furnace is a start and stop operation. The plant manager decides in the morning how many heats I can make today, while the blast furnace either works or it doesn't work. So electric arc furnaces work both ways.

They are very quick to ramp up their production and very quick to adjust also. So once the steel production -- so once we get out of this geopolitical situations going on and of course, this is in addition to the new electric arc furnaces, which are coming. So we believe the price is just a factor of demand.

The moment all industry capacity utilizations of graphite electrode industry crosses 80%, 85% then of course, there's firming up of prices. So we are a little away from that. Maybe it takes two quarters, three quarters, I don't know. But yes, every electrode company in the world needs the price to rise because it's an unviable price to work on.

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We're just keeping ourselves afloat just because of our size and being at one location and being a lower cost producer. Otherwise, so firming of prices, I don't know what is the timing, maybe two more quarters, but it should happen because this is -- we are at the lowest end now.

Rohit: Okay, sir. And sir, we mentioned a bit about ex China, but some early reports or whatever we see, read that there is generally a view in the Chinese industry also not specific to us, but others that they also want to cut capacity or sort of not get into extreme price war kind of a scenario.

So are you sharing anything or any signs that you're seeing for our industry in the Chinese market as well or nothing of that sort are you hearing there?

Manish Gulati: First of all, we are not supplying to China. And whatever you have heard about their internal electrode capacities being close, let me say this, that China is a huge capacity of making electrodes, huge. And there's a huge exporter also all over the world. But most of the exports and which they are going are for the ladle furnaces, which we call the HP variety or the non-UHP variety, that forms the lion's share of their exports.

So what is happening inside China, probably the electric arc furnaces, which were projected to be 20% of their production is not 20% still. So they're going -- I mean they're running behind their own schedule. So it's very difficult for us to comment what is exactly happening inside China because there are only 5 or 6 integrated companies and rest are one process shops. So who's closing capacity where it's

very difficult to comment.

Rohit: Okay. And last question was on your investment in GrafTech, which you outlined to the previous participant. So I mean, given that while you've outlined the thesis before as well, but they also have a large portion of debt, which they refinance or -- not refinance, but they've gotten some extensions on the liquidity part.

Given that the debt and -- the fact that they have debt and they have interest payments as well, how do you view that, sir, given that it will take more time than all of us anticipate. So how do you view that as a risk to that investment, whatever you can share?

Manish Gulati: Sir, shall I answer?

Ravi Jhunjhunwala: Yes, go ahead.

Manish Gulati: Yes. So see, you're talking about that one shot debt payment of \$900 million something, which is now payable. After the rescheduling, it's now payable in December 2029. Now you see with the things, with the new years coming up and the expectation of steel production at least from next year to start increasing, I think that '27-'28 or '28-'29 should definitely be good years, and they should be able to repay some of the debt.

And, of course, and rescheduling possibility is always there when the industry looks good. So I think when we still have 3 more years to go, I think, it should be fine. I mean there should be a

turnaround in that time frame when the steel production also goes up, the new electric arc furnace also come up, prices get firm up.

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There are enough margins to pay off the debt. That's what we think. So we think our 10% stake is very much safe.

Moderator: The next question is from the line of Praful from Dymon Asia.

Praful: A couple of points. When you say America as a region, does it include other geographies, like Canada or Mexico? What does it include?

Manish Gulati: No. When we said.

Ravi Jhunjhunwala: About 8% to 10% that we sell to America is U.S.A. We are not including Canada and that Mexico.

Praful: Okay. And any mitigants in terms of -- that you guys are working on for minimizing the impact in terms of procurement or any other levers that you guys have as management to use or is it something that you want?

Ravi Jhunjhunwala: We have heard of a couple of options wherein by importing some raw material from U.S., the duty gets adjusted. But it's very, very new. I mean all these things have just come up in the last three, four, five days. So we are in the middle of studying all that, and we are probably going to take some legal opinion before we come to a conclusion. So I really can't tell you anything more than that at this stage.

Praful: Fair enough. Sir, recently on GrafTech earnings call, they mentioned that the realizations from USD 3,800-odd per ton is upward of USD 4,200 for them. How does it work generally? Do you -- it's a similar pricing all over the globe that people follow or they can be different. So how does it converge over time?

And they've been guiding very bullishly on that all the electric arc furnace guys, given 73% of U.S. is in electric arc furnace production, are very happy with the price hikes because they want the industry to thrive and do well from here, given the nature of the industry today. So how does it work for us?

Manish Gulati: See, let me -- I'll answer this by saying that pricing is different in different markets. For this product, the pricing is different in U.S., pricing different in Japan, pricing different in Middle East and different in Southeast Asia. So it varies. So of course, since they are in U.S. and since with the help of tariffs, et cetera, they will, of course, enjoy that protected marketplace. So that's what they might be feeling upbeat about because that's one market which is higher rate of electric arc furnaces. So of course, in that market where pricing is already elevated compared to other markets which are much more competitive, so they must be getting that additional price increases.

Ravi Jhunjhunwala: And typically, we have seen in the last many, many years, we've also seen that American customers tend to pay a slightly higher price if they are happy with the company, if they are happy with the quality, if they are happy with their consumption, after sales service...

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Praful: Ravi sir, I wanted to broadly get the trend of realizations, in terms of trend. I don't want to pick up a quarter, but broadly the trend, how the realization trend given that one of the biggest players in the industry has indicated a 10% Q-on-Q realization jump and he's saying that customers have absorbed it very well. So broadly, I want to understand the trend of the realizations for you.

That's all?

Manish Gulati: No, if the trend...

Ravi Jhunjhunwala: Sorry. Yes, go ahead.

Manish Gulati: As Chairman said that only about 10% of our sales goes to U.S. and 90% is other than U.S. and which is Middle East, Southeast Asia, Europe, everywhere. So that price trend, which they are talking about the 10%, we are not seeing that happen much in other areas, regions, maybe slight, I mean, here and there, but in some customers, so me -- but not generally, it's -- I cannot say that this 10% we are getting everywhere in Middle East and in Europe or in Southeast Asia. So U.S. is, of course, when the moment you have tariffs, that gives them an opportunity to raise prices.

Praful: And in terms of EU?

Moderator: Sorry to interrupt, sir, but I may request you to rejoin the question queue for follow-up questions.

Praful: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Jatin Damania from SVAN Investments.

Jatin Damania: Am I audible?

Ravi Jhunjhunwala: Yes, you are.

Moderator: There's an echo from your side. Could you go to a better reception area or better area, where

there's no echo?

Jatin Damania: Sir, just on the previous participant's questions in terms of the pricing. During Jan Feb, March, we have seen the broad-based increase in the graphite electrode realization. But -- and we know that China is not that a big competitor for us given the technology and the quality that we are using it.

So there could be some amount of the benefit that should come to HEG or the other domestic players who are into UHP and HEG specific. So by when one can assume that, there could be a benefit of the realization that was taken globally could be beneficial for us?

Manish Gulati: I think, for us, I was just looking at the pricing, which you mentioned for the Jan to March quarter and April to June quarter, this is just about the same, a very slight increase in what we saw in April to June, but at the same level. And about when we see the firming of our price, we have to wait.

We have to wait until the steel production turns around and show some healthy increase. And as I said, EAFs will be the first one to capture the opportunity because they just decide in a matter

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of days that when they have to ramp up production. Maybe it takes two quarters or more. But I can only say that -- our feeling is that this is about the lowest it could get.

But at this point, the inefficient plants start to close down, which you have seen. So it cannot go below this. So now how long it takes, it's anybody's guess, 2 quarters, 3 quarters, but there should be some firming up of price, which is dependent on how steel production does in the rest of the world ex China.

Ravi Jhunjhunwala: So 1 more point, rather than only talking about the price and the price increase, if you talk about the margins, probably that is more relevant. And then the costs have also been pegged when the electrode prices are more or less at the same level, they are very, very slightly going up, in some regions going up, in some regions not going up. So the impact is not visible, but directionally, everybody

believes in the industry that probably we have reached the bottom.

But then you also have to look at the cost. The costs have also not gone up, which means the raw material prices, power prices, all other costs have not gone up in the last couple of years.

And we have a slight advantage that now we are able to sell another 15,000, 17,000 tons within the same fixed cost.

Jatin Damania: But now since as you mentioned that even the cost, I mean, has not gone up. So can you throw some light in terms of how do you see a supply of needle coke in the near to medium term and the cost dynamics for the same?

Ravi Jhunjhunwala: It's impossible for anybody to answer that question. I mean it all depends upon what is the demand for electrode and the demand for needle coke, which is our raw material, depends on that. There are only a few suppliers. So every information is available to everybody. So when -

- obviously, when the electrode prices start increasing, the needle coke prices will also follow.

It's only a matter of time.

Jatin Damania: Okay, sir. And in terms of the capex that we announced that now we are moving from 100 crores to 115 at an estimated cost of near about INR650 crores without power. But at the same time,

sir, one of our competitors also announced the expansion of 25,000 tons of capacity with a capex

of INR600 crores, which includes the power. So just wanted to understand, because if you look on the per ton basis, we are on the higher side.

So is there any change in technology or the different -- or you can probably answer why we are on the higher side?

Ravi Jhunjhunwala: We can only speak about ourselves. We can't speak about somebody else. I mean, I don't know what they are doing and how they are doing. The only thing I can only tell you is that I mean we will not compromise on the equipment. We will not compromise on the cost of the equipment.

We are only focusing on the quality.

Jatin Damania: Okay, sir. And what sort of IRR or the payback period we can...

Moderator: Sorry to interrupt, sir, but I may request you to rejoin the question queue.

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Jatin Damania: It's a follow-up question. So just on the IRR, one on this -- on the new capex?

Ravi Jhunjhunwala: I'll let Puneet answer that question.

Puneet Anand: So we are expecting a double-digit IRR on this, and the payback is around lower than between 4 to 5 years.

Moderator: The next question is from the line of Saumil Shah from Paras Investment.

Saumil Shah: Congratulations on a good set of numbers. Sir, for this quarter gone by, our capacity utilization

was 90% plus. So I mean, what's the outlook for the remaining year? Do we see our capacity utilization going up further from here?

Manish Gulati: I would say that 85% maybe -- I'm sorry...

Ravi Jhunjhunwala: Go ahead.

Manish Gulati: Sir, I would say that this quarter was 90% plus. For the remaining quarters 3 -- as we book quarter-by-quarter, it's very difficult to answer for more than 1 quarter at a time or two quarters at a time. I think it should be around 85% -- in the region of 85% for the balance three quarters.

Saumil Shah: Okay. And sir, what is the reason for our -- I mean, margins are fluctuating every quarter? I think it's -- you're mentioning there is a mark-to-market profit or loss for GrafTech International. So I mean, how can we look at EBITDA margins for next one, two quarters?

Manish Gulati: See, that mark-to-market ends up confusing a lot of investors. But if you take it out, our EBITDA would be very similar in the last 2 quarters and are likely to stay that way in the July to September quarter as well. So -- but what confuses people is that mark-to-market sometimes there's a drop in price and sometimes increase in price. So -- and we always mentioned in the notes, if you just take that out, and so you will know this quite stable EBITDA levels operationally.

Saumil Shah: Okay. But then why do we do it

every quarter? Can't we do it every year, I mean, once in a year?

Manish Gulati: No, that's what IndAS and that's what auditors tell us. You have to do it every quarter. That's the rule. Can't help it.

Saumil Shah: Okay. Okay. And so once we remove it, I mean 17%...

Manish Gulati: Yes, that's right.

Ravi Jhunjhunwala: Yes. No, no, I have a sheet in front of me for the EBITDA, which obviously talks only about the operational EBITDA. It doesn't have to do anything with whether you made money or lost or the investments and all that. So our EBITDA in '22-'23 was 28%, '23-'24 was 21%, which dropped down to 17% in '24-'25. So immediate previous year was 17%, and this quarter was about 23%. So 28%, 21%, 17%, 23%. So this has been the trend.

Saumil Shah: Okay. Sorry. This you are saying after -- excluding this mark-to-market, 23% for previous quarter?

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Ravi Tripathi: So this is including the mark-to-market gain. This is including the...

Saumil Shah: So without that, it will be, what, 17%?

Ravi Tripathi: Yes. Without this, 17%.

Saumil Shah: Okay. And sir, my final question, sir, I wanted to know more on the Greentech business. So what's the current revenue and margin -- and how much can we scale this business in next 1, 2 years?

Ravi Jhunjhunwala: Can you repeat your question, please?

Saumil Shah: So I wanted to know more on the HEG Greentech, your anode business. So what's the current revenue and margins in that business? And how much can we scale this business in the next 1, 2 years?

Puneet Anand: So on the HEG Greentech thing, like, we have already told, we are setting up the anode plant there, 20,000 tons, that will be operational by March '27, and you can see the revenue after that. Today, if you ask me, there are 2 revenue streams from the HEG Greentech platform. One is our hydro assets, which are in Himachal.

And secondly, our battery company, which is RePlus. Both of these companies are generating the revenue. So for the FY '26, you can see -- consider a revenue of, say, INR500 crores to INR600 crores plus EBITDA of around INR200 crores to INR225 crores in this. So apart from this, the other businesses, which we have actually announced in HEG Greentech, will take some time. And we feel that by FY '28, the other businesses will commence and then we will see the actual revenue and the EBITDA there.

Saumil Shah: So basically, the quarter gone by, even -- this is including this HEG Greentech business?

Puneet Anand: So the quarter gone by only includes the hydro because today, like we -- HEG owns around 40% of the equity in this opposed to the infusion by the singularity in the BEL. Once the company gets merged and the HEG Graphite business gets demerged, then only you will see the exact revenue and the profitability from the HEG Greentech side.

Moderator: The next question is from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: So I was wondering that after a long time, we are seeing some capacity announcements by the Indian companies in Graphite Electrodes. Is it fair to assume that this is coming from the needle coke availability from the capacity closures in the world? And just second part of this question is the capacity closures are in the region of 100 to 120 kt and the capacity increases announced are in the region of, say, total 40 kt, including you and graphite?

So does that mean that there will be ample availability of needle coke in the future for at least the next 3 to 4 years to kind of avoid a large spike in needle coke prices? That was the first

question, sir?
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Ravi Jhunjhunwala: I don't think we can give a very clear answer to that. But yes, what your calculations are more or less in the ballpark that over the last 2, 3 years, some capacities of electrodes have closed down in the Western world. So obviously, to that extent, there is excess needle c

oke available.

This will also have to be seen whether some of these capacities of electrodes, which were closed down in the last 2, 3 years.

As I said in answer to some other question earlier, there are -- all these plants, which were built before HEG, I'm not even sure if any plant was built within 5 or 10 years just before HEG came in. So most of the European and Japanese plants will be like maybe 60, 65, 70 years plus of age.

So I'm not able to answer that question very clearly. After having closed down the plants, whether some of these equipments have been derailed, they have been taken away, maybe at some plants, they have removed everything and started using it for real estate as we heard about 3, 4 years ago in one of the plants in Germany.

So -- and after closing a plant, which has been in operation, which was built 60, 70 years ago, and after having closed for 2, 3, 4 years, whether it is as easy as it looks like that you go one day and restart suddenly and start operations. So these are very vague questions to answer. Nobody has the correct answer to that. If suddenly electrode demand was to shoot up by 30, 40, 50, 100,000 tons, so obviously, there will be a clamor to restart some of these plants.

Now which plant will be in what condition that day? And at what cost would you be able to restart, not just the restarting cost, but the cost of operation -- operating that plant. That plant was closed in the last 2, 3 years because it was not viable. So it will become viable to restart that plant at a cost.

Obviously, the cost means the electrode prices will have to go up to justify restarting that plant.

And whether you can restart that plant in 6 months, 9 months, 12 months, 2 years, this is anybody's guess. I mean as I said, most of these plants are more than 50, 60, 70 years old. So it's

a very difficult question to answer. Each plant will have a different story.

Rajesh Majumdar: No, that's fair. Sir, actually, my other question was that because of the tariff war that we are seeing from U.S., Japan on Chinese electrodes, is it fair to assume that there will be a price pressure at least in the HP side of the market for a considerable period of time, at least in the

near term because obviously, that Chinese exports -- I don't know what the figure is for the first 6 months, perhaps you could share that as well. Is it going to put some pressure on the pricing at least on HEG?

Ravi Jhunjhunwala: No, I don't think -- if you're talking of the lower grade, what you call HP and not UHP, high power and ultra-high power. So there, with the situation that Europe and America has created for China, Manish will tell you probably in one case, the duty is as high as 100% in some country, Europe or America, I don't know.

But in both these countries, the Chinese electrodes are facing huge amount of duties. I mean, in India, it's only 20%, 25%, which it is very possible that there is some negotiation going on. But Manish, you will -- you remember, it is 93%, 94% in one country? Is it America or Europe?

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Manish Gulati: That was recent in Japan, 93.5%. And in U.S., depending on the supplier, it was as high as 159%, that and plus the 25% which they had put extra. So I can answer Rajesh's question. You see this HP pricing has always been competitive. And we have been -- it comprises about 25% of our business.

And even earlier also, it's not about today, earlier also because of Chinese low-priced HP grade products, their margins have been always lower compared to the ultra-high power grade. So that remains competitive. Nothing has changed there. It still continues the same way. We have to -- we have our own set of customers. We have our own country, India, where the people buy -- whosoever buy electric arc furnace electrodes from us also tries and buy ladle furnace electrodes from us.

But -- so that competitiveness is there. We can't help

it. It's not something new which has happened. So therefore, years since China developed excess capacity of graphite electrodes in the HP grade.

Rajesh Majumdar: And is our export domestic ratio still at 70-30, or has it changed any?

Manish Gulati: Yes. It's the same. It's the same. No change. It's around 70-30 only.

Moderator: The next question is from the line of Shashank Kanodia from ICICI Securities.

Shashank Kanodia: Just wanted to check what would be the capex outlook for this year and next year, given that we are heavy on the anode side, the expansion of graphite electrodes as well as some maintenance capex that is supposed to be spent? And secondly, how do you plan to fund it through -- do we see an interim debt on the balance sheet because that will be kind of a bridge loan and stuff? So if you can guide on the capex and the funding the same?

Puneet Anand: Shashank, Puneet on this side. Shashank, the capex of anode has already been mentioned before.

So there is capex of between INR1,800 crores to INR1,900 crores for the 20,000 tons, for which the HEG has put INR750 crores of equity and the rest we are doing the financial closure.

For this expansion, which we are planning, which will be done in next 2, 3 years, this will be done through internal accruals plus some loans. Since HEG generates cash, so -- and the money will go in the phased manner. So we will be planning it internal accruals and some debt around it.

Shashank Kanodia: So this year, could we see INR1,000 crores of cash outflow on the capex part, anode and graphite all put together this year and next year?

Puneet Anand: Yes, easily.

Shashank Kanodia: So around INR1,000 crores of capex, right, for both the things put together?

Puneet Anand: Like I said, the plan of anode is going full-fledged and the capex and machinery order has already started. So I think it could also increase.

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Shashank Kanodia: Okay. And interim, we should have some debt on the books as well, right, incrementally because the cash flow is hardly INR300 crores, INR40-odd crores per year and you have some amount of liquidity on the balance sheet as well?

Puneet Anand: Right. So interimly, yes, we will be -- we are raising -- we are doing the financial closure for the anode project that is undergoing. For the expansion, we already have started the paperwork and all. So interim, we will be having certain debt here.

Moderator: The next question is from the line of Rohit from Marshmallow Capital.

Rohit: I mean first off, I would like to thank the management. Your calls are always very educational.

My question is basically a follow-up on what the Chairman said earlier on GrafTech. So you mentioned that around 10 months back when we bought it, GrafTech was around one-third of the market cap of HEG itself, and that's why the purchase made sense.

And today, if I see, I think GrafTech is 1/4 the market cap. And so when you allocate capital to graphite electrode capacity, right, you chose to expand over, let's say, increasing further stake in GrafTech. So for the \$70 million that we are putting out, we could have bought maybe 15%, 20% additional GrafTech.

So how would you take the decision on expanding capacity or 15%, 20% of GrafTech is sort of equivalent to getting additional 30,000, 40,000 tons capacity, right? So how do you make the decision? And why not have more capacity in GrafTech instead of doing an organic expansion?

Puneet Anand: So Rohit ji, Puneet Anand this side. I'll take this thing. So Rohit ji, see, since, if you see the history of HEG, we never invested in equity. The investment in GrafTech is because we understand this business. But that doesn't mean that we put all our eggs in one basket. So when we are doing an expansion, that is the core business of HEG and we are positive about that. Secondly, if you -- like our Chairman already discussed earlier also, there is a huge

cost

difference between GrafTech and HEG cost of production. So GrafTech share is only for investment purposes, which we will keep and whenever we feel there is a substantial profit we are making for the shareholders, we will exit. But business we are doing for a longer duration, and we will do the expansions.

And just to add, Rohit ji, here one more thing. So the shares which we have bought, these are bought under OPI route, which doesn't allow us go beyond 10%. And the management is not of any opinion to change it into the ODI route. If we have any change in the investment decision that we will discuss with the Board and we will inform the investors.

Rohit: Okay. So there's some sort of a regulation which sort of restricts us going beyond 10 at this point in time as well. Is that correct?

Puneet Anand: Yes. So Indian companies are only allowed to do so through 2 routes. We have taken the OPI route to do it.

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Rohit: Understood. And second opposing question on GrafTech. It's sort of a follow-up on a previous

participant. See, we -- I mean, at least if I see the last year's annual cash flow, they have generated an operating cash loss of around INR100 crores and their available liquidity is around \$300 million to \$400 million -- sorry, \$100 million cash loss -- \$90 million to \$100 million of cash loss against the available liquidity of around \$300 million to \$400 million.

And I understand there are covenants around the liquidity also because they're coming off some working capital as well or line of credit there as well. So I mean, while I think Manish, sir, did mention that over the next 2 years, we should see upturn. But given the available liquidity covers their cash flows.

If you just take the last year's cash flows only for 3, 4 years, isn't there a risk in that context, wouldn't that have been a better option to go for instead of equity? So here, I'm sort of contradicting my first question. So in that context, it wouldn't have been better to expand

capacity further here? Why go for GrafTech at all given this possible bankruptcy, given the cash flow loss that they have last year? And if that is analyzed, we can see them getting bankrupt in 2, 3 years?

Puneet Anand: So Rohit ji, what's your question here? I didn't understand your question.

Rohit: No. So do you -- I mean, so the operating cash loss last year is around 90 million to 100 million.

And the available liquidity, I believe, is around INR300-odd million. So they seem to have runway only for 3 years. So how do you think of that risk there given that some amount of liquidity is coming from line of credit, which has covenants attached to it?

Puneet Anand: Correct. So I can discuss the only things which I know through the announcement done by GrafTech. We are not privy to any other information from the management directly. The thing is that we are positive about turning of this business in the next few quarters also, and it might turn very swiftly.

So yes, there is a risk that 25 million every quarter, they are burning and they have a \$300 million of liquidity there. But also, they have certain lines of credit, which they can also withdraw if they need money. So this INR900 million of debt, which is there, it was due in '27. The creditors actually extended it to '29, plus they have given them the additional lines also if it is required.

But we are hopeful that in next 2, 3 years and 3 years is a very large period of time, we are very hopeful that the entire industry will change. The kind of new EAF plants are coming. So we feel that the pricing and things will change.

Rohit: Understood. Fair enough. I mean this is very -- yes, sorry.

Puneet Anand: We always evaluate our investments and diligently and see from the risk perspective. So whenever the management or the Board of Directors feel that it is going on a different route, so we will take the call that way.

Rohit:

Yes. Understood. Fair enough. I mean this was very helpful. Thank you so much for the opportunity. I will get back in the queue.

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Moderator: Thank you. Ladies and gentlemen, on behalf of SKP Securities and HEG Limited, thank you for attending the HEG Quarterly Concall for Q1 '26. I now hand the conference to Mr. Jhunjhunwala for closing comments.

Ravi Jhunjhunwala: Thank you, friends. And as always, we -- I hope you've been able to answer most of your questions, may not -- all of them may not have been totally to what you expected, but under the circumstances that we are talking publicly we have to be reserved in some cases, but we have always been -- we have always tried to be as open as possible to the extent that we can be in the public domain. So I thank you for all your interest. It was a long -- probably the longest call. And I hope you keep taking so much of interest, which will make us more and more alert. Thank you.

Moderator: Thank you. On behalf of SKP Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

HEG/SECTT/2025 17th November, 2025

BSE Limited
P J Towers
Dalal Street
MUMBAI - 400 001.
Scrip Code : 509631 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G Block, Bandra - Kurla Complex
Bandra (E), MUMBAI - 400 051.
Scrip Code : HEG

Sub: Transcript of Earnings Conference Call on Q2 FY26 of HEG Limited

Dear Sir/Madam,

Please refer to our Earnings Conference Call scheduled on 12th November, 2025 intimated vide our letter dated 4th November, 2025. Please find enclosed the transcript of the said Earnings Conference Call.

The said transcript is also available under the Investors Section of the website of the Company i.e www.hegltd.com .

This is for your kind information and records.

Thanking You,

Yours faithfully,
For HEG Limited

(Vivek Chaudhary)
Company Secretary
M.No. A-13263
heg.investor@lnjbhilwara.com

Encl: as above
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HEG Limited
Q2 FY 2026 Results Conference Call
November 12, 2025

MANAGEMENT : MR. MANISH GULATI – EXECUTIVE DIRECTOR
M R. OM PRAKASH AJMERA – GROUP CFO
M R. RAVI KANT TRIPATHI – CFO
M R. PUNEET ANAND – CSO
M R. ANKUR KHAITAN – MD & CEO, TACC LIMITED

MODERATOR : M R. NAVIN AGRAWAL
H EAD, INSTITUTIONAL EQUITIES – SKP SECURITIES LTD

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Moderator: Good day, ladies and gentlemen, welcome to HEG Limited's Q2 FY '26 Results Conference Call organised by SKP Securities Limited. As a reminder, all participant lines will be in the

listen-only mode and you will be able to ask questions after the management's opening remarks. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agrawal, Head, Institutional Equities at SKP Securities Limited. Thank you, and over to you, sir.

Navin Agrawal: Good afternoon, ladies and gentlemen. I'm pleased to welcome you on behalf of HEG Limited and SKP Securities to this financial results conference call with the leadership team at HEG Limited. We have with us Mr. Manish Gulati, Executive Director; along with his colleagues, Mr. Om Prakash Ajmera, Group CFO; Mr. Ravi Kant Tripathi, CFO; Mr. Puneet Anand, CSO; and Mr. Ankur Khaitan, MD and CEO of TACC Limited, a wholly owned subsidiary of HEG Limited.

We'll have the opening remarks from Mr. Gulati, followed by a Q&A session. Thank you, and over to you, Manish ji.

Manish Gulati: Good afternoon, and welcome to HEG's financial results conference call for Q2 FY '26. Let me begin with a brief overview of global steel industry trends, which continue to shape the demand environment for graphite electrodes. As per the recent World Steel Association, global crude steel production in the first nine months of 2025 stood at 1,373 million metric tons, a 1.5% decline year-on-year, indicating a slowdown in demand across major economies. China's crude steel output declined by 2.6% year-on-year due to weak construction and production curbs. China's crude steel production saw a sharp sequential decline of 9.9% in last quarter, reflecting extreme caution in domestic demand. China's finished steel exports in Q2 surged 9.2% year-on-year to 58 million metric tons, intensifying global competition and pressuring international steel prices.

Now world ex-China, crude steel production was soft, declining marginally by 0.1% year-on-year to 627.6 million metric tons and 1.5% sequentially in Q2, driven by ongoing macroeconomic headwinds. India remained a standout performer, posting a 10.5% year-on-year increase to 122.4 million metric tons, supported by continued infrastructure and automotive sector growth. Among other major producers, Japan declined 4.5%, South Korea fell by 3.4% and U.S. registered a modest 2.1% increase.

The graphite electrode market continues to face challenging conditions. Customer demand remained muted due to cautious procurement and aggressive export pricing by Chinese suppliers, which intensified margin pressure for producers globally. The recent imposition of 50% reciprocal duty in the U.S. poses potential headwind to our competitiveness in that region. However, we hope that tariffs will settle down to a more reasonable level in coming times.

In any case, HEG has a well-diversified sales footprint across all major global markets. On a positive note, we are proud to announce higher revenues due to higher sales volumes and decent profits for the quarter, demonstrating our operational resilience. We continue to operate HEG Limited

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at one of the highest utilization levels in the industry, 90% plus in the last two quarters compared with our peers.

The electrode prices have remained flattish between Q2 and Q1 and so have the needle coke prices. We hope that in two, three quarters, steel production starts to increase and the new electric arc furnace capacities start coming on stream in the next one to two years. Our single location 100,000 ton production base, combined with a structurally low-cost environment in India positions us as one of the most cost-efficient graphite electrode manufacturers globally.

bally.

The global transition towards low-emission electric arc furnace steelmaking continues to accelerate, driven by climate goals and regulatory momentum. This transition is expected to generate substantial incremental demand, as we have said in the past calls, estimated at approximately 200,000 tons of graphite electrodes by 2030, excluding China, reinforcing the industry's long-term potential.

As you are aware, we have already announced further expansion of 15,000 tons with a capex of INR650 crores to be completed by end of 2027 and be ready for production in the first quarter of calendar year 2028. Despite ongoing market challenges, we remain confident in the medium- to long-term growth trajectory for our industry. The combination of electric arc furnace-led structural demand growth and supply rationalization should gradually lead to market stabilization and margin recovery.

Regarding the demerger process, the ongoing composite scheme of arrangement has been filed with the stock exchanges and remains under review. While the process has taken longer than anticipated, we are confident of receiving stock exchange approvals in due course. Upon receipt, the scheme will be filed with NCLT for its consideration. Based on the current time table, we expect NCLT approval by April 2026.

With that, I would now like to invite our CFO, Mr. Ravi Tripathi, to present the financial

results for the quarter. Thank you. Over to you, Ravi.

Ravi Kant Tripathi: Thank you, sir. Good afternoon, friends. I will now briefly take you through the company's operating and financial performance for the quarter ended 30th September 2025. For the quarter ended 30th September 2025, HEG recorded revenue from operations of INR697 crores as against INR568 crores in the corresponding quarter of the previous financial year. During the quarter ended 30th September 2025, the company delivered EBITDA of INR226 crores as against INR140 crores in the corresponding quarter of the previous year.

The company on a standalone basis, recorded a net profit after tax of INR131 crores in Q2 FY '26 as against amount of INR62 crores in the corresponding quarter of the previous year. And on a consolidated basis, the net profit after tax is INR105 crores in Q2 FY '26 as against INR82 crores in the corresponding quarter of the previous financial year. The company is a long-term debt free and had a treasury size of nearly about INR1,167 crores on 30th September 2025.

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Now to take more questions from the participants, a detailed presentation has been uploaded on the company's website and on the stock exchange. Now we would like to address any questions or queries you have in your mind. Thank you. Over to Navin.

Moderator: Thank you. We will now begin the question and answer session. The first question is from Amit Lahoti from Emkay.

Amit Lahoti: Congratulations on a good set of numbers. My first question is on Q2 performance. So how much revenue increase could be attributed to volumes and product mix and how much to prices?

Manish Gulati: Okay. See, prices, as I said in the remarks, were flat between Q2 and Q1. And rest is the top line which you're seeing is coming from higher sales in Q2 compared to Q1.

Amit Lahoti: Okay. So completely, it is coming from volume?

Manish Gulati: Completely on volume. Ravi, you want to add a point on this revenue?

Ravi Kant Tripathi: Yes. It's completely due to volume increase only. Prices are flattish.

Amit Lahoti: Okay. Second question is on CBAM implementation. So what are you hearing from our customers in terms of demand, EF transition, cost pass-through mechanisms, et cetera? I mean is the industry, which is on the EAF side of steel is like more excited or worried from these regulatory changes?

Manish Gulati: See this CBAM will -- on steel particularly will probably kick in sometime in 2026. So obviously, when there will be some big barriers, and I t

hink there's talk about cut of steel

import quotas also in EU. I'm just talking about the EU. So that might be helpful to the steel industry in EU, which is still quite blast furnace space, having EAFs less than 45% or about 45%.

So it will be helpful to the steel industry in EU for both of these reasons, once CBAM takes effect and also the talk about cutting steel import quotas. Certainly, there should be some upswing in steel production in EU.

Amit Lahoti: Okay. And then on tariff, are our customers asking us to absorb some impact of reciprocal tariffs? If you could quantify the net tariff impact that is applicable to us?

Manish Gulati: See, we are now just about completing 2025. Our business in the U.S. is done by the calendar year. So we are hoping that by the time maybe another month or so. In fact, there was a news floating yesterday also, which I don't know, we have to receive confirmation, more confirmation about that. And in times to come, we are very hopeful that duties might settle down to more reasonable levels as has happened with other countries.

U.S., yes, it is an important market for us. And any customer in U.S. would want a similar price compared to the local suppliers. So tariff, whatever it is, of course, if the customer is not going to pay that over and above the price, they will not increase their procurement cost. So we'll take a call once we figure out finally what kind of tariff finally gets applied. I know it's a

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little early to say because we are also watching and 2026 is still two, three months, two months away. We'll see what happens.

But we are -- my message to you is -- the answer to your question really is that we are hoping that these tariffs are down. We would, of course, like to remain in U.S. market and we'll try. But yes, our customers, it's very clear. They will -- why should they pay 50% higher price for graphite electrodes. So obviously, whatever it is 10%, 15%, 20%, whatever finally selling down to, that's our hope. What happens we can't guarantee. Obviously, that will have to be taken care of by us. The customer will need a deliver price.

Amit Lahoti: But let's say, tariffs come down to 25%, is it going to be economical for us to absorb that entirely?

Manish Gulati: It's hard to say. We will see because, of course, when tariffs are put, of course, we feel that internally prices should also start firming up within U.S. So we will see as it comes, what kind of tariffs finally apply, what is the local price, what happens to the local price in the market, in U.S. market, and then we'll take a call.

I just want to add here. See, HEG, our U.S. portion of our sales is only 10% to 12%. And we are supplying to 35 countries. So of course, I mean, we are very well diversified. We might have to do some -- we might have to see other markets also. But it's not as big a risk for us. It's not like that we are supplying 50% of our production in U.S., then of course, it was a big risk.

Amit Lahoti: Okay. Got it. And the housekeeping question. At the time of demerger, how much of net debt which is there in the consolidated books right now would be allocated to graphite entity and how much would be to Greentech entity?

Manish Gulati: Ravi, you go ahead and answer.

Ravi Kant Tripathi: Yes, we have a total treasury size at approx. INR1,200 crores, out of which INR830 crores we have allocated to the TACC and remaining with the graphite.

Operator: The next question is from Rohan Baranwal from Arihant Capital.

Rohan Baranwal: So sir, my question is related to the capacity which you have added. So currently installed capacity of 115,000. And you mentioned that you have a utilization up to 90%. So what kind of growth in volumes terms and margin terms you are looking going forward?

Manish Gulati: Yes. Rohan, you see, first of all, I just wanted to correct you, it's 100,000 now and 15,000 capacity expansion we have an

nounced, which will get completed by 2027 end. And if you --

now coming to volume growth you are talking about, see, last fiscal '24-'25, we were at roughly 80% capacity utilization. Now in the first half, we are 90% plus. We are hoping that by the time we close the year, we are maybe between 85% and 90%, maybe we are hoping for 90% capacity utilization. So that is the kind of volume growth, which we have seen between '24-'25 and '25-'26, which we expect.

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And then, of course, the expansion will take two and a half years to come. And once it comes, we feel that the new electric arc furnaces, which are coming on stream, there will be at least 20 million metric tons, which will get added. And we -- and even more importantly than that, we - - once the steel production, which has been languishing for the last 2, 3 quarters, I'm sure you have been tracking that, that when it takes up, it should bring additional demand for graphite electrodes from existing capacity as well as the new capacity.

Rohan Baranwal: Got it, sir. That's very good. So the next question is like what kind of product mix which you have between like the UHP and steel electrodes, sir? And how do you see it like evolving over the next two years?

Manish Gulati: See, our focus has always been and continues to be in the Ultra-High Power segment only, in UHP electrodes only. And proportion-wise, if you ask is probably a 70-30 or something kind of portion between UHP and non-UHP because some of our regular long-term customers when we supply electric UHP electrodes also expect that we supply the HP electrodes to them.

But it's not a significant portion really, as I said, in excess of 70% or maybe 75% is UHP only. And in the coming expansion also, whatever capacity we'll be building will be focused only on UHP electrodes.

Rohan Baranwal: And sir, what impact do you expect from the recent global capacity like closures on the pricing and the order visibility?

Manish Gulati: I see the two plants which one of our big competitors announced closure, one in Malaysia and one in China. China didn't have an impact globally. The other plant probably was not anyway not running full. I mean -- but that's -- but you see the kind of utilization the whole industry as an average has.

These capacities going out have not really created a big impact just because the demand environment itself is slow. But yes, when the demand goes up and the industry level, all industry, I'm not talking about HEG, all the average utilization levels will increase, then, of course, prices should start to come up.

Rohan Baranwal: One last question from my side. After that, I'll join in the queue. Can you share your plans for the expanding capacity or new opportunity you're looking into?

Manish Gulati: See the new opportunities, Puneet ji will take this question because there are several new products which the company is going to do. Puneet ji, please?

Puneet Anand: Yes. Thank you so much, Manish ji. After the demerger, HEG Greentech will comprise of four businesses. One is the anode material manufacturing, which is currently going on.

Second is the existing Hydro Power assets. BEL currently holds 51% equity in the hydro assets and has signed a definite agreement to acquire the remaining 49% from Statkraft. Upon

completion, HEG Greentech will own 100% of Malana and Allain Duhangan, which represent around 278 MW of Hydro Capacity.

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Third business is BESS EPC business. The EPC business has an installed capacity of 1 GWh with plans to expand to 6GWh by quarter 1 FY '27. It caters for both stationary energy storage and mobility applications. We are strengthening our order book and in-house BMS and EMS systems, which will support disciplined scale up in the BESS EPC segment .

Fourth vertical focuses on the is the IPP, which is BESS plus Solar. The IPP vertical is focused on

C&I and B2B segment with participation in the state and central tenders. The first 200 MWh project is expected to be operational by Q2 FY '27. An additional 1,000 MW/2000 MWh tender is targeted for commissioning by Q2 FY28.

We are expanding this business and expect the IPP business will contribute considerably in the HEG Greentech EBITDA. These are the four strategic pillars we are developing at HEG Greentech following the demerger.

Rohan Baranwal: Got it, sir. And will you be adding the manufacturing facility for the BESS side?

Puneet Anand: On the BESS side, we already have an installed capacity now of 1 GWh which is primarily for assembly. We procure cells and assemble them in our own plant in Pune. We are now expanding this capacity from 1 GWh to 6GWh.

Rohan Baranwal: So like the containers and the battery energies are all sourced from like -- are imported and then assembly is done. Am I right, sir?

Puneet Anand: Yes. However, our focus now is to manufacture in India. We will do as much as possible within India itself, through our own plant in the coming quarters.

Moderator: The next question is from Chirag Pachisia from SKP Securities.

Chirag Pachisia: So my question is on the Greentech side you had guided about INR500 crores, INR600 crores and INR200 crores to INR225 crores EBITDA for FY '26. So could you share what the actual contribution was in H1? And how you see visibility shaping up by end of April, especially post the demerger?

Puneet Anand: The H1 EBITDA is primarily from the hydro assets , which are already operational. The revenue for the other HEG Greentech businesses will start flowing in from Q4 FY27 for the anode segment, once the plant is commissioned. The RePlus business is contributing, but since we are currently in an expansion phase, the margins and EBITDA are low. However, these will improve over time. For the IPP business, revenue and positive EBITDA are expected to begin from Q2 FY27 .

Chirag Pachisia: Got it. So I think it will be premature for an FY '27 number as of now...

Puneet Anand: For FY27, we do have some anticipations and projections, but it is still too early to comment with certainty because these projects are currently under execution. Once they are completed, we will have better visibility. Broadly, your understanding of the FY26 numbers is correct, and we expect that the EBITDA should at least double in FY27 compared to the FY26 figures we just discussed.

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Chirag Pachisia: Got it. Makes sense.

Puneet Anand: So the full contribution to the EBITDA will be coming from Q1 FY28, once the anode plant is operational, the Replus business has been live, and the IPP projects, which is roughly 650 MW/1300MWh based on the tender we have won.

Moderator: Next question is from Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: So I had a few questions. First of all, we've seen the Indian players operating at a very high utilization rate last quarter. And GrafTech is also operating at 65%. So what is your guess of the global industry utilization -- capacity utilization rate currently, excluding China?

Manish Gulati: Rajesh ji, you have seen our utilization, we have seen our Indian peer contribution and you also know GrafTech. That only deals with two main suppliers, that is one, which is Resonac and then followed by Tokai. I believe this should be around GrafTech levels should be. But I can't hazard a guess because their figures are not public, but it's just a guess that they should be around them because they are located also in similar countries and catering to similar demand. So my guess is that should be around that only.

Rajesh Majumdar: So which means the overall industry utilization rate could be about 70%, 75%, if you...

Manish Gulati: About 70%, maybe, I think so. If you combine maybe around 65% or 70% something like that.

Rajesh Majumdar: And in your experience, what is the industry

utilization rate where the prices can actually take

an upturn? Is it 75%, is it 80%? Or where do you think that inflection point can happen from the current 50-odd percent level?

Manish Gulati: Amazing question. Yes, yes. I have that experience. Maybe it should be -- when it crosses average utilization crosses 85% once it starts close to between 80%, 85% when the prices start to firm up. That's the past experience.

Rajesh Majumdar: Okay. 80%, 85% is a good kind of guess?

Manish Gulati: Yes, it's the number when prices start to come up.

Rajesh Majumdar: And secondly, sir, we are hearing some murmur of some price coming in the HP electrode side this quarter. Is that true? Or do you see any kind of uptick in the HP electrode prices happening?

Manish Gulati: You mean in the October to December quarter, where we are?

Rajesh Majumdar: Yes, October, December quarter, correct.

Manish Gulati: Yes, yes, but that's very marginal. That was only in HP because HP prices are already low, but this is a -- globally, if we see this market is quite dominated by Chinese players. So the pricing -- I mean, I'm just talking about, I would say, Indian context that's a very slight price increase.

And globally also, I'm not sure really whether we can really pull up an average of basket of wherever we supply and actually demonstrate a price increase.

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It will be -- I would still say it will be the same level. And the increase in domestic was very marginal. It was not -- just to cover our costs.

Rajesh Majumdar: So it is only in the domestic market, is it the price increase?

Manish Gulati: No. See, in some markets, we have a little bit here and there. But as I said, if I actually pick up that average of all the players, I probably will not be able to demonstrate an increase. So somewhere we're getting a better price, not a better price. Actually, as I said, it's so much dominated by China that depends on our sales mix, where we sold, how much we sold, which customers.

So if I pull up an average of Q2 versus Q3 later, still 1.5 months to go, I don't think we'll be able to demonstrate even a 5% or a 10% increase. I don't think so. Globally average. Global average, yes. Right. Correct.

Rajesh Majumdar: And sir, what is the cost of needle coke for 2Q? And what is the inventory now at needle coke that you have?

Manish Gulati: See, price, I won't be able to divulge honestly, but it's not difficult for you to find out. And they've been pretty static for 2, 3 quarters, just like electrode prices have been at a similar level for 3 quarters, the coke prices have also been that way. And the inventories of plant are comfortable. It's our standard. I can't disclose the real number of inventory, but it's enough. It's -- I see it as an average, we are not low on inventory. I would say rather we are a plus on inventory on inventory at plant and transit, we are rather on the -- slightly on the higher side, not lower side.

Rajesh Majumdar: Right. And if I could have a last question. Suddenly, we see a kind of capacity increase announced by the Indian players after so many years. And I was under the impression that needle coke availability is a big issue in the industry. So where are we getting all this needle coke from to announce the capacity? And if you combine that with your competitor, the total increase is nearly 40 kt over three years. So that kind of a needle coke volume is coming from some new installation? Or is it because of the capacity getting closed? That's last question.

Manish Gulati: No problem. See, the way the graphite industry, as we just talked, is somewhere between 65 to 70. Similarly, presently, the needle coke capacities are also not running full because they're also tied to us and these refineries for big refineries, our suppliers, it's not difficult to switch over their cokers from one product to other.

So once the demand comes in, I'm sure when

it makes business sense for them and they will

see a long-term shift in demand, definitely, we expect them to increase their capacity because they have the technology, they have all the wherewithal, they have big refineries themselves.

It's just about adding cokers or switching cokers from one grade of coke to another grade of coke. So I don't think it will -- it's difficult for them. Yes, something happens temporarily. Of course, it takes time for capacity to ramp up.

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See, everybody is banking on one thing that, yes, the shift to electric arc furnaces is clear, but this is happening. This is an irreversible process. This will bring additional demand. That's also clear. The capacity increase which we have announced and another peer has announced also will take two and half years to come. And by the time we are banking on the new electric arc

furnace capacities. So I don't think needle coke will be that much of a problem.

Moderator: The next question is from Akhilesh Kumar from Emkay.

Akhilesh Kumar: Congratulations on the good numbers. So sir, my first question is on the realization. So when I take the said utilization of 90% for 2Q, I get the realization of around USD 3,500 per ton. So is it around the same levels of GE prices which you are tracking? Or is it at some premium or discount, if you can shed some light on that?

Manish Gulati: We are in a very simple business, you can catch the turnover. And when I say capacity utilization, I said it for 2 quarters of 90% capacity utilization production-wise. And in the same breath, I said that we sold more in Q2 versus Q1. If you put all this together because I will neither be able to confirm the price nor deny the price, but we are close. But I won't be able to confirm the average price because it depends on all markets, all put together, grades, everything. But since we are only in graphite business, it's easy for you to calculate.

Akhilesh Kumar: Right. So the only part where I am not clear is that is it some -- trading some kind of premium or discount? So let's say, if I take a standard price of GE of \$3,000, so then I get a premium of around USD 500 per ton. So am I tracking on the right lines? Or am I missing something else?

Manish Gulati: My dear friend, as I said, I won't be able to confirm or deny it. But I can only say if it is helpful that whatever price levels of today are actually at the bottom because you can see around peer group, it's very difficult to margins, make margins at this price. And everybody in the industry hopes that this price should firm up from wherever they are today. They are one of the lowest we have seen in past years. So we are expecting a firm up on prices. So \$3,000, the \$500 premium, I won't be able to -- I won't comment on that piece. But yes, wherever they are, they are at one of the lowest.

Akhilesh Kumar: Okay. Okay. Got it. Sir, and my second question is on the general spread between the graphite and the needle coke prices. So if you can guide us on that part.

Manish Gulati: Okay. So spread is also at the same level for last 2, 3 quarters because electrode prices are where they are and the coke prices have also not changed and electrode prices are also at the same level. And spread continues to be at the same level, and that converts cut out the variable costs and everything, and that's what you see in the profit figures.

Akhilesh Kumar: So if I track the historical prices for these 2, the spread generally comes out to be 1/3 of -- for needle coke prices, it comes out to be 1/3 of GE prices. So is that trend still holding up?

Manish Gulati: It is -- the question you want to ask, it's not possible for me to answer. But yes, you have your own thumb rule. Maybe you have observed it in the past, but I won't be able to attach a formula to it that 1/3. But it's generally maybe, yes, you might be close, but then it changes. It

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changes with time up and down. But which you have seen in the industry. You know how it changes.

Akhilesh Kumar: Okay. Okay. And another question is on the utilization. So the kind of utilization we have seen in 1Q and 2Q, is this level of utilization expected to even go and extend it to FY '27 and '28 also?

Manish Gulati: I think this year, FY '26 is not a great year for the industry, and we are hoping for better days ahead in next year and another year because the moment the steel production with an uptick and new capacity is coming, we are expecting better demand levels in the next, next fiscal year, which will be helpful for capacity utilization also and firming of price also.

Akhilesh Kumar: Right. Good to have that kind of confidence, sir. And sir, another question is on the graphite anode project. And basically, just want to get some unit metrics there, what kind of realizations and we are expecting there, what kind of ROCs and debt to equity, how we are going to fund it? So if you can shed some light on those -- that project?

Manish Gulati: Puneet ji, that will be answered by my colleagues, Puneet ji, Ankur ji. So please go ahead, Puneet ji.

Puneet Anand: So Ankur, do you want to take first on the business side? I take on the numbers.

Ankur Khaitan Yes. So in case of anode, I mean, the realizations are pretty as per the current market scenario, where also we are seeing an uptrend. And we are -- right now, we are pretty secured as far as our funds are also concerned. And the financial -- the production part is the production will start from 2027. So we are pretty secure in all that. And the market is quite stable because apart from China, people are expecting the new players to come up, and we are amongst the first ones to come up in the non-China anode space.

Akhilesh Kumar: Sir, what kind of IRR and EBITDA margin we are expecting from this project?

Ankur Khaitan We are expecting EBITDA margins in the range of about 30%, rather 35% to 40%. And IRR also in quite encouraging numbers.

Akhilesh Kumar: Okay. Okay. And last one, if I can squeeze that in also. So the question is that our capex intensity looks higher than the competitor for the extended that 15,000 tons of capacity, we are doing INR650 crores. So why is that happening? If you can throw some light there also?

Manish Gulati: Yes, I'll take this question. See, you're comparing us with the peer group. As you might have also noticed that for the first part, I think they said 1 year, while we are saying 2.5 years. So that clearly shows that, of course, every plant has an opportunity to debottleneck some of the facilities. Some of the equipments have very long lead times, some are shorter. So I'll just restrict myself with that.

And we would not like to, say it on competitors. We can only talk about ourselves because, for example, if we have to expand, we have to see what we have, what we further need to take this capacity from X to Y. Similarly, everybody does that. So I can't say what they have and what

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they're adding. But I know what we have and what we're adding. I know what it requires to take up the capacity from 100 to 115.

Akhilesh Kumar: And would you say that the kind of capex intensity what we are having is the industry average or better than the industry average?

Manish Gulati: If you put up a green -- see, we are adding this capacity in the existing plant. So of course, it will be lower. If you go and set up a greenfield plant and build every process right from scratch to finish, it will be more than double of that. You see -- if you remember, we -- in the last expansion of 20,000 tons, which we did, there was a capex of INR1,200 crores. Now we are talking about 15,000 at INR650 crores. So you can now relate even you need the 2 things. But that was probably a bigger requirement of more processes, more shops, and this is probably less

er because 20,000 because we made a fresh plant mainly directed towards making nipples.

Moderator: The next question is from Rohit from itthought PMS.

Rohit: Sir, just on the overall industry, I mean, of course, China is a very big part of this industry.

And we've been reading -- they've been talking about reducing their overall supply in steel.

And this is also further extended to other industries also where they've been talking about not trying to be too price competitive and price was kind of a thing. So have you seen any initial impacts of that trickling down to the GE -- one to the overall steel demand outside -- I mean, steel exports from China and hence, any other production improvements in other countries because of the decline in steel from China?

And two, as a downstream towards that, any impact on GE right now? Or how do you see -- I mean, do you see any impact, if not yet, do you see any impact of this happening if it plays out?

Manish Gulati: Let me answer it in a way that you see -- it's true, what I mentioned in the opening remarks that Chinese production is down. And Chinese consumption is down even further. So there actually steel exports are increasing. So they are exporting more steel to the world in 2025 than they did in 2024. And because of the rest of the world making about 50%, 51% of the steel from electric arc furnace route.

So of course, any exports of steel from China do impact the production levels in other -- all globe put as a whole ex-China. To that extent, yes, of course, if China was exporting less, the other countries, which are more electric arc furnace based to the extent of 51%, they would be producing more steel.

And then they would be producing more steel, more electrodes would be required where -- and that demand come to us, ex-China, all the industry. Yes, their exports matter, their production is down. But as I said, consumption is down even further. So actually, exports are increasing from China, which, of course, caused a dent. We may -- it's very clear. It will cause a dent to the rest of the world.

Rohit: Understood. And actually, one reads that they are probably exports of steel also, they don't want exports to grow. At least that is what the news articles are -- at least that is what their

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intent is. I don't know whether there is a mismatch between the intent and what is happening. As clearly you are saying there is. So, I mean, of course, the last up cycle that happened in '15 and I mean, after 2017, there was a huge factor of China in that where they cut -- shut down capacities and capacity.

And there was a talk of also EAF going up -- China share of EAF were also going up. There are still -- I mean, China is still saying that the year share, while they could not do what they said last time, but they're still saying that the EAF share is going to go up for them. How do you see -- it's an open-ended question, sir.

I mean, I just want to get your sense because things seem to be somewhat coming together again, at least at the outside, things are somewhat from a China perspective, but they are sort of in numbers or talks which are pointing to what may have -- what could happen like back in

2016, '17, '18, something similar. Do you see that as well? Or it is still too hypothetical and one should not really read too much into it?

Manish Gulati: You see, you also keep hearing these talks of that they will take the electric arc furnace share to 20%. But the reality is that they are still at 11%, 12%. So it's very difficult for us to hazard a guess what they will do or not do and how serious or how, as a country, they will actually take up the electric arc furnace portion, of course, because rest of the world is at a much higher level of electric arc furnace share and they are the lowest. But we should remember that they are more than 55% of the total steelmaking of the world.

So anythi

ng which they do towards electric arc furnace will be very helpful, I would say. So there have been statements of taking it to 20%. But so far, years are passing by, but they've not yet reached that level. So that speed which was announced that they will change over and do this and do that is not as much seen and that's all I can say really. Very difficult to answer your question.

Rohit: No, I understand. Sir, just one small addition to the plan going from 11%, 12% to 15% or 20%, does China have the capacity, existing capacity to put more capacity for graphite electrodes?

Manish Gulati: Sorry. Yes, they have a lot of capacity. Yes, yes, they have a lot of capacity of electrode making, most of which is the HP grade variety and some of it is UHP grade variety. So internally, within China, there are many electrode companies making electrodes, they are exporting a lot of electrodes, which are predominantly HP grade, to other countries. So internally, if the year goes up, actually it will be helpful because they'll be able to use the excess capacity of electrodes within China and not impact the rest of the world with their exports.

Rohit: And sir, last question on your -- like you are all the largest shareholders of GrafTech. So I mean, what are your thoughts on them -- I mean, is this purely a financial investment for you? Or are you also thinking about -- I mean backward integrated as you also highlighted?

Manish Gulati: So as we speak, it's purely investment. It's purely investment. As we speak.

Moderator: Next question is from Amit Lahoti from Emkay.

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Amit Lahoti: So when we say needle coke refineries can bring in new capacity faster than typically what graphite electrode players can do, would it be fair to say that our pricing power would be better than them when the demand turns? Is that the right understanding?

Manish Gulati: See, their electrode prices and needle prices, they go in tandem. When electrode prices go up, of course, they wouldn't be left behind, and they would also like a share of the good times of profits. So of course, as we have seen, you must have noticed in 2017, '18 and '19 that the needle coke prices went up very high because electrode prices were also high. So it follows with a lag once electrode prices start to firm up and needle coke prices start to firm up, that's usual.

Amit Lahoti: But from a demand-supply perspective, when we say that they can bring new capacity faster than us, they can come into oversupply also, which is faster than the graphite guys. So with that respect, their price hike should be lower than the graphite guys. So that is what I was thinking.

Manish Gulati: Let me clarify this point. See, these are big refineries. These needle coke plants are attached to refineries. They have the technology. And they have the cokers and everything is there. They have all the wherewithal to increase rather than a new company coming in and setting up a needle coke plant, they will be faster. That's what I meant when I said that when they -- the needle coke supplies when they see an actual step-up of requirement, they have all the technology, the resources and the wherewithal to increase their capacity, better than any new player coming in.

Amit Lahoti: Okay. Understood. Yes. And then secondly, in the last quarter, we were highlighting expectation of improvement in demand in second half of FY '26. So I realize that expectation still remains, but any incremental color you could provide, specifically on Q3, which is the running quarter?

Manish Gulati: Q3 is going to be -- it's going to remain the same. And we keep hoping about it, and things are just not -- they're taking time to turn around. See, the steel production, just look at steel production. Every time there's a forecast from World Steel Association, the next year, this will happen that will happen. When the year comes, it doesn't happen. So -- and

you see what the

geopolitical situation is. So once that the economic boom is there and then the steel follows the economic boom and so will the electrode demand.

So the comments which we made earlier there, we are hoping that there should be firming in price. If you're asking about the quarter which we are already in, no, it is taking time to

happen. No, it's not happening this quarter or next. But it must -- the moment we see an uptick, it should be a quick turnaround.

Moderator: The next question is from Ahmed Madha from Unifi Capital.

Ahmed Madha: Sir, I had this question. So current quarter utilization is so high. Is there an element of bunching up of shipments to U.S. or anything as such? Or you think Q2's utilization is sustainable in second half also based on your visibility of contracts and volumes?

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Manish Gulati: Okay. So for the first 2 quarters, which went by, as I said, it's slightly above 90%. And I also said that by the time we close the year, we should be around that figure, close to 90%, a little less than 90%. That's it. So we should be able to sustain this. It's not about U.S. orders getting bunching up quarter-to-quarter sales. Historically, if you see it varies which orders are there, what deliveries we have, what order book we have. But it is -- you can see if you compare with '24-'25, where we were at 80%.

Now first half, we are at 90%. And we hope in the next 2 quarters also, we should be close to that level, should be close, maybe marginally under 90%, marginally over. So you can see a clear difference between the 80s of '24-'25 versus the 90% of '25-'26 or slightly under 90%. It is very difficult to hazard a guess because you see we are booking orders quarter-by-quarter. So as we speak, okay, I can still be reasonably confident about the quarter we are in. But Jan to March order book is still being booked.

Ahmed Madha: Okay. Got it. And in terms of U.S. market, assuming the tariffs don't go down quickly, then in that case, next year, we have to diversify our volumes from U.S. to non-U.S. markets. In that case, what would be the realization gap for us in U.S. market and non-U.S. markets, where you think we can sell the volumes?

Manish Gulati: I wish I had an answer, but we'll cross the bridge when we come to it. So right now, we are living with a hope that as all the trade deals all over globally have been almost done, only we remain, and we are really hoping that it settles down. So as I was saying, there was some news floating around yesterday. I was looking for confirmations about anything happening between U.S. and India.

But yes, the talks are on. They are not stalled. That's what we believe that both the countries are talking to each other. There may be some tricky issues to resolve. But I think with India, globally, only India is at 45%. Maybe I think Brazil is also of that level. But let's see. I mean I can't comment more than that, except saying that we'll cross the bridge when we come to it. Sure.

Ahmed Madha: And regarding the non-Indian competitors, obviously, everyone has closed down 1 or 2 of the inefficient plants. But how do you see -- because today, they are at breakeven, right? So breakeven in terms of their profitability. So is there a scope or a discussion of those players thinking of price hikes so that they can come to a certain level of profitability and eventually, we can also later come up with price hikes. Is there any sort of such discussion for new contracts? Or is it far away?

Manish Gulati: See, I have seen some public announcements. Everybody, all the industry needs a price increase to have healthy margins and to continue expanding and continue doing that. So -- but that's about it. Now what we -- the 2026 orders open up, we'll see how much is happening on the ground. So right now, we are in November. And once we -- in times to come, we will see and maybe 1, 2, 3 months, we

'll see how much price coming up is happening or not happening because the demand is still subdued. But the graphite industry as a whole, everybody needs a price increase.

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Ahmed Madha: Last question, in terms of our European business, can you give, what share of our volumes come from Europe region? And if there are duties as there is discussion going on and import quotas and I'm assuming the production of European players will go up. In that case, do you see any sort of benefits coming to us next financial year?

Manish Gulati: See, this is going to happen in 2026. So when they announce, what they announce, it will actually depend on that. The steel they are talking about and CBAM, all this is going to happen in 2026. What is the quantum, we will know next year. And how much impact it will have, how much there will be internal increase in production within EU. So I can't say today really, honestly.

Ahmed Madha: Okay. But can you tell what is our share of volume from Europe?

Manish Gulati: I would say about...

Ahmed Madha: US you said 10%, 12% for Europe and [inaudible 0:56:16].

Manish Gulati: We are very well -- in all economies, we are actually quite evenly spread. So if I hazard a guess, maybe it's around, close to, let's say, close -- a little less than 10%.

Moderator: The next question is from Rohan Baranwal from Arihant Capital.

Rohan Baranwal: My question is on the margin side. So what kind of margin improvement we are looking going forward in FY '26, sir? And how it will improve going forward? Like will it be coming from the side of pricing -- price normalization or from the side of cost benefits, sir?

Manish Gulati: See, the needle coke prices continue to be where they are. They are not increasing nor decreasing. And the electrode prices as we already in Q3, half of Q3 has already gone. So here, we do not -- in Q3, we do not see any margin improvement. Q4 order book is under construction. We will see how it plays because as I just said that we are booking quarter-by-quarter. That's what is happening in our industry.

So I don't have any -- had I some long-term orders, even if I were to book for, let's say, 60%, 70% of the volumes, like input prices, it used to happen that way. But we are not -- we just booking quarter-by-quarter. So if there's any uptick, maybe in Jan to March, I can't say. But this quarter, it doesn't seem because half of it is already gone. So but margins will be similar, similar to the last 2 quarters, I would say.

Rohan Baranwal: In the long term also, sir?

Manish Gulati: No, in the long term, of course, we are putting expansion, doing this and doing that. We, of course, expect that with the kind of demand, which should come in because with new electric arc furnaces, demand should go up and so the prices should also firm up. I'm only talking about these next 2 quarters. The Q3's and the Q4. But medium- to long-term, we are, of course, bullish about the electrode industry.

Rohan Baranwal: Got it. Sir, any numbers to put on that side, sir?

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Manish Gulati: No, not possible. I wish it was, but it is not.

Rohan Baranwal: And sir, one last question is on the debt side, actually. So can you provide a time line of how much debt we are expecting to add going forward like in FY '26 or FY '27, sir?

Ravi Tripathi: As I explained in our opening remarks that we are long-term debt free, and we are not going to add any debt in future also.

Moderator: Next question is from Ahmed Madha from Unifi Capital.

Ahmed Madha: Just wanted to understand when you say the new EAF capacities coming up globally. So I mean, obviously, we can search a bit and see what kind of capacities are coming up. In your sense over FY -- not FY '26 rather CY '26 and CY '27, what sort of capacity you see coming up in electric arc furnace? Is there any math around it to understand incremental demand for

electrodes?

Manish Gulati: It's about 20 million tons, which should get added in the next 2 years, '26 and '27. So if you roughly divide it by, let's say, 1.5 kg per ton, that translates to about 30,000 tons demand increase. I'm just talking about next 2 years.

Ahmed Madha: Okay. And in terms of inventory situation, as the steel industry as a whole, do they have a lot of inventory for electrodes available? Or are they keeping low inventories currently considering prices have been falling from the last few quarters?

Manish Gulati: Now it is quite stable. We don't have -- there's no over inventory of electrodes with our customers. It's the usual sales depending on which country you are, somebody gives a month, if the supply is locally, somebody gives 2 months, if they are an offshore supplier. So these are -- the steel industry, I believe, has normal level of inventories today. There's no over inventory situation with our customers because we can see from the buying behavior also, they're consistently buying, buying and exactly as their demand is. So I don't think there is an over-inventory situation in steel customers.

Ahmed Madha: And in terms of China supply of electrodes, right, with the new demand coming up either because of the increase in non-China steel production or with the new year's capacity, is it possible that the incremental demand goes to Chinese people who are probably selling the product at lower prices? Are they increasing their own supply? Is there any sense we have?

Manish Gulati: See, we are also a competitive cost producer just according because of our size being big at one location in India. And I think we are in a good position to compete. Yes, of course, this low pricing and this -- of course, it hurts. But still, we also have a reasonable level of cost. We should be able to compete in the market. And again, the Chinese capacity, which they have is predominantly on the HP grade variety and lesser on the UHP grade variety. So yes, we have to survive. We have to be competitive at all times.

Ahmed Madha: Okay. And is there any sense on China supply of electrodes we have? Has there been any new capacity addition, deletions in recent quarters or recent years? So I think that the capacity is broadly similar. So that is [inaudible 0:62:34].

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Manish Gulati: Yes, it's similar. They have not added. They have not deleted either. So they are at the level which they were maybe in the last 3 years, the capacities of electrode have remained at the same level, they have not increased it.

Moderator: That was the last question in queue. As there are no further questions, I would now like to hand the conference over to Mr. Gulati for the closing remarks.

Manish Gulati: Thank you. Thank you very much, friends, for listening to our Q2 conference call. And hopefully, when we talk next quarter or next, maybe we will be able to provide a better outlook for 2026. Thank you so much.

Moderator: Thank you very much. On behalf of SKP Securities Limited, that concludes the conference.

Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Ravi Tripathi: Thank you.

Manish Gulati: Thank you.

Call: Jan 2026

HEG/SECTT/2026 23rd January, 2026
1 BSE Limited
P J Towers
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Bandra (E), MUMBAI - 400 051.
Scrip Code : HEG

Sub: Transcript of Webinar on Update on Composite Scheme of Arrangement

Dear Sir/Madam,

Please refer to our Webinar on Update on Composite Scheme of Arrangement held on 19th January, 2026 at 1600 hrs IST intimated vide our letter dated 13th January, 2026.

Please find enclosed the transcript of the said Webinar on Update on Composite Scheme of Arrangement.

The said transcript is also available under the Investors Section of the website of the Company i.e www.hegltd.com .

This is for your kind information and records.

For HEG Limited

(Vivek Chaudhary)
Company Secretary
M.No. A-13263
heg.investor@lnjbhilwara.com

Encl: as above

TRANSCRIPT

Demerger Update Webinar

of

On Monday, January 19, 2026

Riju Jhunjhunwala, Vice Chairman, HEG Limited
Basant Jain, Joint MD and CEO, Bhilwara Energy Limited
Manish Gulati, Executive Director, HEG Limited
Om Prakash Ajmera, Group CFO, HEG Limited
Puneet Anand, Group CSO, HEG Limited
Ravi Tripathi, CFO, HEG Limited
Ankur Khaitan, MD and CEO, TACC Limited
Hiren Pravin Shah, MD and CEO, REPlus
Salil Bawa, Group Head, Investor Relations

Navin B. Agrawal | Head, Institutional Equities
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Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Good day, ladies and gentlemen, and thank you for attending this virtual meeting. I'm pleased to welcome you on behalf of HEG Limited and SKP Securities to HEG Limited's demerger update webinar. We have with us:

- Riju Jhunjunwala, Vice Chairman, HEG Limited
- Basant Jain, Joint MD and CEO, Bhilwara Energy Limited
- Manish Gulati, Executive Director, HEG Limited
- Om Prakash Ajmera, Group CFO, HEG Limited
- Puneet Anand, Group CSO, HEG Limited
- Ravikant Tripathi, CFO, HEG Limited
- Ankur Khaitan, MD and CEO, TACC Limited
- Hiren Pravin Shah, MD and CEO, REPlus
- Salil Bawa, Group Head, Investor Relations

Friends, this virtual meeting is being recorded for compliance reasons. During the discussion, there may be certain forward-looking statements that must be viewed in conjunction with the risk that the company faces. We will have the opening remarks from the management, followed by a Q&A session. Thank you, and over to you, Mr. Jhunjunwala.

Mr. Riju Jhunjunwala - Vice Chairman, HEG Limited:

Thank you, Navin ji. Good afternoon to all our shareholders and participants on the call. Thank you for joining us today and for your continued trust in HEG and the LNJ Bhilwara Group. Today's call is focused on our proposed composite scheme of arrangement, the demerger of our existing graphite electrode business into a separate listed company and the formation of a listed HEG Greentech company that will house our integrated clean tech business.

A brief note before I begin. Certain comments may be forward-looking and are subject to market conditions and to the receipt of necessary regulatory and statutory approvals.

Why are we doing this? Sharper focus and value unlock. We are at an inflection point where two strong franchises sit within one listed company, a mature cash-generating graphite electrode business and a fast-scaling green tech growth platform. These businesses have different growth drivers, risk profiles, capital needs and valuation frameworks. The scheme is designed to unlock value for public shareholders by creating two focused listed companies, each with its clear strategy, governance and capital allocation discipline. In practical terms, the scheme is intended to deliver a clear value discovery as each business can be valued on its own merits or demerits, better transparency and capital allocation assigned to each business model, improved strategic flexibility wherein maintaining strong governance and promoter alignment.

What the scheme means for you as a shareholder? Subject to approvals, the scheme proposes the following mechanics. Demerger of the existing graphite electrode business into HEG Graphite Limited and issuance of shares to HEG shareholders in a 1:1 ratio on the record date. Merger of Bhilwara Energy Limited which houses two of our hydroelectric assets with the existing listed company with the shares issued to BEL shareholders other than HEG, based on completely independently determined swap ratios reviewed by merchant bankers. Post implementations, HEG Graphite Limited will be renamed HEG Limited and the current HEG Limited will be renamed HEG Greentech Limited. The structure is designed to preserve continuity. You will hold shares in the legacy business of graphite electrodes through the new HEG Limited company and you will also hold shares in HEG Greentech representing the clean tech

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businesses.

Understanding HEG Greentech and integrated clean tech platform in India's energy transition growth story: India's decarbonization and electrification agenda is accelerating at the adoption of by the renewable and energy storage, and in turn driving demand for battery materials and enabling infrastructure. HEG Greentech is being built as an integrated clean tech platform to operate across the renewable energy and bat

tery storage chains, both growing at a fast pace.

HEG Greentech, as you see below, will be operating across four synergistic pillars. First being the advanced battery materials. Over the last couple of years, India's renewable capacity additions have shifted away from standalone solar and wind projects to FDRE, RTC and storage led tenders, including standalone BESS driven by intermittent generation, peak versus off-peak differentials, phasing out of banking, tighter DSM provisions for renewables, supportive policy measures and falling battery prices. Battery storage is increasingly becoming a critical component of upcoming projects, both for utilities and for CNI consumers.

India has also seen a very strong growth in EV penetration across segments with the government's agenda of making India more self-reliant in battery storage. A range of fiscal and non-fiscal measures are encouraging local manufacturers of batteries and associated value chain materials. More than 150 GWh of local lithium ion battery cell manufacturing capacity has already been announced in India.

At HEG Greentech, we have identified advanced battery materials as a key growth pillar, starting with the establishment of a 20,000 tonnes per annum active anode material manufacturing facility. We intend to be high quality technology led anode manufacturer catering to multiple battery chemistries and to end users. To this end, we are working on silicon and graphene based doping solutions to enhance the existing anode performance.

RE power generation, solar and BESS: Our investee company REPlus is a leading battery energy solutions provider with a broad portfolio across the BESS, EV and hybrid applications. REPlus has a highly automated 1 gigawatt cell-to-pack line which is currently being expanded to 6 GWh as we speak and it serves marquee customers across these segments. REPlus is creating a niche by indigenously developing smart battery and grid management solutions in partnership with leading academic institutions along with a cloud-based analytics platform. These capabilities can help improve performance, enable AI-ML enabled insights from across the battery life cycle and reduce the levelized cost of storage. REPlus is well positioned to benefit from the rapid growth in storage adoption across segments, and is building tailor-made solutions aligned to global standards. It has also established an office in Dubai recently to serve a growing Middle East and Africa region where grid-scale storage deployments are scaling up as much as India.

The third pillar being the renewable energy IPP: As mentioned earlier, India is moving from a standalone solar and wind to FDRE RTC projects with a large BESS component. Accumulative BESS capacity of over 250 GWh is projected across utility and CNI segments with annual installations expected to rise meaningfully over the decade. With REPlus' in-house technical expertise in energy storage solutions and a team with a track record of building and developing multi-gigawatt solar assets, we are building a storage-led IPP platform to capture the growing demand for firm and dispatchable renewable power. During the current financial year, we have secured an order for a 200 MWh BESS project in Gujarat. We have emerged as the L1 bidder for a 1000 MWh standalone BESS project in Maharashtra. We are focusing on standalone solar and solar plus BESS projects in both B2G and CNI, with a clear aim to deliver an equity IRR of anywhere between 16% to 20%.

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The fourth business which is the pillar of our company to begin with is the RE power generation, the hydroelectric plants. We have two highly efficient run-of-the-river hydroelectric projects in Himachal Pradesh, Malana around 100 megawatts operational for 25 years, and AD Hydro 200 megawatts operational for 15 years, both delivering consistently an 80% high EBITDA margin. Both these projects are debt-free, eligi

ble for renewable energy certificates and operate as run-of-the-river plants with approximately 3.5 to 4 hours of reservoir capacity, enabling peaking generation. These assets generate steady cash flows of approximately 300 crores plus annually, strengthening the platform's resilience as we scale.

We have also signed a Conditional Agreement to acquire a 76 megawatt hydroelectric project in Uttarakhand and are in the process of securing all the necessary approvals. Subject to approvals, this could be a very attractive addition into our hydro portfolio.

Roadmap, discipline and shareholder value creation: We remain committed to disciplined execution and transparent communications as the scheme progresses through the stock exchange and NCLT approvals. If approved, shareholders will have direct ownership in two focus-listed companies, one anchored in a global graphite electrode franchise, and the other positioned for long-term growth in India's energy transition, enabling clear value discovery and unlocked value over time.

Thank you for your time. With that, I would just like to introduce to you the management team that is here today with us, and apart from them, others who are present with us who will be answering the questions.

I am pleased to introduce Mr. Basant Jain, who is the CEO and the Joint Managing Director for the company. His resume speaks for itself. An ex-MD & CEO from Mahindra Susten. He's led clean tech portfolios including 6 plus gigawatt solar projects and 25 plus years of experience with leading large industrial companies. So, it's a pleasure to introduce you to Mr. Basant Jain.

Mr. O. P. Ajmera, who is the Group CFO and CEO for the hydro and wind segment. Mr. Ajmera has been with the group from inception, I would say, and he has led the entire hydroelectric power business of the company, which has enabled us today to get to the Greentech platform.

Mr. Ankur Khaitan, who is the CEO of the Advanced Battery Material, the anode project in the company called TACC. He has 17 plus years of experience with 12 plus years at HEG Limited in its graphite business. And later in the presentation, you will come to understand why that is very, very important in this particular framework that we are trying to work on.

Mr. Hiren Pravin Shah, who's the CEO of REPlus, the Battery Energy Solution. He's a very, very

passionate battery man, that's all I can say. 23 years plus in the battery segment and new energy solutions with having worked with pedigree companies like Panasonic and Delta and led ESS projects for Jio, Tata, AWS and Indian Oil. He breathes and eats, I think, BESS.

You have Puneet Anand, who's the Group Strategy Officer, who is helping us create a very robust platform in terms of efficiencies on taxation, in terms of new business ideas. And Puneet's experience has been 16 plus years of experience. I think 14 out of the 16 being in Ernst & Young at very, very senior positions.

Mr. Salil Bawa, who is the Head of Investor Relations. Thank you, Salil again, for helping Puneet and everyone at SKP organize this call. Salil would be based out of Mumbai, so he will be your point of contact for any information that you need from the company. He has had 25 plus years' experience in this business with companies like DHFL, Edelweiss and Welspun.

Mr. Karunesh Chaturvedi, who's the Head of the Corporate Affairs. He has over 30 plus years in Demerger Update Webinar `

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corporate affairs and strategy, advocacy and government affairs. He's been the ex-Head of Corporate Affairs, Welspun India, Waree Group, etc.

Ms. Indu Mehta, who is the Chief Sustainability Officer for the company. Her resume includes 30 plus years in sales and marketing across industries and has been a director with us in our other companies like Bhilwara Infotech, etc.

And one of the newer members of the team, Mr. Ranjan Sarkar, who has a lot riding on his shoulders as the Chief Human Resource

Officer for the company with 25 years in HR leadership in large Indian companies and MNCs, including being the Ex-President of HR in Exide Industries.

So with that, I think I will end my part of the presentation, and I'm around for any questions or answers that we'll have after the presentation. With a promise to everyone that, you know, whatever we are trying to build over here in HEG Greentech is absolutely above board and will carry the legacy of the LNJ Bhilwara Group forward as its fourth pillar - textiles, graphite, power and now the new generation. So, Basant ji, Basant, over to you. I think Basant will do the talking from now and the rest of us are available on the call. Basant, please.

Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:

Thank you very much, Riju and a very good evening to you all. Thanks for taking out time. Riju has already given a good introduction. Let me just try to explain these businesses in a bit of details. As Riju mentioned, that we are building India's first technology-led integrated Greentech platform, which primarily focuses on storage as a technology and all other businesses around it.

To begin with, one of the most promising businesses in which we see in our portfolio is our Advanced Battery Material vertical, wherein we are setting up a 20,000 tonne annual plant, which will produce one of the highest quality synthetic graphite material for lithium-ion batteries. As we speak, the plant is already at an advanced stage of construction near Indore.

Apart from this, we are also, as Riju mentioned, that in the RE power present through hydroassets and storage-led IPP and battery energy solution through REPlus.

In all three businesses, India is going to see a massive capacity addition over the next few years, and the reasons which Riju articulated, how India is decarbonizing its energy sector, trying to make India self-reliant, and hence lithium-ion batteries, battery materials, battery storage solution, and then the RE IPP, they will all play a significant role, and we want to be a sizable player in all these segments. Next slide, please.

Why anode material? As we all know that today, lithium-ion battery technology has overtaken any form of technologies, and it has emerged as one of the most promising technologies for storing the energy for a variety of reasons. One of the biggest reasons, of course, is the falling prices. The price is tumbling from \$450 to now almost like \$60, and that has led to the increased penetration. Because of the increased penetration of batteries across all segments, be it electric vehicle, battery energy storage, and hybrid applications, there is a significant increase in the anode material demand, which from current level stands at 1.5 million tonnes. As per the projections given by the leading research firms, this demand is likely to reach to about 4.5 million tonnes.

Now, typically, 1 GWh of battery requires about 1,000 tonnes of anode material. That's the kind of thumb rule. Now, Riju you mentioned, India is going to see a capacity addition of almost 150 GWh over the next Demerger Update Webinar `

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4 to 5 years' time. That will entail a demand of almost 1.5 lakh tonnes in India. Apart from this, a lot of global cell OEMs are also looking at manufacturers outside of China. As we all know, China today controls almost 97% of this synthetic graphite supply globally. From a de-risking point of view, all these European and American and even Asian vendors are looking at suppliers who can deliver high-quality

anode material at a competitive price. And, we are here to set out and meeting this requirement. Apart from this, the PLI scheme, which mandates the domestic value-add starting from 25% to going up to 60%, these local Indian cell manufacturers will be required to source battery materials locally to meet this DBA. And we believe anode material will be the first one to be adopted in this direction. N

ext one.

What is our right to win? This, I think, I already explained. We all know how Indian cell landscape and global cell landscape is going to be a factor for us to be confident about this vertical. Next one, please. What is our right to win? As we all know that we are one of the leading players in the graphite electrode space, having a plant which delivers these anodes at the world-beating cost structure. One of the most complex processes in the graphite electrode is graphitization. This is a process which entails a lot of technologically sophisticated process control. We are the ones who have perfected this art with the experience of 50 year plus in this space.

The process for manufacturing the synthetic graphite for battery anode material is similar, if not same, to the process being followed in the graphite electrode. Even the raw material, which is required, is the same. Taking the expertise of our HEG Limited, we have decided to get the synthetic graphite manufacturing. What we did, we ensured, like in HEG, that have access to the best technology, which can help us compete with the Chinese. As we all know, the Chinese are already ahead in many aspects, but given our experience and expertise, we are very confident of ensuring that we also deliver the material which meets the requirement of the global OEMs. In this direction, we already set up a 200-tonne pilot plant almost two years back. Next slide.

The idea behind setting up this demo plant was that how do we really make all these global cell OEMs comfortable? Because, we don't want a situation where we set up a plant and then we are sending the material for certification. It would have delayed the commercialization of the plant, of the material. So, this 200 TPA plant is absolutely identical in terms of process flow, and then the technology which is being used for this 20 kTPA plant, which is being built. The material produced by 200 TPA plant has been sent to almost over 20 leading global cell OEMs. These cell OEMs have tested our material. And, I'm pleased to say that the majority of these cell OEMs have been extremely pleased, happy with our material, both in terms of the material specifications and quality. Now, we are at a stage where we are now discussing with them, potentially, the terms for the long-term offtake. Next slide.

There is a lot of innovation which is happening in the battery anode material. As everybody is chasing higher energy density and faster charging time, there's a lot of elements which are being added to the synthetic graphite. One of them is the silicon. We are working on manufacturing our own high-quality silicon material, which, if it is doped with the anode material, will increase the energy density by almost 20% and also improve the charging time. Likewise, we are also at a very advanced stage of producing quality graphene, which again, if added to the battery anode, will further improve the charging speed and also prolong the battery life.

In terms of a product mix, we will be catering to the price-conscious ESS segment and then the mid-range and high-range EVs, which are premium segments, where the energy density and charging speed is really the primary criteria. Hence, the silicon doped and graphene doped anode material will come into play here. Next slide, please.

As you could see here in some of the pictures, this plant is spread across 100 acres, already at an
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advanced stage of construction. Overall progress of the project is 30%. Bulk of the procurement process is complete. 90% engineering is also over. We have built this plant with the aim of expanding it to 30 kTPA within the same premises at a very optimal investment. This will further reduce our CapEx burden cost and also reduce our OpEx, thus enhancing our competitiveness. We aim to expand this overall capacity to 60 kTPA by FY32. This decision to invest this additional CapEx will be taken o

nce we

stabilize our initial 20 kTPA plant. Next slide.

What is our go-to-market strategy? As I mentioned, our team is already in touch with almost every single cell OEM. Some of those names are supplying to the marquee electric vehicle EV OEMs, and even the companies which are making the batteries for all segments, whether ESS or hybrid. The team is already in an advanced stage of discussion with customers, which could potentially offtake 30,000 metric tonne, which is more than the capacity which we are setting up in Phase 1. Next slide, please.

As I mentioned about graphene, we all know that graphene is known as a magic or wonder material. Apart from utilizing part of the graphene in our anode material to enhance its longevity and also improve the charging rate, graphene also has some unique applications. As we all know, graphene has a strength of almost 200 times than steel. It is one of the lightest yet strongest material available on earth. There are very interesting use cases of graphene, right from cement to the textile to paint, and as I mentioned, anode. We already piloted and experimented in cement and road infra where we got a very encouraging result. There is a very good economic case for doping a very tiny quantity of graphene, which improves the anti-corrosion properties of concrete and also reduces cement consumption significantly. In textile

and paint also, there have been very encouraging results. Over the next few months, we will complete these testing and then we intend to set up a 4,000 metric tonnes of graphene derivative plant within the same premises where the anode plant is coming up. Next one.

Battery energy solution: REPlus is a portfolio company which provides the battery energy solution. We all know how battery energy storage demand is going up, both in India and globally. As energy becomes... as more and more solar is deployed and people are finding it very difficult to really... or there is a massive surplus of daytime power due to excess solar capacity, solar is now becoming an integral part of all projects, whether it's in India or Middle East or even Western world. Next one.

Even in the MEI region and Middle East, again, we have seen a multi-gigawatt hour (GWh) of single location project with the power backup ranging from 2 hours to 6 hours. There have been some cases in Middle East where 100% solar is being stored and then being discharged in the evening hour. At REPlus, we are fully focused on developing solutions, a plug-and-play solution, which will ensure the onsite installation time is reduced. A solution that can withstand all extreme weather conditions, whether it's India or even Middle East, where the ambient temperature goes up to 50 degrees Celsius. And also, ensure that the life of the battery installed is adequate enough for people to get the economic benefits out of their projects. Next one, please.

As you can see here, we have already commissioned 100 MWh plus capacity, both within India, and we have done some marquee projects in Saudi Arabia and DRC, which reflects the confidence our customers have about our offering. We have over 2,000 MWh of capacity under execution in different parts of the world. As I mentioned, the India and MENA region remains a key focus area, and we already have an office in place in Dubai. And as we speak, we are already in discussion with all the Dubai-based IPPs who are working in both MENA as well as the other African countries, and soon we should be able to secure a good chunk of orders from these markets as well. Next one.

In case of EV, as we all know how EV penetration has really gone up significantly in India. As we speak, the growth rate in the two-wheeler, three-wheeler, and busses and trucks, especially the 29.45 segment, it's 20% plus CAGR. And I'm pleased to share that today we have the AIS-certified battery pack for all these applications, and in many cases even certified by ICAT. And some of the

battery packs

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homologated with the E-bus and three-wheeler and trucks. We see this as a massive growth area. And REPlus is well positioned to be a leading partner for the EV OEM player.

In case of hybrid applications where, in most of the applications, the lead-acid batteries are paving the way for lithium-ion both from the price standpoint and overall life point of view, and also from the safety and, I would say, the overall energy standpoint.

There are a lot of interesting use cases emerging now especially for cases like a data center where you need to have a very fast response in battery solutions. And we at REPlus are well positioned to cater to the needs of emerging segments like drone, data center and even telecom tower where most of the earlier installed lead-acid batteries are now being replaced and now lithium-ion batteries are now becoming a norm there.

Here again we are the industry's first, in fact India's first battery solution provider where our packs are certified by TSEC that means we can sell our packs to some of those very demanding markets, even European market. And we are also working on solutions for the High C-rate batteries as I mentioned to you especially for the data center and drone applications.

RE Power generation and Solar BESS:

We all know that how the whole Indian RE landscape has changed.

The chart towards your top right illustrates the current situation of RE in India. As you could see from almost 10 to 11 a.m. till 4 p.m. the RTM which is the real-time market for the renewable, the price point falls to practically zero, that means there are very few takers because of the mismatch in demand and supply.

What is also concerning is that even though the prices have reached to a near zero level, the overall volume cleared in RTM market during these hours is only 20-25%. That has set the panic button among the utilities. So, if you see none of the utilities are now going for standalone solar projects anymore, and they are then being very reluctant to sign even the earlier awarded capacity. Because of this reason only because they are obligated to buy these units at whatever Rs. 2.50 plus where they are not able to find customers.

So now almost every single project in the last 18 months if you see is now integrated with the BESS in minimum of two hours and in some cases even four hours and five hours as well. And even a lot of hybrid and RTC capacity has been auctioned which requires a significant chunk of BESS to be part of the overall project in our mix.

In addition to this, we have also seen the DSM which is Division Settlement Mechanism charges going up significantly. Government is now making the DSM provision for RE almost at par with the thermal. That means if you do not deliver the scheduled energy, then you will be penalized in a heavy manner. Now in many cases the DSM penalty is very steep and in excess of Re. 1. What it means that all RE developers will have to forcibly integrate storage because you can't avoid the, I would say, intermittency of power or the availability in the weather. Hence the storage is the only way to go. And we all know the banking provision in almost every state is now going away because all discoms are now facing losses. So, they don't want to give banking as an artificial storage capacity. So, now there is more of a utility-based settlement. So, all these factors are driving the demand for BESS storage in a massive manner.

Apart from this, as you know, there are a lot of policy tailwind. While ISTS waiver for the conventional Demerger Update Webinar`

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RE is now being withdrawn by 2028 fully. But the Ministry of Power has kept the waiver extended for the standalone BESS up to 2028 and we believe it might be extended further to improve the penetration.

There is a VGF provision also which has also led to the reduced cost of BESS for the discoms.

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are market dynamics as I mentioned earlier that the battery pack price is falling and then as the ToD base, the banking provision moves away and then the discoms are ensuring that your RE capacity is limited to your connected load. So, without storage you can't really have a meaningful RE penetration. So, if I were to look at the standalone, pure solar is only 12% whereas with Solar + BESS you can go up to 63%.

So, all these are factors which are leading to the higher adoption of BESS projects in India and globally.

Now these I just now mentioned. So, if I were to look at even the economic case for it, if you look at the peak grid power rate which is after 6 p.m. and up to 10 p.m., it is invariably Rs. 9 in majority of the states. So, even if I were to look at the current solar rate and then the LCOS of BESS, you are in the money. So, the cost of Solar + BESS is lower than your grid power. And this grid power by the way is a brown power and then you get a green power at a price lower than the grid power. So, this is where most of the discoms and even C&I consumers primarily are now more and more inclined to have Solar + BESS to meet their requirement.

As I mentioned that India will see an annual addition of close to 50-60 gigawatt hour per annum both in utility as well as C&I space.

What is our right to win?

We have a very strong IPP team. The team, some of the very senior people from Statkraft have joined us and we have also built a very experienced team over the last couple of months. We have a very strong technical know-how through REPlus and TACC to ensure that we choose the right kind of batteries. And the supply chain is, I would say, ensured through REPlus. So, all these factors gave us that extra edge over competition.

Over the next five years, we intend to build a total portfolio of about 5.9 gigawatt hour in BESS and about 3.7 gigawatt hour in the solar.

And then the philosophy which you're going to follow here, as Riju said, that we'll target 16% plus IRR, which we are very confident using, given our expertise. And we will follow the capital recycling model because we don't see ourselves becoming a long-term asset owner in RE space. Once the project is stabilized, it is delivering the generations as per the design, then we will sell it to some of the InvITs so as to improve our overall returns going forward.

In hydro, as I mentioned, we are one of the pioneers in this space. And then the performance of both Malana and AD Hydro speaks volumes about how the quality assets should be built. And these are today considered as a role model in Indian hydro energy sector.

As Riju mentioned, we operate two plants, very high quality, delivering consistent EBITDA. We have proven a lot of naysayers wrong, where a lot of people said that we should really contract this capacity on a long-term basis. But the management at that time took a decision to keep this entire capacity on a merchant basis. And now we are reaping the dividend of this strategy.

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As we speak today, these projects deliver almost 370 plus crore EBITDA and a free cash flow of 300 crore plus. I mean, these are all like, both the projects have a reservoir. So hence, we take advantage of generating during peak hour and getting extra revenue.

This is a synopsis of the Capex, which we have planned over next three to four years.

By end of FY27, we intend to deploy almost 4300 crores capital. Bulk of it is going in anode material and RE power generation. And then taking it to overall capex of 7700 crores.

As I mentioned that while you see a big chunk of RE capacity coming here, but using a build and flip model or capital recycling model, we would like to minimize our capital outlay here. Assuming 3070 capital structure, the total equity requirement comes to 2300 crore. Hence, we are well capitalized for this kind of growth plan, which we have set out on

ourselves for next three to four years' time.

And thank you very much. With this, I will end my presentation.

Now over to Riju and Salil and team, and then we open for questions.

Riju, maybe you may like to open this floor for Q&A.

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

No, I think you've summed it up well. If I could just add a couple of things from the management side, I mean, from my side, the absolute vision, everything is absolutely clear in my head that we have to be following the highest corporate ethics possible we will maintain in this particular company, the best-in-class team. So, every business that you are seeing that [40:55] just spoke about all the four different SBUs right now, although they sound like we have four different businesses within the company, but all four of them are being headed by very, very strong individuals who are the best in class in that particular segment.

So, we will continue to focus on team building.

R&D is one area that we would wish to spend a lot of money on as a company because contrary to our existing businesses of textiles, graphite, etc., R&D has to be a major portion if we have to stay ahead of the curve.

So, I mean, these are the two or three guiding principles. And of course, the principle of scale on how to scale up this particular business is something that we will be looking at as four different SBUs operating within the confines of HEG Greentech as a company.

So, glad to take any questions. I think we have all the CEOs of the existing businesses over here. So, glad to answer any question that anyone may have.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Thank you, Mr. Jhunjhunwala and Mr. Jain.

Q&A Session:

Friends, we open the floor for the Q&A session now. Anyone wishing to ask a question, please raise your hand and we'll take it up. A request if participants could introduce themselves before asking the question.

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We'll take the first question from Amit Lahoti. Amit, please unmute yourself and go ahead.

Mr. Amit Lahoti – MK:

Hi, good evening team. This is Amit Lahoti from MK. Thanks for hosting this presentation.

I have a few questions. The first one is that in slide 4, how do we arrive at promoter group interest of 61.92%? Does it take into account the swap ratio given by the valuers?

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

I think, Puneet, you could answer that question.

Mr. Puneet Anand - Group CSO, HEG Limited:

Hi Amit, good afternoon.

So, Amit, the shareholding of promoter has increased because the BEL which is getting merged, it is 49% owned by HEG and 51% was owned by promoters. So, they are letting their shares of BEL and in lieu they are getting shares of HEG Greentech per se. It is as per the swap ratio given by PwC and vetted by ISAC.

Mr. Amit Lahoti – MK:

Right. So, what is the swap ratio here?

Mr. Puneet Anand - Group CSO, HEG Limited:

It's 8:7. For every 7 shares, they're getting 8 shares.

Mr. Amit Lahoti – MK:

Okay. The second question is the acquisition price for Phata Byung Power plant that you are about to acquire. So, when is it expected to get completed? And what is the acquisition price?

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

So, acquisition price, if I can say that, I mean, that's kind of confidential between us and Statkraft right now, but I can tell you it's not anything very significant. In fact, we are getting a good value out of that because the project has a lot of built-in stuff in it when it comes to the tunneling and the material that has been ordered.

So, I think we have to wait for the next four to six months for all the environment clearances, etc. to happen. And after that, I think we can quickly build the plant up in the next two and a half years.

And it'll be up to us at that time to decide

whether to keep it open as a merchant plant or to tie it up as a 16% return on equity kind of fixed plant.

Mr. Amit Lahoti – MK:
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Okay, got it. And then few questions on TACC. How much CAPEX have we spent on this Anode project so far, given that our progress is currently at 30%? So, can we say 30% of CAPEX has been spent or it is a little more or little less?

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

I'll ask Ankur to take that question. Ankur is leading TACC and the entire Anode project.

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

We have committed more than 50% of the Capex, which will be spent over the next 15 months now. And all the major commitments regarding the procurement is done. And of course, the engineering, which is

also a very critical part of it, is completed.

Mr. Amit Lahoti – MK:

Okay, so we have spent 50% already on this?

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

In terms of commitment, yes.

Mr. Amit Lahoti – MK:

Okay, but in terms of actual cash outflow from the balance sheet, how much is that?

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

In terms of cash outflow, it will be close to 30%, depending upon the various terms and conditions.

Mr. Amit Lahoti – MK:

Yeah, right.

The second thing, which I wanted to check on the same TACC project, the Capex per ton, which I calculated for 20,000 tons, works out to \$12,500 per ton in terms of Capex intensity. And whereas the selling price for this Anode is about \$7,000. So, this implies an asset turn of only about 0.6 times. So, with that economics, can we still make 20% ROCE or is it going to be little possibly aspirational at this stage?

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

No, it is not aspirational because when you see the overall market, then if you see the market outside China, because as we covered in the presentation as well, that today most of the market is concentrated within China. And when we are speaking with various companies outside China, which does not only include the Indian geography, but other geographies, including Europe, US and Asian markets, then they are very much willing to work with non-Chinese players.

And with us having a very rich background in terms of graphite and carbon knowledge, as well as Demerger Update Webinar `

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operational factors of that, today we are in very advanced discussions with the key players in the market, which gives us a very positive edge. So, all the demo plant material, which is going to the customers and the kind of responses in terms of both in terms of product quality, as well as willingness to offtake the material for the next five to seven years we are getting, is very positive. And it doesn't give us any reason to think that we would have any ROI less than what you have mentioned right now.

Mr. Amit Lahoti – MK:

Right. So eventually we will be looking at a price hike from the current level of say \$7,000 to \$8,000. Is that what you intend?

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

Yes, definitely.

Mr. Amit Lahoti – MK:

Right. And the last question here is, from the perspective of demerger, that we have current consolidated net debt of about 500 crores for the entire HEG Limited business. So, how are we going to split this between the graphite business and the Greentech business at the time of the demerger?

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

I think Puneet could answer this.

Mr. Puneet Anand - Group CSO, HEG Limited:

Hi Amit, I'll take this question. So, Amit, at the HEG level today, we are not on the debt side. Net, we are positive. The entire debt, which you see in the HEG balance sheet is primarily for the graphite business and it will go with graphite.

Mr. Amit Lahoti – MK:

So HEG Greentech, it's at a zero net debt initially, is that right?

Mr. Puneet Anand - Group C

SO, HEG Limited:

So technically, you can say yes, but all the debt which has been taken for TACC will go with TACC. Other than larger debt is towards the HEG graphite business.

Mr. Amit Lahoti – MK:

But could you quantify the amount what will remain in the graphite business in terms of either gross debt or net debt?

Mr. Puneet Anand - Group CSO, HEG Limited:

So, I think it will be a net debt, it will still be a debt-free company if we do the division. So basically, HEG Greentech, it's a 750 crores amount committed by the board for TACC. Plus, they have certain surplus assets, which are being left in the company wherein the merger is going on with BEL.
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Other than that, graphite will take the additional cash plus the investment, which is in GrafTech, and the working capital limits. So, since the scheme appointed date was 1st April 2024, so by the time it gets implemented, I don't see a larger portion of debt, which would be in HEG Graphite also.

Mr. Amit Lahoti – MK:

Got it. Thank you so much. Thanks for the answers.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Thank you, Amit.

We take the next question from Dhananjai Bagrodia. Dhananjai, please go ahead.

Mr. Dhananjai Bagrodia – ASK Group:

Yeah, hi.

This is Dhananjai Bagrodia from ASK Group. Thank you for this presentation. Just wanted to ask you, so the company which you're acquiring, the BEL one, which will be merging, what were the revenues of that company?

Mr. Puneet Anand - Group CSO, HEG Limited:

We didn't understand your question. Dhananjai, can you repeat?

Mr. Dhananjai Bagrodia – ASK Group:

BEL, which owns 49% of the company, what were the revenues of that? And what multiple would that be valued at?

Mr. Puneet Anand - Group CSO, HEG Limited:

So, the valuation is done by independent valuer, PwC. And BEL today has around EBITDA of 400 crores, which is getting merged into this.

Mr. Dhananjai Bagrodia – ASK Group:

And what value are you getting merged at?

Mr. Puneet Anand - Group CSO, HEG Limited:

At what value?

Mr. Dhananjai Bagrodia – ASK Group:

Yes.

Mr. Puneet Anand - Group CSO, HEG Limited:
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The value is around 3100 crores.

Mr. Dhananjai Bagrodia – ASK Group:

So, around 8 times EBITDA.

Mr. Puneet Anand - Group CSO, HEG Limited:

Around 8 times EBITDA, you can say. But it also has some cash, so net cash, if you see, the numbers will be different. The entire calculation and the valuation has already been uploaded with the stock exchange. You can go through them.

Mr. Dhananjai Bagrodia – ASK Group:

Sure. And regarding the advanced battery material business, so if Anodes are going to be there, then the HEG standalone business and in this business, is that right? Or how will that be done by the management for Anodes going ahead?

Mr. Puneet Anand - Group CSO, HEG Limited:

So, what the demerger process is, we are only demerging the existing graphite business.

The Anode business will be in HEG Greentech, which is housed in a separate entity, which is TACC Limited. That will remain in this company and BEL will get merged in this company.

Mr. Dhananjai Bagrodia – ASK Group:

Okay. But as a pure play, I know that will stay in the earlier business, right?

Mr. Puneet Anand - Group CSO, HEG Limited:

No.

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

Puneet, you can put up that sheet of the HEG Greentech structure that I can quickly explain in one.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Puneet, if you can tell me which slide.

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

So, Dhananjai, just to reiterate, there will be two companies post the demerger.

One will be the graphite company, which will have the 100,000 tons of graphite electrode business.

And the second c

ompany will be HEG Greentech, which you see here.

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Under HEG Greentech, you will have four different entities.

■ TACC, which is 100% owned by it, which will have the active anode materials to start with.

■ Then the Solar + BESS IPP that Basant spoke about in which we are looking for the IPP and C&I kind of projects and we hope to do more than a gigawatt a year for the next three or four years. That is 100% again owned by HEG Greentech.

■ REPlus is the battery storage company where we will manufacture high quality BESS systems and implement them along with the EV solutions. That company is owned 74% by HEG Greentech and the balance 26% is with the founders of REPlus, who are continuing to manage that particular business along with HEG Greentech.

■ And then you have the two power plants, which are Malana and AD Hydro, which are 100% owned by HEG Greentech.

So, HEG Greentech as a company owns 100% of the anode material, your IPP business, your hydro business and 74% of the battery manufacturing business.

And HEG Graphite, as you are seeing on the right-hand side of the slide, has 100,000 tons of graphite electrode, which also we are increasing by 15,000 tons and a 10% strategic investment in GrafTech USA, which is the world's largest graphite electrode company.

Mr. Dhananjai Bagrodia – ASK Group:

Sure, sir, very well done.

So, sir, anode and electrode, those will be considered even though they are the same operationally, will they be separate?

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

So, they are absolutely separate. HEG Graphite, our plant is situated in a place called Mandideep near Bhopal. And this new TACC plant is situated in a place called Dewas, which is near Indore.

So, to understand what Basant was also trying to say that, you know, the core of the business, which is graphitizing - when you convert the carbon from graphite, that technology is something that inherently TACC as a company has inherited from HEG Limited. And we've actually taken physical people on board of TACC, who have had years and years of experience of managing graphitization. So, the companies will be totally separate. The locations will be completely separate. Yes, the same raw material will be bought for TACC and the graphite electrode, where we will definitely see some synergies. And the technology, although this is different, there you are producing long graphite electrodes, here you are producing carbon in the purest carbon form... in the purest talcum form, for lack of a better example. But nothing to do with each other except for, you know, common promoter shareholding.

Mr. Basant Jain - Joint MD & CEO, Bhilwara Energy Limited:

Also, Dhananjai, as I mentioned to you that it is similar process, but not same. The graphitization process, so that is where you know, we have an edge, you know, and that is what I said, it's a right to win. So, the process of graphitization here and here is pretty similar, you know, but then as Riju said, you know, here Demerger Update Webinar `

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we are making those long, you know, those, you know, electrodes which are used in electric arc furnace. And then here, this anode material being in a powder form, you know, this goes in making the lithium ion battery anode.

Mr. Dhananjai Bagrodia – ASK Group:

Sure, this is very helpful. And lastly, what is the total Capex we require for all the HEG Greentech entities?

Mr. Basant Jain - Joint MD & CEO, Bhilwara Energy Limited:

If you see my slide, that the previous slide, you know, you just show that in our slide. So, this is where I explained that the, up till '27, we have set out a Capex outlay of 4,300 crore and by FY30 accumulated 7,700 crores.

Mr. Dhananjai Bagrodia – ASK Group:

Okay, fine. Thank you so much and congratulations again.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Thank you, Dhananjai.

We'll take the next question from Abhishek Geta. Abhishek, please unmute yourself and go ahead.

Mr. Abhishek Geta – Analyst:

Yeah, am I audible?

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Yeah. Yes, loud and clear. Please go ahead.

Mr. Abhishek Geta – Analyst:

Yeah. Sir, on slide three, we see that we own 100% of TACC, but I believe we have done a 500 crore capital raise with Singularity, from Singularity in May of 2025. So, what is the status on the capital raise and at what valuation did we raise that capital?

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

Puneet, can you answer that? I don't think there are any valuation over there, but if there is any difference you can explain that.

Mr. Puneet Anand - Group CSO, HEG Limited:

I'll take the question. So, Abhishek, I'll explain to you. We haven't raised money at the TACC level. So, if I just show you the slide, give me one second.

So, if you see on the left, there's an entity called Bhilwara Energy Limited, BEL. So, the investor has put Demerger Update Webinar`

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the money in this. They have given the premium on the valuation. They have put the money at around 3600 crores in this company, whereas the company was valued at 3100 crores for the swap and they have invested 500 crores in this company. Since they are also sitting as a shareholder in this company, BEL, which is getting merged into HEG Limited, pursuant to that they are getting shares of the HEG Greentech Limited, if you see on this next slide. So, out of this public shareholder of 38%, 12% is the investor holding and the remaining 26% is held by HEG public shareholder.

So, there is no dilution we have done at the SubCo level. The idea is to have the structure concretely in place so that tomorrow if we want to do an independent listing of fundraisers or any other entities, we can do that.

Mr. Abhishek Geta – Analyst:

Understood. Another question was on the demand of 1.5 lakh tons of anode, if you could briefly segment that demand across categories if possible.

Mr. Puneet Anand - Group CSO, HEG Limited:

Ankur, you want to take this part?

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

So, yeah, thank you, Puneet.

So, when we are talking about the Indian market, then today the Indian market is mostly coming on the ESS side, but there are players who are working across the chemistries on ESS as well as on the EV side.

So, if we talk about absolutely on the short term, then of course the ESS is the fastest growing. But when we talk about the complete 120,000 tons of demand in India alone, then it would come both from ESS as well as EV side.

Mr. Abhishek Geta – Analyst:

Okay, but in short term, what is like the demand number on ESS and EV?

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

So, in short term, when we are talking about next couple of years, then the majority part would be on the ESS side because when the current companies which are coming ahead, they are focusing more on ESS side. And, of course, the demand is going to start less than about 35 to 40 gigawatts in India. It is going to grow very rapidly because just in the next 3 to 4 years all the plants which have done their research as well as development work over the years, and are going to come up with their respective capacities.

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

And also, having said that, if I can add, Ankur, there's a large traction, there's a huge traction that we are seeing from the global markets, because now, you know, till now, like we mentioned that more than 90 to 95% of the battery material - anode is coming from China. So, we are seeing a lot of positive development with all the European, US and other countries that manufacture cells or are having plans of manufacturing cells. They all want to buy their anode, which is around 15% of their overall

battery cost.

They want to split it between China and other countries. And if we talk about other countries, I think apart
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from Indonesia, we would be the only plant that would come up first as far as the anode product is concerned. So, I mean, and that is where our, you know, kind of focus is, is to sell more and more on the EV side. Because that is where the higher paying customer is, ESS customer is on the lower end of the side. So, our target is that 70% of our sales should be towards the EV side and only 30% towards the ESS side. And ultimately, try and sell as much of this product in India once the cell companies come on board in India, which is taking longer than this expected time.

Mr. Basant Jain - Joint MD & CEO, Bhilwara Energy Limited:

Also, for EV and these higher applications....

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Abhishek, may I request you to keep this as a last question, because there's a long list of participants waiting.

Mr. Abhishek Geta – Analyst:

Okay. If there's room, can I ask one more question?

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Yeah, please go ahead.

Mr. Abhishek Geta – Analyst:

Okay. Thank you.

Another question was, so what are the cost advantages in, you know, India versus China for graphite anode? And, you know, what are like the cost economics of India versus China? And with, you know, Epsilon and Himadri also adding capacities, how do you see the, you know, demand panning out also, demand supply structure panning out?

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

Ankur, maybe.

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

So first I'll talk about the cost economics. So, when we're talking today, a very good part about Indian ecosystem is that right from the center to the state, there is a massive support by the government. So overall, when we see the economics, then on EBITDA level, we are either better or at par with China. The main component of the cost is the power cost. And again, because we are getting some very good support, both because of our own facilities plus having a good power tariff here, we are competing very well with China definitely at an EBITDA level. And when you talk about the overall supply situation in India, then the kind of demand we are seeing, we are talking about 120 to 140,000 tons. So, when we're talking about these kinds of numbers, then we don't see an issue with other competitors also coming up in India.

In fact, it is good for the overall Indian ecosystem to have a larger capacity in India. Because when you go a little further with the cell companies, then the PLI scheme makes cell manufacturers mandatory to go Demerger Update Webinar `

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up to 60% of the localized material. So, the more you have a local production, the more cell people will be encouraged to ramp up their capacities and be dependent on the local suppliers. So, it's a complementary situation, in fact, at this moment of time.

Mr. Abhishek Geta – Analyst:

Understood, sir. Thank you.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Thank you, Abhishek. We'll take the next question from Jatin Damania. Jatin, please unmute yourself and go ahead.

Mr. Jatin Damania – Analyst:

Good evening, sir. And thank you for the opportunity.

Sir, I just wanted to understand more on the BEL. If I'm not wrong, you indicated there's a 400% EBITDA, but earlier AD Hydro was a JV of BEL through a Malana. And lately, we purchased the remaining stake from a joint venture company. At what valuation did we do that acquisition?

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

Ajmera ji, can you take that question, please, since you've been the architect of that side? I can answer, but I'd rather have you do that.

Mr. Om Prakash Ajmera – Group CFO, HEG Limited:

Yeah. See, this 49% stake we have acquired from Statkraft with a valuation of precisely 1205 crores.

Mr. Jatin Damania – Analyst:

1200 crores?

Mr. Om Prakash Ajmera – Group CFO, HEG Limited:

Yeah.

Mr. Jatin Damania – Analyst:

So that means you're valuing AD Hydro?

Mr. Om Prakash Ajmera – Group CFO, HEG Limited:

No, actually, let me explain to you. We had the first right of refusal with the joint venture agreement. And we exercised our right to acquire this stake at 49%, for 1205 crores.

Mr. Jatin Damania – Analyst:

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Right. So, in fact, you are agreeing the value of near about 2400 crores for the AD Hydro. And when you...

Mr. Om Prakash Ajmera – Group CFO, HEG Limited:

Not for AD Hydro, it's a combined Malana and AD both put together, both the Hydro assets.

Mr. Jatin Damania – Analyst:

Both the Hydros? But, sir, BEL used to hold 100% in Malana and Malana used to hold 51% in AD Hydro, right?

Mr. Om Prakash Ajmera – Group CFO, HEG Limited:

No, sir, no, no. Always BEL had 51% only in Malana and Malana had 100% of AD Hydro. So basically, we had a joint venture with Statkraft, 51:49 in both the companies together.

Mr. Jatin Damania – Analyst:

Okay. So, now when you are valuing the entire company, when you divested or you raised that 500 crores, valuing BEL at near about 3600 crores, which is a premium of 500 crores, does that indicate that the other four businesses, which is currently not generating any revenue, we are valuing that at around 500 crores of revenue at this point of time? Is it fair to...

Mr. Om Prakash Ajmera – Group CFO, HEG Limited:

No, actually, Hydro assets itself is valuing higher than what we have acquired.

Mr. Jatin Damania – Analyst:

I'm agreeing that because BEL, when you divested or you raised 500 crores from Singularity, you indicated 3600 crores of the valuation for that BEL, where you have only two operating assets, which is Malana and AD Hydro, which is giving you 400 crores of revenue. And you are giving 8 times, which gives me about 30 to 3300 crores of the valuation. 700-800 crores is for your Solar, BESS and tech business. Fair to assume that?

Mr. Om Prakash Ajmera – Group CFO, HEG Limited:

Yes, you can assume that because tech was also valued at a particular valuation.

Mr. Riju Jhunjunwala - Vice Chairman, HEG Limited:

And you can speak about the cash in BEL, that we'll have to reduce from that.

Mr. Jatin Damania – Analyst:

So, what is the cash in the book at BEL level?

Mr. Om Prakash Ajmera – Group CFO, HEG Limited:

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At that point of time, when the valuation was done, it was about 250 crore was lying in the company.

Mr. Jatin Damania – Analyst:

Okay. And, sir, once our entire Capex is done of 7700 crores across all the business vertical, what sorts of IRR one should look in the consolidated entity?

Mr. Om Prakash Ajmera – Group CFO, HEG Limited:

I think it's a 4000 for 300 crores Capex.

Mr. Riju Jhunjunwala - Vice Chairman, HEG Limited:

That's stage one and then after that, after the C&I projects, like Basant mentioned, I think we are not chasing the regular IPP or the regular tenders that are coming every day. We are only targeting a 16 to 20% plus kind of this thing, which will be led primarily by the C&I segment. So, if you see all the four different businesses combined together, we are aiming for a healthy at least 20% IRR across the four different businesses. They could delay from time to time or year to year. But on a steady flow basis, all the four business should be generating a healthy 20% IRR.

Mr. Jatin Damania – Analyst:

And post the completion of the phase one, what should be a steady state EBITDA for us other than this 400 crores that will generate from the hydropower?

Mr. Riju Jhunjunwala - Vice Chairman, HEG Limited:

I think, Puneet, wou

Id you like to answer that or?

Mr. Basant Jain - Joint MD & CEO, Bhilwara Energy Limited:

Well, I mean, we haven't worked out the number we are, you know, because there are multiple things, you know, because we are following the asset recycling model. The EBITDA number and all will not be that relevant, you know, because bulk of the IPP assets are being, you know, I would say flipped. But if you were to look at now, out of these four businesses, REPlus will require a very limited capital. So there the best mode of, you know, gauging the performance is not IRR, but more like ROCE. And we believe REPlus will really generate a very healthy ROCE. And IPP business is more like an IRR game.

And I agree with what Riju already clarified, you know, and then you can imagine that the hydros we are generating 300 crores plus cash and a 3070 crore plus kind of an EBITDA, you can then calculate there. And then the TACC business, we already mentioned that 20,000 capacity EST of 7,500 plus, and the Capex of 2,200 crore. So, one can calculate now the overall financials.

Mr. Jatin Damania – Analyst:

I mean, sir, I agree with what you're saying, but since our capacity is going to start from FY27, which is the second quarter, definitely that will be, I mean, we're estimating that there could be some amount of the greater benefits will come from the BESS. Because when we generally talk to BESS players, they indicate about a Rs. 4 lakhs of EBITDA per megawatt. So, we are also working on the same number, or probably we are on the IRR side?

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Mr. Basant Jain - Joint MD & CEO, Bhilwara Energy Limited:

When you say, sorry, Rs. 4 lakh rupees EBITDA per megawatt hour.

Mr. Jatin Damania – Analyst:

Yes. For BESS. Is it fair to assume it or probably the numbers...?

Mr. Basant Jain - Joint MD & CEO, Bhilwara Energy Limited:

Well, honestly, I don't have the number handy with me. And I don't know whether Puneet or somebody else has this number, but we can come back to you on this.

Mr. Jatin Damania – Analyst:

Sir, last question, other than Singularity.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Jatin, may I ask you to join the queue, please?

Mr. Jatin Damania – Analyst:

Navin ji, last question.

Other than Singularity, who are the other key investors who are invested in the BEL?

Mr. Riju Jhunjunwala - Vice Chairman, HEG Limited:

So right now, we only have Singularity as the investor. And today, I mean, with the business plan that we have in place and showed you, I think we are very well funded because the cash that HEG is leaving behind, plus the surplus of the hydro assets and another 300-400 crores of EBITDA coming in the next one year or two, and 500 crores coming in from Singularity will give us enough equity for this, you know, around 5000 crores of investment.

And later we will see, I mean, then your hydro assets will, then your, sorry, TACC will start performing and throwing out EBITDA, your IPP projects will start throwing out EBITDA, REPlus will start throwing out EBITDA. So, then we can, you know, we'll be in a position to decide, I think, in the next 12 to 18 months, whether we need any outside funding or we can do without any outside funding. But I think today, I mean, Singularity is the only investor.

Mr. Jatin Damania – Analyst:

And in REPlus, who holds 26%?

Mr. Riju Jhunjunwala - Vice Chairman, HEG Limited:

REPlus was founded by Hiren, who's on the call right now. And between Hiren and their partners, they own 26% of REPlus.

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Mr. Jatin Damania – Analyst:

Sure, Riju ji. Thank you for answering all the questions.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Thank you, Jatin. We'll take the next question from Rajesh Majumdar. Rajesh, please go ahead.

Mr. Rajesh Majumdar – Analyst:

Hi, g

ood evening. Am I audible?

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Yes, you are. Please go ahead.

Mr. Rajesh Majumdar – Analyst:

So, I had a couple of questions. One was on the raw material. See, in the case of your core business electrodes, we have a raw material constraint due to which there can't be any global capex and there seems to be some kind of capacity constraint there. But what is the raw material here in anode? Is it calcium, petroleum, coke, coal, tar, pitch, any of the raw materials which are amply available in the market? Number one.

And secondly, if you look at the China anode capacities, they are well over 3 lakh tons or 4 lakh tons. And so, what kind of competitive edge are we really talking about? Are we expecting something like ALM coming in the procurement process, which can give this kind of competitive edge? So, that was my first question.

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

Yeah, thank you, Rajesh. So, coming to the first question that about the raw material. So, there is a slight difference between the raw material what we're using for anode and what we're using for graphite electrodes. So, while in graphite electrodes, the material used is 100% glycine.

In case of anode, the material used is green. So, when we're talking about green, then we're talking about green needle coke, green petroleum coke.

Now, as per today, we have evaluated all the major global players, whether it is European, American or Japanese. And we are qualifying our material based on different kinds of coke.

Of course, there are a lot of Chinese producers as well. But in today's scenario, when we're discussing with various customers across the globe, there are a lot of players who want absolutely a non-Chinese source. So, we are prepared for that. But if somebody is agnostic, they are indifferent towards Chinese or non-Chinese and we are prepared for that as well. But coming to the level of quantities available in the market. So, the good part is that for green coke, the feedstock is completely different, the feedstock management is completely different. That is why as per the capacity is what we have planned now, as well as in the future, we are not seeing a big challenge in this. And with HEG experience over the last 50 years, with HEG relationship with these companies over the last 50 years, we are very confident and we

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are very sure that after all our discussions, we are even able to have long-term agreements with them depending upon the kind of requirements we have for the cell companies.

Mr. Rajesh Majumdar – Analyst:

And who are the suppliers of green pet coke, or which are the companies...?

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

The supplier names are common for electrodes. Outside China, the suppliers names are common. In China, there's a slight difference but outside China the names are common.

Mr. Rajesh Majumdar – Analyst:

Okay. Yeah, second part you were addressing, yeah-yeah.

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

So, second question, yes, when we are talking about, you know, the kind of restrictions in India, so it's not only about India but it is about a geographical restriction. Even today when we talk about countries like United States, then there are two very critical points which are coming here when it is coming to a non-China supply. You know, you must have read about foreign entity of concern and not only about foreign entity of concern restricts Chinese players even if they are manufacturing outside China. So, today while a Chinese player may be manufacturing in Indonesia or Morocco but if the entity is identified as a foreign entity of concern there will be more restrictions from the US players. And the restriction is not only in form of duty but the restriction is also in form of the kind of benefits the local cell players in US

would be able to get.

Point number two, that in India right now we are seeing a lot of momentum and a lot of support from the center towards pushing the lithium-ion value chain. Now, of course, in this there will be made various measures which will be tariff and non-tariff barrier. But it is too early to comment upon whether they are at the advanced stage or at their early stage. But all we can very confidently say is that the first step itself is very progressive with Indian government coming up to have a 60% mandatory localization. Of course, this is only the first step. Going ahead, we do foresee very progressive steps to be taken both in terms of BESS as well as in terms of anode materials in India.

Mr. Rajesh Majumdar – Analyst:

And I had one more question on graphene. So, I read about your initiatives, new initiatives. So, actually, there are nearly 40 plus companies who are startups in graphene globally. And there seems to be some company, companies rather, who already reached some kind of critical mass in terms of the scalability of production in these products. In which case, is it feasible to kind of acquire a company in this business or start a new capacity? I wanted your thoughts on that.

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

Rajesh, to keep it brief, I mean, we have evaluated almost all the startups which are today, our graphene work is going on for about 10 years. There are two things which give an edge in graphene - one is the cost point because when you just look at the numbers of graphene, the cost per kg is very, very insane. And we have used our own technology in order to write, to develop the synthetic graphite and we also have some natural graphite tie-ups. So, to develop the feedstock, to develop a consistent feedstock of low cost.

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And second point is quality because in graphene even to supply to one particular application there can be 10 types of different graphene. It is a very, very customized product because we are talking about wonder material, which is actually split, which is actually you're talking about just some layers of atoms. So, our edge is quality as well as cost.

And, yes, we have evaluated a lot of companies but our focus is scalability because while R&D is, as Riju and Basant ji said, R&D is the engine but end of the day the whole thing revolves around the commerciality of the product on which today we are very confident on our product.

Mr. Rajesh Majumdar – Analyst:

And this is going to be my last question. So, addition going to be in flakes, CVD graphene or graphene flakes or what product exactly you're looking at?

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

Rajesh, this I cannot answer right now because we have a mix of technologies. So, on technology I would not be able to comment right now.

Mr. Rajesh Majumdar – Analyst:

Okay, thank you.

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

Thank you so much.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Thank you, Rajesh. We'll take the next question from Devang Sanghvi. Devang, please unmute yourself and go ahead.

Mr. Devang Sanghvi – Analyst:

Am I audible?

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Yes, Devang, you are audible. Please, go ahead.

Mr. Devang Sanghvi – Analyst:

Yeah, thank you. This is Devang Sanghvi from Abacus. My first question is regarding the TACC company. How quickly can we optimize capacity utilization? And how do we start initially? At what utilization can we start for the first year, say FY28, or maybe Q4 when we are starting this particular plant?

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

Devang, in our business plan we do have in the initial times, in the initial couple of months we would have less than 50% but we are confident that within a year's time we would be able to ramp up beyond 75%.

Mr. Devang Sanghvi – Analyst:

Okay. And what

is the optimum we can reach for this particular plant? We can go to, 90-95? Is that a

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good number to take?

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

Yeah, we are well spaced within our capacity. So, definitely we can go above 95%.

Mr. Devang Sanghvi – Analyst:

Right, Sir. And in terms of the other two, the IPP company as well as the BESS, what can be the optimum topline for both these entities at full utilizations? Maybe a rough cut number for the same?

Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:

You mean to say the BESS manufacturing that these..?

Mr. Devang Sanghvi – Analyst:

Yeah-yeah, the 6 gigawatt that we are planning to go to. Yeah.
 Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:
 Maybe Hiren bhai, you want to?
 Mr. Hiren Pravin Shah - MD and CEO, REPlus
 Yeah. So, actually with the ultimate capacity I think we should be able to target ■6000 crores.
 Mr. Devang Sanghvi – Analyst:
 ■6000 crores for 6 gigawatt, right?
 Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:
 Now, just to put a caveat here, this is not just the sales of the pack but also we will be selling the solutions. So, it's like, for example, BESS, we are not just going to be a supplier of the pack but we are going to supply the entire container and we will also be system integrator. So, a lot of revenue will also come from there. So, 6000...
 Mr. Devang Sanghvi – Analyst:
 Okay-okay. And in the IPP model what could be the optimum top line, similarly?
 Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:
 So, as I mentioned to you, IPP business should not be seen from a topline perspective because it is more of an IRR game.
 Mr. Devang Sanghvi – Analyst:
 IRR. Okay-okay.
 Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:
 Yeah, because we will be following the asset recycling model. At this juncture, we don't intend to be a pure play IPP like the rest of the folks. So, you should look at the kind of IRR we will deliver, which we've already indicated earlier.
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Mr. Devang Sanghvi – Analyst:
 Yeah, 20% plus, if I recall correctly?
 Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:
 16-20 is the range we have.
 Mr. Devang Sanghvi – Analyst:
 Okay, 16-20. Right, Sir. And can you just break the CapEx year wise for all these entities going forward? Will it be possible?
 Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:
 Well, if you just go to that slide, I mean, look, your TACC after this investment of 2250, we might possibly expand it to 30,000. Okay, so there'll be some CapEx there. I think that sheet contains, you know. So, Puneet, if you just show that.
 Mr. Devang Sanghvi – Analyst:
 No, what I was coming to up till FY26 how much we have incurred? I think you said 30%.
 Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:
 Oh! Okay, up to FY26 how much we have incurred. Okay.
 Mr. Devang Sanghvi – Analyst:
 Yes. And probably what would be the second half CapEx or what would be the FY27 number accordingly? I was talking about those numbers.
 Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:
 So, maybe, Puneet, maybe correct me. In case of the RE power generation we have not invested anything so far, any meaningfully, barring a very tiny amount. If you look at these four businesses, Anode material, as Ankur indicated, we have about 30% of this CapEx is incurred. Battery Energy Storage Solution, Puneet, about ■50-■60 crores, ■60-odd crores.
 Mr. Puneet Anand - Group CSO, HEG Limited:
 ■65 crores CapEx. CapEx, yeah.
 Mr. Devang Sanghvi – Analyst:
 And then RE power generation.
 Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:
 CapEx not equity.
 Mr. Puneet Anand - Group CSO, HEG Limited:
 Only CapEx. Devang, I'll give you a broader number. See, anode in FY27 we'll spend around 80%-85%, balance will be retention money for the performance.
 The large amount will be invested because the plant needs to be LIVE by April'27, March'27.
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On the REPlus, the Battery Energy Solution side, till date we have spent only ■50 crores and the balance

will be deployed by Q3 of FY27 because the capacity will be coming LIVE by Q3, Q2.

On the RE generation solar BESS, one budget which we are doing and that needs to be LIVE by Q3 FY27, the CapEx will be used. That will be roughly around ₹235 crores. The other CapEx, the balance CapEx, will be in mid of FY27-28. So, larger amount will be going after Q3 but anode it will be 90% or 85% will be done in this financial year. I can't say the exact quarter by quarter because there are key milestones on the payment and the delivery. But on 4300, you can say by Q3 most of the amount will be deployed.

Mr. Devang Sanghvi – Analyst:

Right. And we had last time guided 30% EBITDA margins for the anode powder business. We kind of maintain that?

Mr. Puneet Anand - Group CSO, HEG Limited:

Yeah, we maintain that. That is for sure.

Mr. Devang Sanghvi – Analyst:

That is for sure. And also in the power business, sorry not power, in the anode powder business, we are also looking out for some subsidy from government, lower power cost. So, has any progress happened on that side?

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

Yes, I think that's what Ankur was mentioning also that when we compare ourselves, one of the major cost is power and we were trying to get good favorable power cost from the state and we have been able to get a very good rate, which I can assure you, I can't say the exact rate but I can assure you that it is probably much better than any Chinese or definitely much, much better than any European or American supplier would be getting which is why we are quite sure that on a per ton EBITDA basis we will be able to perform at around 30% with power being 30% of the cost itself.

Mr. Devang Sanghvi – Analyst:

Yeah, that is what I was coming to, yes. Well, thanks, Riju, it was very helpful. All the best for the projects.

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

Thank you.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Thank you, Devang. We will take the next question from Shubham Thorat. Shubham, please unmute yourself and go ahead.

Mr. Shubham Thorat – Analyst:

Hi, am I audible?

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Yes, Shubham, please go ahead.

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Mr. Shubham Thorat – Perpetual Capital:

Thank you for the opportunity. This is Shubham Thorat from Perpetual Capital. So, I just have a few questions on our legacy business, that is our graphite business. So, what kind of demand and supply situation are we facing there? And what are the growth drivers for that business going forward?

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

So, Devang, to be very honest, I mean, we had kept this call only and only very specific to the HEG demerger that is happening. So, we were not really talking about the existing graphite business. But I think if Manish is there on the call and can answer this question for everyone quickly, I think that will be great. Manish, are you there?

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Just give me a second, I will just check with Manish ji. Give me a second, please. Shubham, if you could just continue, I will just check and ask Manish ji to respond.

Mr. Shubham Thorat – Perpetual Capital:

Yeah. So, in the Battery Energy Storage business, so could you please clarify on the kind of business model that you are using there? Is this an SMB business or have we developed any kind of tech over there?

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

Hiren, I think...

Mr. Hiren Pravin Shah - MD and CEO, REPlus:

Yeah. So, we have three business models. Actually, we start from design, then we do the eng

ineering, we

do supply and we also do installation and commissioning. So, as far as the large-scale BESS, utility-scale BESS projects are concerned, we do complete end-to-end design, engineering, supply, installation, commissioning and end-of-life treatment of the Battery Energy Storage Solutions.

So, having said that, we do EPC business, turnkey EPC. We also take a scope of system integration and we also are looking at product sales. It will be these three business models which we will continue. So, a couple of minutes ago Basant Sir mentioned that the turnover that we are looking at, you know, at the

apex production quantity of 6 gigawatt hour, so we are looking at something like ₹6,000 crores where we will also have a bit of EPC business that we do.

In terms of technology, we have hands-on handles on the technology. As far as the battery cell-to-module and cell-to-pack is concerned, we have BMS, which is in-house, both slave as well as master. And then we also have developed USP in terms of Energy Management System because when we go to grid utility scale, Energy Management System is the most critical component for basically making the batteries work through the lifecycle.

So, these are some of the advancements that we have done. Of course, the first and the most important primary aspect is the selection of the right cell and the selection of the right product for building your systems. Thermal management, liquid cooling technology, these are some of the other complementing components or complementing products which we have developed. So, this is what I can say as of now. But, yes, we are going to be a technological player in this ESS systems.

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:
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Thanks. Thanks, Hiren. I think Manish is here. Manish, if quickly you could take us through the current prospect of the graphite business because, I mean, the gentleman just asked that. So, it will be good for everyone to just know that very quickly in 2 minutes.

Mr. Manish Gulati - Executive Director, HEG Limited:

Yes, Sir, I will be quick because the agenda of this was demerger expansion. Shubham, you see, we are catering to electric arc furnace steelmaking. That's where our product is used. For every ton of, let's say, steel melted, 1.5kg of electrodes gets consumed. So, what is happening now is that more and more electric arc furnaces are coming in the Western world. Already, if you exclude China, it has already crossed 50%. 50% of all steel made in the world, excluding China, is from electric arc furnaces. And this is only increasing by the day because of decarbonization efforts there are no new blast furnaces coming in the Western world. Whatever capacity is getting added is getting an electric arc furnace. We as well as our peer group have a clear visibility. We know the steel plants which are being constructed, as we speak. So, we foresee a demand of about 200,000 tons. We know for a fact that nobody outside China is expanding. We have the technological edge, we know, we compete with Japanese and American, these European companies. So, we have a good standing.

As a plant, this is the largest plant in the world ex-China. And as a graphite company, we are the 3rd largest company of the world. So, we have good cost control and cost competitiveness, I would say. And the demand which will come in the next 3-4-5 years or even later, so we'll be very well equipped to handle that. Even today, as we speak, our capacity utilization is between 85% and 90% and these are the worst of times which we are going through. So, we believe that when steel production increases, right now it's stagnating but when it increases, electric arc furnace steel will grow and HEG will be there as one of the very reliable suppliers.

That's all from my side, Shubham. If you have any query, you can always give me a direct call but right now the purpose was different for this call.

Mr. Shubham Thorat – Perpetual Capital:

Sure, sure.

Mr. Manish Gulati - Executive Director, HEG Limited:

Yeah, Shubham, satisfied?

Mr. Shubham Thorat – Perpetual Capital:

Yeah-yeah, that's it. Thank you.

Mr. Manish Gulati - Executive Director, HEG Limited:

Thanks. Thanks.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Thanks, Shubham. We'll take the next question from Rohan Baranwal. Rohan, please go ahead. Rohan, please unmute yourself and go ahead.

Mr. Rohan Baranwal – Arihant Capital:

Thank you for the opportunity, Sir. I'm Rohan from Arihant Capital. My question was on the BESS side.

So, currently, if we see the tendering prices for the whole market is actually very competitive and the Demerger Update Webinar`

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prices are a little bit lower side. That's why most of the peer groups, peer BESS manufacturers, are not able to get the tenders. So, how do you see these prices to be correcting going forward, Sir?

And on the manufacturing capability side, as you already have an existing assembly like 1 gigawatt of capacity and adding up 5 gigawatts more, so will you be adding a container fabrication as well for the manufacturing side or will it be imported, Sir?

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

Hiren.

Mr. Hiren Pravin Shah - MD and CEO, REPlus:

Yeah. So, first of all, the prices that we see in the market and the prices which are being discovered in the market, actually there's a lot of volatility, you know, as far as these prices are concerned. Today, almost everybody is taking prices from BESS manufacturers in China. And we all know that, you know, China is highly unstable and very volatile at this point of time. So, while we are going through this situation right now, I feel more or less in about 6 months to 1-year time this market will be extremely stable. We will see, you know, lithium prices and also the prices of the cells will, you know, stabilize. The demand also will in a way, you know, streamline because right now there is a demand supply gap.

So, if you remember, just to give a little bit of background, 6 months ago the mining was stopped. CATL had stopped the mines for generating or for producing lithium bicarbonate. And because of that, a huge shortage was created. 6 months before that, there was excess production and because of that excess production they tried to do a correction. So, I believe that in the next 6 months this whole thing, the whole situation will get stabilized.

Coming to the tenders and the tendering part, because of this volatility people are taking aggressive calls going by the traditional drop in prices which has happened. And some, you know, may be able to reach there but some may not be able to reach there. So, it is a dynamic situation is all I can say right now. But in 6 months to 1-year time you will see a lot of stability as far as ESS projects are concerned.

Having said that, we have put 1 gigawatt hour of manufacturing capacity. We already have a hands-on experience by virtue of this. We have also figured out, you know, the components and we have also established a local ecosystem. And we are in the hard part of getting all the components and everything certified and, you know, achieved various certificates as well as credentials for our systems and solutions, both in EV as well as in ESS. So, the 5 gigawatt hour capacity will be catering to both EV and ESS. And having said that, even the container and the rest of the components will be developed locally. We will be doing the assembly of the containers locally within our factory. So, we will do cell-to-module, module-to-pack and then eventually a container will be built up in our system. We will also have facility to do FAT test and then do the mass supply for these BESS projects. So, we are building a capacity to do end-to-end solution making for that.

I hope I'm able to satisfy your question.

Mr. Rohan Baranwal – Arihant Capital:

Defi

nitely, Sir. One more question on the TACC side, the anode material side. So, on the raw material of the anode side, Sir, as electrodes require majorly the needle coke. So, is this same material which is required for anode manufacturing or like it can be done through GPC as well, Sir? Like what is the raw material for that, Sir?

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

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Rohan, as we explained earlier that the requirement for anode is basically green coke. It can be green petroleum coke, it can be green needle coke. And we have the common needle coke suppliers whether it is US, Europe, or Japanese. And whether it comes to the Chinese suppliers, then we have them also. But again, in case of anode, it is very much not only on the quality of the material desired but even a customer's choice because there are several customers who require a non-Chinese material. So, we are well positioned to get the green material outside China as well.

But specific question to your question, it is a green coke, whether it is needle or petroleum, both the material is green and not calcined.

Mr. Rohan Baranwal – Arihant Capital:

Got it, Sir. So, what do we procure? Is it GPC? Because if we see...

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

GPC.

Mr. Rohan Baranwal – Arihant Capital:

Yeah. Sorry?

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

Sorry, go on.

Mr. Rohan Baranwal – Arihant Capital:

Yeah. So, for GPC, Sir, we see a huge competition coming from the Chinese battery manufacturers. So, how do you see on the raw material sourcing? Will it be conflicted by these Chinese manufacturers or what is the scenario, Sir?

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

See, again, because we are procuring GPC as well as GNC and it is all directly linked with the customer requirement. When it comes to China then if a customer is agnostic of the material whether it is Chinese or non-Chinese, then we are able to procure both from China as well as outside China. And towards the business plan what we have made up to 60,000 tons, we are well positioned in terms of the capacities of coke which are available for the 60,000 ton final production. So, we do not see a challenge up to 60,000

tons and, in fact, even beyond.

Mr. Rohan Baranwal – Arihant Capital:

Got it, Sir. One last thing.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Rohan, we have already run out of time. In case there are any follow-up questions, please mail them to me. Thank you.

Mr. Rohan Baranwal – Arihant Capital:

Okay, Sir. Thank you, Sir. Thank you.

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Rohan, we can connect separately.

Mr. Rohan Baranwal – Arihant Capital:

Sure, sir. Sure. Thank you.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Friends, we have run out of time but there are two participants who have been waiting for some time and those will be the last questions from the evening. Nikhil Singh. Nikhil, please unmute yourself and go ahead.

Mr. Nikhil Singh – Analyst:

Hello?

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Yes, Nikhil, please go ahead.

Mr. Nikhil Singh – Analyst:

Sir, my question is on the BESS side, on the IPP side. Sir mentioned like we have some asset recycling model. Can you put detail around that?

Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:

Yeah. So, Nikhil, typically asset recycling means that once the project is fully in operation, I would say about 6-9 months of operational track record, that means the plant has demonstrated its performance and it is derisked from the execution standpoint. There are a lot of takers like you might have seen India has now a very thriving RE InvIT platform and the typical yield there is about 10%-11%. Now, those guys are the ones who are very, very hungry to acquire operational assets. So, we will build the top quality assets and then

flip them to some of these InvITs or even some of the customers depending upon... There are enough, I would say, buyers in the market who want to really own these annuity-based projects. So, typically, anywhere between 6-12 months in post-commissioning is when we intend to divest these assets and monetize them.

Mr. Nikhil Singh – Analyst:

Okay. And on the battery side, so basically my question is that batteries are evolving technology like from lithium-ion to sodium-ion to solid-state batteries. So, do we see some risk in the anode business in terms of oversupply or market moving to different technology?

Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:

Ankur.

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

(On mute)

Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:

Sorry, Ankur, we can't hear you.

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Mr. Ankur Khaitan - MD & CEO, TACC Limited:

Hello, can you hear me now?

Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:

Yeah, now we can.

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

Sorry.

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

Ankur always goes mute when we ask him this question.

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

So, no, actually when we talk about the anode space then anode for lithium-ion cells. So, lithium-ion cell, today when we talk about the market then the commitment of the market is anywhere between 8-10 years. Because, as Riju explained in the beginning, you know, our main target segment is electric vehicles. And when we talk about the electric vehicles, in Top 10, Top 20 OEMs in the world, they will not change their strategies in the short run, they will always look for advanced developments in the long run, which goes

beyond 15 years, beyond 20 years.

So, hence, for our 20,000 tons going up to 60,000 tons, we don't see a market per se challenge whether it is Indian geography plus our qualification in the export market, we don't see a market per se problem for the anode business. Of course, having said that, when we talk about the advanced carbons company, the reason this is a carbons company is because we are not just focused on anode for lithium-ion cell but we are into very advanced development of various carbon material, which will ultimately go into different kinds of new chemistries as well. So, we are also evolving with time and we will be well positioned for these new chemistries as and when they come.

Mr. Nikhil Singh – Analyst:

Okay. Thank you, Sir. All the best.

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

Thank you, Nikhil.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Thank you, Nikhil. We'll take the last question for the evening. Jigar, please unmute yourself and go ahead.

Mr. Jigar – Analyst:

Hello. Am I audible?

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Yes, you are. Please go ahead.

Mr. Jigar – Analyst:

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Yeah. Thank you, management, for the presentation and accommodating the question, even if we are out of time. My question is based on the PwC valuation report wherein additional notes they have given the projection up to FY30 for various green tech segment businesses. So, if I just calculate it, roughly it is like ₹5,000 crore of revenue by FY30 with range of 20%-25% of EBITDA. So, I just wanted to ask what kind of major tailwinds or headwinds you see to that number? I believe that number might be conservative one, right? So, are there any upside surprises or downside risks? So, that I wanted to know from the management.

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

I think Basant ji can answer that better but I think, as far as I remember, in the PwC report, I think we have taken only the REPlus, the Hydro and TACC numbers in place. We have not considered any growth in TACC. We had not considered our buying 50% of the hydro assets over there.

This report was pre us

buying the hydro assets at the very, very cheap cost. And I think we had not considered the IPP business over there.

So, Basant ji, you can go ahead.

Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:

Yeah. So, you know, Jigar, the REPlus, as you know, what Hiren mentioned that we will be aiming 6,000 but, of course, in the long run. But if you were to look at the entire BESS landscape in India, where the 50 gigawatt hour per annum looks eminent, and even if we target I would say 10% of it, we're talking about 5 gigawatt, 5,000 megawatt hour. And if I were to take on an average about roughly whatever, say, ₹60-₹70 lakh of our own, our, I would say, value of it maybe it would be more. This itself gives about ₹3,500 crores. So, point I'm trying to make that the REPlus will definitely have a lot of tailwind. So, you'll be up for surprise from REPlus in some time.

And as Riju mentioned that we will expand our anode capacity also as we stabilize our first phase. So, the 10,000 ton of capacity expansion looks very, very imminent at the same location at a much lower CapEx. And then the additional revenue coming in from, as he mentioned, 49% extra revenue coming from the acquisition from Statkraft and GrafTech and then the IPP. So, there are a lot of tailwinds. So, I hardly see any headwind, honestly, why this number should not be higher.

As far as EBITDA is concerned, I think this number should hold good across all our businesses.

Mr. Jigar – Analyst:

Yeah, thank you. Just one suggestion or maybe remark. In the presentation, there is a pre- and post-scheme shareholding pattern for public holders of the HEG. May I recommend or may I suggest that we can also mention non-promoter existing HEG holders stake was like some 20%-25% in the Bhilwara or the sub-segment. Now, post-scheme, it might reduce to 18%. And because of the external investor, total non-promoter holding might be 38%; something like that. So, it might give an exact picture that there is no significant dilution but it is mainly from 22% to 18% for the existing non-promoter holder of HEG.

Mr. Ankur Khaitan - MD & CEO, TACC Limited:

Sure. Thank you.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

Thank you, Jigar.

Friends, that was the last question for the evening. I now hand over the webinar back to Mr.

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Jhunjhunwala for his closing remarks.

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

So, I think, I'll ask Basant ji to give his remarks for one minute and I'll follow up on that for the closing remarks. Basant ji, please.

Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:

Yeah, thank you. Thanks everyone. And very insightful questions and I think while we did try to respond to best of our ability but due to paucity of time if any one of you feel that you still have a few questions, feel free to reach out to SKP team and then get back.

One thing I just want to reiterate that we are a group which want to grow in a very responsible manner. And what it means by responsible manner is both in terms of governance and also prudence. So, these will be two cornerstone of our growth. Businesses which we are now gotten into via green tech are all tech-led businesses. So, we will be a technology company while we will manufacture material or even BESS or making packs and all but everywhere we will embed technology. We are focused on creating solid IP. And there is a good chunk of money being kept aside to build a very, very strong R&D team. Hence, this is the only way for us to really be a significant player in these space and ensure that we don't really get commoditized in time to come. So, this is the assurance we just want to give all of you. Over to you, Riju.

Mr. Riju Jhunjhunwala - Vice Chairman, HEG Limited:

Thank you, Basant ji. Thank you, SKP team. Thank you to all the investors. And last but not the least, than

k you to all the management team that we have here. If you ask me, we are trying to run this company very differently to what we run the traditional manufacturing companies. There will be in times to come, in very close times to come, a very generous ESOP option for all our employees. People ask me as to how do I see myself running the company different to running a textile company? My answer remains the same. I mean, in a textile company I am the senior most person but the youngest person in the room. Over here I am the senior most person but probably one of the elder people in the room. So, we have to make room for, you know, kind of young leaders, young people who are well acquainted with technology, who can use technology, AI, etc., who have passion for running their particular businesses; the way Hiren has a passion for BESS, Ankur has a passion for graphite, Basant ji having a passion for excellence and for the IPP, etc., business, people like Ajmera Ji who've been with us for long in terms of adding more to the Hydro portfolio. Manish, of course, who is running the current graphite business. Puneet; who is kind of helping on strategy, And all the other people, Salil, etc., and apologies if I have missed anyone. It is one team right now working on delivering results on both sides; on the HEG Graphite side and on the HEG Green Tech side.

So, to my mind, I see it as a very, very good opportunity for HEG shareholders to really, like I said in the beginning, to have their arm in both the pockets. As and when the company gets delisted, you will have shares of both the companies and, I think, we have very, very good long term plans to run both the companies in a very, very good manner under all the professional management that we have seen today. This was just to demonstrate to you that the depth of management that we have, despite the different businesses that we are trying to commit to, will 1.50.51.

And like Basant ji said, I will just close on one remark that this will be responsible growth and ethical growth; something that the Group and the company has always known for. Thank you very much.

Management:

Demerger Update Webinar`

Thank you, everyone, and have a great evening.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

On behalf of SKP Securities, thank you Mr. Jhunjhunwala and the entire leadership team at HEG for taking time out...

Management:

Thank you, everyone.

Mr. Navin Agrawal - Head - Institutional Equities, SKP Securities Ltd:

...and answering all the questions. And we look forward to hosting you for the Q3 results. Thank you and bye.

Mr. Basant Jain - Joint MD and CEO, Bhilwara Energy Limited:

Thank you.

(END OF TRANSCRIPT)

Call: Feb 2026

HEG/SECTT/2026 16th February, 2026

1 BSE Limited

P J Towers

Dalal Street

MUMBAI - 400 001.

Scrip Code : 509631 2 National Stock Exchange of India Limited

Exchange Plaza, 5th Floor

Plot No.C/1, G Block, Bandra - Kurla Complex

Bandra (E), MUMBAI - 400 051.

Scrip Code : HEG

Sub: Transcript of Earnings Conference Call on Q3 FY26 of HEG Limited

Dear Sir/Madam,

Please refer to our Earnings Conference Call scheduled on 11th February, 2026 intimated vide our letter dated 3rd February, 2026. Please find enclosed the transcript of the said Earnings Conference Call.

The said transcript is also available under the Investors Section of the website of the Company i.e www.hegltd.com .

This is for your kind information and records.

Thanking you,
Yours faithfully,
For HEG Limited

Vivek Chaudhary
Company Secretary
A-13263
heg.investor@lnjbhilwara.com

Encl: as above

"HEG Limited's Q3 FY26 Result Conference Call"

February 11, 2026

MANAGEMENT : M R. RAVI JHUNJHUNWALA - CHAIRMAN , MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER, HEG LTD

MR. RIJU JHUNJHUNWALA – VICE-CHAIRMAN , HEG LTD

MR. MANISH GULATI – EXECUTIVE DIRECTOR, HEG LTD

MR. OM PRAKASH AJMERA – GROUP CFO, HEG LTD

MR. RAVI KANT TRIPATHI – CFO, HEG LTD

MR. BASANT JAIN – JOINT MD & CEO, BHILWARA ENERGY LTD

MR. ANKUR KHAITAN – MD & CEO, TACC LTD

MR. HIREN PRAVIN SHAH – MD & CEO, REPLUS

MR. PUNEET ANAND – GROUP CHIEF STRATEGY OFFICER, HEG LTD

MR. SALIL BAWA – GROUP HEAD (INVESTOR RELATIONS), HEG LTD

MODERATOR : M R. NAVIN AGRAWAL

HEAD, INSTITUTIONAL EQUITIES, SKP SECURITIES LTD

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HEG Limited
February 11, 2026

Moderator: Good day, ladies and gentlemen and welcome to HEG Limited's Q3 FY26 Result Conference Call organized by SKP Securities Limited.

As a reminder, all participants' lines will be in the listen-only mode, and you will be able to ask questions after the management's opening remarks. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Navin Agrawal, Head, Institutional Equities at SKP Securities Limited. Thank you and over to you, sir.

Navin Agrawal: Good afternoon, ladies and gentlemen. I am pleased to welcome you on behalf of HEG Limited and SKP Securities to this Financial Results Conference Call with the leadership team at HEG Limited.

We have with us Mr. Ravi Jhunjunwala -- Chairman, Managing Director and CEO; and Mr. Riju Jhunjunwala -- Vice-Chairman, along with their colleagues, Mr. Manish Gulati -- Executive Director, Mr. Om Prakash Ajmera -- Group CFO; Mr. Ravi Kant Tripathi -- CFO. We also have Mr. Basant Jain -- Joint M.D. and CEO, Bhilwara Energy Limited, Mr. Ankur Khaitan -- M.D. & CEO, TACC Limited, Mr. Hiren Pravin Shah -- M.D. & CEO, Replus, Mr. Puneet Anand -- Group CSO and Mr. Salil Bawa -- Group Head, Investor Relations.

We will have the "Opening Remarks from Mr. Jhunjunwala" followed by a "Q&A Session."

Thank you, and over to you, Ravi, ji.

Ravi Jhunjunwala: Thank you and good afternoon, friends and welcome to our Financial Results Conference Call for Q3, Financial Year 2025-26.

I would like to begin by setting the context on the global steel market as its underlying trends are critical for understanding the demand conditions for the graphite electrode industry. As per the latest data published by the World Steel Association, global steel production declined by about 2% year-on-year in calendar year 2025, falling to 1,804 million tons, from 1,841 million tons in 2024, reflecting a challenging macroeconomic environment and subdued demand across major steel producing regions.

China, which is the world's largest steel producer, also recorded a 4.4% year-on-year decline in 2025, with crude steel production reducing from 1,005 million metric tons to 961 million metric tons. While China's steel production has declined by approximately 7.5% over the last five years, its steel exports have increased sharply over the same period, rising by 78% from 67 million tons to 119 million tons in 2025 over these five years, significantly intensifying competitive pressures across global steel and downstream markets.

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In contrast, India continue to outperform, with crude steel production increasing by 10.4% YoY, supported by strong infrastructure spending, resilient automotive demand, and ongoing capacity additions.

Among other major regions, the United States recorded a 3.1% YoY increase in crude steel production, while Japan's output declined by 4% and South Korea decline by 2.8%.

The European Union (EU) remained under significant pressure, with steel production declining by 2.6% on YoY basis due to very high energy costs and weak industrial activity.

Against this backdrop, the global graphite electrode market continued to face challenging conditions, with customer demand remaining muted due to cautious procurement behavior and sustained pricing pressure, particularly from elevated steel export out of China. And this demand conditions remained uneven across all the regions.

While near-term visibility remains limited, disciplined supply, improving utilization trends in certain markets, and the continued shifts from electric arc furnace steel making provide support to the medium-term industry fundamentals.

In this environment, our focus on operational efficiency, cost discipline, and customer diversification enabled us to deliver resilient

performance during the quarter, demonstrating the strength of our model.

We continue to operate at the highest capacity utilizations in the industry, all around the world, at 85% in previous quarter and 89% in the last three quarters combined, both of which are highest in the graphite industry worldwide.

Just to remind you, we have the single-location largest facility in the world, at a place called Mandideep near Bhopal, with a capacity of 100,000 tons.

Combined with a cost structure, which is amongst the lowest, positions us as one of the most efficient and cost-efficient graphite electrode manufacturers globally.

Just to reiterate that these numbers are based on our expanded capacity of 100,000 tons and not 80,000 tons, which was the case until '23-24, reflecting a gain in the market share at a time when the electrode arc furnace-based steel production is more or less flat.

Looking ahead, the global transition towards low-emission EAF steelmaking continues to

accelerate, driven by climate goals and regulatory momentum.
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We once again reiterate that this transition is expected to generate incremental graphite electrode demand of approximately 200,000 tons by 2030, excluding China, reinforcing the industry's long-term growth potential.

To the best of our knowledge, about 20 million tons of new Greenfield electric arc furnace capacities have already been added in the calendar years 2024 and 2025, and we believe another 60 million tons will be added between calendar years 2026 to 2028, so which is not too long in the next three years, 60 million tons, and another 30 million tons between 2029 and 2030, Taking the total new Greenfield electric arc furnace capacity by 110 million tons.

It has never happened in the history that the steel industry has added 110 million tons in the last 20, 30, and 40 years probably. This would increase the worldwide electrode demand by approximately 200,000 tons, compared to what it was till calendar year 2025.

Construction activity of our recently announced expansion by a further 15,000 tons is progressing as per schedule, and we stand by our earlier target of completing this by early 2028, which will position us well to cater to the incremental electrode demand all over the world.

I once again reiterate that for the last many years, our exports have constituted around two-thirds of our total sales to more than 30, 35 countries, covering almost the entire geography.

Our composite scheme of arrangement is on track. The NCLT bench at Indore has heard the matter and reserved its order on the first motion application. We expect to receive the order within the next one or two weeks. Upon receipt of this order and in accordance with its directions, we will initiate the process of issuing notices and convening meetings of our shareholders and creditors to seek their approval for the scheme. Once the approval process is completed, we will file the second motion petition. We anticipate that this entire scheme will be approved by NCLT by Q1 FY27.

With that, I would now like to invite our "CFO, Ravi Tripathi to Present the Financial Results for the Quarter," and then we will open up for "Q&A." Thanks. Ravi, over to you.

Ravi Kant Tripathi: Thank you, sir. Good afternoon, everyone. I will briefly walk you through the Company's operating and financial performance for the period ended 31st December 2025.

For the nine months ended December 2025, revenue from operations stood at Rs.1,965 crores compared to Rs.1,616 crores in the same period of last year.

For Q3 FY26, revenue was Rs.656 crores versus Rs.477 crores in the corresponding quarter of the previous year.

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EBITDA for the nine-months period was Rs.623 crores, up from Rs.393 crores of the previous year.

On a standalone basis, profit after tax for the nine-months of FY26 was Rs.344 crores compared to Rs.163 crores in the same period of last

year.

On a consolidated basis, profit after tax stood at Rs.455 crores as against Rs.189 crores in the previous year.

Our balance sheet remains strong. The company continues to remain long-term debt-free and maintain a treasury balance of approximately Rs.1,155 crores as of 31st December, 2025.

Looking ahead, we are confident that an improvement in the industry can significantly boost our profits.

The detailed presentation has been uploaded on the company's website as well as with the stock exchange for your reference.

We would now be happy to take your questions. Thank you for your time. Over to you, Navin ji.

Moderator: We will now begin the question-and-answer session. The first question is from Rohan Khera from Singularity Asset Management. Please go ahead.

Rohan Khera: Hi, thank you very much and congratulations for declaring great results. I am very happy to see the utilization that the company has been able to clock. I have three quick questions. Number one is, Ravi, can you repeat the statement that you made about the NCLT order just before the Q&A started? Second is, I wanted to get a sense of the realization that the company has been clocking in this quarter and what is the overall realization that is expected for the full year in dollar terms for the graphite electrode? And third question is, if you can indicate the product mix of the graphite electrodes between ultra high power and high power, please? Thank you.

Ravi: See, the first figure that you are talking about, I mean, obviously, it is a competitive world and we do not want to give any number. But, it is not very difficult, I mean, you know the turnover, you know the capacity utilization, you know the total capacity of the plant, it is not very difficult to calculate that, but do not ask me to give that number. And your second question was -?

Rohan Khera: Sir, about the product mix between ultra high power and high power?

Ravi Jhunjhunwala: It is more or less in the region of 70%-75% ultra high power.

Rohan Khera: Okay, great. Thank you.

Moderator: The next question is from Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: Yes, thanks for the opportunity. My question is on the volume growth. So, is it fair to expect our nine-month volumes would have grown by about 20%?

Ravi Jhunjhunwala: I gave you the utilization rate and our capacity is 100,000 tons. So, it is very simple to calculate from there.

Ahmed Madha: Okay, sure. So, I am assuming 20%-plus/minus. Why I am asking this is because I just want to understand if we have improved our volumes by say 18,000-20,000 tons, where have we gained market share from -- either is it from the Japanese competitors or the Chinese players, because GrafTech has improved volumes by about 6%, graphite has improved by a few percentages. So, I am just trying to understand from which players, which sort of geography have we gained market share and which end market, Europe or Middle East or India, which geography have we gained market share if you can just give some sense?

Ravi Jhunjhunwala: You see, there are only four, five major regions in the world and the US is the only country which produces more than 70%-72% of their total steel through electric arc furnace. So, that is by far the single largest market after China. And then rest everybody is like 30%-35%-40%. Europe is about 45%-50%. So, we have gained market share everywhere. I mean, there is no one specific region that we are catering to. We have been catering to more than 30-35 countries all over the place. So, wherever the market is, I mean, we have gained a little bit of market share.

Ahmed Madha: And would like to add from which sort of players have we gained share from -- is it fair to assume you have gained from Japanese players or Chinese players?

Ravi Jhunjhunwala: There are only basically three or four bigger players in this industry now. I mean, th

ere is an

American company, there is a Japanese company and then there are a couple of very small companies. So, it is very difficult to give you a particular name, because everybody sells a little more in one area, a little less in another area. So, obviously, we probably have gained from each one of them a little bit here and there.

Ahmed Madha: Okay. Sure. And in terms of your annual pricing arrangement, would you like to give some sense despite, I mean, all the tariffs and everything, we try to assume a broad realization will remain more or less the same or from whatever arrangements or the contracts we have put in for some of the geographies?

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Ravi Jhunjhunwala: You see, a lot of these orders have been negotiated on a 12-month basis, especially in the US. And in other countries, some companies negotiate on a quarterly basis, others do it on a six-monthly basis. So, it is not easy to give one simple answer to that. But yes, I could safely say that at least 50%-60% of whatever volume that we are going to sell in the next year, we have settled everything for the 50%-60% kind of a number.

Ahmed Madha: Got it. And for that, the pricing sense will be more or less similar to what we have done in the last few quarters or will there be a major -?

Ravi Jhunjhunwala: More or less similar. Yes, you are right.

Ahmed Madha: Okay, got it. And another question was, still with 18% tariff, I am not sure how much disadvantage or advantage we have compared to the other competitors in the US market. So, for our business mix overall, you have spoken about I think 20% in the US and Americas. So, that sort of number should sustain in US or will there be a significant business mix shift for us for different geographies for 2026?

Ravi Jhunjhunwala: Our product mix is not going to change much here and there, I mean, it could be a couple of percent plus/minus, but not more than that. We are not going to lose market share in any part of the world because of any reason. And whether it is the US or Europe or Southeast Asia or wherever, of course, to the extent that we will have to still pay 18% duty. To that extent, there will be a hit, but for the long-term basis, we do not want to lose the customer. So, we will absorb that cost.

Ahmed Madha: Sure. Got it. Thank you.

Moderator: The next question is from Rajesh from 360 One Capital. Please go ahead.

Rajesh: Yes. Hi. Good evening, everybody. So, I was wondering about the investment in GrafTech. Now, it is worth half the value that we invested in. And the GrafTech is going in another two quarters that company may actually close down partially, from what I understand. Is that a correct assessment first of all? And secondly, what do we do with the investment?

Ravi Jhunjhunwala: No, we do not think so. I mean, there is no scope for any company in this industry to close down, because with the kind of growth in the electrode demand that we are talking about, we are talking about 150,000 to 200,000 tons increase in the demand of electrodes in a market where the total production capacity is not more than 500,000 tons. So, we are not anticipating any situation where

any one of us is going to go out of business. I mean, something or the other will have to happen to every one of us. Otherwise, I mean, if you are talking about a 175,000-tons company, which is what GrafTech is, closing down, you are talking about what? About 30% of the total world capacity going out of business.

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Rajesh: I am not talking about full closure. I am talking about partial closure because as per GrafTech cash cost of production is now somewhere around \$3,700. And from next quarter, the U.S. tariff is also going to come down to 18% for Indian exporters. And they have mentioned in the call that, that would lead to lower realizations going forward. Does that mean that the company's network -?

Ravi Jhunjhunwala: No. See,

the U.S. customers generally decide everything, practically 100% of their needs at the beginning of the year for the whole year. So, the prices and the quantities and everything is more or less frozen for the whole of 2026. So, there is no negotiation happening right now, in America especially.

Rajesh: Okay. But assuming prices to remain where they were and they are already at the kind of peak realization of \$4,000, and they are still making about 65 million losses every quarter, I do not see it coming down significantly. So, that is a dire scenario for a company with a net worth of just about \$450 million. That is what I thought that maybe some capacity, because we have seen it even in Asia-Pac, that some capacities have closed. Is it possible that some capacity of GrafTech gets closed?

Ravi Jhunjhunwala: I do not see that. I mean, if you heard their conference call and if you saw all their reports, they are saying the same thing. Everybody is saying the same thing that the demand of electrode is likely to increase by 150,000 tons to 200,000 tons in the next two, three years. And as I gave you the figure recently, I mean, in the last two, three years, capacity of 20 million tons of new electric arc furnaces have already been added. With that 20 million tons additional capacity means about 30,000 tons of demand. In the next two years, we have the data for each company, each location of the new plants which are coming in, let us say, US. US is the main country where more and more and more electric arc furnaces are being built, because US is the only one place where 70%-plus steel is produced through electric arc furnaces. Minus, without US, that average is about 40%, 42%. And so, as I said, 20 million tons has already been added in the last two years. Between now and end of '28, which is only two and a half, three years away, we have a list of at least 50 to 60 million tons which are coming, and we more or less know which plant is going to be commissioned in which month, in which quarter in the next two years. And so, at least this 20 tons plus 60 tons, which is likely to come in the next two, two and a half years, is 100% coming. Because where 15%, 20%, 30%, or 50% work has already happened at the site, and these companies committed millions of dollars of investment. So 20%, 30%, 40% investment has already committed, work has started, orders have been placed for all the equipment's. So, all these are bound to come. And unless there is a total U-turn in the world towards carbon emissions and everything, it is not likely to happen. And all this additional (EAF), electric arc furnaces, are only coming because of carbon emissions. As you know the same steel produced through electric arc furnace versus blast furnace emits one-fifth the carbon. That is the only reason why new and more and more electric arc furnaces are coming. So, that story is not going to go away anytime soon. So, it is possible instead of 100

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million tons, 80 million tons will come. But for this industry, even 80 million tons or even 70 million tons of new electric arc furnace, resulting into additional demand of 125,000 tons to 150,000 tons, is a very big, huge number.

Rajesh: I understand that. In the GrafTech call, they also mentioned that China has a capacity of 800 KT, of which nearly 200 KT-odd is coming in the UHP market. And that is also operating at about 50% utilization. So, is it possible that the additional demand gets filled by Chinese electrodes? That was my related question actually.

Ravi Jhunjhunwala: See, China, of course, produces much more than the rest of the world produces in terms of electrodes. But they are still pretty far away from producing the right ultra high power electrodes that we talk about. So, while they are taking away the market share from all of us on the small-size electrodes, what we call non-ultra high power, but they are very far away from meet

ing the quality

standards that we are able to meet or Americans are able to meet or the Germans or Japanese, all the Western players associated. So, that risk is not there at least in the foreseeable future.

Rajesh: Right. So, last question on this. Because we already invested about Rs.283 crores at a much higher level, so, do we increase our investment in GrafTech or we stay put or what is the final decision on this?

Ravi Jhunjhunwala: We are staying put. I mean, when we took this view and started buying some shares of GrafTech,

we were very clear that we are in it for a long-haul. You see, till that last Friday when the results were declared, these shares were \$19. And it went up from current level of \$7 to \$19 over the last six, nine months. So, these bumps will keep coming in any industry, but we are here on a long-term basis. We are not bothered about this. Neither we were going to sell at \$18, nor we are going to sell at the current price, \$17.

Rajesh: Okay. Thank you so much.

Moderator: The next question is from Rohit from iThought PMS. Please go ahead.

Rohit: Yes. Good evening, sir. Congratulations on really very strong numbers and congratulations on the new order as well. Sir, my first question was, so can you just help us understand given where we are in the cycle and you have been talking about it in the last many calls in terms of realizations being really low, but you continuously posted very good margins, so, I mean, if you can really share some more insights on what is enabling us, because if you look at the Indian peer, and even if you look at some of the Chinese company numbers, whatever is available, everybody, needless to say, GrafTech, but we are outlier in this, so, what has really happened in the cycle that has enabled us to do this kind of divergence, if you can please share that, that will be really, really useful?

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Ravi Jhunjhunwala: I cannot talk about my competitor. And obviously, the facts are facts. I mean, you know what is the annual revenue, you know the price of electrode, and by that, you know what is the tonnage that they have sold and what is the tonnage that we have sold. Obviously, there is a difference in cost of production. I mean, that is the advantage of a plant in India versus a plant in Germany or France or Japan. And the second thing is, if you look at all the graphite players, which is GrafTech and the Japanese company Resonac, and two of us in India, we have by far the single largest plant at one location. Our plant is 100,000 tons. The average of the other plants will be like 50,000-55,000 tons. And except Graphite India, who has a plant in India, all other plants are either in Germany or France or Italy or US or Spain, Japan. So, obviously, we have a cost advantage being in India and the size. When you are talking about 100,000 tons plant located in India versus a 50,000 tons average in Germany or France or US or Japan, it makes a huge difference.

Rohit: So, the other question was, sir, I mean, if I look at the realizations, you also mentioned the realizations have been at pretty low numbers for many quarters now, and if you look at the utilization for the industry also, it is much lower. Even GrafTech in its call, they mentioned that they do not see any uptick in realization and extremely competitive market is continuing, and you also mentioned that for '26, you do not see much change in realization. So, I mean, given that there is this consistent overcapacity in the industry despite shutdowns, at the same time, you have been saying that this additional 30,000 tons of electrode market has been there and another 30,000-35,000 tons electrode market is going to come in the next few years, but still the pricing is still a challenge. So, I mean, what is your sense on that?

Ravi Jhunjhunwala: You see, this 20 million tons, new electric arc furnace capacities have just been finished, let us say, in the last

six months, nine months, 12 months. And that is a number which everybody knows. I mean, if we speak to you one-to-one, we can give you the names of this 20 million tons in the country and the size and everything. And being in a steel industry, I mean, when you put up a 20 million tons new capacity, it takes two months, three months, six months to stabilize, to reach 80%, 90%, 95%. So, gradually, these capacity utilizations are increasing. And as I said, between now and '28, two, two and a half years, again, we have a list of 60 million tons. We know the names, we know the country, we know the locations. And we practically know at what stage is plant-A, plant-B, plant-C, plant-D. Because most of these investments and new capacities are being added by our existing customers. Practically, there is no new steel company emerging anywhere in the world. So, all these expansions are happening by all the established names, which are already our customers. And since we are a regular supplier to them, we keep meeting them at their work locations. So, we know more or less whether they are coming in July of 2026 or '27 or '28 or whatever. So, even if it is 40-50 million tons instead of 60 million tons, it is fine. I mean, these things will happen. Six months here and there, delays are bound to occur in any case. So, 20 million tons has already come in, which will, let us say, stabilize more and more this year, and another 40-50 million tons, if not 60 million tons is coming in the next two, three years. So, every ton means, I mean, you need more

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or less one and a half to two kilos. So, a million ton means 1,500 to 2,000 additional tons of electrodes required. So, you are talking about 20, 25 million tons, you are easily talking about 20,000 to 35,000 tons of new demand. And the plants which have been closed down in the last three, four years, it will be very difficult to restart those plants. After closure of two, three years in the Western world, to restart that plant is not going to be very easy. And especially, you will be surprised when I tell you that HEG, we came with this plant in Bhopal in 1976, which is exactly 50-years today. This is the last new Greenfield plant put up anywhere in the world. So, all these

plants that we are talking about, the American companies and the European companies and the Japanese companies, they are much, much older than 1976. So, it is easy to close these plants because of their cost structure, because of their size. Again, I mean, if you go through the list of the plants which have closed down in the last two, three years, they are all in the region of 30,000 tons, 35,000 tons, 40,000 tons. So, it is simple to calculate a 30,000 tons, 40,000 tons plant in Germany or Japan or US or France, their cost versus a 100,000 ton plant in India. And in fact, despite everything that we spoke about, we just announced about six, nine months ago that we are adding another 15,000 tons. And the work has already started. We have already placed most of the long-term delivery items. And we should be ready by middle to end of 2028, between two, two and a half years from now. So, as we keep adding more and more capacity, obviously, our cost per ton keeps coming down. And we have this advantage of one large plant, and that large plant being in India versus Germany, versus Japan, versus US. This is an inherent advantage of any plant in India. Rohit: Right. Thank you very much, sir, for that very detailed answer. So, one more question was, as this new addition sort of comes through in terms of end customers putting in new plants, and both the Indian players are almost now at peak utilization, if you will, so, do you see that being a very big reason or that could be one contributing reason for the realization to start inching up, because as you said, all the other plants are losing money and it does not make sense to run those plants at these kinds of

realizations, so, does that then probably lead to an improvement in realization at some time as these new plants come in sometime this year and in the next couple of years?

Ravi Jhunjhunwala: Yes, exactly. I mean, obviously, demand has to increase. I mean, this 20 million tons which is already in operation, it may take another six months, nine months, 12-months to reach 70%, 80%, 85% capacity utilization. So, these 20 million tons itself will require 25,000 tons to 30,000 tons of electrodes. And then we are talking about another 40-50 million tons before 2028.

Rohit: And the capacity that we are putting in or even what the other Indian companies putting in, would that not sort of put a break on the price increases because we will have those volumes to sort of cater to, I mean, we can continue to gain more market share and outsize the other players, so, what is your sense on that?

Ravi Jhunjhunwala: Manish, would you answer that?

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Manish Gulati: Yes, sir. See, like Chairman said, so the demand which is coming is much larger than what we are adding. So, we are talking about 200,000 tons and coming up to 2030. And the plant which we are building today, that 15,000 tons additional capacity is going to come on stream in the first quarter, early 2028. So, by that time, a couple of more Electric Arc Furnace Plant would have come up. And we also think that for the last two, three years, the steel has been stagnant, declining in some regions, and there will be a turnaround. So, we expect that this 15,000 tons would easily get absorbed.

Ravi Jhunjhunwala: And if you follow some of our international competitors and even Graphite India, you will probably hear the same thing. Everybody is talking about the same 20 million tons, 30 million tons, demand increasing by 50,000 tons, 100,000 tons. So, everybody has the data from the same source. And basically the source is all our customers themselves.

Rohit: Right. And one more question on GrafTech if I can. So, I mean, you mentioned to a previous question that you do not see them going under. But, just from their survivability, or for them to make even decent amount of profits, the realizations have to significantly go up from where they are right now. So, I mean, I understand that it is not like a year or even two years that you are looking at, this is a long-term investment and you are looking at the overall industry dynamics. But I mean, clearly, they are an inefficient player, given where they are located. So, how do you see their survivability, not only survivability but them making like at least half your margins or half your tough margins, forget peak margins, because the costs are what they are, right, you cannot change them, you cannot change where the plants are located?

Manish Gulati : No, we should not be talking about them, honestly, or what are their cost. That is, you missed their call which happened a few days back. So, you are on the wrong call with this question. You cannot say, yes, of course, prices should go up for everybody. The prices prevalent today are one of the lowest. All these are very right. We have a big plant at one place. So, of course, our costs are lower than doing India. But I think we would like to avoid answering questions on competitors' costs and all that.

Rohit: Thank you.

Moderator: The next question is from Varun Pinto from Negen Capital. Please go ahead.

Varun Pinto: Hi, sir. Congratulations on a wonderful set of results. I just had a few questions regarding the bookkeeping. So, currently, the dividends that we get from, like the hydropower assets, in which segment is that reported -- does that come under the share of profit & loss from the associate?

Ravi Jhunjhunwala: Yes, my colleague is going to answer that question. Puneet.

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Puneet Anand: Hi., BEL, which owns the hydro asset, has not given any dividend to HEG in the last couple of

years. Whenever the revenue will come, the revenue will be shown in the other income. So, the profit you see on the associate is the profit which Bhilwara Energy has made. And since it is an associate, so we show a proportionate profit in the consolidated financials of HEG.

Varun Pinto: Understood. But then the revenue that comes under or the share of profit that comes from Bhilwara, that is technically from the power business only, right?

Puneet Anand: Currently, yes, Bhilwara Energy largest revenue is coming from the hydro assets. Apart from that, we have the BESS company underneath that, which will generate the profits in the coming quarters. Plus, since Bhilwara Energy is also sitting on Surplus liquid, it is earning other income, mainly from funds kept in which is being in FDs.

Varun Pinto: Understood. So, currently the other income that we are seeing in the P&L, what does that include?

Puneet Anand: Other income which you see in the P&L is primarily the income of the liquidity and liquid assets which we have in HEG.

Varun Pinto: And sir, currently, apart from the hydropower assets, if you are looking at the HEG Greentech business, we have the energy storage, the best for the IPP and the best for the commercial and industrial use, right? Currently, do we have any sort of revenue from that business?

Puneet Anand: Yes, we have revenue from our BESS company, which is Replus, but it is not significant compared to the hydro revenue, which we are making. You will see meaningful revenue from energy storage business and our IPP business including revenue from BESS, which we have already won, and in which we have been declared as L1 bidder, from, say, the Q1 of FY28. And HEG Greentech will also hold the anode business, which will also contribute in the revenue.

Varun Pinto: But that will come in FY29, right?

Puneet Anand: So, our plant is getting commissioned by the Q1FY28. And so, we have assumed a certain capacity realization in FY28. But yes, the peak revenue will come from FY29, but you will see a contribution from TACC also in FY28.

Varun Pinto: Understood, sir. And so, lastly, like post the demerger, will there be any debt in the Greentech business?

Puneet Anand: Surely, there will be a debt. The debt we will raise to fund the projects, which are the anode, the CNI and IPP businesses will carry project-level debt. As mentioned, we made a detailed HEG Limited

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presentation on HEG Greentech in January, outlining the projects we plan to execute over the next two to four quarters, along with the associated debt requirements.

Varun Pinto: Understood, sir. Can you just call out the number what could be the debt in the Greentech business post the demerger?

Puneet Anand: So, if you ask me, post the demerger, which will be done in by Q1 FY27, the debt will be negligible there. Once the demerger is done, it will be negligible. There will be no debt there, per se. But once the company is formed, and all the projects will be on full execution mode, that time the debt will start coming in. So, for example, the BESS tender which we have won in Gujarat, and the Maharashtra tender where we been declared L1 bidder, whenever those projects PPAs are signed, funds will be mobilized for that. Similarly, in the anode business, we have not taken any debt as of today. There has been contribution a significant equity from the company. We are utilizing that, but we will be doing money and deployment once the scheme is implemented.

Varun Pinto: Thank you.

Moderator: The next question is from Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: Yes, thanks for the opportunity again. My question was on your remarks regarding the Chinese supply, right? I mean, if I quote from GrafTech's concall, they spoke about two and a half, three lakh tons of UHP coming out of China. So, in our conversation, we have always spoken about five major suppliers pr

obably having about six, six and a half lakh tons. What are your thoughts on the Chinese supply, which probably we should account for in terms of supply dynamics? So, are we not competing with Chinese players in Europe and other markets?

Ravi Jhunjhunwala: Manish, will you take that?

Manish Gulati: Yes, sir. Let me answer this. Actually, most of the capacity which is in China is geared towards a non-UHP grade. We agree, yes, there are one or two companies which are now making UHP products. But to achieve that kind of consistency and reliability does take time. And at the same time, China is definitely working towards increasing their own electric arc furnace production. So, some of this capacity, we hope, will be absorbed inside China and outside China. As you have seen from our results itself, that HEG is also a very competitive company. So, we are not as much worried about the impact of their UHP on us, because we can also see the commensurate demand coming. So, it is not that the electrode demand is going to be stagnant and Chinese will eat into everybody's share, that we do not really agree. There is a demand also coming within China and

from outside China to the extent of 200,000 tons.
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Ahmed Madha: If I just look at the segmental profitability of the electrode business, excluding the other income, etc., the margins have improved over the last three quarters. I am assuming there is a component of operating leverage with higher production. Is there any advantage on raw material cost?

Manish Gulati: Not really. It is very, very marginal because the key raw material is needle coke and prices have been pretty much consistent, but takes a while for a slightly higher cost inventory to go away. So, there is a marginal drop in the consumed raw material. And what you see improvement in margins is basically coming from our operating levels, nothing else.

Ravi Jhunjhunwala: And the size. I mean, now, now that we can add another 20,000 tons from 80,000 tons to 100,000 tons, that gives us a cost advantage.

Ahmed Madha: Okay. Sure. Got it. Thank you.

Moderator: The next question is from Amit Lahoti from Emkay. Please go ahead.

Amit Lahoti: Yes. Hi. Thanks for the opportunity and congratulations on a good set of numbers. Many of my questions have been answered. So, as we have settled contract for half of the volumes for this year, would it be fair to take third quarter spreads as the baseline assumption for electrode and needle coke pricing? So, basically, just in terms of gross splits, if they can sustain in the coming quarter?

Manish Gulati: Amit, for the next two quarters, you can just assume a similar price. Do not expect any uptick in that. So, it is just going to be very, very similar. Of course, everybody hopes for a price increase. But for the next two quarters, we do not see it happening.

Amit Lahoti: Right. Got it. And then we did of course have about 50% tariff impact to US. Even if we take, let us say, 10% as the share of your exports into US, there has been a significant impact from that perspective. So, now with that going down to 18%, how much of incremental delta are we looking at, if you can quantify some numbers in terms of how much the impact was, and then how much it will be in the coming quarter?

Ravi Jhunjhunwala: In fine prints, if you see the tariff, how it is applied, there is a provision that, let us say, I am just giving you an example, if you are selling electrodes to somebody in America at X-dollars, and if you are buying your raw material or anything from America for Y-dollars, so that the value of Y-dollars will be reduced than the X-dollars. So, for duty calculation, they are exempting the portion of the cost that you have already imported from the US. So, whatever is the selling price of electrode, that portion will be reduced. So, to that extent, you save the duty. And now that duty has come down from 50% to 18%, we

are quite alright. I mean, of course, if this was the case of 50%, then it will have a severe hit on our bottom line. But, with 18%, of course, it will hit the profit, but it is not going to be significant.

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Amit Lahoti: Okay. But even with the duty hit, which was clearly there for the third quarter in entirety, and given that the performance of our peers like Graphite India and GrafTech, it has been affected by prices, our performance has been pretty resilient. So, to that extent, how much of the tariff impact goes away now, if we can quantify that bit?

Ravi Jhunjhunwala: You know more or less how many tons we are selling in America, you know more or less the price. And I gave you the formula, if you are importing something from the US, that is exempted. So, 18% is still 18%, but that number is not staggering. I mean, of course, it will hit the bottom line to some extent, but we can very easily absorb that. We are a long-term player, we are not looking at next 12-months only. I mean, we do not want to vacate the market just because there is a duty.

Amit Lahoti: Right. And then just one housekeeping question is on other expenses. There is a positive delta sequentially with cost reduction in other expenses. So, what exactly is it coming from? And then is it sustainable going forward?

Ravi Kant Tripathi : In other expenses, as compared to previous quarter, it is reduced mainly because of the slightly sales reduced. In that proportion, the selling cost is also reduced. That is why the other expenses is lower than the previous quarter.

Manish Gulati: Yes, because you are selling also as a cost by way of commissions and all that. So, as you can see, the reduction in top line, there are slight less volumes is translated into sale. And that is what you see the corresponding difference in the other expenses also.

Amit Lahoti: Thank you.

Moderator: The next question is from Satyan Wadhwa from Profusion Investment Advisors. Please go ahead.

Satyan Wadhwa: I have two questions. One, like you were talking about China, so, how competitive are their prices versus ours, and what is their cost structure like, I am sure you would know? And secondly, how are the contracts for needle coke structured? So, if tomorrow electrode prices were to go up 20%, would the needle coke companies try and claim their pound of flesh or is that a contract linked to oil price?

Manish Gulati: See, the needle coke is being contracted quarter-by-quarter, and it is a process of two months for

making an electrode. So, whatever we book in the market, we make sure that the cost of that required needle coke is already locked. If the prices go up and down, so, we do not take a hit. So, that is, let us say, generally, we would like to take a call for more than six months. But yes, some markets we can. So, that we take care of making sure that the cost is frozen. We know it exactly. Of course, when prices go up for everybody, then the graphite electrode industry will make money, of HEG Limited
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course, needle coke suppliers will not be left behind, they will also increase. But first, it has to come from the market. First, electrode prices have to go up.

Satyan Wadhva: Right. I am really just trying to understand, like, the last cycle that happened in 2017-18, right, when electrode prices just shot up, then needle coke lagged quite a lot and then they kind of went up. So, you had this supernormal margins for a little while and then they compressed because needle coke prices shot up despite oil prices?

Manish Gulati: So, supernormal margins came for the simple fact that this is the kind of product we have which takes two months to make, so, there are certain inventories in the system, certain finished goods, certain work-in progress, certain raw material waiting because it is all getting imported coming from outside India, something on high seas. So, when electrode prices

es suddenly shot up, we did get

a question. And it worked the other way around. Two years later, when the electrode markets fell, everybody in the graphite industry had to take a big NRV hit. That was the nature of the product.

Satyan Wadhva: Okay, understood. And what about the Chinese UHP makers? Like, in the last cycle, they were not really doing any UHP. So, now they have got into the UHP market. How competitive is that cost versus our cost in India?

Manish Gulati: See, I mean, no one else outside China has been able to really explain how Chinese price their products. Because if you sit with a piece of paper, it does not work out for any product. So, we cannot help it. We can just speak for ourselves that we are a competitive company, a large plant, and we have all the wherewithal, the quality, the customer base, the costing, and we can fight it out.

Satyan Wadhva: Okay, fair enough. All right. Thank you.

Moderator: The next question is from Rohit Prakash from Marshmellow Capital. Please go ahead.

Rohit Prakash: Thank you for the opportunity. It is a fantastic set of numbers. And I always enjoy your calls, given how detailed and how patient you answer all our questions. So, my question is on the steel capacity that you mentioned is coming up in Europe and US over the next five years, right? I am not able to reconcile that data with the current capacity utilization there. So, the capacity utilization of steel is, I believe, between 50,000 to 55,000 right now, which means you have a lot of capacity lying idle. And even though new capacity will come and the numbers that we are discussing is, let us say quite large in context the current capacity already there. We are talking about 10% to 15% capacity coming. But where will the demand come from, right? Without the steel demand coming through, we will not be able to utilize the incremental electrode capacity also or the incremental electrode demand would not come. So, the capacity addition is fine, but it is coming at a time when the utilization itself is low. So, how sure are we of the utilization for the new capacity and the existing capacity is a question that I am not able to reconcile with the capacity coming on line?

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Ravi Jhunjhunwala: No, it is pretty clear. I will tell you what it is. I mean, basically, what is happening is, and as a preamble to that, see, the same steel which is produced through electric arc furnace and the same steel which is produced through the blast furnace, the carbon emission on the blast furnace steel is between 4-5x of the same steel which is produced through the electric arc furnace. So, now, for the last three, four years, ever since every country in the world, is concentrating very strongly, very seriously to reduce carbon emissions. So, there is this huge movement, which is happening for the last two, three years, and in which context I just said that about 20 million tons of steel capacity through electric arc furnaces that has come up in the last 12 months in the calendar year 2025. Another 50 million tons to 60 million tons are on the way between now and 2028. So, these are not additional capacities. So, they are coming in place of blast furnaces, because a country like America will not allow you to produce steel in huge volumes where the carbon emission is 5x compared to the same steel produced through electric arc furnace. So, they are replacing the old blast furnace route through the electric arc furnace. So, we are not saying demand of steel is going to go up by 2 million tons, 3 million tons. We are talking of demand of electrodes going up, because there will be more electric arc furnaces which will be replacing the existing blast furnaces.

Rohit Prakash: So, do you mean to say that with this capacity addition that is coming for electric arc furnace across the western world, we are seeing an equivalent capacity of blast furnace shutting down as well,

is

it?

Ravi Jhunjhunwala: That is exactly what is happening. If you go through some communication and on the websites of

some of these companies like, let us say, ArcelorMittal, I do not remember the exact number, but they are doing exactly this. They are closing the blast furnaces and replacing them by the new electric arc furnaces, because there is a big carbon tax that every steel company has to pay to the government as a penalty if you keep polluting the atmosphere 5x more by producing that steel through blast furnaces. So, the steel capacity is not increasing but equivalent amount of blast furnace steel is being closed.

Rohit Prakash: Understood. Okay. So, that was helpful, sir. And, I mean, given your exposure to the western steel companies, do you have any commentary on, because in your initial commentary you talked about how Chinese steel production is coming down, but the exports have gone up significantly, so, how do they see this anti-involution campaign that is happening there, do they see their impact and is there any thought on how that might evolve over the next couple of years?

Manish Gulati: Can you repeat that?

Rohit Prakash: So, over the last four years, we have seen the Chinese steel production coming down, but we have seen the exports go up over the last few years. So, in your conversation with your current customers, I mean, there is talk of anti-involution going on in China in terms of curbing destructive

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price reduction and you can see the impact in the chemicals. Is there any clarity on if you see export production or pricing improvement of steel coming from China?

Manish Gulati: Okay. Now, I have clearly understood. You see that the last five years, the production has declined by 7.5% in China. The problem is, as you keep hearing in the news also and reading everywhere, that the housing demand has gone down a lot, that real estate consumption of steel has gone down. So, despite a reduction in their production, their exports have gone up by 78% from 67 million metric tons to 119 million metric tons, which are a record high. Now, about the destructive pricing, etc., you see, like, for example, US has a duty, you know that Sec. 232, they have a severe duty on Chinese steel. Now, EU has introduced a CBAM. So, a lot of this Chinese steel was finding its way into EU. EU was importing almost 27 million metric tons and obviously, most of that was blast furnace-based. So, if they put that additional carbon tax on that, to that extent, they will protect their EU industry. Similarly, there is some duty on Chinese imports into India. So, the other countries, when they are seeing low-priced steels hitting their own domestic industry, they are, of course, raising their safeguards in whatever way possible, like a Sec. 232 in US, like a CBAM in EU, like something like a Safeguard in India. So, I mean, whatever, we cannot say, but so far, we have not seen this destructive or the word which you use, involutionary, we have not seen that in steel, but yes, we are, of course, observing how each country is trying to protect their own industry from the onslaught of Chinese steel exports.

Moderator: Next question is from Vijay Kumar from Immersion Learning Limited. Please go ahead.

Vijay Kumar: All my questions are answered. Basically, I wanted to ask something about company's interest to increase its stake in GrafTech, since Graphite is also having some stake in the company. Any view on that?

Management : Can you repeat your question, please?

Vijay Kumar: So, it is basically about GrafTech. We have some stake. Do we plan to increase since the prices come much lower? And even Graphite has taken some stake in that company since the prices crashed way off. Is there any scope of increasing the stake? Well, it is much cheaper.

Puneet Anand : So, essentially, an investment committee takes the decision on these investments. Beyond that, we cannot

discuss anything on it.

Vijay Kumar: Sure. Thank you.

Moderator: The next question is from Manan Poladia from MKP Securities. Please go ahead.

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Manan Poladia: Hi, sir. Thank you for the opportunity. My question is on the graphite anode business. I think in the last call for the demerger, you had referred to some margins based on power costs and you had spoken about our power cost being significantly better than our competitors globally. I was wondering if you could throw some color on that and provide some clarity. I think that would be great, sir? Thank you.

Riju Jhunjhunwala: So, hi, Riju this side. So, last time we had spoken in detail about that in the anode project, almost 30% of the cost is power cost. And the state government of MP has given us a real good deal in which our power prices will remain significantly probably lower than Rs.5 for at least five years from today. So, that itself, I mean, we do not see anywhere, whether it is China or anywhere else in the world, where you would find cheaper power than this today. So, that should be a good advantage to us. And that power subsidy for us starts from the day of commencement of operations, not from today. So, we will have a good five years to take advantage of that. Less than Rs.5.

Moderator: The next question is from Rohit from iThought Portfolio Management. Please go ahead.

Rohit: Yes, just one question. So, what is the peak utilization that we can do in terms of the capacity -- is it

like 100% or I mean, what is the practical peak that we can do from the current capacity of 100,000 tons?

Ravi Jhunjhunwala: I mean, obviously, theoretically, everybody can go to 100,000 tons. But you see, it is a very complicated technology. And that is the reason that our plant was established in 1976, exactly 50-years ago. And there has not been a new Greenfield plant of this product anywhere in the world except China. So, the technology is very, very complicated. And just to give you a feel of what the complexity that you are talking about, the minimum time that you take to produce a small size electrode, low grade electrode is five to seven weeks, and the longest time that you take is as high as five to six months. And so, that is the complexity of the technology. So, if you are producing something where the process is like two to five or six months, anything goes wrong on any particular day on any of the five or six different processes that we have to handle, it becomes a scrap. And that is the only reason that there has not been any new plant in the last 50-years.

Manish Gulati : I just want to add one point here, that you see 100,000 tons, of course, can be made. But sometimes you do not get the ideal, the product mix you like from the market. Of course, if I limit ourselves to reduce a couple of sizes, we get of course 200,000 tons. But just to answer your question or try hazarding a guess, because I am also going to see next year, how far we can push ourselves. But probably 94, 95 might be, in real working conditions, that is I think, but we have to try, we are already at our 90-level. Now, we will see how far we can push ourselves to 94 or 95, subject to a certain product mix.

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Rohit: Awesome. Thank you very much. This is very helpful and all the very best for the coming year.

Moderator: Thank you very much. We will have to take that as the last question. I would now like to hand the conference over to Mr. Jhunjhunwala for any closing comments.

Ravi Jhunjhunwala: Thank you, friends for joining us on this call today. It has probably been the longest call in the last two, three, four years and a lot of probing questions, and all of you seem to be extremely well informed about this industry. So, thanks a lot and I look forward to meeting and speaking to you once again in three months' time. Thank you.

Moderator: Thank you very much. On behalf of SKP Securi

ties Limited, that concludes the conference. Thank

you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2026

HEG/SECT

T/2026 8th May, 2026

BSE Limited

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Scrip Code : 509631 National Stock Exchange of India Limited

Exchange Plaza, 5th Floor Plot No.C/1, G Block, Bandra - Kurla Complex Bandra (E), MUMBAI - 400 051.

Scrip Code : HEG

Sub

: Transcript of Earnings Conference Call on Q4 FY26 of HEG Limited

Dear Sir/Madam,

Please refer to our Earnings Conference Call scheduled on 4th May, 2026 intimated vide our letter dated 22nd April, 2026. Please find enclosed the transcript of the said Earnings Conference Call.

The said transcript is also available under the Investors Section of the website of the Company i.e www.hegltd.com.

This is

for your kind information and records.

Thanking You,

Yours faithfully,

For HEG Limited

(Vivek Chaudhary)

Company Secretary M.No. A-13263

heg.investor@lnjbhilwara.com

Encl: as above

"HEG Limited's Q4 & FY26 Result Conference Call"

May 04, 2026

MANAGEMENT : M R. RAVI JHUNJHUNWALA – CHAIRMAN , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. RIJU JHUNJHUNWALA – VICE-CHAIRMAN

MR. MANISH GULATI – EXECUTIVE DIRECTOR

MR. OM PRAKASH AJMERA – GROUP CHIEF FINANCIAL
OFFICER

MR. RAVI TRIPATHI – CHIEF FINANCIAL OFFICER , HEG
LIMITED

MR. PUNEET ANAND – GROUP CHIEF STRATEGY OFFICER

MR. ANKUR KHAITAN – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , TACC LIMITED

MR. SALIL BAWA – GROUP HEAD (INVESTOR RELATIONS)

MODERATOR : M R. RAJESH MAJUMDAR – 360 ONE WAM

HEG Limited

May 04, 2026

Moderator: Ladies and gentlemen, good day and welcome to the HEG Limited Q4 FY26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajesh Majumdar from 360 ONE. Please go ahead.

Rajesh Majumdar: Yes, good afternoon, everyone and welcome to the Q4 FY26 HEG Limited Earnings Conference Call.

We have with us today the Management Team represented by Mr. Ravi Jhunjunwala – Chairman, Managing Director and CEO, and Mr. Riju J hunjunwala – Vice-Chairman, Mr. Manish Gulati – Executive Director, Mr. Om Prakash Ajmera – Group CFO, Mr. Ravi Tripathi – CFO, HEG Limited, Mr. Puneet Anand – Group CSO, Mr. Salil Bawa – Group Head, Investor Relations. Apart from this, we have HEG Greentech team as well for any queries on that.

Without much ado on this, I hand over the call to Mr. Ravi Jhunjhunwal a – Chairman, Managing Director and CEO. Over to you, sir.

Ravi Jhunjhunwala: Thank you, Rajesh. And good afternoon, everyone and welcome to our Financial Results Conference Call for the 4th Quarter and Full Year '25-26.

Let me begin this discussion with some broader industry context:

According to World Steel Association, global crude steel production in Q1, January-March 2026 stood at around 459 million tons, marking a decline of roughly 2% year-on-year, while registering a sequential recovery of about 8% versus Q4 of last year. This is mainly China-driven. We have seen this phenomena of higher production in the last quarter of the year by China a lot of times in the past, and this normally tapers down to more reasonable levels as we come to H2.

China typically follows a cyclical production pattern with output moderating in Q3 and Q4 to align with environmental and policy targets which is close to about a billion tons of steel production, followed by a strong restart in Q1 practically every year. Excluding China, global steel production stood at approximately 212 million tons in Q1 2026, which is a decline of about 1.3% over Q4 2025. Among some key steel producing regions, India continues to be a standout performer, recording around 5% quarter-on-quarter growth, supported by strong infrastructure and construction activities.

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The US too saw a modest growth driven by steady industrial demand, while Europe remained relatively muted. Japan, Brazil and several other large steel producing countries were broadly flat to slightly negative, reflecting ongoing softness.

China continues to face domestic demand pressure, resulting in elevated export levels. Chinese steel exports are now running at over about 100 million tons on an annual basis, which continues to impact global pricing and drive increased trade protection measures worldwide.

At the same time, current geopolitical tensions amidst conflicts in the Middle East are contributing to volatility in energy markets and supply chains. We are clearly witnessing an acceleration in the regionalization of steel trade, driven by rising protectionist measures globally in response to structural overcapacity, particularly in China.

Measures such as Section 232 in US anti-dumping, safeguard actions in Canada, Mexico, India, Brazil and similar steps across other regions are reshaping trade flows.

In Europe, Carbon Border Adjustment Mechanism, generally called CBAM, is a key structural change. By imposing a carbon tax on imports of steel, it incentivizes lower emission steel production or export, which is only possible through electric arc furnace.

In parallel, the EU's upcoming tariff rate quota regime, coming as early as 1st July 2026, is expected to

further restrict steel imports into the EU, and thus increase its own steel production, which has seen a decline constantly, quarter-after-quarter. This is particularly significant for electric arc furnace steel making, excluding China about 50% of steel is already produced through electric arc furnace, and the share is expected to rise further, given its significantly lower carbon intensity compared to blast furnace/basic oxygen furnace routes.

Under CBAM, reduced exports of steel to Europe are expected to increasingly favour electric arc furnace-based steel due to its carbon footprint advantage. As a result, we expect a structural and positive change in electric arc furnace steel production with a strong pipeline of new capacity additions of electric arc furnaces globally. This directly supports long-term demand growth of graphite electrodes.

To the best of our knowledge, about 20 million tons of new Greenfield electric arc furnaces have already been commissioned in the last 12 to 18 months all over the world, and we believe an additional 60 million tons are at different stages of implementation, which should be in production by 2028, and another about 30 million tons by 2030. The total new installations of electric arc furnaces all over the world, except China, would thus be a little over 100 million tons.

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This kind of a growth in electric arc furnace-based steel industry is unprecedented in the history of the steel industry, and is expected to translate into incremental electrode demand of around 200,000 tons by 2030, excluding China.

And we are very well placed to meet some of this new demand with our recent expansion from 80,000 to 100,000 tons. And as you are aware, we have already announced our next expansion to 115,000 tons, which is likely to be operational by early 2028. In this backdrop, our focus on operational efficiency, cost discipline, and customer diversification has enabled us to deliver a resilient performance during this quarter. We continue to operate at healthy utilization levels, which is probably the highest all over the world, averaging more than 90% for the whole year, as well as the past three, four immediate quarters. And this is based on our expanded capacity of 100,000 tons, reflecting strong operational efficiency, low cost, and disciplined planning.

At our plant near Bhopal, our plant near Bhopal remains the largest single site location of electrode

plants anywhere in the world, with a capacity of 100,000 tons, which makes us one of the most competitive cost companies due to its size and location in India.

Looking ahead, we remain confident of the long-term growth opportunity for our Company.

Construction of the additional 15,000 tons expansion is progressing as planned, and we continue to target completion by early 2028. This will further strengthen our ability to serve incremental global demand at a competitive cost.

To summarize:

While near term conditions remain mixed, the structural shift toward electric arc furnace steelmaking, supported by decarbonization policies and trade realignments in the world, continues to strengthen the long-term demand outlook for electrodes. And with our scale, cost leadership, and high utilization levels, we believe HEG is very well positioned to benefit from this transition.

I would like to clarify a point on our investment in GrafTech:

I would like to reaffirm that our position remains unchanged. This was undertaken as a deliberate long-term investment, and our conviction continues to be anchored in the structural foundations, fundamentals of this business, rather than near term market movements. Cyclical volatility is intrinsic to this industry, and interim fluctuations in no way alter our outlook or our resolve.

We remain fully committed to this investment, and we are confident in the long-term value it will create for our stakeholders. We are pleased to inform

that the composite scheme of arrangement is

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progressing well. The NCLT convened meetings of the equity shareholders, secured creditors, and unsecured creditors of HEG are scheduled for Tuesday, 5th May, to seek their approval of the same. Subject to shareholder, creditor, and other regulatory approvals, we anticipate that the scheme could be approved by the NCLT sometime in the second quarter of this financial year.

With that, I would now like to hand over to our CFO – Ravi Tripathi, to take you through the 'Financial Performance' for the quarter, after which we will open the floor to the question and answer.

Ravi Tripathi: Thank you, sir. Good afternoon, everyone. Thank you for joining us.

I will briefly explain our performance for the quarter end and for the full year ended 31st March 2026:

Compared to last year, we have shown strong growth in volume as well as in revenue. Our sales volume increased by 20%, which helped our revenue grow from INR 2,153 crores to INR 2,569 crores. Total income also increased to INR 2,660 crores from INR 2,279 crores.

Our EBITDA increased from INR 388 crores to INR 497 crores, with margins increasing from 17% to 19%.

Our operating margins remained stable in the range of 15% to 20% during the year, with more than 90% capacity utilization during the year. PBT has increased from INR 148 crores to INR 246 crores, which is a growth of 66%. Net profit also increased from INR 101 crores to INR 181 crores. This improvement came from higher volumes, better control on input costs and focused monitoring on all fixed costs.

The Company remains financially strong with no long-term debt as of 31st March 2026. It had a treasury of around INR 792 crores.

Coming to the quarterly performance:

We reported a loss of INR 189 crores. This is mainly attributable to fair values and impact on foreign investment, and rapid depreciation of rupees, which led to 5% within this quarter. These are entirely unrealized losses, and we have taken impact of them in the books as per the applicable Indian Accounting Standards.

Excluding the unrealized losses, our operating margins for the quarter is intact and is reasonably comparable with the previous quarters.

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The Board of Directors has recommended a final dividend of INR 3.4 per equity share face value of INR 2, subject to shareholder approval at the upcoming Annual General Meeting. For more details, the full presentation is available on the Company's website and on the Stock Exchange.

We are now happy to take your questions. Thank you. Over to you, Rajesh.

Moderator: Thank you very much. We will now begin with the question-and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Our first question comes from the line of Amit Lahoti from Aditya Birla Capital. Please go ahead.

Amit Lahoti: Good afternoon. Thanks for the opportunity. My first question is on pricing. So, during the quarter, GrafTech announced the price hike and we are getting a sense that there is a growing customer acceptance around the price hike, given that the electrode cost is now less than 1% of the steel prices. So, if you could quantify how much price hike, we are looking to take starting from this financial year and then is there a similar cost increase for needle coke as well?

Ravi Jhunjhunwala: Manish, will you take this question?

Manish Gulati: Yes, sir. Amit, as you know, we book orders, let's say, for three to six months. So, as we speak, we are about booked almost up until September. And for unbooked orders, we are definitely looking at price increase. Now, it depends from region to region how much price we can get. And also, I would say that we already have some increase in cost due to these energies, freights. So, the price increase is very necessary to be done. How much will be the quantum, whether it will be 300, 400, 500 is ver

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difficult to say at this stage. How much every region steel companies are able to absorb and also what our competitors are doing at this stage. But definitely towards H2, our aim is to have price increase, not only to protect our margins, but to help improve further.

Amit Lahoti: Okay. But does it implicitly mean that we are going to have some cost impact in the first half of the year, even before the price hike rolls in?

Manish Gulati: It will be there, but not to that extent, because you see some of these energy prices are because of our longer product cycle, let's say, for example, if gas price are going today or furnace oil are going today, but then they will actually use products made in two months and get shipped. So, there will be a lag in that. But yes, certainly, there will be some cost increase, sorry.

Amit Lahoti: Yes, noted. And my second question is on Greentech, particularly for TACC, where are we in terms of customer qualification process? And how fast can we ramp up once it gets commissioned?

Basically, my question is, are there any technology or qualification bottlenecks that are left to be resolved over the next 6 to 12 months?

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Riju Jhunjunwala: So, Ankur is there, Ankur can answer directly then.

Riju Jhunjunwala: So, in terms of the customer acquisition, I mean, you are aware that we had set up a pilot plant for sampling, etc., more than 18 months back. And you will be very happy to know that we have made a very, very good progress with all the leading OEMs across the world, because Indian cell capacity is delayed, it seems. But we are actively working with all the Indian ones, as well as the companies like LG, Panasonic, CATL, etc., where we are in different stages of sampling. But the sampling works are going extremely well, as well as the plant commissioning. There is no change in the plant commissioning date from April. And we hope that in the first year itself, we will be able to have a decent 40% to 60% kind of capacity utilization, because of the customer acquisitions that are going on right now. So, there are no issues on technology that we are facing currently.

Amit Lahoti: Okay, noted. Thank you so much. Thank you.

Moderator: Thank you. The next question comes from the line of Rajesh Majumder from 361. Please go ahead.

Rajesh Majumder: Yes, good afternoon again, sir. I want to know the sales volume for the quarter and why the revenue is low? Is it because of lower realizations or lower sales volume?

Manish Gulati: Yes, Rajeshji, about this Q4, there is a slightly less volume to the tune of, I guess, about 1000 tons and some depression in price, but that is only because of how the regional sales mix. See, we are shipping to 40 countries. So, which lots, which customers, where they are going, but there is no depression in price per se, because in the market, it's just because of our size mix and order mix, which goes quarter-on-quarter. So, this quarter, we had some low-price orders going, which dragged down the price a little bit. But that's in April by June, you will see it quickly coming back up. So, it's very temporary. So, that did cause some dent in the operating profits.

Rajesh Majumder: Just a related question, is there any disruption because of the Middle East and what proportion of sales are we selling there?

Manish Gulati: See, annually, we do about 20% sales in Middle East and MENA region, Middle East, North Africa. Yes, absolutely, there is disruption. The orders, which we had from all these customers, like Kuwait and Saudis, and they all have to be postponed. So, instead, we had orders from other customers. So, they are being given precedence. So, they are going now. And as soon as the State of Hormuz opens and business normalizes, the pending orders, which we are holding for Middle East, they will also quickly be shipped.

Rajesh Majumder: And sir, one more question from my side is that

we have seen a huge rally in crude oil. So, that will

impact the needle coke prices. So, as you are covered till September, you said on your contractual side, are you covered for the needle coke side as well? How much are you covered for? And how

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much will that cost increase percolate to us from which half? And will the price increase happen simultaneously with that?

Manish Gulati: Yes. You see, we are covered for needle coke purchases, needle coke shipments, starting from the origins till end of June. So, by the time they arrive, they take 45 days to arrive, and our electrode product processing is another 45 days. So, it safely covers our costs until September from the needle coke side. However, it doesn't protect us from the other materials which we get from India or doesn't protect us from energy. But purely on needle coke side, we remain protected until September.

Rajesh Majumder: Okay. And so, one strategic question, one last question from my side is that, do you see the rise in gas and energy prices as an impediment to the electric arc furnace and the CBAM team because as I understand that the energy requirement in electric arc furnace is almost nearly 3x more than that of a blast furnace.

Manish Gulati: Yes. You see, these energy prices actually depends in Europe, etc., power is a major cost for an electric arc furnace steel plant. So, that energy and the mix of power generation which they have in Europe and US, I don't think it will cause any direct hit to electric arc furnace steel making economics because it depends on power at what price they can get the power in their country. So, there may be some indirect connection, but there are gas-based power plants, but they are more in the Middle East than in US or Europe. So, maybe there is marginal impact, but that doesn't change anything actually.

Rajesh Majumder: And CBAM is on track, there is no derailment of that, right?

Manish Gulati: CBAM is applied already actually. They will see a reduction in steel imports in EU, which will encourage the local steel plants to run at a higher utilization and higher demand of graphite electrode from Europe.

Rajesh Majumder: Thank you, sir.

Ravi Jhunjhunwala: Just to add, these European steel companies basically have no option. I mean, as you all know, electric arc furnace emits about 25%-30% of carbon as compared to the same steel produced through blast furnace. So, with the CBAM and ex-Euro per ton duties and everything that Europe is applying now from 1st of July, whether the cost is x or x plus something, they will have no option. There is no way that they can pay that kind of CBAM duty and still be able to export their steel. So, they will have to shift from blast furnaces to electric arc furnaces already. Europe is already 50%-55%. And Europe is adding at least 25-30 million tons of electric arc furnaces. Some of them have already come in. Some of them are under construction. So, by 2030, according to our information and we believe this figure is more or less accurate because we are exporting 70% of our products to all parts of the world. So, people are always on the road meeting this customer here and that customer there. So, close to 100 million tons of new electric arc furnaces are scheduled to come in, out of which 20-22 are already in

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operation. And we believe about 30 million tons is going to be operational within 2026, 2027, and 2028. And another 30-35 million tons in 2028 and 2030. So, that adds up to about 100 million tons. And that requires a lot of electrodes. And except our expansion, there is nobody who has even announced anything as yet. It takes two to three years to even make a small Brownfield expansion, as you know, in our case..

Moderator: Thank you. The next question comes from the line of Ahmed Madha from Unifi Capital. Please go ahead.

Ahmed Madha: Yes, thank you for the opportunity.

Just picking up from the questions you answered before my turn.

For Q4, if you can quantify what was the sales volume, we have quoted 94% capacity utilization. But in terms of sales volume, compared to last quarter, we can quantify how many thousand tons have been impacted because of logistics or any other reason.

Manish Gulati: Yes, did I say a thousand tons at most between Q3 and Q4, hardly a thousand tons got impacted because these orders had to be postponed.

Ravi Jhunjhunwala: But only postponed, you will divert it here and there.

Manish Gulati: Either divert it, see most of it, most of the postponements got diverted and there is the impact of only a thousand dollars less in Q4 compared to Q3.

Ravi Jhunjhunwala: Okay. And Manish, as you were telling me, I mean, because the situation is so desperate, you see the steel companies in the Middle East are desperately placed as far as the raw material and everything is concerned. They don't want to close their plant and they are prepared to pay \$200-\$300 extra for electrode to be sent by road. Instead of \$20-\$30 cost that we were incurring to take the electrodes to any Middle Eastern country, I believe there is a way that you can take the electrode to some Middle Eastern port by ocean. Then it takes as much as \$200-\$300 to truck it down to the location of the plant and they are prepared to pay for that. I mean, obviously \$300 per ton of electrode means nothing to them rather than closing the steel plant.

Ahmed Madha: Correct. Sure, got it. And in terms of pricing, as you said, you are already booked till September, but I am assuming post-September contracts you will be probably doing now or maybe a few months down the line. So, in that renewed committed volumes, do you see any significant price increase or are you already into those conversations of increasing the price? We can probably give some qualitative and quantitative comments on the same.

Manish Gulati: All the new inquiries we are receiving, now we are pricing it accordingly. We are taking into account how much our costs have increased and some price increase was anyway necessary. So, all inquiries don't come in one go. They keep coming every two days, three days, one week, 10 days. Every

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customer has their own buying ways. So, we are offering increased prices in the market, and we are

quite hopeful that some amount of the price increase should get absorbed and the steel industry should be willing to do that. But it also depends on what our peer group is doing, how much seriously they are pursuing the price increase. So, we will see. But we have started offering increased prices for the uncommitted volumes.

Ahmed Madha: Sure.

Moderator: Thank you. Our next question comes from the line of Karthikeya Kumar Pandey. Please go ahead.

Karthikeya K. Pandey: Yes. Thank you for the opportunity, sir. And so, sir, although I understand the old investment rationale and the multi-year tailwinds that we have, there are some nuances that I wanted to understand from you. So, needle coke capacity supply is a constraint that we have in our industry.

Now, that capacity, the demand for that is from our industry as well as from the anode industry. Now, when we are saying that we are adding 120 KT of incremental demand, so, and again, there are reports of around 100 KT of addition of demand from anode side. Now, somewhere down the line, the whole math is not adding up to the existing needle coke capacity. And then there are no efficient capacity additions also happening in the needle coke industry. So, I just wanted to understand how are we going to fulfill the 120 KT of demand given the fact that we are also not a backward industry like West players. So, some lights on that from your side.

Ravi Jhunjhunwala: I will tell you a little bit. It is motivating me to tell you something which somebody asked and we didn't answer that question very clearly.

The only reason that we decided to invest whatever we invested to buy GrafTech shares was primarily because that is the only graphite company in the world who is 75 to 80% backward integrated. I am talking of GrafTech. That's the only graphite company who has a needle coke plant of its own to the extent of about 75% of their own capacity. So, if you go back to 5 years ago, 6 years ago, when the electrode prices went up by 3x, 4x, 5x, over a period of time, the same thing happened with needle coke. And the needle coke prices went up from about \$1,000 to about \$4,000 in a matter of 5, 6, and 7 quarters. GrafTech was the only company which had about 80% of their captive requirement being met by their own coke plant. So, while they made a lot of money like all the other graphite companies made because of price increase on electrodes, they were in a unique position that they made an additional \$2,000 to \$3,000 on the needle coke. While people like us or the Japanese or Graphite India or anybody else except GrafTech had to buy needle coke at about \$3,000 to \$4,000 higher than what it used to be in a matter of less than a year. So, our logic of buying these shares about 2 years ago, 1.5 years ago, was simply this that if and when we see the same time and the same days as we saw 5, 6 years ago, when electrode prices will go up and backed up by needle coke, all others except GrafTech will make a lot of money in electrodes. But this is the only company in a unique situation that they will not only make money on electrodes, they will also make a lot of money on needle coke.

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So, this was a very simple logic for which we invested. And of course, in the stock market, you can never be 100% right or you can never be 100% wrong. So, at the price, when we started buying, it looked like a steal and it did go up by 30-40% and we decided not to sell, and it went down by 30%-40%. It has recovered a lot in the last 2-3 months. But again, it's just a matter of time. As soon as we see some uptake and some of these 100 million tons of electric arc furnaces starting operations, which some of this has already started, as soon as we see that, we see a shortage of electrodes. If there is a shortage of electrodes, there will be a shortage of needle coke for sure. So, that was the simple reason that we went ahead and invested that money.

Karthikeya K. Pandey: Fair enough, sir. Understood. I get your point. Sir, but according to GrafTech, like the 120 KT of extra demand that we have seen. So, if I am not wrong, they have mentioned that currently of around 650 KTs, one-third has already been supplied by Chinese players. Now, this is not what I am saying. I guess this is what GrafTech is saying and this is in the UHP market. So, I mean, although quality issues are there but what do you read from this because incrementally, can we get market share in this 120 KT or Chinese players are also increasing its share?

Ravi Jhunjhunwala: What is this 120,000 tons supply that you are talking about?

Karthikeya K. Pandey: No, sir. If you go to GrafTech's commentary in the annual report, they are mentioning that around one third of existing 650 KT of demand that is there in the graphite electrode market currently is met by Chinese players that is bringing down the overall capacity utilization of the industry to 60% to 65%. Now, my question is that what's stopping them from doing the same in the incremental 120 KT of capacity that's required?

Manish Gulati: Sir, can I answer this question?

Ravi Jhunjhunwala: Go ahead.

Manish Gulati: What you are saying in their commentary, we can't say what, they have their own reasons and logic to say that 120,000 tons of UHP is being supplied from the Chinese, which is fine, you see. In China, they are exporting a lot of electrodes. And predominantly, they are all the high-power grade but yes, we will not deny that they do not export UHP electrode

des. They do export UHP electrodes of almost the same order. We believe it's probably 100,000 out of the 400,000 they export. And in the low-powered furnaces and sizes, let's say, mostly up to 24 inches, they are definitely doing that. And GrafTech, of course, in their concall in their talks about China, they are talking about impact on them. So, they talk about China, they also talk about India, which is fine. And the capacity utilization, they are running whatever is written there, 65 or something in the last quarter. But please remember, HEG is running at (+90%). So, they have to explain for themselves and we have to talk about ourselves. So, they have to explain to their stakeholders why they are at this. So, they are giving this

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reason, which is fine, which is totally fine. But you are saying, what is stopping them? See, if you are talking about HEG, we are, I would say, a very cost-competitive plant because of our size and our location, being in India. And so, certainly, our costs are lower. So, in our calls, we don't mention that because of Chinese, so many UHP exports, we are being dented.

Moderator: Thank you. We have the next question coming from the line of Mr. Manan Poladia from MKP Securities. Please go ahead.

Manan Poladia: Hi, sir. Thanks for the opportunity. So, first question on, again, the quarterly number that's come out. You said there are unrealized losses in the investments and that's been the reason driving the loss. If you could, like, quantitatively tell us if we pull out the graphic loss and the loss on the FOREX instruments, is there a shipping cost hit also that is large in the other expenses jump that has happened this quarter? And secondly, if you could tell me, from your contracts, when you have a fixed price contract, say, six months ahead, is there a force majeure clause within it above a certain level of oil price or shipping prices per se?

Manish Gulati: No, I will answer the last question first. You see particularly in Middle East, where freight costs shot up from \$20, \$30 to more than \$300, of course, we had to tell our customers. And we did send letters of force majeure wherever we are impacted. See, some little bit cost increase, it is expected that supplier will bear. So, anything out of the ordinary, of course, we have the right to go to our customers and tell them. And we did that for Middle East. And they are taking material, FOB Mumbai, and they are paying for the extra freight. But the freights have also increased for US and Europe, but they are not yet of the order where we go back and breach our contract or request them because it is still absorbable. See, once you book a six-month contract, there is some costs which will go up and down throughout the execution of the order. It can go up 5%. So, it is expected. It sometimes gets lower because for us, needle coke, pitches, electrical power, they are our major cost. So, during a course of six months, when we commit to a certain price, unless something goes really wrong, we don't usually approach our customers and ask them for a price increase because they can do it likewise. Suppose they keep track of our essential raw materials and if the price goes down a shade, they don't come back to us for a renegotiation of the contract. So, we try to do as much visibility we have. If we have a three-month, our needle coke is tied up and electrical power is tied up, then we take a safe call as to how much. But during the course of time, some increase/decrease does happen.

Manan Poladia: Right, sir. And on the first question, with the other expenses.

Manish Gulati: That Ravi Tripathi – Our CFO will answer.

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Ravi Tripathi: Yes, in other expenses, if you compare it with the previous quarter, then you can see that we have added whatever the fair valuation losses we have added in the other expenses. That's why the other expenses

is looking higher as compared to the previous quarter.

Manan Poladia: Right, sir. That's in your note. I am just curious. Apart from that, there is still large jump that has not been disclosed in the note. If you could just quantify some of that for us.

Ravi Tripathi: So, another impact of the exchange gain loss during the quarter due to the rapid rupee depreciation. As I said in my initial opening remarks, that approx. 5% rupee depreciated within quarter. That impact is also there. So, that's why the other expenses is higher as compared to the previous quarter.

Manan Poladia: All right, sir. I understood. Thank you. Thank you so much.

Moderator: Thank you. The next question comes from the line of Mr. Raj Kiran Gandhi from SBI Mutual Fund. Please go ahead.

Raj Kiran Gandhi: Hi, thanks for the opportunity. Is it possible to quantify this FX loss, which has been reflected in other expenses?

Ravi Tripathi: Yes, this is Raj. See, this FX loss is completely unrealized loss that we should quantify in the range of INR 35 crores to INR 40 crores within the quarter.

Raj Kiran Gandhi: Okay. Got it. And given that rupee has depreciated further from the quarter end, so we should expect something next quarter as well? And by when will this reverse because as you mentioned, this is unrealized.

Ravi Tripathi: Yes, in case the suppose if rupee appreciates, then definitely this will reverse. You can see some reversal in the next quarter.

Raj Kiran Gandhi: Okay. Got it. And any particular reason, let's say, even if on the gross margin side itself, if I were to

look on a per ton basis, there has been some contraction Q-on-Q. So, any particular reason for that?
Manish Gulati: Yes, Raji, I explained that. See, when this war happened, all these orders needed to be shuffled up and down. There were some Middle East orders which didn't go and some other orders which went. So, quarter-to-quarter, there is always a slight movement up and down. And because of this war thing, the Middle East orders had to be postponed till the situation normalizes and some other orders. So, it depends on which orders are going in which particular quarter. So, it's not a cause of concern. And you will see that coming up in April to June. We are very hopeful that by the time these issues will get resolved, because Middle East is next door and we will start pushing material as soon as the situation is clear.

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Raj Kiran Gandhi: Got it. So, mix turned adverse in the sense that when Middle East, I presume, is a better margin geography. So, mix change is resulted in a bit of--

Manish Gulati: Yes. Logistic costs are much lower for Middle East.

Ravi Jhunjhunwala: Okay. No, but the prices can be different. I mean, we can't talk about which area is better.

Raj Kiran Gandhi: Sure. And just in terms of your OPEX, how much of it is rupee denominated or and how much is FX denominated? I am just trying to presume because of the sharp depreciation in rupee. Maybe over time, how much of realization benefit can come to EBITDA?

Ravi Jhunjhunwala: No. We gain by rupee depreciation for sure. Our foreign exchange outgoes only on account of needle coke, which is a smaller part compared to the total realization. So, obviously, we are a net exporter.

So, we gain more by rupee depreciation.

Raj Kiran Gandhi: Right. So, just trying to understand what is ex of RM, how much of our cost is dollar-denominated, which will also then go up along with depreciation. And then I am just trying to understand net-net, how much benefit do we retain of the rupee depreciation?

Ravi Jhunjhunwala: We can take it offline. We don't want to talk about specifics numbers.

Raj Kiran Gandhi: Sure. Perfect. Thanks.

Moderator: Thank you. The next question comes from the line of Ajas Lakhani from Unifi AMC. Please go ahead.

Ajas Lakhani: Okay. So, thanks for the chance. So, I wanted to understand that given that needle coke is a

iso being

used in batteries, and this is, again, premium or super premium battery-grade material, I want to understand a little bit more about the raw material sourcing and availability and capacities globally.

So, one is, could you talk about where do you procure your needle coke from? What is that manufacturer's capacity? Are they adding capacity? Globally, is needle coke capacity additions taking place? Only to understand broadly that if the demand for needle coke gets repivoted more towards the battery side, what kind of scarcity that could do for decarbonization in the air? That's broadly what I am trying to understand. Thanks.

Ravi Jhunjhunwala: So, I will take this question. You see, about four or five years ago, when the electrode suddenly went into a serious shortage, and the prices went up by 3x, 4x, and so did the needle coke, I mean, obviously. So, at that time, obviously, we talked to all our three, four suppliers of needle coke. So, firstly, needle coke is also a very technology-based product. And I don't think there has been any new Greenfield needle coke plant put anywhere in the world in last 78 years. And there has not been

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any new entrant in this last 70, 80 years. And there are only three, four suppliers in the world from Japan and US. And so, what we realized at that time, five years ago, when the needle coke prices went up by three, four times, so did the electrode price. At that time, we realized that what the price that we can pay for needle coke, the battery guys cannot pay. Because I believe in the battery, needle coke is one of the maybe seven, eight, nine things which goes as part of their raw material. And so, needle coke can be replaced by one of these six, seven other raw materials that you can mix. But for graphite electrode, there is nothing that you can do. You have to only use this particular needle coke, which is produced by these three, four companies. So, at that time, also, while we could pay whatever sharp increase happens in the needle coke price, the battery guys could not pay that kind of a price.

They had an option to replace needle coke by something else. And that something else probably is three, four, five, six different raw materials. So, if they were using, let's say 10%, 12%, 15% of needle coke, they replace this 10%, 15% of needle coke by other four, five products that they were mixing in any case. And needle coke capacities have not gone up. Just like graphite electrodes, if you see the last 40, 50 years of graphite industry in the world, except HEG, there has not been any new expansion anywhere else in the world, whether in India or in Europe or America or Japan. On the contrary, the capacities have shrunk in the last four, five years. So, to that extent, there was no need for the needle coke guys also to expand. They could not sell whatever they were producing for the last five, seven years.

Ajas Lakhani: Sorry, sir. If I understand the last bit correctly, you said that the needle coke suppliers were not able to sell their desired quantity for the last four, five years?

Manish Gulati: Yes, that's right. I mean, they were underutilized for a while. So, it's not that battery and electrodes are using exactly the same kind of product. There is anode-grade coke, which all these companies also make. So, the needle coke per se, there is lakhs and lakhs of tons of demand for the battery coke. So, had it been true, then needle coke suppliers would be running more than full. But we have seen when the capacity utilization of GE Industry was down in the last one or two years, they had extra capacity to make that there is abundant supply of needle coke, which clearly shows that it was not exactly going to the battery application.

Moderator: Thank you. The next question comes from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund. Please go ahead.

Kirtan Mehta: Thank you, sir, for this opportunity.

Just one follow-up question again on the needle coke. You mentioned that we haven't seen any material increasing in graphite electrode.

Moderator: Sir, all the lines are connected.

Ravi Jhunjhunwala: So, maybe we have lost Kirtan.

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Moderator: So, apologies for that. The previous questioner's question has been dropped. We have the next question, which is coming from the line of Mr. Ronak Agarwal from Ithought PMS. Please go ahead, sir.

Ronak Agarwal: Yes, go ahead. Since GrafTech has taken up lines, do we expect this FY28 to get full price hike?

Moderator: I am sorry to interrupt. Ronak sir, your line is not very much clear. If you are using any other mode, may we request you to use the handset, please?

Ronak Agarwal: Yes. So, if GrafTech has taken a price hike of around \$600 to \$1,200. So, by the end of this current financial year, for FY28 volumes, can we expect a full price hike to be seen in our volumes also?

Manish Gulati: See, everybody is talking about unlimited volumes. Sorry.

Ravi Jhunjhunwala: I hope by GrafTech or we announcing that we are taking a rise of \$600, \$1,200, I wish the market behaves, the market accepts whatever we are talking about. I mean, it's one thing to say that I want to do this and there is always the other side who negotiates with you. And in this business, as you know very well, it's a very long process-driven industry. Some products take, the minimum time taken to produce electrode is about 2-2.5 months and the longest time takes as much as 4 to 5 months.

So, obviously, in this kind of a business, we have to take orders at least for the next three to six months. Otherwise, we can't even meet the delivery schedules. And then if you are exporting 70% to more than 30 countries, it takes time for the products to reach America. America will take like 40-45 days to reach. So, we are committed on a certain price for a certain period of time. And similarly, we are also committed to buy needle coke for a certain period of time at a fixed price. So, there is a time lag between when you announce that you are taking a price increase and the time that you start getting it.

Ronak Agarwal: Yes, sure. That's it from us.

Moderator: Thank you. The next question comes from the line of Rohit Potti from Marshmallow Capital. Please go ahead.

Rohit Potti: Thank you for the opportunity. Your commentary is always very helpful to understand the industry as a whole. On needle coke specifically, we mentioned that we have supplies till June, which will last us till September given how the manufacturing works. But is there any indication as to with the Middle Eastern crisis going on, how much of an increase we are seeing in needle coke prices right now? Because I am guessing some amount of negotiation would have begun for the next shipment, right?

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Manish Gulati: So far, there is no indication. We have not heard from them. And maybe in the month of June or maybe by 15 June or something, when we actually sit down and discuss the next quarter's contracts, I don't know what they will come up with.

Rohit Potti: Understood. But with the crude price increase and there is a needle coke raw metal as a derivative, there should be a price increase. Is that correct?

Manish Gulati: Yes, it eventually comes from oil. It comes from decant oil. So, when oil goes up, of course, they are impacted. And we will see how the oil prices are behaving. They might come down, they might stay where they are. So, probably the right time when we will come to actually know if it will be sometime in the middle of June.

Rohit Potti: Thank you. The second question is that in the opening commentary, Chairman Sir spoke about the regionalization of trade even in our industry, right? So, there is a lot of protective measures, including the CBAM measures in Europe, against steel imports. And then there is talk of countervailing

g and

anti-dumping duties in US against Indian and Chinese imports, which apparently they expect to see an outcome by September. So, in this increasing regionalization that's happening, how do you see our volumes over the next two, three years? Do you think it would affect our volume that we can

export or it won't impact us because of our cost competitiveness?

Ravi Jhunjhunwala: It depends upon how the whole thing goes. I mean, obviously, we have taken a very strong law firm from India, and we have taken a very strong law firm in US. And they have taken all the data and everything from us. And we will know in the next four, five months as to what happens. But we don't think that we are doing something seriously wrong, at least in America, where our pricing is amongst the highest. So, but it's a matter of legalities. I mean, we will see what happens. But the whole world is becoming very protective as we have seen in the last 10-15 years. All I can say is that we are the lowest cost producer. So, to some extent, if they are, if these duties or taxes, whatever you want to call, that's at a reasonable level, we can probably absorb it.

Rohit Potti: Understood. That was helpful. And the price increase you spoke about, the primary driver of price increase for us in the graphite electrode industry would be driven by the cost increases related to what's happening in Middle East, right? There is no other reason why there is a price increase or is it something else driving the price increase?

Ravi Jhunjhunwala: No, their costs are much higher than ours. So, it's not just a Middle East problem. Even before the Middle East problem, if you go through the quarterly results of 2-3 international companies. So, they have been losing money pretty big time, even before the war.

Rohit Potti: So, my confusion is more around why now, right? So, this is what you have been saying has been going on for 3-4 years probably. But around this time, is the crisis more a coincidence or is it the HEG Limited
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match that the market needed to increase prices, why this year and will it continue over the next year?
Is it difficult to answer these questions given the volatility?

Ravi Jhunjhunwala: What exactly was your question when you said why now?

Rohit Potti: No. So, what you said about the supply has been shutting down in the industry over the last 3-4 years. The losses in GrafTech and the Japanese players have been going on for 2-3-4 years. But we are seeing finally price increases potentially happening now in the graphite electrode space. So, what is driving the price increases to happen this year and will it continue over the next year or is it too difficult to answer this question?

Manish Gulati: Well, sir, the graphite electrode industry was looking for a price rise not from now for the last almost 2 years because this is unsustainable for them. For our peer group, incurring losses quarter-by-quarter was unsustainable. So, everybody was hoping for things to turn around and price rises to happen. But if you say why now, probably the last straw in the camel's back that now with this additional Middle East thing war, it's not totally unsustainable for them. So, I think now this was the right time. If not now, then when? It's like that. But as you said about the timing, then I should say that all of us including HEG were looking for a price increase to happen for last quite a few quarters and it didn't happen. And over and above, now there is a Middle East situation, rise in energy, rise in freight. So, this is the last straw in the camel's back.

Rohit Potti: And thank you for your answers. It's been very helpful. Thank you so much.

Moderator: Thank you. The next question comes from the line of Akhilesh from Emkay Global. Please go ahead.

Akhilesh: So, my first question is on the utilization of graphite electrode. So, how much exactly it has been for the fourth quarter because as w

e say the volume is only impacted by 1000 tons but it does not reconcile with the Q3 numbers because in Q3 we had said that 85% utilization is there. So, on my numbers, it is coming at around 2,500 tons for this quarter difference. So, can you please explain that?

Manish Gulati: See the capacity utilization when you say we are talking about production, how much we produce and then the sales also. If you strictly talk about capacity utilization on production, actually it's 95% for the quarter. Sales wise, it is less than that. Overall, for the year, it is more than 90%.

Akhilesh: Okay. So, on production wise, two and a half thousand tons of number, the difference what I am getting is correct. So, on the sales volume, we are down 1000 tons.

Manish Gulati: Down 1000 tons. Absolutely.

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Akhilesh: Okay. Sure. And the second question is that why other income has gone down during the quarter? Does it only constitute the interest income or any other part of income is also included in this? And how should we see it going ahead on quarter-on-quarter basis?

Ravi Tripathi: Yes. The other income in the quarter is lower due to the loss in the fair valuation loss which we have classified in the other expenses. That's why the income is coming in the quarter is lower as compared to the previous quarter. And going forward, it will be in the same line as we are in the previous quarter.

Akhilesh: Okay. And lastly, sir, from my end, last quarter in Q3, we had guided for the sustenance of EBITDA margin of around 22% for the next couple of quarters. Then in Q4, because of all these Middle East crisis, we could not sustain that kind of margin. So, how should we see it now going ahead for the quarters and for FY27-28, if we could shed some light on that?

Manish Gulati: According to me, in the first two quarters, April to June, July to September, all along these quarters, as Ravi Tripathi said, we have been between 15 to 20. And we have closed this year also at 20. Now, these two quarters where we have committed volumes maybe around 17-18 or something. I can't hazard a guess. It depends upon what happens in the balance of the quarter. Should be around that number. Tripathi ji, if you want to correct me, please go ahead.

Ravi Tripathi: Sir, these are correct. So, the EBITDA range will be the 20% we can say for the next 1st Quarter and to 2nd Quarter.

Akhilesh: And for this whole year, it will be more than 20? Is it good to say that? Yes.

Manish Gulati: Should be?

Ravi Tripathi: Yes, (+20%).

Manish Gulati: Should be? Okay.

Akhilesh: Yes. That's it from me. Thanks.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Ravi J hunjhunwala for closing comments.

Ravi Jhunjhunwala: So, I guess if there is no further question, so let me thank all of you for taking so much of interest and asking us some very, very probing queries. And this forces us to think about answering all these things, and a couple of things that maybe we would not think about otherwise. So, thank you very

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much. And I hope you continue to ask us these uncomfortable questions, and we are able to satisfy you. Thank you very much. And I look forward to meeting you again in three months' time. Thanks.

Moderator: Thank you, members of the Management. On behalf of HEG Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Jul 2026

HEG/SECTT/2026 July 28, 2026
1 BSE Limited
P J Towers
Dalal Street
MUMBAI - 400 001.
Scrip Code : 509631 2 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G Block, Bandra - Kurla Complex
Bandra (E), MUMBAI - 400 051.
Scrip Code : HEG

Subject: Transcript of Earnings Conference Call on Q1 FY27 of HEG Limited

Dear Sir/Madam,

Please refer to our Earnings Conference Call scheduled on July 24, 2026 intimated vide our letter dated July 21, 2026. Please find enclosed the transcript of the said Earnings Conference Call.

The said transcript is also available under the Investors Section of the website of the Company i.e. www.hegltd.com .

This is for your kind information and records.

Thanking You,

Yours faithfully,
For HEG Limited

Vivek Chaudhary
Company Secretary
A-13263
heg.investor@lnjbhilwara.com

Encl: As Above

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"HEG Limited
Q1 FY '27 Earnings Conference Call"
July 24, 2026

MANAGEMENT : M R. RAVI JHUNJHUNWALA – CHAIRMAN , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER – HEG
LIMITED
M R. RIJU JHUNJHUNWALA – VICE CHAIRMAN – HEG
LIMITED
M R. MANISH GULATI – EXECUTIVE DIRECTOR – HEG
LIMITED
M R. OM PRAKASH AJMERA – GROUP CHIEF
FINANCIAL OFFICER – HEG LIMITED
M R. RAVI TRIPATHI – CHIEF FINANCIAL OFFICER –
HEG LIMITED
M R. PUNEET ANAND – GROUP CHIEF STRATEGY
OFFICER – HEG LIMITED
M R. ANKUR KHAITAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TACC LIMITED
M S. NEHA RAJVANSI – CHIEF FINANCIAL OFFICER ,
HEG ADVANCED MATERIALS – HEG LIMITED
M R. SALIL BAWA – GROUP HEAD, INVESTOR

MODERATOR : M R. RAJESH MAJUMDAR – 360 ONE CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to HEG Limited Q1 FY '27 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your smartphone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rajesh Majumdar from 360 ONE Capital. Thank you, and over to you, sir.

Rajesh Majumdar: Yes. Good afternoon, everyone, and welcome to the Q1 FY '27 Earnings Call of HEG Limited. We have with us today Mr. Ravi Jhunjhunwala, Chairman, Managing Director and CEO; and Mr. Riju Jhunjhunwala, Vice Chairman; along with their colleagues, Mr. Manish Gulati, Executive Director; Mr. Om Prakash Ajmera, Group CFO; Mr. Ankur Khaitan, MD and CEO, TACC Limited; I have Mr. Ravi Tripathi, CFO, HEG Limited; Mr. Puneet Anand, Group CSO. Also on the call are Ms. Neha Rajvanshi, CFO, HEG Advanced Materials; and Mr. Salil Bawa, Group Head, Investor Relations. So first of all, sir, congratulations on a very good quarter on the first quarter. And without much ado, I would like to hand over the call for the opening remarks of the management.

Ravi Jhunjhunwala: So good afternoon, everyone, and welcome to our conference call for the first quarter of financial year '26-'27. The year began in a shadow of an ongoing war in the Middle East, which materially impacted energy prices globally, besides disturbing world trade and pushing shipping costs disproportionately very high in some cases and also increased transit times. In this backdrop, let me give you a broader picture of the global steel industry and its resulted impact on our company. According to World Steel Association's data, global steel production during the first half of calendar year '26 showed signs of gradual stabilization, declining by a marginal 0.7% year-on-year to around 931 million tons. This indicates that the contraction is bottoming out and global steel demand is beginning to find its floor. Surprisingly, steel production outside of China remained highly resilient, expanding by 2.1% year-on-year to 431 million tons after many years. This positive momentum in the world steel, excluding China represents a supportive demand environment for our products. While HEG does not sell electrodes directly to China, Chinese domestic steel market dynamics continue to influence global pricing. A weak real estate sector in China has forced domestic mills to export surplus production of steel.

While Chinese steel exports for the first half of 2026 eased slightly to 55 million tons, which is a 5.6% decline from the peak of 2025, they still remain at historically elevated levels. This sustained export pressure has prompted a broad wave of defensive trade measures, including antidumping and safeguard duties across key regions like the U.S., EU and India. Among key steel producing regions, India remained one of the strongest performing markets with crude steel output increasing by approximately 7.1% year-on-year to around 87 million

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tons in the first half of 2026. This growth was supported by robust domestic demand for infrastructure development, construction and manufacturing activities.

In matured economies, we saw a solid broad-based recovery. Steel production in the United States recorded an year-on-year growth of 6.3% in the first half of 2026 to reach 43 million tons. While Germany's output also rose to -- rose close to 9% to 18.6 million tons. We also saw an exceptional growth in Vietnam, which surged by as high as 27% year-on-year to over 15 million tons, cementing its position as a major Southeast Asian steel powerhouse.

Various changes in the trade policy in several

countries and the ongoing geopolitical tensions remain key sources of near-term uncertainty. Changes in U.S. trade policies, including tariffs and several country and product-specific measures are disrupting the established global trade channels.

At the same time, tensions in the Middle East are affecting the oil and gas market, contributing to severely higher freight and energy costs and creating a challenging business environment across industries. These pressures are also being felt across all raw materials like needle coke and other key inputs in the supply chain, which are gradually getting reflected in our input costs.

We continue to manage these developments through operational efficiencies. Despite all this,

the medium- to long-term outlook for graphite electrodes demand remains highly positive. Decarbonization policies, including EU's carbon border adjustment mechanism, CBAM, are accelerating the global shift from carbon-heavy blast furnace steel to lower emission electric arc furnaces. This structural trend is heavily supported by latest OECD steel outlook, which highlights that approximately 71 million tons of new electric arc furnace steelmaking capacity is planned globally for completion between now and end of 2028. As graphite electrodes are indispensable for steelmaking -- electric arc furnace steelmaking, these planned capacity additions support a favorable long-term demand outlook for the industry and validate the strategic rationale for our recent expansion from 80,000 to 100,000 tons and a further expansion that we are currently undertaking to reach 115,000 tons, which is on track and should be in operation by early 2028.

Against this backdrop, we remain confident of HEG's long-term growth prospects, and we believe that we are very well positioned to benefit from the continued transition towards electric arc furnace steelmaking, resulting into increase in demand for electrodes.

Our plant with an installed capacity of 100,000 tons per annum remains by far the world's largest single location plant in the world. Its scale and cost-efficient operations place HEG among the most competitive producers globally.

During the past quarter, we operated the plant at an average capacity utilization of more than 90%, reflecting strong operating efficiency and expect to continue operating at more than 90% in the forthcoming quarters as well.

Further expansion that we undertook to reach 115,000 tons is likely to be commissioned by early 2028. This will further increase the gap between our plant and the next 2 largest plants in the

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world, which are in the region of 70,000 tons per annum. With our scale, competitive cost position, location, high utilization levels and expanding capacities, we believe HEG is very well placed to capture the long-term growth opportunities emerging across the global electrode industry worldwide.

Now update on demerger, which my colleague, Puneet is going to do.

Puneet Anand: Hi. Good afternoon, everyone. So we are pleased to inform you that the company -- the composite scheme of the arrangement is progressing very well. The NCLT has reserved its order and the company is awaiting pronouncement of the order. The company will provide an update shortly on the time line of effecting the scheme and the record date. We will also hold an investor call to explain the HEG Advanced Materials business once the order is pronounced and a copy of it has been received.

Ravi Jhunjhunwala: With that, I'll now hand over to our CFO, Ravi Tripathi, to take you through the quarterly financial performance, after which we will open the floor for Q&A. Thank you.

Ravi Tripathi: Thank you, sir. Good afternoon, everyone, and thank you for joining us. I will briefly take you through our financial and operational performance for the first quarter of FY '26, '27. We have begun the financial year on a strong note, deliveri

ng a meaningful improvement in profitability

despite a marginal decline in volumes. The quarter demonstrates the strength of our operating model, supported by improved realization driven by product and geographical mix, disciplined cost management and continued focus on operational excellence.

On a stand-alone basis, revenue from operations increased by 11% on a year-on-year basis to INR681 crores compared with INR613 crores in Q1 of the previous year. Total income also increased by 11% to INR731 crores from INR660 crores. On a consolidated basis, revenue from operations also grew by 11% to INR681 crores, while total income increased by 8% to INR724 crores from INR673 crores in the corresponding quarter the last year.

Stand-alone EBITDA increased by 38% on a year-on-year basis to INR211 crores from INR154 crores, with EBITDA margins also improved to 29% compared with 23% in the corresponding quarter of last year. At the consolidated level, EBITDA increased by 17% to INR194 crores from INR166 crores, while EBITDA margins improved to 27% from 25% of the last year.

Stand-alone profit after tax increased by 53% on a year-on-year basis to INR110 crores from INR72 crores, while consolidated profit after tax increased by 23% to INR122 crores from INR100 crores. Capacity utilization during the quarter stood at 90% plus, which is marginally lower than the corresponding period of last year. However, the impact of lower volumes was more than offset by better realization, improved operating efficiencies and effective cost management, resulting in a healthy expansion in both margins and earnings.

Sequentially, the business witnessed a strong recovery compared with the previous quarter.

Stand-alone revenue increased by 13% over Q4 FY '25-'26. More importantly, the stand-alone EBITDA improved from a loss of INR126 crores in the previous quarter to a positive EBITDA of INR211 crores in the current quarter. Stand-alone profit after tax also recovered from a loss of INR163 crores to a profit of INR110 crores. Similarly, on a consolidated basis, EBITDA

improved from a loss of INR108 crores in Q4 FY '25-'26 to INR194 crores, while profit after tax improved from a loss of INR119 crores to a profit of INR122 crores.

In previous quarter, the loss reported due to MTM loss in foreign equity investments. Our balance sheet continues to remain one of our key strengths. The company remains debt-free with no long-term loan borrowings, and our treasury stood at approximately INR858 crores as of 30th June 2026. This strong liquidity position provides us with the financial flexibility to pursue future growth opportunities while maintaining resilience across business cycles.

Overall, we are encouraged by the strong start to the year. While the external environment continues to evolve, our focus remains on enhancing operational efficiency, maintaining cost discipline, strengthening our competitive position and creating sustainable long-term value for our stakeholders. For a more detailed discussion on the quarterly performance, I would request you to refer to the investor presentation, which has been uploaded on the company's website as well as the stock exchanges.

With that, I would now like to hand over the call to for Q&A questions. Thank you. Over to you.

Moderator: Thank you very much. The first question is from the line of Amit Lahoti from Aditya Birla. Please go ahead.

Amit Lahoti: My first question is on revenue mix. How much was the share of Middle East in Q1 and which region did we divert lost volumes?

Manish Gulati: Sorry, Amit, can you repeat this for us? Actually, the voice was echoing. Go ahead. Please repeat it.

Amit Lahoti: Yes. So my question was on revenue mix. How much was the share of Middle East? And to which region did we divert lost volumes due to war?

Moderator: Sir, your voice is not clear.

Manish Gulati: But, I have un-

derstood the question anyway. We understood the question. So Amit is asking what was our share in Middle East. See, over the year, it's around 20%. And it hardly matters because we are so well diversified across countries. Some temporary delay in shipping, etcetera, was easily spread over to the rest of 30 countries we operate.

Amit Lahoti: Okay. So did we not lose any volumes in Q1?

Manish Gulati: No, no. We didn't lose any volume. As you can see, we still operated in excess of 91%.

Amit Lahoti: Okay. And my second question is on implied price realizations, which I calculate using the revenue and the volumes. So it appears that the benefit of any recent price hike is yet to flow into earnings. So how much of price increase can we expect in the coming quarters?

Manish Gulati: See, in -- for companies like us in this electrode business, normally, we are always booked 3, 4 months ahead. So whoever is announcing a price hike and we also -- I mean, we have to start raising prices will only happen October onwards because we anyway committed up to

September. So whatever price hikes which will come in, will come in later, will actually start showing up later in the year. However, in our existing markets, whether it's India or elsewhere, whatever new business we are booking are at higher prices. So we continue to gradually raise prices and our input costs are increasing and also needle coke prices are increasing.

Moderator: The next question is from the line of Ahmed from Unifi Capital.

Ahmed: Congratulations on great set of numbers and execution in the tough environment. Same follow-up question to what Amit was asking. If we have had 20% roughly volumes from Middle East market over the years, then can you elaborate a little bit which markets we have diverted those volumes to where you see the better demand and has absorbed your balance volumes? And also, you can quantify, if possible, how much the Middle East volumes have de-grown by?

Ravi Jhunjhunwala: Ahmed, it is not the right forum to talk in so much of details. I mean, obviously, it's a listed company. We have competitors all over the world. So we should not be divulging these kinds of numbers. But suffice it to say that our exports continue to be in the region of 70%, 75%, which has been the case for not now, but last 25, 30 years. And we are practically exporting our electrodes to each part of the world to the smallest countries sometimes in Africa, to Latin America, to the largest consuming country, which is U.S. and Europe.

So more than that, I mean, we should not be talking in public about how much we are selling to whom, how much has our market share come up or come down. And it happens from quarter-to-quarter. It's nothing so special about this particular quarter. The world is large enough to take a small piece of drop in one region to some other region.

Ahmed: Sure, sir, I understand it. The question why I was coming from was, if we look at whatever the regulatory action being planned in the U.S. market, so in terms of both CVD and ADD. So in

that case, what rate in your internal assumptions you would have considered so that the U.S. volumes for us continue to hold or grow? My question was coming from that angle.

Manish Gulati: Okay. Let me try and take this question. See first, when we talk about Middle East, we're not talking about 1 or 2 countries or Strait of Hormuz or whatever. We are talking about the bigger MENA region, Middle East, North America. So only 3, 4 countries are impacted. Rest of the business is still ongoing. And they just postponements. I mean, of course, if they don't take it this one, they will take it next one.

So there is no connect between this and the U.S. business per se. The CVDs and ADs, which you are mentioning, that thing will keep ongoing, and we will see what results come and we'll see. I mean, right now, of course, as we are -- as Chairman

said, we are very -- we have very

well diversified markets. So it remains to be seen. Maybe we'll come to around September, what was the final result of the CVDs and antidumpings.

Ahmed: In terms of the pricing, obviously, you would have had some all committed volumes and you are saying from October onwards, there will be price hike. And there will be -- I'm assuming there will be proportionate hike in the needle coke as well. So how would you assume in terms of your net EBITDA expansion, whether the price hike will be much higher than the cost increase we have seen? Any sort of sense you can give?

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Ravi Jhunjhunwala: We have seen 2 of our colleagues announcing fairly steep increases, the American company and a Japanese company. And obviously, their costs have also gone up, so have our costs gone up. And I think one of them has announced a price increase of between \$600 to \$1,200, depending on the size and quality. The other one has given one number of \$930. So they have just been talking about these in the last 6, 7 weeks.

And as Manish said, we are more or less booked. Each one of it is more or less booked at least for the next 1 quarter or 2 quarters. So the trend is -- it's a very favorable trend that -- and it had to happen in any case. I mean the world has seen so much -- so many different kinds of problems relating to several price increases in raw material, oil, shipments, this, that, that like anything else, I mean, prices are going up for everything.

So, we will obviously follow and we are following. There are only 3, 4 of us in the world. So 2 of them have already announced their intent. They have given the numbers. They are all available in the public domain. So apart from these 2, 3 companies that we spoke about, then there is only we and our Indian colleagues. So obviously, so we will follow suit.

But nothing substantial is going to happen in the next 1 quarter or next 2 quarters because more or less, everybody is booked more or less fully, if not fully, more or less fully for the next 2 quarters. So is the case with -- so is the case with our raw material. I mean whatever prices of raw material will go up like needle coke and all, the impact of that product will only come by November, December, January. Everybody is covered or everybody has ordered needle coke at the old price.

Ahmed: Sure. Just one accounting question. If I look at the -- our other income number, that's close to INR43 crores, and there will be about INR7 crores, INR8 crores interest income, which you have disclosed in the segmental numbers. So CFO, sir, if you can explain what the balance component is? Is it forex gain or anything else?

Ravi Tripathi: This is fair valuation gain on the investments shown in segmental reporting.

Ahmed: Sorry, can you come again, please?

Ravi Tripathi: This is fair valuation gain on the investments.

Moderator: The next question is from the line of Akhilesh Kumar from Emkay Global.

Akhilesh Kumar: First of all, congratulations on the good set of numbers. So I have a couple of questions. So my first question is on the EAF capacity commissioning. So we were talking about 30 million tons of capacity commissioning in CY '26. So now since 1H is already passed, so how much of that has already been kind of commissioned? Or what's the status on that as of now?

Ravi Jhunjhunwala: You see a lot of this has been in operation and balance is going to be in operation in the next 2, 3 quarters. We are tracking each and every new facility. And whatever we have been talking about in terms of new capacity for the last 2 years, we are very happy to say that they're all happening. I mean these are all \$1 billion, \$2 billion kind of a greenfield expansion. So a couple

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of weeks or a couple of months delay or in some cases, early implementation is very, very practical.

But between 25 million, 30

million tons has already come in the last 3, 4, 5 quarters. And from all our conversations with our existing customers, and from whatever we hear from the market, we are seeing that whatever numbers that we have been talking about, about new electric arc furnaces coming up in the next 2, 3 years and then, let's say, in '29, '30 is more or less correct. It could be out by 10%, 15%, 20% plus/minus here and there, but they are all on the anvil and they're all coming.

Akhilesh Kumar: Right. So is it fair to say since 2025, close to 18 million tons of capacity got commissioned. So first half should be somewhere around 8 million to 10 million tons already being commissioned now?

Manish Gulati: Yes. Between these 2 years '25 and '26 -- sorry, '24 and '25 about 20 million, 21 million metric tons has certainly come up. I have the name if you would like to know off line. And then in these 3 years, '26, '27, '28, we are talking about almost 60 million metric tons to come. And during the year, half year has gone by, I think, 8 million, 10 million metric tons has already come up. So if you really want -- really very interested in knowing which customer where, I'll be happy to provide, but offline.

Akhilesh Kumar: Sure, sure. My second question is on price hike. So there were a lot of concerns which were coming up regarding the GrafTech's price hike that it is not getting absorbed in the market. So what's the status on that since now Tokai Carbon has also come up with big price hike. So how does the situation improves for us from Q3 to Q4? And do we see that sustenance of price hikes in further years also FY '28 and FY '29, for example?

Manish Gulati: We would not like to really comment upon the GrafTech and Tokai pricing, except sharing with you what we have seen in the public domain. So this is an intent to raise prices. How much gets eventually absorbed by the steelmakers, that remains to be seen, and that will be known in next 1 or 2 quarters. But yes, these are the announcements. And of course, we also have to raise prices because in our case, the energy cost, the ocean freights and even needle coke is now going to go so far, it was not, but now going to go up.

So I think as an industry, we all need a price increase. Now how much actually gets translated and what is anybody's basket is every company thing, how much is already booked, now being booked, something like that. So we can't really say about if GrafTech prices getting absorbed or not absorbed, it is not good for us to comment and neither we are aware.

Akhilesh Kumar: Got it. Got it. Fair point. My another question is on Greentech. So how much of that 20,000 tons of anode volumes is already contracted or let's say, in the advanced stages of the contracts so that, because FY '28 is now only 8 months away. So any clarity on that?

Manish Gulati: Ankur?

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Ankur Khaitan: Yes. So we are talking with the customers for 3 to 5 years contracts. And almost about 70% of the contracts will be closed by the next 1, 1.5 months. And all these contracts will be long-term contracts with the top Tier 1 players across the world.

Akhilesh Kumar: So when we say 70% of the contracts, that would be how much percentage of our capacity?

Ankur Khaitan: 70% of the capacity basically.

Akhilesh Kumar: Okay. 70% of the capacity?

Ankur Khaitan: Yes.

Akhilesh Kumar: Okay. And my second question is on the BEL. How much of the debt do we have as of FY '26 in BEL as of FY '26? And how do we see it progressing for FY '27 and '28?

Om Prakash Ajmera: See, there is no BEL, there is no debt in the company.

Ravi Jhunjhunwala: It's 0. It's basically zero.

Om Prakash Ajmera: It's a debt-free company right now.

Ravi Jhunjhunwala: And it has been like this for a number of years.

Akhilesh Kumar: Okay. So if we talk about then in the case of Greentech, so let's talk about Greentech as an entity. How much of that debt would be coming to

Greentech and how much would be with the graphite?

Om Prakash Ajmera: That would be INR1,500 crores.

Akhilesh Kumar: INR1,500 crores of debt. Gross debt or net debt?

Puneet Anand: It's a gross debt.

Akhilesh Kumar: Okay.

Puneet Anand: So just to explain you, till date, we haven't drawn any much money for TACC as a debt. It's just started. So when this entire demerger exercise will completed and when you see 31st March '27 balance sheet, then there will be approximately around INR1,500 crores of debt lying on the company on a gross basis.

Akhilesh Kumar: Okay. And consecutively, we'll take debt for TACC in FY '28, '29 because 70-80 kind of project financing will be there. So this INR1,500 crores would go up eventually, right? Is my understanding correct?

Puneet Anand: So TACC -- no, TACC debt, what we have secured till date is INR1,240 crores from SBI and balance is from our own capital and the internal accruals. FY '29, we will see how we have to go about the additional debt if it is required for the additional capacity per se.

Akhilesh Kumar: Okay. So out of INR3,100 crores of debt which -- out of INR1,300 crores of capex which is there for TACC, earlier our plan was that 70-30, we will do. So INR2,100 crores of debt would be...

Puneet Anand: So when you're talking about INR3,100 crores of capex, that is for 30,000 ton capacity, which the management have given a time line that will be coming in the next few years. So if you talk about in that phase, then INR3,100 crores, 70% will be through the financing. Yes, the debt will increase for that.

Moderator: The next question is from the line of Rohan from Arihant Capital.

Rohan: Congratulations for the good set of numbers. My question was, sir, you recently on the yesterday, you had announced that needle coke prices is expected to rise by another like 10% to 15%. So given the coverage cycle of our roughly... Am I audible?

Ravi Jhunjhunwala: Yes. Go ahead.

Rohan: So like given the coverage cycle of roughly 45 days of shipping and 45 days of processing, in which quarter do we expect this higher cost material to actually flow into our P&L side? And what would be the spread per ton we can expect on this, sir?

Manish Gulati: See, just to clarify the 10% to 15%, what Rijuji said yesterday was the of the total -- our cost of making electrodes. That was roughly 10% to 15%. Left to needle coke itself, then it has gone up by a higher amount. And this will start taking effect in I think towards the end of the year because, of course, because it's a long process cycle, it takes 1.5 months to make electrodes, stocks, etcetera, etcetera. So the rise will start taking effect towards the end of the year. And as we are unbooked for that quarter, we will be raising prices for the end of the year to cover the rise in cost.

Rohan: Got it, sir. And we -- like a run rate of around like 24,000 tons annualized to roughly around like 96,000 tons, sir, so against 100,000 capacity. So how much headroom we can expect to have like on the overall utilization level, what we can expect for the FY '27 level, sir?

Manish Gulati: See, production varies quarter-to-quarter. So I think there's no more headroom beyond 94% or 95%. That's about the peaking. We are running in excess of 90% at present. So quarter-on-quarter, it varies a little bit, and we think we'll close the year between 90% to 95%, something like that. But I don't think there's any more headroom because then you have to create ideal conditions to reach 100% and conditions are never ideal.

Rohan: Sorry, sir. One last question is, sir, like in the recent media interview, we said around 7% to 8% price improvement we had in the first quarter. So in last quarter con call, you've guided for like \$300 to \$500 per ton price increase we expect for FY '27. So what have you contracted on the new bookings in dollar-per-ton basis? And what percentage of your

second half volumes is now

booked at this level, sir?

Manish Gulati: Okay. So we cannot speak in terms of specific numbers or dollars. What I remember in the last con call, we said that this is the kind of which we definitely required to cover our cost. So right

now, we have booked up to September or even, I would say, up to October. And we are trying various markets, what market, what customer, what price. So it's still a little while away. We'll know in next 1 or 2 months, what kind of price increase average we are able to get from various markets. Can't say, but surely, we would definitely like to cover our cost and increase margins, if possible.

Rohan: Got it, sir. And sir, if time is allowed, one last...

Moderator: I'm sorry to interrupt you, Mr. Rohan, can you please rejoin the queue? The next question is from the line of Chirag from SKP Securities.

Chirag: So actually, my question was, so our total annual project cost, which has been guided for about INR2,200 crores, INR2,300 crores. So what can the phasing look like over the years to come?

Manish Gulati: You're talking about green project or what?

Ankur Khaitan: Chirag, you are asking for what?

Chirag: Anode project, the capex, INR2,200 Crores, INR2,300 crores we guided, right?

Ankur Khaitan: Yes. Yes. So I think it will be safe to assume around 4- to 5-year payback on that amount.

Chirag: No, no. So I was asking what our phasing would look like? How much our spend would be for -- how much have we spent for Q1 and for the rest of the year? '27, '28 basically?

Ankur Khaitan: Puneet, you want to get that exactly because I think...

Puneet Anand: You are asking how much capex we have spent in FY '26, '27, right? FY '27, '28, but my plant is coming on live. I'm not able to understand your question.

Chirag: Yes. I'm asking for the anode project, how much have we spent in Q1 and in Q1 FY '27? And

for how much we will spend for the rest of the year and for '28?

Puneet Anand: Okay. So out of the entire INR2,200 crores, 40% is already been spent. The larger amount will be spent in next 3 quarters. And we are hoping that the entire 95% -- 90% payment will be done by FY '27 and balance 10% will be done in FY '28, first quarter.

Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: Am I audible, sir?

Puneet Anand: Yes.

Deepak Poddar: Sir, just wanted to understand on the pricing front, you mentioned that all the new business we are booking at higher prices, right? And already, we have taken a price hike of 5% to 7%. And you would like to maintain the margins. So the balance price hike could take in the range of 5% to 10% more because you mentioned your cost of production is increasing by 10% to 15%. So

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just wanted to understand what's the price hike we are expecting? And what is the sustainable margins we want to keep, I mean, given the scenario?

Ravi Jhunjunwala: Rather than going into the specific number, and all, which is very risky on a call, we will -- I can only tell you that we'll be able to maintain the margins that we are now talking about. And we will have a higher margin than anybody else.

Deepak Poddar: Okay. So when we say maintain the margins, we are talking about this first quarter margin?

Ravi Jhunjunwala: Yes. Last quarter, this quarter, I mean, not much difference.

Deepak Poddar: Yes. I mean, yes, I mean, that 28%, 29%, including other income, right? I mean that's what we are talking about.

Ravi Jhunjunwala: Yes.

Deepak Poddar: Okay. Fair point. And my second question is on your Greentech business. So can you throw some light on the potential of revenue from the a node capex that we are doing in TACC and plus the Bhilwara Energy, what sort of potential we are looking at? So I'm not aware much on this Greentech part. So if you can just throw some light, it would be v

ery helpful, yes. So what's the

potential we are looking at in each of the segment in Greentech, yes?

Riju Jhunjunwala: So I can take that question quickly. For the a node project, it will start commercial production Q1 of next year. So we hope to operate at around 40% to 50% capacity utilization, which should give us a revenue of around INR600 crores to INR700 crores in the first year, which would ramp up to more than INR1,200 crores in year 2. And in year 3, crossing around INR1,500 crores, INR1,600 crores.

And again, the margins that we are looking at without getting into more details, roughly an EBITDA margin of 35% for -- under all these 3 numbers. As far as Bhilwara Energy is concerned, we've got 2 hydro plants, which are totaling around 300 megawatts and they give us a free cash flow of between INR320 crores to INR 350 crores of cash flow per year because both the projects are debt-free and these are the free cash flow that will come in from these 2 projects. Apart from that, we plan to put up one more hydro project, which will start operations by 2030 and one solar project, which will start operation in the next 18 months. Both of them combined should add another INR200 crores of EBITDA over here. So basically, in a nutshell HEG Greentech, we can safely say by the year 2030, we should be aiming at a 4-digit EBITDA between all the businesses combined.

Deepak Poddar: 4-digit EBITDA. And this solar project is coming in 18 months and one more hydro project is coming by 2030?

Riju Jhunjunwala: Yes, 2.5 years from today.

Deepak Poddar: 2.5 years, okay. So close to '29 maybe yes.

Riju Jhunjunwala: Right.

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Deepak Poddar: Yes. And what is the capacity of this hydro project?

Riju Jhunjunwala: This is 75 megawatts, and we've actually acquired this project from our previous partner, Statkraft. So a lot of work around 30% of the work has already been done. That's why I'm saying 2.5 years. Otherwise, the normal time for a hydro plant would be anywhere between 4 to 5 years. But we are saving on that 1 year because a lot of the tunneling, etcetera, work has already been done from before.

Deepak Poddar: And the solar project capacity?

Riju Jhunjunwala: Solar project, if it comes up, it's a 300-megawatt C&I project, which will just be a plain vanilla solar project of 300-megawatt DC capacity.

Deepak Poddar: Okay. And then all these hydro projects are IPP, right?

Riju Jhunjunwala: Yes. The hydro projects are run of the river IPPs with around 30% to 40% peak power. So

average rate of selling, we've assumed that around INR5.5, which is very -- which surely we are going to attain this year because 30% to 40% of the power is sold as peaking power, which goes up as high as INR10, INR7, INR8. And the regular power that you sell most of the time is around INR4. So a weighted average would be around INR5.5 plus.

Deepak Poddar: Okay. I got it. That would be it from my side. Just one last thing, the anode capex of INR2,200 crores is for 20,000 capacity, right?

Riju Jhunjhunwala: Yes, that's for 20,000 capacity.

Deepak Poddar: And this 1 lakh, the expansion towards 1 lakh that any plan we have formed up or we have not formed up any plan as of now?

Riju Jhunjhunwala: No, no. It's -- right now, the land that we have is capable of taking around 30,000 tons. And so as soon as we complete this particular project of 20,000 tons, we'll quickly take a decision of expanding it to 10,000 tons more, and that would be done at a capex of around INR800 crores.

Deepak Poddar: Okay. Okay. That would be from my side.

Riju Jhunjhunwala: That facility would come up by 2029, not before that.

Deepak Poddar: No. But this 20,000 ton is coming by first quarter of '28. So it will hit your P&L FY '29 entire year, right?

Riju Jhunjhunwala: Yes, yes. FY '29 will be 100% there. And FY '28, it would be kind of 40% capacity utilization.

Deepak Poddar: Yes. I think

that's very useful sir.

Riju Jhunjhunwala: Yes, we can send you all the details on Greentech on a separate call if you -- whenever you can touch such base...

Moderator: The next question is from the line of Kirtan Mehta from Baroda BNP.

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Kirtan Mehta: Since the start of the Middle East disruptions, what kind of needle coke price increase that we have seen happening in the industry?

Manish Gulati: See, so far, I can't give a specific figure, but you can just take a ballpark number of between anywhere between \$200, \$250 or \$300. That's the kind of increase we are now seeing because of this rise in oil prices and also increase in demand. And going forward, we really can't comment because it is done quarter-by-quarter. Can't really say what happens next. It all depends. We are just concluding quarter-by-quarter and accordingly, pricing our products.

Ravi Jhunjhunwala: But just to clarify, it will not have a very immediate effect. I mean everybody carry stock of at least 3, 4 months and then the process of converting needle coke to electrode itself is 3- to 4-months process. So the impact will not be there for, let's say, at least the next 3 to 4 months, 5 months.

Kirtan Mehta: Understood. And in terms of sort of our improvement in EBITDA from INR14 million -- sorry, the segmental profit from INR14 million to around INR140 million in this quarter. Is it primarily because of the improvement in the realization? Or are there any cost elements which has also reduced, which has helped in this improvement?

Manish Gulati: Yes, there is improvement in realization. So as we carry old stocks of needle coke, needle coke prices remains there and there's improvement in realization.

Kirtan Mehta: Would you be able to comment on regional trend in terms of are this improvement coming in any specific regions?

Manish Gulati: No, no, no. It is actually -- it's coming from everywhere, wherever -- I mean, because these are global prices. So whichever market, it's not that one market increasing and one market is not increasing at all. So proportion -- I mean, the quantum matters differs from market to market. But when the price increase happens, it happens globally.

Kirtan Mehta: Right. Just second follow-up question was on the U.S. regulatory actions. There is a potential that the preliminary results can come by July and final could be come by September. So what is our exposure to that market? How much volume we sell into U.S. at this point of time?

Manish Gulati: Hardly, I would say, less than about 10%...

Kirtan Mehta: About 10%.

Manish Gulati: But that because as a company like HEG, we are very well entrenched in so many countries, all the major steelmaking nations, HEG is present and U.S. is hardly 10% of our business. So it's fine. I mean we'll see what comes, as you rightly said, and let me explain -- tell you a little more specific. CVD is by end July. Dumping is by end September. So we'll see what they come up with. We know that we have not done dumping. That is for sure.

Kirtan Mehta: Understood. And in terms of the outlook on the prices is primarily -- would you be able to...

Moderator: Sorry to interrupt you, Mr. Mehta, can you please rejoin the queue? The next question is from the line of Ahmed from Unifi Capital.

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Ahmed: If I try to understand the structure of Bhilwara Energy, the hydropower plant owning entity, it owns 51% stake in the Malana Power entity and the balance was the Statkraft, which we bought in. So to buy that stake, we have paid around INR1,200 crores -- how did we fund that amount?

Moderator: Ahmed sir, your voice...

Ahmed: Yes, I'll come back again. Is it clear?

Moderator: Yes, continue.

Ahmed: Yes. I was saying that we bought 49% stake of Statkraft in Malana Power. How did we fund that?

Om Prakash Ajmera: We borrowed money 50% from the commercial banks and 50% coming from -- partly coming from the family office and partly from BEL.

Ahmed: Yes. So when you merge it with the Greentech entity, will any of that debt come on the books is my question?

Om Prakash Ajmera: No. Actually, INR600 crores is already there in the books of BEL through subsidiaries. So that will be there. By that time, I think by that time, we will be retiring all these debts.

Ahmed: Okay. Got it. And second question is post all the consolidation and when the Greentech business list separately, what will be the outstanding shares?

Puneet Anand: So it will be around 39 crores -- sorry, 32.9 crores shares.

Ahmed: 32.9 crores -- and if we add -- got it. 32.9 crores and then there will be one more tranche of Singularity, which is left to be used, I'm assuming.

Puneet Anand: Which, no.

Ahmed: Okay. After everything, it is 32.9%.

Puneet Anand: I'll explain you today, HEG share -- number of shares are around 19.7, 19.8. So there will be around 13 crores shares, which are being issued additionally, which is to be given to Singularity for their investment and to the other shareholders, which are promoter and RSWM Limited, who is our shareholder in BEL. So after this, there is no fresh issuance of shares once this has been routed.

Ahmed: Understood. My only question was that there were 2 tranches of Singularity. So in 32.9%, both tranches are covered.

Puneet Anand: Yes, yes, yes. So it already been done.

Moderator: The next question is from the line of Ronak Agarwal from iThought PMS.

Ronak Agarwal: Congratulations. Am I audible?

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Manish Gulati: Yes.

Ronak Agarwal: Congratulations on a great set of number. One I just want to understand a bit about America putting ADD and CVD. So let's say, if ADD comes just in a hypothetical scenario, how are we looking to derisk the volumes? Like I think we sell around 20% of our revenue in America. So how are we looking to derisk the same? And like what kind of contracts do we have with the players that we are selling?

Manish Gulati: First of all, it's not 20%, it was 10, I said 10. And with the kind of presence we have in the other markets, God forbid, if it happens and if something comes, which is totally unreasonable, it will not be difficult for us to absorb that volume elsewhere. So we will cross the bridge when we come to it. Right now, it's just speculation what will come, what will not come. We'll see if it makes sense, yes, we'll be there. We would love to be there. And if it doesn't, we have alternate markets.

Ronak Agarwal: Okay. So you are confident of the same that you will be able to ship it to some other countries?

Manish Gulati: Totally, totally.

Moderator: The next question is from the line of Kirtan Mehta from Baroda BNP Paribas.

Kirtan Mehta: One question on the graphite electrode market. The way -- if I understand the market, I think it's -- global market is around 600 Kt for the UHP electrodes and roughly 1/3 is supplied by the Chinese. Amongst the balance market, I think 2 Indian players and a couple of larger Western players operate. While we operate it at around 90% utilization, the Western capacity utilization is still in the range of 60%, 65%. So what gives us the confidence that the pricing can improve when the market is still sort of in a supply surplus?

Manish Gulati: Okay. Now you see if you look at the figures since that COVID times, if you look at steel production of major steel producing countries, they have been quite stagnating. So today, I can safely say that steel industry utilization is even less than 75%. The moment there is the production starts to increase and ex China is more than 50% from electric arc furnace, the graphite electrode demand will grow.

And the figures which you gave that the market of 600,000 and 200,000 is supplied by China, I tend to differ. It's not that number. It is much less, maybe half of that. So -- and we are operating at high capacity utilization

tion, as you rightly said. So that means we have markets. We have market presence to be able to sell our product. So we are all looking at the return of demand. We are looking at the new electric arc furnaces. Please tell me if you have ever heard of a new blast furnace coming up in Europe or U.S., no. whatever capacities are coming are coming in electric arc furnaces. So there will be increase of demand. One, by the production increasing and second, that new EAFs coming, which will add to that steelmaking capacity.

Kirtan Mehta: Right. So primarily, I think it's tied to the re turn of demand or new EAF as and when it comes through.

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Manish Gulati: That's true.

Kirtan Mehta: If U.S. market sort of levies the ADD or something that market could become sort of relatively less lucrative for us. So then would we be more dependent on the demand coming up in Europe, which will decide where the prices would move and whether we can benefit from it.

Ravi Jhunjhunwala: Not just Europe, there is other than Europe. Steel is produced in all parts of the world.

Manish Gulati: It's Middle East, Turkey...

Ravi Jhunjhunwala: And believe me, I mean, we will retain America. I mean American prices are higher than most of the others. We might lose some sort of a market share, but we're not going to leave that country.

Moderator: The next question is from the line of Kaushal Sharma from Equinox Capital.

Kaushal Sharma: My question has been answered.

Moderator: Due to time constraints, that was the last question for today. I now hand the conference over to the management for closing comments.

Ravi Jhunjhunwala: Thank you. Thank you for a large presence today and some very, very probing questions, which obviously means that you guys are really focusing on HEG and the graphite industry. So I look forward to speaking to you in 3 months' time with maybe some better information, more knowledge. And I can only tell you that we will produce at 90%, 95% capacity utilization come what may. Thank you.

Moderator: Thank you. On behalf of 360 ONE Capital Market, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.